V-Guard Inds. (VGUARD)

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Call: Aug 2022

August 3, 2022
The Manager The Manager
Listing Department, Listing Department,
BSE Limited, Phiroze Jeejeebhoy Towers, National Stock Exchange oflndia Limited,
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Mumbai- 400 051
Ref:-Scrip Code: 532953 Ref:-Symbol: VGUARD
Sub: Transcript of earnings call with respect to Financial Results for the quarter ended June 30, 2022.
Dear Madam / Sir,
This is with reference to the intimation dated July 29, 2022, filed with the stock exchanges in terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulation, 2015 regarding the earnings call to discuss the financial results for the quarter ended June 30, 2022, which was held on Thursday, July 28, 2022.
The audio recording was filed with the stock exchange. We are enclosing the transcript of the Earnings call.
The same is also being uploaded on the website of the Company under
https :/ /INww. vguard. in/in vestor-relations/shareho lder-in formation
Kindly take the information on record.
Thanking you
For V-Guard Industries Limited
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V-Guard Industries Limited Q1 FY23 Earnings
Conference Call
July 28, 2022
MANAGEMENT : MR. MITHUN CHITTILAPPILLY MANAGING DIRECTOR , V-GUARD INDUSTRIES LIMITED
MR. V. RAMACHANDRAN CHIEF OPERATING OFFICER, V-GUARD INDUSTRIES LIMITED
MR. SUDARSHAN KASTURI CHIEF FINANCIAL OFFICER, V-GUARD INDUSTRIES LIMITED.
MODERATOR : MR. DEEPAK AGARWAL PHILLIPCAPITAL (INDIA) PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the V-Guard Industries Limited Q1 FY23 Earnings Conference call hosted by PhillipCapital (India) Private Limited.
As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Deepak Agarwal from PhillipCapital (India) Private Limited. Thank you and over to you, sir.
Deepak Agarwal: Good afternoon, all. On behalf of PhillipCapital, I welcome all of you to the V-Guard Industries Limited Q1 FY23 Earnings Call.
Today we have with us, the management of V-Guard represented by Mr. Mithun Chittilappilly Managing Director, Mr. Ramachandran COO and Mr. Sudarshan Kasturi CFO. So, without

taking much of time, I would like to hand over the floor to the management for their opening remarks, post which we will be open the floor for Q&A. Thank you and over to you, sir.
Mithun Chittilappilly: Thank you, Deepak and thank you, PhillipCapital for hosting this call.
A very warm welcome to everyone present and thank you very much for joining us today to discuss the operating and financial performance of our company for the first quarter of the financial year 2022-23.
We are pleased to report a robust start to the financial year with the consolidated net revenues of Rs. 1,018 crore in Q1 carrying forward the momentum from the previous quarter. This marks the highest-ever revenue for us in the first quarter and is a successive quarter with revenues crossing the threshold of Rs. 1,000 crore. We have delivered 80% YoY revenue growth in this quarter, albeit on a low base given the impact of the second wave of COVID-19 across the country last year.
Consumer demand has held up despite significant price increases during the last four quarters.
While Electricals and Consumer Durables segments continue to report strong growth, the Electronics segment has also stepped up to deliver an improved trajectory this quarter.
During the quarter, we witnessed a broad-based contribution from both South and Non-South markets that witnessed YoY growth of 68.2% and 95.6% respectively. With the near doubling of revenues from the Non-South markets compared to the corresponding quarter last year, they contributed almost 47% of the total revenue in Q1, higher than 43.2% last year Q1. The sustained growth in the Non-South markets bodes well for the progression of V-Guard as a strong nationwide brand characterized by a more diversified revenue profile.

On the products side, the Electricals segment, which is our largest revenue contributor comprising of Wires, Pumps, Switchgears and modular Switches, we registered a growth of 61.6%YoY. In the Consumer Durables segment where we market Fans, Water Heaters, Kitchen Appliances and Air Coolers, Q1 revenues doubled registering a growth of 99.7% YoY.
In our Electronics segment comprising of Stabilizers, UPS and Inverters, we improved traction during the summer months to achieve a growth of 90.8% YoY. Input prices are still higher on a YoY basis and gross margin in Q1 FY23 was 29.8% vis-à-vis 33.0% in last year Q1. We expect this to recover to normative levels in the next one or two quarters.
On a QoQ basis, we have witnessed a slight improvement in gross margin as the price actions undertaken in prior quarters for some products have now flowed through the distribution channels. At the start of the quarter, we undertook further price action of around 3% across select products. However, as we witnessed the commodity prices peak out, it obviated the need for further pricing actions, especially in the Consumer Durables segment. We are closely monitoring the situation and a slight easing o

f commodity prices is helping to address the gaps in select categories, where the complete transmission to the end-consumers had not fully been undertaken.
The EBITDA margin was at 8.1% during the quarter, has declined on a QoQ basis as significant drop in copper prices in during June affected the margin for Wires and this is likely to extend some more impact in Q2 as well. With the risk of supply chain disruptions minimizing, we have started to reduce inventory levels. We had a strong positive cash flow for the quarter. We believe we are well placed to meet consumer demand over the coming months and this will enable us to get to normative inventory levels resulting in stronger cash flows from the business.
With that, I conclude my opening remarks. I would like to thank PhillipCapital and Deepak Agarwal for hosting this call and would like to ask the moderator to open the floor for Q&A.
Thank you.
Moderator: Thank you. We will now begin the question and answer session. The first question is from the line of Rahul Agarwal from InCred Capital. Please go ahead.
Rahul Agarwal: On the ECD, Mithun, I thought that the growth was very strong. Could you elaborate a bit on which categories did well and what is the outlook on the ECD margins they are still hovering in single digits. I am pretty sure, because of price hikes and raw materials coming down, the margins should actually track back. So, any comments please?
Mithun Chittilappilly: The two large categories in ECD are Fans and Water Heaters. Fans had a pretty strong quarter because of a very good seasonal demand in the first half of the quarter. However, the demand in June was slightly subdued. Water Heaters also had a very good growth in the first quarter, but it would have been on a lower base.

Rahul Agarwal: What about on the margins?
Mithun Chittilappilly: Like we said in the opening speech, a lot of the commodity prices have started to correct and that correction is ongoing. We think that there is some respite for us. I think, Q3 onwards we

should start to see the margins normalize.
Rahul Agarwal: My next question is on the acquisition, on the balance 26% in Guts Electro-Mech. Could you help us recap what this is about and what this company does, the subsidiary?
Ramachandran V.: Guts is a company which is in the business of Switchgears and we had acquired them as part of building a supply capability for V-Guard Industries Limited and at the time that we had acquired the company, we had structured the transaction to be able to acquire 74% upfront and the remaining 26% was supposed to be acquired after five years. I think we are now fulfilling the last leg of the agreed transaction by acquiring the remaining 26%.
Rahul Agarwal: What is the cost of this and is this a manufacturing facility for Switchgears?
Ramachandran V.: Yes. This is a manufacturing facility for Switchgears. This company was in the business of Switchgears manufacturing, sales and supply. We had acquired the company to secure Switchgears supplies and to support the growth of the Switchgears business of V-Guard.
Rahul Agarwal: What is the investment needed for acquiring this 26%?
Mithun Chittilappilly: It is about Rs. 6.5 crore, I think. Ram?
Ramachandran V.: Yes, Mithun.
Sudarshan Kasturi: Investment, is it? It is about Rs. 6.2 crore.
Rahul Agarwal: Other expenses at Rs. 145 crore for the quarter. Any one-offs here as it looks a bit higher on a historical basis.
Sudarshan Kasturi: See the other expenses have certain items which are factory expenses and certain items which are volume related. So, a lot of them are in line with the turnover growth. Other than that, A&P has gone up and a few overhead items.
Mithun Chittilappilly: Travelling has gone up.
Sudarshan Kasturi: Traveling is the main thing.
Mithun Chittilappilly: So, basically, travel; some are volume related, li

ke freight outward and all that. Some are factory related like packing material and outsourced manpower etc.

Sudarshan Kasturi: Out of that total increase is about Rs. 55 crore, about Rs. 30-32 crore is all volume related items and about Rs. 7-8 crore is A&P. The balance is likely travel, selling, manpower cost and so on.
Moderator: The next question is from the line of Aditya Bhartia from Investec. Please go ahead.
Aditya Bhartia: On the Electronics segment if we look at the growth of the segment on a, let's say, three-year basis, essentially comparing it versus pre-COVID time, the growth appears to be pretty tepid. It is something like in Q1 FY20 we had some Rs. 280 odd crore of revenues from the segment. Now it has grown only to around Rs. 300 crore. So, what is that really on account of because what we were picking is that at least for ACs demand has been fairly robust this season?
Mithun Chittilappilly: There was a good demand for ACs from April 1st to, let's say, May 10th, but the last 45 to 50 days were quite bad. So, the demand was not as it should have been. However, our AC sales were good, we had very good growth in the AC sales and Stabilizers sales. But the growth in Inverters and Batteries business was not as good. We had some supply issues for Inverters also because we were not having the requisite electronics items. So, some of the supplies were also impacted. Ram, anything to add to that.
Ramachandran V.: Just one more point. I think Q1 FY20 was exceptionally strong for Stabilizers. So, I think that is one factor that we need to keep in mind.
Aditya Bhartia: When you think about this segment and both Stabilizers and the Digital UPS separately, what is the kind of growth potential that you see over a five-year period? Are these categories likely to be growing at a very slow pace or could they be actually plateauing out at some stage?
Mithun Chittilappilly: So, Stabilizers is a fairly mature category. I think, V-Guard holds very high market share in the organized trade. So, unless the categories grows, the ability for V-Guard to grow faster than the category growth may be limited. In the case of Inverter Battery, V-Guard is a very small market shareholder. So, definitely the growth prospects are very good. We are setting up two factories. One to manufacture Inverters and one to manufacture Batteries. We are hoping that in the next 18 months, they should come online and that will really improve the competitiveness for V-Guard products. Today we are just having a 3% share of a Rs. 12,000 crore market in Inverters and we can definitely improve that.
Aditya Bhartia: Sir, how exactly have lower copper prices impacted our margins in the Electricals vertical? Is there any inventory write-off or inventory revaluation also that may have taken place? What could be the quantum of overall impact of low copper prices?
Mithun Chittilappilly: So, just in the month of June, we had a write-off of about Rs. 10 crore would be the impact of copper crash. So, that has impacted the results by about 1% in EBITDA margins for the whole organization. So, mainly coming from Wires.

Aditya Bhartia: Would will still be carrying some high-cost inventory and consequently, should we estimate

some impact flowing through the second quarter as well?
Mithun Chittilappilly: So, I think what could happen is some impact will be there in the month of July, but August and September, the company should get benefit of the lower cost input.
Aditya Bhartia: You have referred to coming back to normative margins in one to two quarters' time. What do you consider as the normalized margins for the company? Should we look at something like 32% odd?
Sudarshan Kasturi: Yes. 32-33% of gross margin is about what we are talking about.
Mithun Chittilappilly: So, pre-COVID margins is what we

intended. That's about 32%.
Moderator: Next question is from the line of Charanjit Singh from DSP Mutual Fund. Please go ahead.
Charanjit Singh: On the Fans segment, what is the mix for us in terms of premium vs. economy? On the capacity set up to ramp up your premium offerings, how is that scaling up? From the in-house manufacturing perspective, what proportion is now being catered to by the in-house manufacturing in the Fans segment the proportion of in-house vs. outsourced manufacturing within the Fans segment?
Ramachandran V.: The manufacturing initiative is going well and we expect to fully utilize the core segmental capacity, which is divided into two parts and we plan to fully utilize the major part. As far as the manufacturing shift is concerned, that is going well. Most of those Fans are in the premium segment and therefore, the premium segment is significantly expanding in relation to the popular segment.
Now coming to our ratio, we should now be in the region of 40-50% in the premium segment. This should get better as we move forward, particularly with the BLDC coming in and also the energy efficiency part also coming in.
Charanjit Singh: From the Water Heaters perspective, now what will be our market share and how is that market shaping up in terms of the competitive intensity going forward?
Mithun Chittilappilly: See we do not want to give out any market share numbers. All we can say is that we are doing extremely well in the Water Heaters business. We had lost some share in FY21 and FY22 we regained some of that share back and FY23 we are growing from there. So, that is all that we can comment as of now.
Charanjit Singh: On the Pumps market, if you can give some color in terms of how the outlook is there and what kind of price increases you would have taken here? How is the competition that is coming from the unorganized sector and in the segment?

Mithun Chittilappilly: So, Pumps is part of the Electricals basket for us, but that it is not a very large category. It is probably 10% of the total revenues of the company or a little less than that. The Pumps category has been impacted in terms of huge input price increases. There have been multiple rounds of price increases. Some increases are yet to be passed on to the market as many of the leading players have refused to take probably the last round of price increase. The good news is that the commodities have started to correct like iron, steel, copper and all that. So, I think Pumps should bounce back. The volumes in Pumps are impacted. The margins in Pumps are impacted.
Charanjit Singh: From the overall Consumer Electricals volume growth perspective, will you be able to share any outlook, in terms of the volume growth expectations for key product categories?
Mithun Chittilappilly: We have our annual operating plan but we do not give out the product-wise numbers. However, at V-Guard, we typically target for 15% growth in volumes and that is what we will be targeting this year.
Moderator: Next question is from the line of Jay Shah from Capital PMS. Please go ahead, sir.
Jay Shah: On the business side, in the Electronics segment and in Wires and Cables, what is the demand mix that we are seeing? Is it more from real estate or is there more demand coming in from the data centers and the new kind of CAPEX?
Mithun Chittilappilly: I am guessing you are talking about Wires, right?
Jay Shah: Yes, Wires & Cables.
Mithun Chittilappilly: In the case of Wires, V-Guard's pro business is only 5-7% of total revenues. 95% of our Cables go to the retail market. Having said that, the improvement in demand from the construction sector has meant that the brands which were focusing on in the B2B business have also pivoted. So the hyper-competition in the retail business is slightly less now because the construction demand is decent. That is one way to loo

k at it.
Moderator: Next question is from the line of Bhavin Vithlani from SBI Mutual Fund. Please go ahead, sir.
Bhavin Vithlani: In the Durables segment after the Q4 FY22 call, you had highlighted that the target is to take the margins to about 7% this year and double-digit in the latter years, but we have seen that the margins are sub 2%. Where do we see the margins, going forward, and what will drive the margins higher?
Mithun Chittilappilly: So, Consumer Durables has two components, large categories in it, which is Fans and Water

Heaters. Inherently, Water Heaters is the higher margin business for us than the other businesses, for V-Guard. So, Water Heaters typically kicks in in terms of revenues and margins in Q2 and Q3. So, I think some of it is also seasonality. We are hopeful on hitting the number, may not be double digit, but I think we probably can hit 7% margin in the March quarter because the prices of many of the raw materials have come down. For example, the major cost in Fans has two

components - one is aluminum and second is copper; both had peaked in the month of May. Once these higher value inventories start reducing and we procure raw materials at the new prices, the margin should improve. Probably you would have seen the worst for Consumer Durables in the last four quarters in terms of margins.

Bhavin Vithlani: On Switches and the Switchgears, it is an area that you have now identified and we have seen that you have be successful in growing the Fans and Geysers segment exponentially over the last three years. If you could just give us a road map on the Switches and the Switchgears segments; also you have done a couple of acquisitions in this space?

Ramachandran V.: I think we want to aggressively grow these two categories, but I think, we are relatively young. In Switches, we are about 3-4 years old and maybe in Switchgears about 6-7 years old. These two categories are growing well and we are able to grow the categories at a faster growth rate than our overall business growth. So, I think we should be able to grow them at about 25-30% over the next three to four years.

Bhavin Vithlani: When do you believe that this category would hit Rs. 500 crore; I believe that it is currently about Rs. 150 odd crore.

Ramachandran V.: I think you can compound it at 25% per annum and probably you may reach to some number but I think our base numbers maybe a bit better than what you said.

Bhavin Vithlani: In your press release, you mentioned there were some inventory losses. So, would it be possible for you to quantify the kind of inventory losses which are there in the Wires segment? And what is the kind of inventory that you would generally carry for the Wires as a segment?

Sudarshan Kasturi: The impact of copper drop during Q1 was about Rs. 10 crore, so it impacted margins maybe about 1% at the company level. Typically, we tend to have RM plus FG anywhere between 45 and 60 days.

Moderator: Next question is from the line of Keshav Bharadia from PhillipCapital. Please go ahead.

Keshav Bharadia: Why did the margins in the ECD business get impacted? How do we see the in-house manufacturing share in 2-3 years and how much can it increase from the current 60%?

Mithun Chittilappilly: So, the ECD margins have been impacted mainly because of the Fans business. I think, the Fans business has been one of the most impacted categories, primarily because most of the Fans produced by us and competitors are aluminum Fans and basically, the component aluminum had shot up significantly after the Russian invasion of Ukraine as Russia is one of the major producers of aluminum. Now, I think the aluminum prices are coming down. So, I think the Durables margins should improve. So, this is one reason.

Second is we are a relatively newer brand if you look at Fans, Kitchen Appliances. Apart from Water Heaters, our market share

in Consumer Durables is quite low. So, obviously, being a

smaller, market share holder and smaller brand in this segment will mean that our ability to pass on pricing can only be there after the leaders in the segment pass on pricing. Typically, we may be carrying less inventory in terms of strategic buying of raw material and all that, because we are small in those categories as compared with some of the larger companies. So, that is one of the reasons, but I think now the commodity prices are cooling down and Durables margins have already improved, even if you look at Q1 and that will improve going forward.

Keshav Bharadia: And on the in-house manufacturing share in 2-3 years?

Mithun Chittilappilly: Right now it is about 60%. I think it will go to about 75% in the next 2-3 years.

Keshav Bharadia: How much of the high-cost inventory are we holding right now, is it worth one month or two months?

Mithun Chittilappilly: So, like Sudarshan mentioned, if you look at the overall company, our FG inventory is at about 70 days or 80 days. If you look at specifically copper and Wires, it is about 60 days including RM and FG.

Keshav Bharadia: Can you give me the utilization levels for different plants?

Sudarshan Kasturi: No, I do not have that data handy; we will come back.

Mithun Chittilappilly: We will share it offline.

Moderator: Next question is from the line of Rakesh Roy from Indsec Securities and Finance Limited. Please go ahead, sir.

Rakesh Roy: Can you highlight on your Non-South market performance, especially which region did well in Q1?

Mithun Chittilappilly: See if you look at Non-South, northern and western markets had very good summer, whereas eastern markets, there were intermittent rains right from May onwards. So, both north and the western markets did well.
Rakesh Roy: Any addition to dealer or distributer in the Non-South market in Q1?
Mithun Chittilappilly: We would have done it. I mean, we are not carrying any specific numbers with us. But like we said our target is to add 3,000 to 4,000 retailers every year.
Rakesh Roy: Any chance to take another price hike in near future?
Mithun Chittilappilly: I think for most categories, it may not be required, because all the raw material prices have come down. There may be some small increase required in some parts of Durables, but largely, I think, it may not be very large increases may not be required is what we believe.

Moderator: Next question is from the line of Hitesh Taunk from ICICI Direct. Please go ahead, sir.
Hitesh Taunk: What is the price hike you have given for the Q1?
Sudarshan Kasturi: Price hike for Q1 is about 2-2.5%.
Hitesh Taunk: One more book-keeping question, why is the employee cost high on a QoQ basis?
Sudarshan Kasturi: So, there are two factors. There is a variable pay accrual this quarter. Last quarter it was not required. So, it's about a Rs. 7 crore difference on account of that and the other one is the increment kick in in Q1. So, that is the difference between the two quarters.
Hitesh Taunk: About the Kitchen Appliances category, logic pertaining to our built-in Kitchen category. So, what is the kind of distribution are we planning on going forward in this category and what is our strategy to take it forward? Are we looking for some kind of market share and what is the current market share?
Mithun Chittilappilly: So, V-Guard is not present in the entire spectrum of built-in Kitchens. We are only doing Hoods and Hobs. Today, they are primarily a traded business, selling only through Amazon and Flipkart, i.e., only through online partners. We are not intending to go to offline as yet. So, that that is as far as the built-in part is concerned. It is very small today. It is not a very large business.
Moderator: The next question is from the line of Prasheel Gandhi

from Nirmal Bang. Please go ahead.
Prasheel Gandhi: What is the channel inventory at your channel partner is it high or low?
Ramachandran V.: Channel inventory is more or less normal. Channel inventory is normal and nothing abnormal at this stage. I think Wires might be a bit lower because with the expectation of price reduction, in the later part of the quarter the sales were lower. So, I think Wires will be lower. But otherwise, by and large, inventory should be normal.
Prasheel Gandhi: You highlighted that there was some demand slowdown in June. Do you think it is some transitory kind of a slowdown?
Ramachandran V.: See, it is related to weather. What we observed is categories which are weather dependent, they had a bit of slow down, primarily Stabilizers, Inverter Battery to some degree and Fans and maybe Pumps. So, a bit of slowness was there in these categories, but it is not across all categories. It is in these categories. Mainly, the slowness was in Non-South.
Prasheel Gandhi: Do you engage in any kind of hedging for your raw materials?
Sudarshan Kasturi: No, we have Forex,not materials.
Moderator: Next question is from the line of Bhavin Vithlani from SBI Mutual Funds. Please go ahead, sir.

Bhavin Vithlani: In the previous call you had mentioned about indigenization TPW manufacturing which is currently being imported. So, if you could just give us an update where are we? What is the kind of investment and the capacity that we are looking to create in that sub segment? What is the kind of share that TPW has in the overall Fans segment for us?
Ramachandran V.: So, TPW would be roughly about 25-30% of our business. You can take 30% of our business would be TPW and main challenge that we had with TPW was it was imported. So, duty and freight were major challenges and that affecting our competitiveness and that is also reflecting in the significant drop that you see in our Consumer Durables business. So, with that context and also to ensure supply security, we have decided to invest in setting up a TPW facility. As far as the facility is concerned, we would be investing probably some Rs. 30-35 odd crore in plant and machinery for TPW manufacturing. Obviously, we will start small with a few SKUs and then progressively expand to address the category needs.
Bhavin Vithlani: What are the timelines that we are looking at and when will the facility be ready?
Ramachandran V.: Should be another 12 months, I suppose.
Bhavin Vithlani: Till such time, margins for the Fans segment will continue to be subdued.
Ramachandran V.: Yes, for TPW Fans, it will be better than before.
Mithun Chittilappilly: We have two approaches. One is setting up our own factory, but even before that we had invested in our own molds and dyes. The India made TPW Fans have already started to come into the market. So, some part of the issues will get solved there, but I think our range will be a challenge.

The entire range, we can indigenize only once our factory comes in. So, today, we are only probably going to make the most voluminous and most popular scales in India through a vendor in Hyderabad.

Bhavin Vithlani: On Fans after the new manufacturing, we entered the decorative segment. If you could just give us timelines and the way forward, how are we looking to move up on the premium and super-premium sub segments of that? That will also require significant investment in brand building. If you can just highlight the way forward on moving up the value chain on the ceiling Fans segment?

Ramachandran V.: The investment that we have made in the plant is primarily focused towards the premium and super-premium categories. In fact, I think 85-90% of the output is targeted towards that and 10% of the capacity is targeted towards mid-end Fans. We hope to get to about 85-90% capacity utilization during the season or probably even close to

full utilization from coming seasons. That journey is progressing well for us. Mainly, we will be focusing the manufacturing to only the decorative segment which are premium and super-premium Fans. We will continue to source entry level Fans from the market or what I would say the popular segment from the vendor ecosystem and that strategy will continue.

Bhavin Vithlani: In the current quarter, it seems like there is a margin impact in the Electronics segment also. Is that due to the Inverters segment or Stabilizers? How do you see margin stabilization going forward?

Sudarshan Kasturi: The mix of Stabilizers sold in this quarter is very different from last quarter and even the proportion of Stabilizers and Inverters to the total is also different. There is a significant mix impact.

Bhavin Vithlani: So, the margin decline that we are seeing is a function of mix impact and not decline in the individual category margins. Is that the correct interpretation?

Mithun Chittilappilly: No, I think there is some impact. So, Sudarshan, there is some impact on the Inverter Battery business in Q1. That is true. But there is also a larger impact of the mix in terms of the product mix and the category mix.

Bhavin Vithlani: So, would the sustainable margin comeback to that 17% odd that we are seeing historically or is this the new normal?

Mithun Chittilappilly: No, I think 17% is probably what happened in Q1 FY20. That was probably a year where we had extraordinarily high sales because summer was very good. So, I think 15-16% may be the correct Electronics margins.

Moderator: Next question is from the line of Yash Khemka from Yashwi Securities Private Limited. Please go ahead, sir.

Yash Khemka: How are you looking forward towards the demand scenario of Electronics segment? A corollary question to this is that the copper prices are reducing; how would the margin for Electronics segment, in particular, be impacted in the upcoming quarters?

Ramachandran V.: We are setting up two manufacturing facilities, one for Batteries and one for Inverters and Stabilizers. Both of these should help to improve our competitiveness and obviously will have a positive margin impact because the investment is hypothesized on getting a payback for the investment. As far as the Inverters and Batteries are concerned, making this investment will help to improve our competitiveness. It will also help improve our flexibility and therefore, should help us to grow the business better because we will be able to be more responsive in the season to market needs. We will have more flexibility to address the market demand through a mix of own and sourced product portfolio. So, there will be favorable consequence because of our manufacturing investment on the overall health of the Electricals and Electronics business. There is some amount of margin stress which is seen QoQ, but that is also because, some of the impact of input cost increase has been later in some categories, like in the case of Batteries, the lead impact has come later whereas in some other categories, the commodity impact has come much earlier in the year. A bit of that is seen. But in other categories, progressively as we go forward, as commodities correct, they should also get corrected. There may be some marginal drop in

Stabilizers or Inverters, but that is consistent with the increase in input cost that has happened and that should roll back as the input cost roll back over time.

Yash Khemka: How are you seeing demand in Cables and Switchgears in Q2, would it be strong?

Ramachandran V.: On Switches and Switchgears, I think as Mithun had said earlier in general, as far as the demand from the construction segment is concerned, it has been stable and therefore, we expect to see continued demand. Having said that, our incumbent market siz

e and market position is fairly
small. So, as far as we are concerned, we believe we should be able to post a decent growth consistent with how we have been growing in the last 2-3 years.

Moderator: The next call is from the line of Nikhil Kale from Axis Capital. Please go ahead.

Nikhil Kale: Just going back to the Electronics margin, now you talked about the new facilities that you are looking to put up for Inverters and Batteries and that would improve your competitiveness. Just wanted to understand will it be fair to assume that given that you see margin benefits, and if that is the case, would the strategy be to retain the margins or pass it on to consumers and try to gain incremental market share?

Mithun Chittilappilly: So, if you look at the Inverters and Batteries business, today, V-Guard is not very competitive in terms of pricing. So, some of that margins will be passed on and some of it will be retained. But you will still see some margin improvement. That is what we expect.

Nikhil Kale: Would you then still keep it like the 15-16% kind of a range for the Electronics segment over the medium term?

Mithun Chittilappilly: Yes, in Electronics, anyway, I think, we should expect a 16% margin. Yes, we should go back to the 16% margin in my view. That is possible. Today, I think V-Guard's products are not very cost competitive, especially in the Batteries segment where we are outsourcing the production.

Nikhil Kale: As we move towards more in-house manufacturing, from a company perspective or company level, how are you looking at the margin improvement? Is there any target that you are looking at in terms of incrementally taking your margins to a particular level over the next 3-5 years?

Mithun Chittilappilly: We have always mentioned that we will look at 10% EBITDA margin and improvement from there on and I think that is possible with these initiatives. But these initiatives will take 2-3 years to gain through because in the first one year and one and a half years may be there will be excesses and a lot of inefficiencies in the manufacturing process which will then be streamlined going forward. So, yes, we are seeing that happening and whenever we setup a plant, it is with the clear IRR and it is with the clear return that we do that with the clear margin improvement program for the category.

Moderator: As there are no further questions, we have reached the end of Q&A session. I would now like to hand the conference over to Mr. Deepak Agarwal for closing comments.

Deepak Agarwal: Thank you, management for giving your valuable time for this call and allowing us to host this call. Thanks everyone for joining this call.

Management, are there any closing remarks that youwould want to make?

Mithun Chittilappilly: Thank you Deepak and PhillipCapital for hosting this call.

Moderator: On behalf of PhillipCapital (India) Private Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2022

November 4, 2022
The Manager The Manager
Listing Department, Listing Department,
BSE Limited, Phiroze Jeejeebhoy Towers, National Stock Exchange oflndia Limited,
Dalal Street, Exchange Plaza, 5th Floor, Plot No. C/1,
Mumbai- 400 001 G Block, Bandra-Kurla Complex, Bandra-East,
Mumbai- 400 051
Ref: -Scrip Code: 532953 Ref: -Symbol: VGUARD
Sub: Transcript of earnings call with respect to Financial Results for the quarter and half year
ended September 30, 2022.
Dear Madam / Sir,
This is with reference to the intimation dated October 28, 2022, filed with the stock exchanges
in terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulation, 2015 regarding the earnings call to discuss the financial results for the quarter and
half year ended September 30, 2022, which was held on Friday, October 28, 2022.
The audio recording was filed with the stock exchange. We are enclosing the transcript of the
Earnings call.
The same is also being uploaded on the website of the Company under
https:/ /www.vguard.in/in vestor-relati ons/shareho Ider-information
Kindly take the information on record.
Thanking you
For V-Guard Industries Limited
JAYASREE
KAMALA
Jayasree K Digitally signed by
JAYASREE KAMALA
Date: 2022.11.04
12:24:00 +05'30'
Company Secretary
Membership No. A15900
Encl: as above
V-GUARD INDUSTRIES LTD.
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Vennala High School Road,
Vennala, Kochi -682 028.
CIN:L31200KL1996PLC010010 P +91 484 433 5000, 200 5000
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V-Guard IndustriesLimited
Q2FY23Earnings Conference Call
October 28, 2022
MANAGEMENT : MR.MITHUNK.CHITTILAPPILLY MANAGING
DIRECTOR V-GUARD INDUSTRIES LIMITED.
MR.V.RAMACHANDRAN DIRECTOR &CHIEF
OPERATING OFFICER V-GUARD INDUSTRIES
LIMITED.
MR.SUDARSHAN KASTURI SENIOR VP&C HIEF
FINANCIAL OFFICER V-GUARD INDUSTRIES LIMITED
MODERATOR : MR.ANIRUDDHA JOSHIICICIS ECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY23 Earnings Conference Call of V-Guard Limited, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing then on your touchstone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you and over to you.
Aniruddha Joshi: Yes. Thanks, Yashasvi. On behalf of ICICI Securities, we welcome you all to the Q2 FY23 results Conference Call of V-Guard Industries. We have with us the senior management, represented by Mr. Mithun Chittilappilly, Managing Director; Mr. V. Ramachandran, Director and Chief Operating Officer and Mr. Sudarshan Kasturi, Senior Vice President and Chief Financial Officer.

Now, I hand over the call to the management for their initial comments. We will then open the floor for the question-and-answer-session. Thank you and over to you, sir.
Mithun Chittilappilly: Thank you, Aniruddha and ICICI Securities for hosting this call. A very warm welcome to everyone present today on the call. My best wishes for the festive season and wishing all of you a very prosperous year ahead. Thank you for joining us today to discuss the operating and financial performance of our company for the second quarter of FY23.
We reported revenues of Rs. 980 crores in Q2, which represents 8.6% growth YoY and 16.6% CAGR over a three-year period (consolidated basis). It was a fairly strong performance in YoY terms, considering the high base of the corresponding quarter of last year. We witnessed some slowdown in consumer demand in the latter part of the quarter, but for which, we would have had seen a higher top line growth.
On a segmental basis, the Consumer Durables segment reported strong growth in this quarter. The Electronics segment has sustained its improved growth trajectory. The Electricals segment was nearly flat due to price reduction in Wires and related to the dip in copper prices.
During the quarter, South and Non-South markets delivered YoY growth of 2.6% and 17.8%, respectively. With consistent growth in Non-South markets, we have a more balanced geographic portfolio today. Contribution from Non-South regions rose to 42.7% of total revenue in Q2 FY23 from 39.4% in the last year. We are attaining scale in all the regions and this will deliver benefits from operating leverage going forward.
Gross margin for Q2 FY23 was at 29.2%, a drop of 210 basis points YoY (consolidated basis). A&P spends were higher at 2.2% vis-a-vis 1.5% in Q2 FY22. As a result, EBITDA margin dropped 7.4% from 10.5% last year (consolidated basis). There was a Rs. 16 crores impact due to the copper price movement as we had to reduce selling prices while carrying higher cost

inventory. But for this commodity-related impact, we would have been close to 9% EBITDA margin for the quarter. Apart from the Wires impact, there is continuing margin compression in Durables due to pricing gaps compared to input cost increases. We expect the gross margin in Durables to improve from Q3 and to reach pre-COVID levels by the end of Q4.
As we have shared before, our shift from outsourcing to in-house manufacturing impacts certain line items in the presentation as per accounting standards. As own manufacturing increases, there is a shift from material margin to other expenses line. Some volume-related costs like freight and warranty are also classified under other expenses. This has a significant impact as the turnover has increased by 36% in the first half.
We remain positive on improved margin performance going ahead. The recent so

ftening of input
prices meant that further price increases w be required. As the existing inventory flows through the pipeline, the pricing gap will reduce. We expect the gross margin to revert to their normative levels by the end of the financial year.
COVID-related disruptions had led us to hold higher inventory than normal. With risk of supply chain disruption diminishing, we intend to reduce our inventory holding. Due to lower sales than forecast during September, the inventory reduction has proceeded slower than anticipated. While it may take longer than planned, we will revert to normative stock levels in the coming months.
With that, I conclude my opening comments. I would like to thank the team at ICICI Securities and Aniruddha Joshi for hosting this call and would like to request the moderator to open the floor for Q&A. Thank you.
Moderator: Thank you, very much. We have our first question from the line of Aditya Bhartia from Investec. Please go ahead.
Aditya Bhartia: Sir, my first question is on the Consumer Durable vertical. When we looked at some of the other companies in ECD and FMEG segments, we saw that their revenue growth was actually being fairly muted, while we have managed to deliver 20% plus growth. So just want to understand, has growth in South also been fairly strong, or is this growth being driven largely by Non-South India for this segment in particular?
Mithun Chittilappilly: For V-Guard, the Consumer Durables segment has a lot of categories with some categories that are faster growing than our peers. For example, we have Kitchen Appliances which is small and is growing fast. We have a Fans segment, again, that is small compared to some of the market leaders but is growing faster. So some of these would have contributed to higher growth.
Aditya Bhartia: Would it be positive for you to share how large the Fans business would have become now? Given that we had made operational our Premium Fans facility some time back, how is that contributing to overall sales?

Mithun Chittilappilly: We do not give out product-wise numbers. Once we complete some milestones, we will give out some information. However, nothing to speak on this today.

Aditya Bhartia: The second question is on the margins for this particular vertical. How would gross margin for this segment be different from the Electronics segment? What we see are low EBIT margins for this segment. Is that a reflection of lower gross margin or is it overexposure to, maybe, the economy segment or is it just that overhead costs are currently not getting properly absorbed given the smaller scale? As we keep building scale, do you again see margins heading towards high single-digits or low double-digits of EBITDA?

Mithun Chittilappilly: In the Consumer Durables segment, both in the Fans and Water Heaters businesses, the business units and their margins are impacted. They are largely on account of pricing gaps, in the sense that the commodity prices have gone up to some degree and the players in the market, due to whatever reason may be hyper-competition, poor season, whatever it is, are not passing on the full effect into the market.

Second is that in the Fans segment, especially, there is some flux in terms of changeover in the new BEE norms. So, there has been some slowness in the market, in that sense. The commodity prices have come down, which also means that no company had taken any price increase since April. Also, it is not required with the current level of commodity prices. As soon as the older materials are consumed and we buy fresh materials raw materials, the gross margins should revert back to normal. We expect this to happen in Q4.

Regarding the gross margin percentage for Consumer Durables pre-COVID, Sudarshan, do you have the number? What is the normal gross margin for Consumer Durables?

Sudarshan Kasturi: The overall gross m

argin is higher than the company average. That is at 20% steady state.

Currently, we are going to say that there is a margin compression.

Mithun Chittilappilly: So to answer your question, the Consumer Durables margins were actually higher than the company average gross margins pre-COVID.

Aditya Bhartia: So it is mainly about an absorption of some of the overhead costs. As the business scales up on a steady basis, can we see a significant margin expansion at the end?

Mithun Chittilappilly: Yes, that is happening. Also, the commodity price inflation has not affected all the products in the same way. So for something like Fans, this has been more sharper, because aluminum is one of the key components and aluminum prices have gone up very high because of the war situation.

Aditya Bhartia: The last question from my side is on the BEE rating change are you expecting significant pre-buying to happen just before these new norms become applicable? Once these norms become applicable, do you anticipate some market share movement within the brand?

Mithun Chittilappilly: I think the trade will be up-stocking in the current quarter, not only for us but across brands, because brands will have to stop selling them before 31st December. There will definitely be

up-stocking by the trade in this quarter. Going forward, I believe that market will normalize. I suppose that every company has brought out products that are conforming the BEE norms. This is not a new thing, it has been in the works for at least three years. We have all had adequate time to prepare to change over. Of course, the companies who are better prepared with the BLDC products, will have more hedge because the BLDC segment is fast growing and is growing fairly fast as a sub-segment of the overall Fans business.

Moderator: We have our next question from the line of Rahul Agarwal from InCred Capital. Please go ahead.

Rahul Agarwal: First question was on the industry rather than the Company. The demand has been pretty much all over the place and dealer expectations in the first half and rural, being slower than the urban market because of inflation. So after this festive season, let's say, November, December and beyond, do you think things look okay? Would you think the jury is still out there whether demand can actually sustain at a decent level, especially when customer pricing is still at the same level and then hardly any price cuts being taken by brands with input costs actually being lower? So any thoughts?

Mithun Chittilappilly: Yes. Ram, you want to take this?

V.Ramachandran: Yes. I think input costs have come down, but also the input correction has not been fully reflected in the market. What we are witnessing today is the stress as a consequence of that. This stress is still going to remain on one side. When it comes to demand in the immediate run-up to the festive period, some stress in demand is observed, particularly, 30-45 days; we found that we fell short of our plan.

Having said that, if we take a three-year view of how we have performed for the last quarter, then we find that actually we have still grown at about 15% or something like that, even on a half year level, or maybe around 17% if you just look at for the quarter. One of the issues when we are comparing with the previous period, the COVID impact for the first quarter of last year is also affecting how the numbers look when you make comparisons.

At this point in time, it is difficult to say how the demand will pan out in the next half, but I think it is fair to say that there is a stress on demand in rural markets, smaller towns or entry-level products. That definitely that has been there for some time now. I have seen that from the early stage of the commodity run-up and it was initially reflecting in stress for passing input cost increases. So the companies were stressed in terms of margins o

n entry level products because
of the inability of the market to absorb.
This challenge will continue for some time. I think the business has been living with this
challenge from the last 12-18 months. So in that respect, that's a continuing challenge. But I
think there are some other factors also, like the transition to the new energy standards, it is
causing some destocking in Fans. The price reductions in Wires is causing some reduction in the
Wire inventory and so on and so forth. So these kind of factors are also playing out because trade
is down stocking.

I think some of the slowness that we are seeing is a combination of these two factors also, where
there is some short-term destocking happening in the channels, so that they are able to adjust for
any potential risks arising out of this energy change or any further downward impact from
copper, which is fundamentally reflected in the Wires business, right? But yes, there is some
stress because, we found that in Consumer Durables and all, the planned selling that we wanted
to do did not happen. So there is some stress in terms of sell-out. We will know better in the
upcoming two months once the post-Diwali uptakes are replenished by trade.
Rahul Agarwal: On gross margins South and Non-South are almost becoming equal, so we should not even
discuss regional sales henceforth. Is the gross margin difference is still there? The pricing is still
lower in the Northern market versus South for V-Guard and how is that moving?
Mithun Chittilappilly: Yes, Sudarshan?
Sudarshan Kasturi: Well, there is no difference between gross margin in South and Non-South and pricing is also
uniform. So there is nothing really to call out.
Mithun Chittilappilly: For the last, maybe, three years or so, this has been the case. It has almost been that for three
years to four years that we have had a uniform pricing.
Moderator: We have our next question from the line of Sonali Salgaonkar from Jefferies. Please go ahead.
Sonali Salgaonkar: My first question is regarding the demand in the industry right now. You did mention that the
latter half of Q2 saw slower demand. What are the initial demand trends that you have witnessed
in the festive season and what is the level of channel inventory right now across most of your
product categories?
Mithun Chittilappilly: So Ram, take this?
Ramachandran: Yes. Wire sales have been slower because of down-stocking by trade, as wire copper prices have
been coming down; they have been adjusting their inventory to adjust risk. We have also seen a
bit of pressure on Fans as the trade is preparing for the post BEE scenario, so they are slower to
up-stock and they are slow to up-stock even on growing categories like BLDC because they
want to correct their overall portfolio. They are focusing more on liquidating fans which fall in
line with the old energy standards. So I think these are the two areas.
I think in Water Heater sales also, our plan has been more bullish, but what we have seen is that
although the growth is good, it is less than what we would have wanted. These are some areas
where we have seen some stress points.
Having said that, there is also an issue of appreciation of the subject because, when you are
making - for example, we have grown at close to about 8.5%-odd, and that is like 8.7%, 8.8%,
and if the wire prices were constant, this would be more like 11% or 11.5% kind of growth,
which will not be bad because the base period was a higher base as there was shift of sales from
Q1 to Q2. So I think there is a bit of maybe -- I mean we also anticipated a much higher sales.

Definitely, some slowness was observed in some of these categories. It may also be because of
this Shradh period was coming, especially for the month end, right? As far as the channel
inventory is concerned, yes, I t

hink that is also reflecting some increase in terms of the number
of days and that is also one of the factors why we still said that there may be a slowdown in the
last 30-45 days. There is some increase of channel inventory, it is not alarming or anything, but
we are seeing that there is some increase in channel inventory.
Sonali Salgaonkar: What about real estate demand, you have two categories?
V.Ramachandran: Real estate demand is also a bit slower, yes. However, that is a bit difficult to derive because
there may be some amount of -- see, in our portfolio, we primarily need to look at Wires,
Switches and Switch Gears. We are not a very big player from an industry standpoint on
Switches and Switch Gears, and most of our Switches and Switch Gear sales are primarily
retail.
But yes, Wires is also retail and we have a reasonably large Wires business. There is a bit of
slowness. We are finding that collections are getting a bit slow and rotation of money is getting

a bit slow. So some of these are some of the indicators which are contributing to the feeling that
there may be some slowness in the last 30-45 days of last quarter.
Sonali Salgaonkar: My second question is on price hikes last quarter or this quarter that we are in, have you taken
any notable price hikes also in the Fans with respect to the new BEE norms? How much of price
hikes do you expect?
Mithun Chittilappilly: Ram?
Sudarshan Kasturi: If you were asking about price movement during the current quarter, prices have largely been
flat compared to Q1, except for Wires.
Mithun Chittilappilly: There has been no price increase per se between Q1 and Q2. I think in Wires there would be a
drop of prices. Other than that, there is no change. On BEE, I think there are primarily going to
be new models. So I think in the entry segment, the price increases are about 5%, if I am not
mistaken. Ram, do you want to clarify?
V.Ramachandran: Yes. It is in that range. Fundamentally what will happen is that the newer models will get
launched. It will not represent an increase in price per se. But the newer models will probably
be positioned at higher prices anywhere between 5-8% depending on the segment that we are
talking about.
Sonali Salgaonkar: How much percentage or rather how much portfolio of our Fans is into premium fans right now?
Mithun Chittilappilly: I think mid and premium would be about 40% I think. Ram?

V.Ramachandran: Yes. It is a bit more than that, Mithun. I think in the last year or year and a half, I think the sales
in entry level have been also stressed relatively. So I think it probably would be over 50% now,
40-50%, is what you can take it as.
Sonali Salgaonkar: Could you give us the broader idea of volume versus value mix in Cables and Wires this quarter?
Mithun Chittilappilly: We will share that offline, Sonali.
Moderator: We have our next question from the line of Nirav Vasa from Anand Rathi. Please go ahead.
Nirav Vasa: What are the kind of growth prospects that you are seeing in our core product category of
Stabilizers and how do you see that for the second half of the year? The second question is
pertaining to the range in reach expansion. Already in South and Non-South we are favorably
placed, but what would be our next steps with regards to expansion of our channel base?
Mithun Chittilappilly: Ram, you want to take this?
V.Ramachandran: I will address the second question first. You are basically looking at what are our plans for
channel expansion. The mix of South and Non-South is favorably progressing, but we have
probably covered 60-65% of the journey. We still have significant scope in Non-South to
increase reach and improve extraction also. There is the throughput for counter and the reach.
The reach will continue to expand at the rate of around 5,000 to 6,000 outlets every year. We
will continue to add as far as Non-South is concern

ed and as far as the distribution reach is
concerned.
Additionally, we are increasing focus on the organized retail. We have been weaker in organized
retail and this is an area that we will be focusing on in the next two to three years,. That will also
lever an opportunity for us to expand our business here.
So these are the two broad levers that we will be focusing on 5,000 to 6,000 new counters
annually as we have been doing over the last 5-6 years and improving our width and depth in
organized retail. That is a lot more easier relatively, in terms of access compared to retail
expansion.
Nirav Vasa: On growth in Stabilizers?
V.Ramachandran : The Stabilizers growth has been in the region of around; if you look at our Electronics growth,
for example, it is in the region of around 7% odd, if you look at a four-year CAGR for Electronics
as a segment. It is, of course, lagging the growth in Electricals and Consumer Durables. That
being said, that is part of our growth trajectory. If you look at our three-year CAGR of 15% that
we have achieved, the Electricals and Consumer Durables segments are segments that we are
focusing on to drive for faster growth.
Just one more point. I think one of the key challenges with the Electronics segment and
Stabilizers in particular is that, I think COVID stress has impacted at least, two of the three or

four quarters over the last two years because COVID typically has come in and impacted in the
summer months. So I think a couple of years of free and open summer should give us a better
sense of how Electronics growth CAGR will move.
Nirav Vasa: Since we are a very strong player in the Stabilizers market, can we target export markets using
this product?
V.Ramachandran: There is an export market and exports are certainly possible. The only thing is that each market
has a different requirement. That requires a lot of focus and there is a lot of competition

particularly in Africa and those kind of markets where this kind of product has some opportunity. There is a lot of competition from China also. We have chosen to focus our energy on the Indian market and the Indian business fundamentally when it comes to Stabilizers and build V-Guard as a consumer brand in the Electricals and Consumer Durables space. Thus, I believe that that is more value creating, and this is why we have chosen that kind of a path.
Moderator: We have our next question from the line of Dipak Saha from Savart.
Dipak Saha: In terms of high-cost inventory that you all have. Is the amount of high-cost inventory that you have compared to the current level of copper prices still significant or is it almost gone? If you can share some color on that side?
Sudarshan Kasturi: On copper, the issue is gone. It was during July and the first half of August that we were having the higher cost inventory. Once that was gone out, Wires margins are back to normal in September. Thus, it is not going to be an issue with Wires anymore.
Dipak Saha: On the aluminum front?
Mithun Chittilappilly: It is primarily in the case of Fans where we are holding some high-cost inventory, though by the end of Q3 even that will get exhausted. We are not too concerned about that, but yes, that would mean that the margin improvement in Fans will take some more time to kick in.
Dipak Saha: If the commodity prices kind of stabilize at this level, do you think that by the end of this year, you will be able to reach the similar EBITDA margin level of 9-9.5% of where we ended last year, given the operational efficiencies that we have or it will again take some time for the operational efficiencies to reflect in terms of EBITDA margin?
Mithun Chittilappilly: Given the current cost environment, prices do remain where they are. I think by the end of Q4 we should hit the kind of gross margin that we had before all the inflation started. That is our expectatio

n as well.
Dipak Saha: On the Electricals side, if you can share some idea - is there any softness in terms of demand on the Electricals cost, given the growth that we recorded on a YoY basis or is it a high base impact that we are having on the Electricals front?

Mithun Chittilappilly: No, Electricals it is primarily for us; if you look at Electricals, its largest component is Wires. So whenever there is a copper price decrease, the trade destocks. When the trade destocks, obviously the sales will slow down. That is when the trade will wait to see a bottoming out of copper before they restart stocking. That is what we are seeing. It is probably more to do with the pricing environment rather than the demand environment.
Dipak Saha: As you said, by the end of Q4, we will be able to get back to this high level of margin. Does it mean that we will get back to this level of margin, but we will not end close to somewhere where we ended last year, in terms of full year basis?
Mithun Chittilappilly: I do not want to give out any specific numbers, but what we believe and hope is that, given the inventory we are holding, given the current price environment and given the pricing in the market and the overall scenario, our expectation is that by somewhere in Q4, we should start to be in the gross margin levels, where we were before COVID. I think in COVID what happened is that there was an expansion of gross margin also, because initially the copper prices, I mean the commodity prices came down and then it shot up. So what we will look at is probably the pre-COVID margin number.
Moderator: We have our next question from the line of Pranjal Garg from ICICI Securities. Please go ahead.
Pranjal Garg : My first question is regarding the inventory days. You highlighted that inventory days will get normalized. What will be the target range, where should we expect inventory days going forward?
Sudarshan Kasturi: Yes, we normally operate at about 70-75 days of inventory. Currently, we are holding more than that and we would want to come back to those levels.
Mithun Chittilappilly: We are probably having maybe 20 days more inventory than what we used to hold before COVID. During this time, we decided to increase a few stocks and such. So we wanted to reduce it significantly by the end of this quarter.
As Ram mentioned, the sales are less than what we anticipated, so we are still carrying some inventory. We hope that by the end of Q3, we can reduce inventory by 15-20 days.
Pranjal Garg: An earlier participant has also asked about the distribution strength in Non-South states; can you quantify your South versus Non-South distribution stream as of now?
Mithun Chittilappilly: You are talking about the number? I do not know whether we have the exact numbers with us today.
V.Ramachandran: I do not have those numbers right now.
Mithun Chittilappilly: We will share the retailer numbers offline.

V.Ramachandran: One important point to understand is that it is simply not the number but also extraction. We could try and sell it to 100 dealers in a town or to 20 dealers in town with, you know, 30% share of the counter which will be more meaningful. So both of these are important.

Pranjal Garg: Apart from that, the Company has started its Roorkee facility which was a Greenfield CapEx, - Does it need any new Greenfield CapEx in the near term to meet its growth targets in the near term? What are the CapEx plans for FY23 and FY24?

Mithun Chittilappilly: We have three more plants under construction and it will take over 18 months to complete them. This year and next year, Rs. 70 crores of CapEx has been earmarked for that. Some part of the CapEx this year has already been spent out of the Rs. 70 crores.

Pranjal Garg: Regarding the new categories in which V-Guard is entering, like Water Pu

rifiers what is the strategy for this new category, in what geography has it been endorsed and how has the traction been?

Mithun Chittilappilly: Ram, you want to take this?

V.Ramachandran: Yes. We are still in the early stage of introduction and roll out of the Water Purifiers business. We are still expanding our product portfolio and lineup to improve the addressability. Our current focus is to work through e-commerce and build a decent business through the e-commerce focus. That should give us comfort on the competitiveness of our mix, based on the depth of extraction that we are able to make in the category. After that, we would open out into organized retail and then only will we get into GP. That is how we are going to travel with Water Purifiers.

Moderator: We have our next question Aniruddha Joshi from ICICI Securities. Please go ahead.

Aniruddha Joshi: Yes, sir, two questions. One, how do you see the Kitchen Appliances growth panning out and how is the penetration of the category in South India as well as Non-South India? Do you see any competitive intensity with the acquisition of Butterfly? The second question is on the effective tax rate, as the products and the unit ramps up, how do you see the effective tax rate panning for FY24 and FY25?

Mithun Chittilappilly: On the Kitchen Appliances part, Ram, do you want to take it?

V.Ramachandran: Yes. See, Kitchen Appliances business is currently mostly focused in the South for us. It is growing much faster than the overall company growth. Still, we are in the very early stages. I think we have established the product breadth, the supply chain and these competitors of our category. We are currently working on putting in place a manufacturing facility which should come up in the next 12-18 months so that our competitiveness in this category can be enhanced. So that is our near-term focus. We believe that in doing so, it will help us to improve our ability to grow this category and business aggressively. Mithun, do you want to take the second part?

Mithun Chittilappilly: Yes. Regarding Butterfly, we do not want to make any comments on competitors. So I will skip that. Regarding ETR, Sudarshan?

Sudarshan Kasturi: Yes, the new manufacturing entity will have a tax rate of about 17%. So there is some amount of tax benefit that can come from there. FY24 is going to be a ramp-up period, so we may not see a very significant effect, though there will be some reduction. In FY25, we can expect a 2% ETR benefit coming from there.

Aniruddha Joshi: Any change in market share that you would have noticed in our categories in the last six months or so?

Mithun Chittilappilly: I think market share is not to be seen on a quarterly basis. When we complete a year then we shall talk about it. Maybe it is too premature to talk about market share.

Moderator: We have our next question from the line of Aniket Mittal from SBI Mutual Fund. Please go ahead.

Aniket Mittal: Just a few questions. Firstly, wanted to understand the margin trajectory a little better, as you are guiding for the margins to recover by Q4 to the pre-COVID levels. What would this be dependent on? Is it largely a function of the high-cost inventory being absorbed or are you seeing certain amount of volume pickup or price hikes that you are basically building this in?

Mithun Chittilappilly: Our gross margins are off by 2.5-3% from where we should be, from normative levels. We believe that the current level of commodity price offers that reduction, provided the current high value, high-cost inventory sells out and we are purchasing cables at today's prices. So I think this entire process will take 4-odd months when the supply chain will keep liquidating the current inventory and buying raw material and manufacturing goods at the current prices going forward. That is going to be the main reason for the margins to come

back to normal.

Aniket Mittal: This assuming it would largely be on the Wires business and the Fans business?

Mithun Chittilappilly: Wire is more faster. This will be primarily on the Consumer Durables business where we are having more stress. Mostly Consumer Durables and maybe even Inverter Battery, little bit of Inverter Battery, but I think it is mostly Consumer Durables business. In the Wires business, we do not carry much inventory, so the impact we would have already seen the reduction of prices

would be immediate and the consumption of new materials will also be immediate. So it happens more faster in categories like Wires.
V.Ramachandran: So then, the recovery has to happen in Electronics and Consumer Durables segment and the Electricals segment will come back faster.
Aniket Mittal: In one of your remarks, you mentioned that the growth in Water Heaters has been less than what you would have anticipated in the quarter. Just wanted to get more light on how that market is panning out and why has the growth not come in this quarter?

Mithun Chittilappilly: See, Water Heaters business, we lost some market share a couple of years ago. Thus, last year and this year, we plan to grow more aggressively than we have been growing. Of course, we have regained all the market share that we had lost, but we still have lost a year that we need to catch up on. In that sense, yes, our growth has been less than what we anticipated, but we probably still have grown faster than the market.
Aniket Mittal: This is just to understand a bit better on the growth in certain individual categories. If I look at, lets say, the ECD segment of Fans, Water Heaters and the Electricals segment of Pumps and Wires, could you give a broad understanding of what has been the YoY growth for this quarter and the first half?
Mithun Chittilappilly: No, we do not give out product-wise numbers.
Aniket Mittal: You had acquired the Simon brand on the Switches front, it is fairly positive in Switches and Switch Gears in the segment. Just wanted to understand what is the traction that we are seeing within the segment and how are we planning to merge the Simon brand in our portfolio?
Mithun Chittilappilly: Ram, you want to take this?
V.Ramachandran: Yes. So I think we are still in the acquisition process and this is not complete yet. It is going to be a merger, which means this is a NCLT driven process. If you take another couple of months maybe for the process to be complete and for the entity to join hands. This has not yet materialized on the ground in terms of initiatives. The merger is a work-in-progress and we should come back on this sometime in next quarter.
Aniket Mittal: Is it by the next quarter that we would expect it to be completed?
V.Ramachandran: Yes.
Moderator: We have our next question from the line of Keyur Pandya from ICICI Prudential Life Insurance. Please go ahead.
Keyur Pandya: The question is on the overall profitability and operating profitability. As you mentioned that as high-cost inventory is consumed at current prices we will go back to pre-COVID levels gross margins. Now if I look at pre-COVID gross margin which we had in those years, from that level, our sales levels have gone up. In that backdrop, how should we think about our operating margins? Just to add another layer, as you hinted that there is some slowdown in the demand and you are seeing competitiveness in pricing as well, do you see any risk to this increasing gross margin as people go for volumes over profitability to push the demand? How do you see this equation playing out and the net impact on the operating margins of the Company?
Mithun Chittilappilly: We have a portfolio of products and when we see it as a portfolio, yes, this particular issue is there in, maybe, some of the categories, but not all. However, as a Company, we do not foresee it as that much

of an issue. Like I said, we were off by 2-3% in gross margins on a Company

level. The price reduction since May have been almost in that same range. So that is what gives us the belief that it is possible to go back to the margins.
We will see the hyper-competitiveness happening either in category A or category B, but it does not happen across. This may not be an entire portfolio problem but in individual categories this issue may be there. We also found that these are transient issues and after some time, people do understand that cutting prices is zero-sum game because everyone else will also do the same and then finally, there is very little evidence that someone will actually gain market share by cutting prices. Once that realization happens; we have seen these things are transient and they will move on. For example, about four to five years ago, Kitchen Appliances was a very hyper-competitive category. Then after five years, we found it to have mellowed down. Then few years ago Water Heaters was in the same position. Today, we are seeing it mellowing down. I think it will keep happening, but as a Company or as a portfolio we do not see it as a risk.
Keyur Pandya: So when we talk about the pre-COVID gross margins, from those levels, our sales are at a much higher level. Would it boil down to a much higher EBITDA margin also as we improve gross margin?
Mithun Chittilappilly: I think it is not that high. If you look at a three-year CAGR, we are talking about 15%, because three years have also passed after COVID has started. We should also look at it from that lens that time has also passed. Yes, there has been some increase in prices, but this has been only

maybe for one year, that there is really an increase in prices. If you look at the previous year, the price increases were very minimal because commodity prices have remained flat since maybe 2016 or 2017.

V.Ramachandran: Just to add to what Mithun said, we continue to grow at 15% per annum, but we are also a company which is continuously making investments. We have got into manufacturing and by maybe another 12-18 months, we will complete the manufacturing footprint expansion. We are investing in talent, we are investing in technologies, we are investing in the future. The other part is that these investments will also come at a cost, this also you need to keep in mind. It is not just matter of saying that this kind of growth will automatically translate into bottom line. There will be investments for the future and those needs become more stronger, because of the changes in environment that have happened in the last three to four years. So that also you need to factor in. That is why it would be fair to say that the margins will be similar to what we were enjoying in the pre-COVID years.

Moderator: Thank you. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Mithun Chittilappilly: I would like to thank ICICI Securities and Aniruddha Joshi for hosting this call and thank you all for participating on the call.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Dec 2022

December 20, 2022
The Manager The Manager
Listing Department, Listing Department,
BSE Limited, Phiroze Jeejeebhoy Towers, National Stock Exchange of India Limited,
Dalal Street, Exchange Plaza, 5th Floor, Plot No. C/1,
Mumbai- 400 001 G Block, Bandra-Kurla Complex, Bandra-
East, Mumbai- 400 051
Ref: -Scrip Code: 532953 Ref: -Symbol: VGUARD
Sub: Transcript of Investor Meet held on Tuesday, December 13, 2022 to discuss the acquisition of Sunflame Enterprises.
Dear Madam / Sir,
This is with reference to the intimation dated December 12, 2022, filed with the stock exchanges in terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulation, 2015 regarding the investors meet held by the Company to discuss the acquisition of Sunflame Enterprises, which was held on December 13, 2022, at 03.30 p.m. The audio recording was filed with the stock exchange. We are enclosing the transcript of the Investor meet.
The same is also being uploaded on the website of the Company under
https :/ /,v,,tw. vguard.in/investor-rclations/ share ho 1 dcr-infom1ation
Kindly take the information on record.
Thanking you
For V-Guard Industries Limited
Jayasree K
Company Secretary
Membership No. Al5900
Encl: as above
V-GUARD INDUSTRIES LTD.
Regd. office 42/962,
Vennala High School Road,
Vennala, Kochi -682 028.
CIN: L31200Kll996PLC010010P +91 484 433 5000, 200 5000
E mail@vguard.in
W www.vguard.in
 “V-Guard Industries Limited –
Acquisition of Sunflame Enterprises ”
December 13, 2022
MANAGEMENT : MR. MITHUN CHITTILAPPILLY – MANAGING DIRECTOR – V-GUARD INDUSTRIES LIMITED
MR. V. RAMACHANDRAN – DIRECTOR & C HIEF OPERATING OFFICER CHIEF OPERATING OFFICER – V-GUARD INDUSTRIES LIMITED
MR. SUDARSHAN KASTURI –SENIOR VP & CHIEF FINANCIAL OFFICER – V-GUARD INDUSTRIES LIMITED
MODERATOR : MR. RAHUL AGARWAL – INCRED EQUITIES

Moderator: Ladies and gentlemen, good day and welcome to the conference call to discuss V -Guard Industries acquisition of Sunflame Enterprises hosted by InCred Equities. As a reminder, all participant line s will be in the listen -only mode and there will be an opportu nity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then ‘0’ on your touchtone phone. Please note that this conference is being recorded. I now han d the conference over to Mr. Rahul Agarwal from InCred Equities. Thank you, and over to you, sir.
Rahul Agarwal : Thanks, Stephen and good afternoon , ladies and gentlemen. InCred Equities is pleased to hold this call for V-Guard Industries to discuss the ac quisition of Sunflame Enterprises. We have with us the senior management of V -Guard Industries led by Mithun, Managing Director of the company; Mr. Ramachandran, Director and Chief Operating Officer; and Mr. Sudarshan Kasturi, Senior VP and Chief Financial Officer for V -Guard. We thank the management and the Investor Relations team for their continued support and giving us the opportunity to ho st the call.
I now hand over to Mithun to share his brief thoughts on the proposed acquisition, after which managem ent will be happy to take questions. Over to you, Mithun.
Mithun Chittilappilly: Thank you, Rahul and InCred for hosting this call. A very warm welcome to everyone present

for this call. I trust all of you had a chance to refer to our press release, which was sent out on Friday.
We have signed definitive agreements to acquire 100% stake in Sunflame Enterprises Private Limited for a consideration of INR 660 crores. This will be on a debt -free and cash -free basis, subject to customary closing adjustments. We expect this transaction to close by the middle of January 2023. This acquisition, once completed, will significantly enhance V -Guard's presence in the Kitchen Appliances segment.
Sunflame is a well -established pan -Indian brand, with a wide portfolio and strong product development capabilit ies. We plan to finance the transaction through a mix of internal accruals and debt. We strongly believe that this acquisition is highly complementary to V-Guard . There are multiple leve rs for unlocking synergies in areas like geography, product portfolio and trade channels. Further the recently established , integrated manufacturing facility of Sunflame will enable significant scale up of the overall Kitchen portfolio.
The acquisition is a key milestone in V -Guard 's journey to build deeper engagement with our consumers. We believe that this will be value accretive to the shareholders of V-Guard .
With that, I conclude my opening comments and would like to thank the team at InCred and Rahu l Agarwal for hosting this call. I would like to request the moderator to open the floor for Q&A.
Moderator: The first question is from the line of Rahul Gajare from Haitong Securities India Private Limited.

Rahul Gajare : Hi Mithun, c ongratulations on this acquisition. I've got couple of question and I'll just start with the breakup that you are indicating – that you're looking at internal a ccruals and debt. Can you give us some sense on what is the kind of d ebt you're looking at? Have you already tied up the debt or cost of debt , etc.? That's the first question.
Mithun Chittilappilly: Okay. S udarshan , do you want to answer the first part regarding debt?
Sudarshan Kasturi: Yes. We are looking at a debt of about INR 350 crores to INR 400 crores and the balance will be from internal a ccruals. We have not tied up yet, we are just speaking to a few people. We should be finalizing in a few days .
Mithun Chittilappilly : The indicati ve cost, I think Sudarshan ,

we have not tied it up .
Sudarshan Kasturi : We have not tied up so I didn't want to get into that number. We will discuss that once we are tied up.
Rahul Gajare : My second question is, with revenue of almost INR 350 crores that the company has done last year, could you give us a s ense of the breakup coming from North, South, East and West? What was the margin last year , because I think you did talk about the profit margin and you didn't talk about the EBITDA ; so how has the company done in the first half of this year on the financi als?
Mithun Chittilappilly : I believe that the South to Non-South split for Sunflame is roughly 80 :20, that means 80 % coming from Non-South and about 20% coming from South, roughly . As far as the EBITDA number is concerned, I think it's around 12% to 13% , Sudarshan?
Sudarshan Kasturi: Yes, it's around 12% EBITDA.
Rahul Gajare : How has the performance been in the first half of this year?
Mithun Chittilappilly: I don't think we will be able to answer that . What I can say is that we have been in talks with th e promoters of this company for the last five to six years. We have seen this company up close , on a fairly granular level and I can tell you that it's fairly consistent. It has probably got one of the strongest cash flows that we have seen in the industry . The business is managed in a very steady and safe manner and that's what I can say. I think that , even this year they will have a reasonable growth.
Rahul Gajare: I was looking at the last 10 years of growth and w e've seen about 6% -7% revenue growth in t he last maybe 8 -9 years, from 2012. I think even at the bottom line, the number was probably around 5%-6%. So the growth has been muted. I wanted to understand, is there a reason why the company was not able to grow in the last couple of years?
Mithun Chit tilappilly: I think there are a couple of reasons. We're not going to go into too much detail. However, I can tell you that the company is under indexed in e -commerce and modern trade channels. These two channels , today , contribute roughly 25% to 40% of th e revenue of our category, depending

on which category you take. The promoters had not decided to participate in this channel for various reasons – margins , for cash flows, etc., thus they have suffered in that sense. However, the growth in GT (general trade) has been accord ing to what the market has grown, which has also been of the same level as we indicated. Ram, anything you want to add on this?
V. Ramachandran : If you look at the last six to seven years, organized retail has significantly expanded. It's now more than half the market, but they are extremely under indexed. So , they have not been able to participate in this shift and they've done so consciously.

The other thing is their operating m odel which is, by and large, the ir GT (genera l trade) business that is on cash. So , that's the other part that in hyper competitive markets , they are running the business on cash.
Mithun Chittilappilly: Sunflame operates on mostly cash and carry business. They are one of the few industry players who do not offer credit to distributors. So , you can understand the strength of the brand.
Rahul Gajare : I'll just ask one last question before I go back to the queue. In terms of the total sales – how much is manufactured in -house for the company , what does the factory in Faridabad really bring to the table and how much is outsourced? If you could discuss on the manufacturing side of things?
Mithun Chittilappilly: I don't have the outsourced data with the way we produce the products, but I can tell you that the factory in Faridabad has been set up with an eye to substitute imports of Chimney. Chimney is a very large part of their business, maybe the second -largest category of their sales. That's one of the few facil

ities in India which actually manufactures Chimney s. Chimneys are mostly our hobs, sorry not hobs, hoods. Hoods are generally imported into India from China and other countries. But with Sunflame, we have an oppo rtunity to manufacture and they've already started manufacturing, I'm told , the Chimneys in India.
Sudarshan Kasturi : I believe the in -house manufactur ing is about 65%.
V. Ramachandran : Mainly , the major categories – Gas Cooktops, Induction Cooktops and Chimneys are made in these factories and that should be the most significant part of the business. I'm sure that's upwards of 70% so these three categories.
As far as Chimney is concerned, this new facility is very new and is probably just ove r a year old. Chimney manufacturing has just commenced and it is about three to four months old. So I think the part of the Chimney transition , to fully transition will take some time.
Moderator: The next question is from the line of Bhavin Vithlani from SBI Mutual Fund.
Bhavin Vithlani : Good acquisition , Mithun . I joined a little late , if you could help us with the key categories which are contributing to the INR 350 crores revenue that will be useful to start with?

Mithun Chittilappilly : So it's Cooktops in the sense of both – on the counter cooktops and built -in cooktops , Chimney s and Induction Cooktops. So all types of Cooktops and Chimney will be roughly 60%, 70% of revenues.
V. Ramachandran : It's a full platform with a wide range of Kitchen options. The dominant ones are these that are mentioned, but they have a complete range of Kitchen equipment .
Bhavin Vithlani: What will be the contribution of each of these sub-categories ?
Mithun Chittilappilly: I would not be having that readily with us and we would not like to share at this stage as the business still belongs to the parent promoters.
Bhavin Vithlani: Could you h elp us with this geographical breakup? You mentioned modern trade and online contribution as well, but what is it currently?
Mithun Chittilappilly: I think 12% or something like that, e -com plus modern trade, maybe 10 %-12%. Whereas the market may be close r to 40% -45%.
Bhavin Vithlani: What is the geographical breakup in terms of what was East, West, North and South. Also, what are the critical strengths of the channel?
Mithun Chittilappilly: The brand is extremely strong in Non-South. Non -south contri butes roughly 80% and South is about 20%.
Bhavin Vithlani: We have been told, is it very significantly strong in West and North India?
Mithun Chittilappilly: Strong in North and West. North and Western market is the bulk of the revenues.
Bhavin Vithlani: Within these regions, is it true that they are strong more in the metro and the larger cities and not as strong in the rural areas ?
Mithun Chittilappilly: Like we mentioned earlier, this is a company that does not give any credit to distributors . Yes, we do n't have the exact data on what is rural and metro and all that , but chances are that they are strong er in cities because that's where the stronger distributors will lie and they don't offer credit.
Bhavin Vithlani: Correct me if I'm wrong , larger metro ci ties and especially West and North are not as strong for V-Guard so it seems like there is a complementary channel that we are getting . How would we be able to leverage this channel and brand for some of the other Kitchen categories, let's say for example , Mixer Grinder , Juicer, etc., where we have the product categories already?
Mithun Chittilappilly: V-Guard is extremely strong. V -Guard is selling th ese Kitchen products only in South India. We hardly hav e any presence outside of South India . We are main ly selling in the South and across e-com channels. In that sense, it's extremely compl ementary where this company has good network in the Northern and Western markets. V -Guard i

s traditionally into Electrical products and Consumer Durables , so we are present in the White Goods channel and the Electrical Goods channel. Whereas Sunflame is predominantly present in the Kitchen channel. Kitchen channel is also different because it also includes vessel stores and all that where V -Guard is currently not present. So yes, in that sense it's compl ementary.

Bhavin Vithlani: For us to actually scale up some of the non , like just your thoughts, would we want to continue this brand? I mean, what is the kind of timeline we have got the Sunflame brand and how do you want to leverage that?

Mithun Chittilappilly: Sorry, can you repeat the question?

Bhavin Vithlani: So have you got the brand rights, Sunflame brand?

Mithun Chittilappilly: The brand is owned by the company. The brand is owned by the entity. It is n ot owned by the promoters. We intend to keep the brand separate. Ram, you want to add anything?

V. Ramachandran: So mainly, Sunflame is a highly reputed and a well-known brand. It enjoys very high top -of-mind awareness, which is the fundamental reason why we have put this kind of money. Fundamentally, the investment is towards the brand and not so much towards the underlying business. The brand has the strength. Of course, that's an integral part of the transaction. Sunflame will continue to operate as an independent platform and it enjoys enormous opportunities to scale up the business. Fundamentally, as we said, emerging channels are extremely under -indexed. Although it enjoys very high levels of awareness, but from an availability standpoint, it is quite weak. There is a good opportunity for Sunflame to grow in the South. So yes , these two brands and these two business systems will operate independently.

Bhavin Vithlani: So what is the thought process? We were looking to grow in some of the categories like Mixer Grinders and some of the Kitchen Appliances. Would we now use the Sunflame brand for the Kitchen and keep V -Guard for the Electricals? If you could just help us with what's the longer -term plan fo r us.

Mithun Chittilappilly: To put it in perspective, the combined – V-Guard and Sunflame , business will cross something like INR 500 crores. V -Guard does about INR 150 crores, INR 140 crores and Sunflame does about INR 350 crores. We will independently continue to drive both the brands and we will come out with the real /correct strategy on wha t will be the brand architecture and the price position segments in due course. However, at the moment we are not planning to integrate it. It will be running as a separate team.

Yes, there are some compl ementary situations , for example, there are certain products that Sunflame is selling where V -Guard has the manufacturing capability and sourcing capability and there are a lot of products where Sunflame is having manufacturing and sourcing capability where V -Guard is selling. So we will use these networks, but they will continue to operate independently as independent brands.

Bhavin Vithlani: Just last question from my side. In the agreement, we cannot restructure the employees. I mean do we have to retain them and if there are any of these clauses that you could help us with?

Mithun Chittilappilly: Ram, you want to take this?

V. Ramachandran: No. As we said , these two are separate, Sunflame will operate as a subsidiary of V -Guard and it will operate with its business system. See Sunflame is an extremely successful business, generating very strong cash flows and is highly profitable, even on a scale of around INR 350 crores to INR 360 crores. It has uniqu e attributes and features which contribute to making Sunflame and giving it the strength that it has in the market. It is our desire to maintain and build on these strengths. As these will be inde

pendent entities, they will continue to operate the way they are operating their side.

Mithun Chittilappilly: From our end, we are very keen to retain all the team members of Sunflame. There are roughly 300 to 350 employees in Sunflame. Our focus will be to retain all of them as much as possible. There is a lot of wealth of knowledge, product planning, product development capability in the company, which we would like to harness.

Moderator: The next question is from the line of Achal Lohade from JM Financial.

Achal Lohade: Congratulations for the acquisition. Cou ple of questions from my end. One was if we look at the FY '22 revenue, there was a substantial growth. Can you explain it to us, because last five years was not much of a growth, while FY '22 it saw a significant 20% -plus growth, is it possible to get som e more colour on FY '22, the growth?

Mithun Chittilappilly: Some of FY '21, I think they had a dip in revenue. So some of it is pent up demand. So maybe what we should look at is a 5% to 6% growth from FY '20 to FY '22. I think FY '22, shows a big growth because in FY '21, smaller companies had a bigger impact with COVID with the first, three to four months of not being operational.

V. Ramachandran : Mithun, the growth should be looked at over '20, '21 and '22 because from March '20 the COVID impact started . So '20, '21, '22, you should average and then look at the growth. Then, that CAGR will be like what Mithun explained.

Achal Lohade: You said that you're going to keep it as an independent entity. How do you look at the growth

given where it is currently , given our bandwidth? How do we look at growth? Can this be 15 - 20%? Can this be more 10 -15% for next two years or three years at least?
Mithun Chittilappilly: We don't want to give out any numbers, but I can say that with the products they have, with the brand recall it enjoys, with the awareness and top of mind awareness and with the consumer base it has over the last 40 years, Sunflame should be definitely much larger than what it is today and that's our aim.

Achal Lohade: Just to add on to the same point, would you be required to make any investments further on the sales, distribution, branding, etc. to pick up that growth trajectory?
Mithun Chittilappilly: Like we said, we don't want to give out any specific numbers , but yes, there is a lot of work to be done on the distribution side, because we do think that Sunflame is not represented adequately in certain geographies like the South and partly in East. We also think that they are not properly indexed in the modern trade and e -commerce channels , where V -Guard has a good team running those categor ies, running those type of channels. So the re will be the initial low -hanging fruits that we will go after.
Achal Lohade: Just one clarification. You said that the distributor sales are cash -and-carry, did I hear that right?
Mithun Chittilappilly: Yes.
Achal Lohade: If I look at the balance sheet, I see the debt or days somewhere between 50 days to 60 days in the past. How do we explain that? Does that mean the non -distributor, the credit ...?
Mithun Chi ttilappilly: So, Sunflame also has a CPC and CSD business – canteen business, wherein which it gives credit. The general trade is mostly on cash -and-carry. Sunflame also used to supply to some modern trade outlets, but it is very small compared to the actual percentage of the market.
Achal Lohade: What would be the CSD mix , because the d ebtor days seem to be very large, the non-distributor sales, the receivables days are very large, if you could clarify?
Mithun Chittilappilly: Ram?
V. Ramachandran: I think it's about between 20% to 27%, 28%. The cash flows , that can be variable. So sometimes if there are delays, then I think at that point in time, if you look at the picture , it maybe higher or lower. Also,

they had some organized retail businesses in the past , but b ecause of their philosophy to maintain a profitable and a fast cash flow business, they have vacated some of those customers also. That's also one of the re asons why if you look at that three -year growth, it will be more like 5% to 6%.
Moderator: The next question is from the line of Khadija Mantri from Sharekhan.
Khadija Mantri: Sir, I understand that we would be raising debt of about INR 450 crores for fund ing the acquisition. So could you just tell us how the debt will be raised and what would be the interest rate for the same?
Sudarshan Kasturi : We are still negotiating the terms , so I don't want to put out a specific number as it might come in the way of the negotiations.
Khadija Mantri: But the rest of it could be funded by internal accruals ; I understand, we have cash and investment of about INR 150 crores , so that should be sufficient ?

Sudarshan Kasturi : Yes, the cash balance has gone up since the last reporting. Approximately INR 400 crores will come from debt and balance from internal accruals.
Khadija Mantri: In Consumer Durables, so in Kitchen Appliances, we have INR 140 crores to INR 150 crores of revenue, but are these products profitable? If we exclude Fans and Water Heaters, then for the rest of the Kitchen Appliances, are we making an operating profit on these?
Sudarshan Kasturi : Yes, in the Kitchen Appliances, the gross margin is good. Even EBITDA is positive, but the EBITDA is low and it's a question of scale. But even within our portfolio, at the INR 150 crores, the gross margins are still good.
Moderator: The next question is from the line of Rahul Agarwal from InCred Equities.
Rahul Agarwal: Congratulations to t he team for the acquisition. Sir, I have two or three questions. Firstly, on the distribution channel and service network of Sunflame, could you explain how the company is structured in terms of distributors, dealers, retail touch points and what's the reach for the company right now?
Mithun Chittilappilly: Yes, Ram you want to take this?
V. Ramachandran: Yes, I would like to avoid discussing too much in detail because the promoters still manage that business. It's not our business at this s tage and it's not fair for us to comment on that. But yes, their business model is comparable. The GT (general trade) business is through distributors and dealers and the re are probably somewhere in the region of around 10,000 to 15,000 touch points in the country. I hope that would suffice.
Rahul Agarwal: Secondly, there is a question to Mithun, essentially on the ROI of the acquisition, assuming that V-Guard always has been very careful on the return on investment and the ROC has been broadly

ranging upw ards of 20%. Mithun, any thoughts, how would you rate this INR 660 crores
investment, how would you get up to 15%, 20% return on the capital here?
Mithun Chittilappilly: I think we are fairly confident of getting there , otherwise we would have not gone fo r it.
Rahul Agarwal: On this balance INR 25 crores payment to be paid after two years, what could be a reason for
this?
Mithun Chittilappilly: It is basically the escrow amount and the promoters felt it was okay to leave the cash back with
us rather than in the bank.
Rahul Agarwal: So essentially we pay the entire INR 660 crores and of that INR 25 crores stays in escrow?
Mithun Chittilappilly: No. Ram, you want to explain?
V. Ramachandran: Yes. Typically what happens is that, after the acquisition is do ne there are sometimes some
adjustments that happen once the post -closure data is available and thus, there may be some

adjustments that may happen because of externalities and all that . They're typically in any
transaction where some amount of money is se t aside in an escrow

.
In this case, the promoters of the entity have felt that it is better to leave this INR 25 crores
behind with us rather than have it put it in a bank , maintain ing an escrow. That's the background
to this. So this INR 25 crores will be paid to them at the end of two years. This is normal and
customary in every transaction . It varies from transaction to transaction based on the comfort
between the two parties. This is the number in our case.
Rahul Agarwal: Lastly, assuming 7%, 8% final closure on the debt to be taken of about INR 400 crores, would
you agree FY '24 would be EPS accretive? My sense is that the EBITDA would be in the similar
range of INR 40 crores and you would also lose some interest on your cash. So how do you look
at FY '24 on EPS level?
Sudarshan Kasturi : First year will at least be EPS neutral if not accretive. But year two onwards, it will be.
Moderator: The next question is from the line of Naveen Trivedi fro m HDFC Securities .
Naveen Trivedi: Congratulations for the deal. A couple of questions from my side. Considering that the South
contributes around INR 60 crores, INR 70 crores revenue for the business, if you can highlight
–how has the market share been for the brands in the Non-South market? Considering you have
been following the brands since last four years or five years, any particular challenges in the
South side?
Mithun Chittilappilly: Yes, Sunflame as a brand started out from Delhi. For any company , that starts out from Delhi,
North will be the largest market. It's not surprising that the South market share is low or maybe
it is because they got into South late or that there is more competition in S outh from locally
present brands like Preethi, Butterfly and the like . It's not a big surprise that it happened. It
always happens like that.
We don't want to comment on any market share and all that. I can tell you that overall as a
business, in the last four to five years , it has been fairly stable. Yes, it has not grown as fast as
some of the other Kitchen players but it has probably demonstrated better and predictable cash
flow than any other company I have seen.
Naveen Trivedi: Do you think that the brand requires more innovation type of a drive or do you think that the
pricing strategy should also be correct to attract most of the business in the South side?
Mithun Chittilappilly: These are all very premature questions at this stage . As Ram mentioned , for another month at
least, stake still belongs to the promoter family , so they will continue to run it. Once we take
over, once we analyse , put a management team in place and hire our advisors, then we will come
back with what should be the strategy on how to scale up. Once we crystallize it, we will come
back to you. It's very premature sitting here and deciding what is to be done and how to grow.

But we are very confident that the brand has the strength to grow. How to do it, we will come
back.
Naveen Trivedi: Just last question. Any ad spend number if you can share?
Mithun Chittilappilly: Ad spend? It's about I think 5 -6%. Ram. Am I correct?
V. Ramachandran: Yes, 5% to 6% is the ad spend.
Moderator: The next question is from the line of Nirav Vasa from Anand Rathi.
Nirav Vasa: With regards to the revenue booking of INR 350 crores versus, with what I am seeing , is that
historically the average run -rate was around INR 250 crores and last year we had se en
unprecedented commodity inflation. So , what percentage of this INR 350 crores revenue would
you attribute to higher commodity price or growth?
Mithun Chittilappilly: I think the price growth for that particular year was between 6% to 8% if I'm not mist aken . Ram ?
V. Ramachandran: Yes. It's about 6% to 8%.
The right way to understand this growth is that 2020 March, was when COVID had hit and '20
March, was not normal for most compan

ies and '21 was a disturbed year. So that's why '22 is
looking like a very big year. Just average it across all three years and you will find that it's a bout
5% to 6% growth.
Nirav Vasa: Exactly, sir. The number that I was seeing was coming to around INR 250 crores to INR 260
crores of revenue on an average for last three yea rs. So on an average revenue of around INR
250 crores…
V. Ramachandran : Not like that. The exit number is correct, but the growth number you should divide across three
years. INR 360 crores will remain, it will not shrink. But what will happen is that when you are
looking at the growth, please look at it as average growth across three years.
Mithun Chittilappilly : I think FY '20 to FY '22 the CAGR is about 5% to 6% is what we can tell you. That's how we
should look at it. It's not INR 250 crores, it wa s above that. Please also understand that it had
other companies and other promoter owned entities which were merged into Sunflame
Enterprises only in the last year.
Nirav Vasa: That is what brings me to my next question. Are we to share some number or col our on the
related party transactions?
Mithun Chittilappilly: There is no related party transaction today because there is only one company. Ram you want to
explain?

V. Ramachandran: The business was organized differently till a year back. At the point wh ere the business is being
offered to us, I think as you know , all of these have got consolidated progressively over the last
18 months.
Mithun Chittilappily: What you are looking at INR 250 crore is a standalone number, it does not include some of the
other promoter owned entities which also carried out business.
Nirav Vasa: On their website , I see that they are present in FMEG as well. So in FMEG they are present
across some product categories like Water Heaters and other categories. So do you intend to
keep the brand in FMEG as well or do you want to consolidate under V -Guard only?
Mithun Chittilappilly: So Sunflame has its own customers and its own distributors . There are customers and distributors
that are willing to buy some Sunflame Water Heaters and Sunflame Fans. So we will -- like we
said, we will continue all the product verticals of Sunflame.
Now sometime in the future, we may decide , to ensure better profitability and sourcing , we may
source the products through our factories where V -Guard has a larger presence in Fans and Water
Heaters. So those are the calls we will take going forward. But yes, those product lines will be
maintained , but it's not very large.
V. Ramachandran: It's not significant. And I think as we have said earlier, we have acquired Sunflame as a very
strong platform in the kitchen space. It will run as an independent entity and it will be driven by
the management team.
The management team will get added as the promoters move out. So this t eam will decide the
direction of this entity. Fundamentally synergies will be leveraged , so if we have a better supply
chain cost advantage, maybe extending our supply chain to any of their product categories , that
will certainly be explored.
Nirav Vasa: Sir, my final question is based on the existing manufacturing capabilities which this company
has, what is the maximum revenue that can be generated from it? Thank you.
V. Ramachandran : I think they have adequate capacity to meet their growth objecti ves for the upcoming 3 to 4
years. This particular place has also got the land for further expansion.
Nirav Vasa: Sir, any number if you can give with regard s to some capacity that we have for the capacity or
something like that?
V. Ramachandran : No. I'm s aying it's not material because the capacity in this industry is flexible. A lot of it is also
assembly and the second thing is they can run shi fts also. The y are running two shi fts, they can
go to three shi fts also and there is space

also there. So I am j ust saying that it is not material, let
me see if I have a specific capacity number with me.

Sudarshan Kasturi : Given that we are not owners of the business yet, there is only limited amount of granular data
we can give out at this stage. We will come bac k on these once we have run the business for a
couple of quarters.
Nirav Vasa: Got it, thank you very much.
Sudarshan Kasturi : At that time we may be able to disclose more.
Moderator: The next question is from the line of Renjith Sivaram from Mahindra Mutu al Fund.
Renjith Sivaram: Hi sir, sorry, my line got disconnected last time. When I look at Sunflame, it has INR 265 crores
kind of revenue and since a long period of time and suddenly last year it has come to INR 350
crores. If you could help us understan d that what were the categories that bro ught this INR 100
crores of incremental revenues , what will be the percentage of revenues that come from the
normal categories and what made the additional categories go down?

V. Ramachandran : I mentioned this earlier on that i t's not the right way to look at it . March of 2020 , sales w ere not normal because of COVID. After 20th or 15th, typically in most companies, 60 -70% of the business happens after the 20th of the month. So that particular year 's number is no t a correct number. '21 was also disturbed year due to COVID. '22 is a year where they could get the full normal , proper and regular revenue. There is also an impact of increase in input cost. That's one thing and the other thing is that there were other e ntities of the promoter family, which also used to do business in this space and which ha ve all got consolidated in the past year which you see is the year that went by '22.
So please don't read too much into these trends and numbers. That's all I would s ay.
Mithun Chittilappilly: So if you look at a like -to-like basis , the CAGR would have been not more than 5% to 6% for the last 5 years.
Renjith Sivaram: What is the percentage from Stove, which is I think the main product of Sunflame 's, on the top line?
Mithun Chittilappilly: I think Hoods, Hobs, Chimneys – all put together is about 40% -45%, and also includes – Stoves, Cooking Range, Inbuilt Chimneys, Induction Cooktops. So all Cooking and Chimneys, it's about 45% to 50%.
Renjith Sivaram: So the modern hob top, which I think the market share is 1% to 2% is what we understand, that will be what percent? The hob top, which is the modern that go es inside , there what will be percentage?
Mithun Chittilappilly : I don't think we are carrying that le vel of detailed information to share at this point in time. I think they have a decent presence in Inbuilt as well and are not the numbers you mentioned.

Renjith Sivaram: Okay. As per what we understand the reason for you to get into this will be like bein g competitive to a Faber or Elica or will it be completely that we want to be a competitor to TTK Prestige or Butterfly 's of the world . If you can explain the thought process in buying this company?
Mithun Chittilappilly: Okay. Ram?
V. Ramachandran: Fundam entally, we got into the Kitchen business somewhere around 2012 or 20 13, and it has taken us 7 -8 years , with the progressive introduction of models , to build about INR 150 crores, INR 160 crores business in Kitchen that we have , as we speak today. These might grow by some 15-20% in the current year that we are talking about.
Now Sunflame on the other hand is a business, which is extremely strong in the Non-South market and building a position in Non-South would take us a long period of time. Also, in Kitchen unlike in other categories, brand recall and brand connection with the consumer is a very critical driver. Thankfully, because of the heritage and history of V -Guard in Sou

th, this
was a lesser bar rier thus far.
So looking at the time that would be required for us to build our market presence in the Non-South, we thought it would be wiser to go for a platform so that we can start to build a strong position in Non-South markets also , equally fast.
Mithun Chittilappilly: Sunflame ha s a strong position even in Chimneys. So it's not that it compete s only with the traditional Kitchen players, but it also competes with in -built Kitchen players.
V. Ramachandran: They have a decent business in built-in and in Chimneys . Growing these categories will also require one to grow their own channel ; in a lot of these cases, one would have to expand on the ir own brand shop kind of network or invest in shop -in-shop.
The promoters have been conservative . They have a fairly decent lineup in this space and they do decent numbers. They're not as insignificant as you may have mentioned , that is there , but the primary reason that we are getting into this is for speed , to hasten our national presen ce in the Kitchen category and have access to a brand, which has equity and heritage in the Kitchen space.
Renjith Sivaram: What's a percentage of trade that goes through the online market or is it all offline for Sunflame?
Mithun Chittilappilly: I think a lmost 90% is offline, 10% maybe coming from e -com.
Renjith Sivaram: Any geography -wise split that you can share ?
Mithun Chittilappilly: No, we can't provide it at the moment.
Moderator: The next question is from the line of Nikhil Kale from Axis Capital.

Nikhil Kale: A couple of questions. First, I just wanted to understand , what was the motivation of the founder promoters to exit the business considering that, as you mentioned the business was really profitable with really good return ratios and cash flows ; any succession issues, anything of that sort?
Mithun Chittilappilly: See, this is still own ed by family. They are all sensitive matters, so we don't want to comment. However, we can say that the founder promoter is almost, I think, close to 80 years of age. So that is the primary reason.

Nikhil Kale: And secondly, sir, you rightly mentioned that the business has been really profitable and perhaps one of the reasons has been th at they have not been as aggressive on the e -commerce side. Going forward do you see that as you , may, expand the presence in e-commerce and maybe in modern trade, that you may need to s pend more on the ad spend and all other kind of expenses?

Mithun Chitt ilappilly: Doing business in the current environment , where you have a very high growth in e -commerce and modern trade, requires a different set of skills w hich many smaller companies may not have . However , we hav e a good platform and a team of people to d eal with these kind s of businesses today, which they m ight not have.

So, in that sense, yes , once we take over, we will try to align and index the market share with what the total market looks like rather than what it is today.

Moderator: The next question is from the line of Achal Lohade from JM Financial.

Achal Lohade: A couple of more questions. One is, given whatever you have said, is it fair to say that there are plenty low -hanging fruits with respect to leveraging the e -com part ; and given the operati ng leverage, could there be a possibility that this 12 -13% can actually become 15 -17% EBITDA margin on a sustained basis?

Mithun Chittilappilly: I think this has been mentioned earlier, we don't want to give this kind of a statement. All we can say is that – let me put this in another perspective. When I saw the business and the number s it was very much like the V -Guard of 2006 -2007, which I joined after my studies and all that.

So, that is the first thing that attracted me – because the promoter's character is very similar, you know ; the ethos and t

he culture is very similar to what we have. That's all we can say at the mom ent. We don't want to talk about how much percentage of EBITDA it will make in the next year or year after that.

Achal Lohade: Just one more question – given that this acquisition is kind of now already done, would you be open to more acquisitions or you'll wait for first integrating this and then look at more acquisitions? I think in a passing remark you mentioned about certain ROC Es or IRR on this investment, so if you could clarify on your thought process on the same as well?

Mithun Chittilappilly: We have done a projection on the combined ROC E of the combined entity , going forward and we're confident that we can go back to the ROC E of the company, what it was before. We have to understand that we have about INR 300 crores of cash, which is not earni ng anything today. In that sense the combined ROC E should look good. We may not look at anything big at the moment, because we will be busy expanding and putting a team in place to run Sunflame and then get ting the synergies out. So at the moment, we are n ot looking at anything.

Moderator: The next question is from the line of Rahul Gajare from Haitong Securities India Private Limited.

Rahul Gajare: Sir, you partly answered the question that the earlier participant asked about capacity constraints and like you said, you know that 50 -60% of the production is manufactured locally or domestically in -house. So therefore, revenue should not be a factor of growth.

Now, given that we've seen a CAGR of about 5-6% for the last couple of years, that's the reason why I wanted to understand how the first half performance has been . Any color, whether it is similar to FY21 levels or similar to FY20, or current or last year's numbers, any sense on the first half performance?

Sudarshan Kasturi : It's a private entity , not a listed one, so they don't publish first half numbers. All we can say is that it's been a stead y business over the year s and this year also will b e somewhat similar.

Rahul Gajare: Because being EPS accretive will be a function of the revenue growth and that is the reason why I want to just look at that .

Sudarshan Kasturi : There is a limit to how much data we can give out at this stage because it's v ery premature. So if you're looking at the EPS , just look at the PBT and the interest cost. It will be EPS neutral at worst , in the first year.

Moderator: The next question is from the line of Hitesh Taunk from ICICI Direct.

Hitesh Taunk: Sir, I wanted to know what is the overall industry size in which Sunflame is operating? I wanted to know the industry size of Cooktop s and Chimneys, if you can throw some ballpark numbers, it would be very helpful?

Mithun Chittilappilly: I don't have the numbers of the spe cific categories with me. We don't have it at the moment. We'll have to get back on that.

Hitesh Taunk: And sir, last question is, have we signed any kind of non -compete agreement with the existing promoters or family members?

Mithun Chittilappilly: Yes. W e have signed a non -compete agreement with them .

Moderator: The next question is from the line of Mukul Deshpande from DAM Capital.

Mukul Deshpande: My question is, what are the medium -term growth drivers in this Kitchen Appliances space? How are we aiming to expand our market share with the help of Sunflame?

Mithun Chittilappilly: So like I said, one, there are geographical complementary situations – for example, V -Guard is extremely strong in South, and we have like INR 140 crores Kitchen business in South. Sunflame largely 80% of the sales come from Non-South – extremely strong in north.
V-Guard has relatively low presence in the Kitchen channel and V-Guard 's Kitchen 's business is primarily through Consumer Durable s

retail outlet s. Whereas for Sunflame, it comes from all types of Kitchen channels, Utensils channels and Consumer Durable – any trade outlet that sells Kitchen products.
So in that sense, it is complementary – so there are channel s and then geograph y-wise it is complementary . Product -wise Sunflame has a much broader range than V -Guard – we have a very narrow range from where this revenue comes in. Sunflame has got a much more broader Kitchen range, which V -Guard does not have.
So there are complementary products, complementary channels and complementary geographies. We also have a complementary supply chain in the sense that V-Guard 's Kitchen supply chain may not be the most mature, whe reas it definitely is for Sunflame. So these are the low-hanging fruits we see, where we can leverage on each other 's strength s.
Moderator: Ladies and gentlemen, as there are no further questions, I now hand the conference over to Mr. Rahul Agarwal for clo sing comments. Over to you, sir.
Rahul Agarwal: Yes, I think it was a good discussion. Thank you so much for letting us host the call. Over to you Mithun , for closing comments.
Mithun Chittilappilly: Yes. Thank you, Rahul and In Cred for hosting this call . Thank you all for participatin g. Thank you.
Moderator: Thank you. Ladies and gentlemen, on behalf of In Cred Equities, that concludes this conference. We thank you all for joining us, and you may now disconnect your lines.
The transcript has been edited for clarity and it may contain transcription errors. Although an effort has been made to ensure high level of accuracy, the Company takes no responsibility of such errors

Call: Feb 2023

February 10, 2023
The Manager The Manager
Listing Department, Listing Department,
BSE Limited, Phiroze Jeejeebhoy Towers, National Stock Exchange of India Limited,
Dalal Street, Exchange Plaza, 5th Floor, Plot No. C/1,
Mumbai- 400 001 G Block, Bandra-Kurla Complex, Bandra-
East, Mumbai- 400 051
Ref: -Scrip Code: 532953 Ref: -Symbol: VGUARD
Sub: Transcript of earnings call pertaining to the Financial Results for the quarter ended
December 31, 2022.
Dear Madam / Sir,
This is with reference to the intimation dated January 24, 2023, filed with the stock exchanges
in terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulation, 2015 regarding the earnings call to discuss the financial results for the quarter
ended December 31, 2022, which was held on Friday, February 3, 2023.
The audio recording was filed with the stock exchange. We are enclosing the transcript of the
Earnings call.
The same is also being uploaded on the website of the Company under
https://v 1/V•.rw.vguard.in/investor-relations/shareholder-infom1ation
Kindly take the information on record.
Thanking you
For V-Guard Industries Limited
Mithun K Chittilappilly
Managing Director
DIN: 00027610
Encl: as above
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 “V-Guard Industries Limited
Q3 FY '23 Earnings Conference Call”
February 03, 2023
MANAGEMENT : MR. MITHUN CHITTILAPPILLY – MANAGING
DIRECTOR – V-GUARD INDUSTRIES LIMITED
MR. RAMACHANDRAN V – DIRECTOR AND CHIEF
OPERATING OFFICER – V-GUARD INDUSTRIES
LIMITED
MR. SUDARSHAN KASTURI – SENIOR VICE PRESIDENT
AND CHIEF FINANCIAL OFFICER – V-GUARD
INDUSTRIES LIMITED
MODERATOR : MR. PRASHEEL GANDHI – NIRMAL BANG EQUITIES

Moderator: Ladies and gentlemen, good day, and welcome to the V-Guard Industries Limited Q3 FY '23 Earnings Conference Call hosted by Nirmal Bang Institutional Equities Private Committed. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing ‘*’, then ‘0’ on your touchtone phone.
Please note that this conference is being recorded.
I now hand the conference over to Mr. Prasheel Gandhi from Nirmal Bang Equities. Thank you, and over to you, sir.
Prasheel Gandhi: Thanks, Aman and good afternoon, everyone. Nirmal Bang Institutional Equities welcomes all of you to the Q3 FY23 earnings conference call of V-Guard Industries Limited. I would like to thank the management team for giving us the opportunity to host the call.
From the management team, we have Mr. Mithun Chittilappilly, Managing Director; Mr. Ramachandran V, Director and Chief Operating Officer; Mr. Sudarshan Kasturi, Senior VP and Chief Financial Officer. I now hand over the call to management for opening remarks, post which we can take questions from the participants. Thank you and over to you, sir.
Mithun Chittilappilly: Thank you. A very warm welcome to everyone present on today's call. Thank you for joining us

today to discuss the operating and financial performance of our company for the third quarter of FY '23. I trust all of you have had a chance to refer to our investor presentation, which was shared yesterday. We reported revenues of INR 981 crores in Q3 FY '23, higher by 1.4% on a Y-o-Y basis. Revenue growth has been impacted by the high base in the corresponding quarter of last year. Over the last three years, the CAGR for revenue is 15.8%.

During the quarter, the South market de-grew by 5.2% Y-o-Y, while the Non-South market grew 10.5% Y-o-Y. With continued strong growth from Non-South markets they contributed 45.6% of the total revenue in Q3 FY '23. Higher than 41.8% in Q3 FY '22. We are making sustained progress in growing our business in the Non-South markets and they are now making a sizeable contribution to overall business within all our segments.

Within our segment, the Consumer Durables segment led the growth trajectory for the quarter. In this segment, we market Fans, Water Heaters, Kitchen Appliances and Air Coolers. The Q3 revenues registered a Y-o-Y growth of 4.5% and 17.8% for Consumer Durables. This segment has now gained reasonable scale in top line and will begin to contribute more meaningfully to profitability going forward.

In our Electronics segment, comprising of stabilizers, inverters and UPS systems, we reported revenue degrowth of ~4.3% Y-o-Y and a CAGR growth of 5.8% for 3 years. In the Electrical segment, comprising Wires, Pumps, Switchgears, Modular Switches, we registered a growth of 1.5% Y-o-Y and a 13.2% CAGR for 3 years.

Input prices have stabilized, but still remain higher than their long-term averages. We are also carrying a higher stock of inventory in both RMs and finished goods at higher costs, which had an impact on the gross margin for the quarter. The gross margin stood at 29.6% in Q3 FY23 which is an improvement over the immediately preceding quarter, but lower than gross margin of 31.2% in the corresponding quarter of last year.

The EBITDA margin was at 7.3% during the quarter and has improved slightly on a Q-on-Q basis, but remained lower than pre-COVID levels, especially in Durables. There is some impact of advertisement and promotional spends, which have returned to normal levels after 2 years of lower spending during COVID.

With inventory levels having come down, we should see margins reverting to pre-COVID levels in the next 1-2 quarters. We have made subs

tantial progress in reducing inventory back to normal levels. Inventory days for the quarter were at 92 days compared to 105 days in Q2 FY '23 and compared to 134 days in Q2 FY '22. We expect some more reduction to happen in the coming months.

We have concluded the acquisition of Sunflame in January. We have placed the initial team to run the operations. In the next couple of months, we will have the full management team in place and start the integration process.

With that, I conclude my opening with comments. I would like to thank the team at Nirmal Bang for hosting this call and would like to request the moderator to open the floor for Q&A.

Moderator: First question is from the line of Rahul Agarwal from Incred Capital.

Rahul Agarwal: Three questions. Firstly, the South degrowth, is it more of a base issue or are you seeing more competition there? That's the first question.

Mithun Chittilappilly: The South degrowth is mainly a base issue. Last year, in Q3, the South markets grew substantially faster. I think the recovery was faster post COVID for us in South. So if you look at YTD South growth is about 15%. So, we think it's a base issue and not a competition issue.

Rahul Agarwal: Got it. Secondly, on gross margins, I think quarter-on-quarter, they have largely stayed flat. So recovery of margin, obviously, is right around the corner, but my sense is, do we go back to 30%- 31% of pre-COVID level or should it be higher because you will have more in-house manufacturing going forward?

Mithun Chittilappilly: No. I think initially, we will look at going to the pre-COVID levels. The manufacturing facilities, for example, for Fans, it is already online, for Inverter and Compressor we are commissioning the plant as we speak. There are 2 more facilities that are coming online in the next financial year. So, I think it will be in a phased way when we get improvement in margins. So immediately

for us, we should look at going to the pre-COVID level. Then after that, in the longer term, we should look at more improvement due to own manufacturing.

Rahul Agarwal: So, own manufacturing takes the gross margin up? Is that understanding correct? Directionally?

Mithun Chittilappilly: Yes, directionally, it will take it up, of course.

Rahul Agarwal: Lastly, on the segment margin, both for Electronics and ECD, again was that an inventory problem and hence, the margins were low or is there any other reason?

Mithun Chittilappilly: We had planned for a much higher growth in, let's say for example, in a category - Water Heaters,

we have planned for a very high growth this year because for two years, we had lost market share. Although we have regained a lot of the market share that we've lost, we have not still hit the numbers we wanted to hit. So, in Water Heaters, this is the case. There is high-cost inventory sitting in and Stabilizers, which is almost like maybe 25% of the overall sales. The other products, not so much. Most of the high-cost inventory is absorbed. I think this quarter on we are seeing some improvement.
Rahul Agarwal: Maybe I'll squeeze in 1 short question. So, demand obviously has been weaker. I mean that's the commentary across. Any thoughts on how you expect demand to basically pan out and what could be like a few reasons here, like why are you seeing demand going weak?
Mithun Chittilappilly: I think the general consensus is that there has been sustained price increases, not only for our products, but also, for fuel, for food items and for everything else. There have been sustained increases across. So basically, expenditures of every household have increased substantially. This is a kind of a shock for a consumer and they have maybe not experienced this kind of an inflation in a long time.
Although in India, we have lot of inflation, this level of inflation, we had not experienced in sometime. So, I think it will take

1 or 2 quarters for people to get adjusted and then consume again. I think we are seeing slowly the food price inflation is coming down and that's good news.
Moderator: The next question is from the line of Bhavin Vithlani from SBI Funds Management
Bhavin Vithlani: The question is on the margins, again, especially on the Electronics segment where from a pre-COVID level of 16.5-17%, we have seen 10.8%. What do you attribute to such sharp fall in the margins? What in your view are the sustainable levels?
Mithun Chittilappilly: Well, I think there are 2 particular issues in the Electronics segment. One is even in Stabilizer, which is the largest segment, we have had a small hit in margins. That, I think, is mostly due to the high-cost inventory issue that I talked about because we understand that in Stabilizers, we have used a lot of Electronic components. We are having an inventory of almost 1 year or 9 months of Electronic components. In the case of Stabilizers because of the supply chain issues

in Electronics, we are holding only Stabilizer inventories, but Stabilizer is our larger segment where we are seeing this issue.
We have also seen some margin pressures in the Battery segment. That is primary, what we could understand is that in Battery; the core battery companies, because of the higher demand in automotive batteries are basically enjoying better margins than the core automotive business and cross subsidizing their industrial Battery business, which is the Inverter Battery business. So, the 2 large core Automotive Battery brands in India, are aggressively discounting Batteries in this segment. We think this maybe a transformation and that it probably should get resolved soon.
Bhavin Vithlani: Sir, just a follow-up on this and correct me if I'm wrong, 2/3 is Stabilizers and 1/3 is the Inverters in this segment? Have we, within the segment, seen a loss at the EBIT level in the Inverters because your commentary is more negative on the Inverters when you're saying Stabilizers are marginally lower.
Mithun Chittilappilly: We don't give out the product-wise numbers, but the decline is almost similar. I think there is a 4-5% decline in Inverter business. It won’t be negative, but there is a decline in the Battery side as well as the Stabilizer business. Both of them have declined by 4-5%. But we are less worried about the Stabilizer business because it is, like I said, the high-cost inventory issue and that’s a transient issue.
The other 1 is an external issue. We are hoping that once, of course, we have also had increases in lead. So, basically, in the Battery business, the lead prices have gone up and price increases have not happened in the market by the Battery brands, that's the more worrying issue. We hope that as the summer approaches and season begins, the price increases will be taken and will move forward.
Bhavin Vithlani: So, in your view, is there a change in the margins that we have been seeing, 16.5-17% pre-COVID levels to your view on the new sustainable levels?
Mithun Chittilappilly: No, I don't think so. I think at least in Electronics, we should come back. The work that we are doing, is more on the margin improvement which is on the Consumer Durables side, where we need to do a lot of work on pricing transmission; in some cases, value engineering and all the other activities we have undertaken. So, the results we should start seeing in the next 1 to 2 quarters. I'm not that worried about the Electronics segment as of now.
Bhavin Vithlani: The second question is that, there is a lot of expansion underway. If you could give us any category-wise expansion that you have been undertaking, what are the kind of investments that you are doing; you have mentioned to get these the kind of incremental revenue potential out of those investments?
The second is a couple of quarters ago, you had highlighted that one of t

he reasons for the lower
margins in the Durables segment is the TPW fans, where you are importing and now you are

setting up local manufacturing or local sourcing. When do we see that getting corrected? What in your view are the sustainable level margins in the Durables segment?

Mithun Chittilappilly: Yes. Ram, do you want to take this?

Ramachandran V: Yes. I'm not sure what you're referring to by way of investment, but I suppose you're talking about the investments that we are making at the back end in the manufacturing capability. I think the investments in manufacturing are fundamentally driven towards improving our competitiveness, right? So, some part of it will translate into margin improvement. Some part of it will translate into competitiveness improvement, which basically means that we can price our products more competitively and participate better in the opportunity for which we are challenged today.

Now this method of investment is fundamentally happening in four verticals. Stabilizer is one vertical and Inverter & Battery is one vertical. Then we are making investments for TPW Fans, and we are also making investments for Kitchen, mainly in the manufacturing of Mixer Grinder and Gas Stove and so these are the projects which are underway. This should benefit us. We should start to see the benefits flowing through in the case of, for example, a Stabilizer and Inverter should start to flow through more seriously from the next quarter.

I think there is some flow-through which has just started, but more of it will start to happen over the next year. I think in the case of the other 3, the plants are going to be up and running with a reasonable throughput somewhere in second half of next year. So that's in terms of the time frame.

We will benefit both ways. Margin improvement will be there, but most importantly, in some of these categories, we will be able to seriously participate, which will then mean that we should be able to grow those categories better. So, because our hands have been tied particularly due to Kitchen, TPW Fans and Battery, we should be able to see some of these structural challenges to participate as far as this is concerned. Sorry, I forgot your second question?

Bhavin Vithlani: The second question you have partly answered it, like the Durable margins, when do you see back to the pre-COVID levels?

Ramachandran V: Yes, the Durable margins have multiple issues. In the case of TPW, in the case of Ceiling Fans, we are hopeful to get back to our historical margins maybe in the upcoming quarters once we see how the energy efficiency Fans' pricing is transferring into market here. I think we should be able to see that. Hopefully, maybe, partly quarter 4 this year and then probably quarter 1 of next year, I think we should be able to see the picture back there.

On Fans, so while our own internal manufacturing capabilities will take some time, I think what has also simultaneously happened is that the freight rates have got normalized with some improvements to the extent that we are importing is what we will be able to see. So, I think TPW

margins have got a bit better from where they were. But I think normalization is maybe another 6 months away. Also what happens is that there, most of the Consumer Durable businesses are seasonal and the timing of the improvements should coincide with the season if you have to see the impact and the benefit of that. In the case of Water Heaters, right, in the case of, I think, in the case of Air Coolers, I think the margins are coming back and we should see it in the upcoming quarter. I think we should see the margins normalize.

In the case of Water Heaters, what has happened is that it is a seasonal business. The season has not gone well and therefore, what has happened is that we are running behind plan, al

though we
have regained our lost market share. Now on a higher plan, the inventory that we had procured, will be extending into the early Q2 of next year also.

That is why we are really taking some pricing corrections there on top of the commodity easing out, and we have some value engineering and other efforts which are underway so that we are able to restore margins. On a replacement basis, we should be able to restore margins by the time we get into the season. On consumption basis, this is actually what when from a timing point of view, when it will reflect in our P&L. That's something we are looking at now like for Q2 of next year. The Water Heaters will be the slowest, right? Because see, the 1 big challenge that happens is that any pricing transmission in seasonal category typically is coinciding with the commencement of the season, which is one of the reasons why in Battery, the margins earlier Mithun was talking about the prices started to increase towards the end of the season, last year. Therefore, as we exited the season, the margin started to drop. The markets have not passed on because it's not conducive to the correct prices off season. So, we are open that some correction in some of these categories will happen as we enter the season also.

Moderator: Next question is from the line of Renu Baid from IIFL Securities.

Renu Baid: Yes. My first question is, given that now broadly the festive season is over, we have winter also approaching towards the end. How are we looking at demand outlook for summers on the backdrop and sufficient inventory of the non-default already built up in the system. If you can give some inputs in terms of the likely demand outlook and especially in the Fans segment ahead of the season where sufficient the inventory of the old Ceiling Fans and I would say our preparedness on the range, which is there.

Mithun Chittilappilly: Yes. V-Guard has been more proactive in preparing the transition into the range. To put it in context, we had very little inventory of non-BEE rated Fans by the mid of November, but I think by 15th of November, we had almost sold out whatever the Fans we had because we had planned the transition and we have stopped production of these Fans much earlier.

But of course, that is only our story, but the other companies in this category have continued to produce these products, they continue to heavily discount and sell them in the market. So that overhang will be there. But our own distributors are very, very lean with inventory and we have

already started the supply. We're one of the first who started supplying new Fans, 5 star or 1 Star or whatever in the market with the new price list and all that.

Definitely, we had an issue in the month of January because like we said, most companies have heavily discounted these products and retailers will be busy selling them in before they start picking up.

So, I think we will see maybe the demand picking up maybe end of February for Fans. Our numbers have not been bad, but they are less than planned. If you ask me, we are in a better position because we had a little less of the low star rated models. But wherever we have common distributors or wholesalers we have a problem because they are all stocked with inventory of other brands. So, they will be trying to liquidate that. I see this sale happening maybe by the end of Feb or beginning of March; we should start to see because they have given 60-days to sell out the old non-rated Fans.

Renu Baid: Right. Sir, what are the kind of price hikes that you have taken for this new range? Has the entire cost of the transition been passed on or it would be done over phases in the coming season?

Mithun Chittilappilly: Yes, Ram, you want to answer that?

Ramachandran V: I think we have communicated price corrections in line with the industry. It should overall average somewhere between

6-8%, higher in the premium segment and lower in the popular entry-level segment, right? Maybe at the premium level, it is also going in some cases to double-digit. This, more or less, we have taken a price increase in line with other players in the market. I think on the pricing transmission, we will have to wait and see at what pace this is going to happen. But almost all players in the industry have communicated the price revisions we are hopeful to realize fully once we have initiated. This will cover basically the increase in material cost, consequent to the shift to energy efficiency.

Renu Baid: Got it. The second question is in the Large Kitchen Appliances, especially post acquisition of Sunflame. Could be a bit of repetition from the previous call, which was on the acquisition. If you can just help summarize now though we're in the initial phase of completing the acquisition. But what are the key strategies and the key integration targets that you would like to put in place for the initial 2 to 3 years in terms of integration and ramp up?

Mithun Chittilappilly: Ram, you want to take this?

Ramachandran V: Yes. We just closed the Sunflame transaction around on 12th of Jan, and we are just 20 days after that. I can give you some sense of at a high level on what we see as the key levers that we can continue to leverage, but on a detailed plan and outlook and view we will prepare it once the new management team of Sunflame will come into place, which is still a work in progress

because right now, with the integration, we have a crack integration team, which we have put in place and the long-term operating teams will move in.

As far as the growth levers are concerned, I think there are multiple growth levers for Sunflame. South is a huge opportunity for Sunflame when Sunflame is underrepresented in South, yes, e-commerce and organized retail where we have the organization and the business system, that's something that Sunflame can leverage. Sunflame brand shops also supporting the sale of built-in Hoods and Hobs; it is also a very interesting opportunity in the space. They have 8 to 10 outlets, and that can be scaled up.

These are some levers. Sunflame has been doing most of its general trade (GT) business on cash and I think there is a lot of opportunity to expand the network since they have been risk averse when it comes to going to market.

These are the significant levers that are available and there is also opportunity to transfer knowledge across both the organizations at the back-end and to leverage the sourcing

capabilities and make capabilities on both sides, which should benefit both the portfolios. These are the broad levers, but we will probably somewhere in the June quarter, will have a better view, having done some more serious work to assess the opportunities and priorities and put the resources on the ground to drive the key levers.
Renu Baid: Got it. Lastly, just a book-keeping question for Sudarshan sir. If you look at the Electrical segment there, the margin is much better than the rest of the other segments with a slight improvement. So did that also include inventory gains in the Cables and Wires business with the commodity price inching up at the end of the quarter. Approximately what portion of the segment margin are you on inventory gains?
Sudarshan Kasturi: Does it include the stock gains? No, that's not the point, the margins in the Wires have been pretty stable, except when there was a significant drop in copper in the quarter and that impact we took during the last quarter. It's just that the margin compression of the margin gap is higher in Durables and Electronics.
Renu Baid: Right. So, the 8.5% kind of margins in this category is also driven by better performance, probably better performance of the Switchgears, Switches and Pumps portfolio or it would be by all 3 or Cables and Wires driving t

his improvement?
Sudarshan Kasturi: Wires is making steady margins and it is a fairly steady business. Switchgears, Switches and Pumps have been less impacted by the margin.
Mithun Chittilappilly: Pump margins are impacted, but this is lesser than what Durables have been impacted. The impact on Electricals is less yet.

Ramachandran V: Just 1 more point I want to make – the Electricals business is a business which is stable and steady around the year, so margin recovery is quicker and faster because it's a 12-month product. The material is also getting consumed faster and because it's a 12-month product. In the Consumer Durable segment and to some degree, the Electronics segment where the sales are seasonal, so depending on the timing of your inventory purchase and the quantum of inventory, it takes longer to consume. For example, like last 3-4 months, from September onwards, the sales have been lower than planned. Our expected consumption of high-cost inventory has not happened yet, and it has carried forward longer. In some parts, it is like that and where in the last 3-4 months where lower sales have happened compared to plan, although if you look at last year, YTD, it been 22-23% growth.
But internally, we expected it to do better and that has not translated because of the change in sentiment. So that's extending some of the inventory, and that is amplifying the issues in seasonal categories because the consumption of the material is happening more in the season and that's when it's going to go out, right.
Also, any pricing action can happen related to the season’s price. So these are the challenges. Whereas in the case of Wires, Switches and Switchgears, transmissions are fast because it's round the year business, right? So the input cost increase also with a lag of 2 or 3 months, you will see hitting the business. So I think we should see it like that.
Renu Baid: Most of the high-cost inventory which we have, which has been built up, that will be fully absorbed by the end of the March quarter or that will continue through April-May as well?
Ramachandran V: I think Water Heaters will take longer and some part of Electronics can go into the June quarter also. In Electronics, we have 6 months to 1 year, in some cases, right? What we will start to see is that the blended margins every quarter will start looking up slowly. For example, November or October, I think November was our bottom. December was better. January will be better than December. Like that, it will slowly keep it inching up, right? As more and more categories participate, this will keep moving up and rolling margins.
Mithun Chittilappilly: I think what we are saying is that we believe the margins have bottomed out and will see a sustained improvement. Now like otherwise to the question of high-cost inventory, it's more-or-less what Ram mentioned, I think most of it is over. Some will linger on like water heaters or Electronics but others would be more or less over.
Renu Baid: Got it. I'm not sure if I can ask 1 more – any indication on volume growth in Cables and Wires and in the Fans portfolio for us.
Mithun Chittilappilly: We don't give product-wise numbers, but we can say that the performance in Wires has been good. Like Ram has earlier mentioned. It is also because the fact that copper prices have gone up. In the expectation of price increases, dealers have up stocked also. Some of the volume growth has come from that actually. Fans volume growth was slower because there was a churn

on what we call moving from the old to new. We unfortunately did not have much inventory of the old items. So, our numbers look a little less than what others would have done.
Dealers are buying only the old items because they were available for a good discount. The

difference between the old price to the new p

rices also, like what Ram mentioned, 6-8% plus it is considered a huge gap, so which the dealers have taken advantage of.

Moderator: The next question is from the line of Aniruddha Joshi from ICICI Securities.

Aniruddha Joshi: Sir, what is the 9M FY '23 vs. 9M FY '22 performance? Because we have seen many Kitchen Appliances companies also getting impacted, which had no real relation with the Fans issue. So how is the performance of Sunflame as a percentage? Secondly, how has the Water Purifier done in this quarter on a Y-o-Y basis?

Mithun Chittilappilly: We will not give any specific numbers, but we can give some colour, Ram.

Ramachandran V: I think from what I understand, I think it's broadly flat. There is some decline of 3-4%, which is driven by the Institutional business. In the Institutional business, there have been some changes in the Income Tax Act, which has affected the gifting business. There will be a significant drop in the gifting business. There is a better side, but minus of that, I think it's almost flat, is almost maybe 2-3% down.

The big chunk is the Institutional business where the institutional customers have stopped buying because I think they are required, based on changes in the Income Tax Act, where they require GST and be charged where some trade is getting created. So companies who are typically buying for gifting, they have stopped buying. That's got a drag of 2-3% overall. The core business is almost flat, maybe plus or minus 1%, would be from top of mind as I remember.

Moderator: The next question is from the line of Rahul Gajare from Haitong Securities.

Rahul Gajare: I've got a couple of questions. First, congratulations on the Sunflame acquisition's closure. You have spent almost INR 680 crores in this acquisition. You are looking at adding more manufacturing. Could you indicate to as the kind of capex that you are doing in on the manufacturing front so we know how to shape up the balance sheet from here?

Mithun Chittilappilly: Sunflame has one large manufacturing facility, which I believe is only some 50% utilized; whereabout 150,000 square feet of large plant in Faridabad where only half of it is utilized. So, and they have 1 more factory in Baddi which is mothballed, but it is also about 30,000 square feet and is not utilized.

We have almost 100,000 square feet of manufacturing space ready with all licenses and with everything. I don't see a capex investment for factories happening in Sunflame for at least 2-3 years. I think any capex will be mainly be for moulds and dyes for any new SKUs we launch, and that may not be that large.

Rahul Gajare: I think you also mentioned about adding more assets in V-Guard so that is what I was referring.

Mithun Chittilappilly: V-Guard, yes. Our capex, like what we have mentioned will be spent at INR 50 crores to INR 70 crores annually every year. That will continue to happen. We have done that for the last year, this year and even next year and some part of the capex will happen. That's how we can look the balance sheet for V-Guard. The manufacturing, what we talked about will fall under this.

Rahul Gajare: I want to know that with this entire manufacturing and adding capacity in V-Guard, how much of your total revenue will come from your own manufacturing?

Mithun Chittilappilly: I think for us, I think close to 65-70% will come from one third manufacturing and that's what we see and Sunflame already has two thirds. So roughly 65% is own manufactured. It is going to remain between 65-70% as a comparative. Probably in the next 5 years, probably go to over 75%. We will still continue to work with some vendors in some cases where we are buying certain products where we find it better to trade than to manufacture.

Rahul Gajare: One of the reasons you indicated about having low margin on the Consumer Durables division is imports. But from what I recollect, I

don't think the imports are very high. Maybe 20% is what it is for you. Correct me if I'm wrong on that imports number?

Mithun Chittilappilly: The margins in Consumer Durables is lower because as what Ram had mentioned is in Kitchen, we are working with Indian outsourcing vendors. When you work with Indian vendors or imported vendors, they also have their own margin. It's not because of imports. The import issue is mainly for Fans, which was really Table Fan and Wall Fan, which is now largely resolved.

For the other segments, the issue in margin is also because our competitiveness is not there. That is what I think Ram was talking about in terms of putting up manufacturing for Kitchens.

For example, we are selling Induction Cooker, Gas Stoves, Mixer Grinder roughly doing INR 130-140 crores of revenue, where we believe we are not competitively pricing the product in the market. That's what he was talking about.

Rahul Gajare: My last question is on certain book-keeping questions. I see cash of almost INR 130-odd crores in December. What is the cash level right now?

Mithun Chittilappilly: Sudarshan?

Sudarshan Kasturi: The cash would have been close to Rs. 400 crore.

Rahul Agarwal: No, that is as of 30th December, is it?

Sudarshan Kasturi: Yes.
Rahul Gajare: Current investment and cash book together will be closer to INR 400 crores or, but what would be this number now with this Sunflame.

Sudarshan Kasturi: We've used the cash for the acquisition.
Rahul Agarwal: So, what is the cash balance on?
Sudarshan Kasturi: INR 40-50 crores or something like that.
Moderator: The next question is from the line of Nirav Vasa from Anand Rathi.
Nirav Vasa: Let me congratulate the entire team for successfully executing the Sunflame acquisition. So sir, would it be possible for you to share how the funding has been done and what is the amount of debt which has been raised and at what cost?
Mithun Chittilappilly: Yes. Sudarshan?
Sudarshan Kasturi: Yes. We have taken debt of INR 275 crores. The balance INR 400 crores was through internal accruals. That comes to us at slightly less than 8.95-8.98%.
Nirav Vasa: My second question. So sir, so maybe because this transaction was executed in January. So the February and March revenue would be consolidated. Is that right assessment?
Sudarshan Kasturi: Yes, we will consolidate Sunflame from January onwards.
Nirav Vasa: From January onwards.
Moderator: The next question is from the line of Harshit Kapadia from Elara Capital.
Harshit Kapadia: Just wanted to check with you in terms of volume growth, if you can highlight for all the three that has seen the 3-year CAGR?
Mithun Chittilappilly: Sorry, volume growth for?
Harshit Kapadia: All the three segments.
Mithun Chittilappilly: Can I calculate and tell you. Okay. What's the name, please?
Harshit Kapadia: Harshit Kapadia from Elara Capital.
Mithun Chittilappilly: Okay. So we'll get in touch offline on this. We need to come back.
Moderator: Next question is from the line of Achal Lohade from JM Financial.
Achal Lohade: Just wanted to check in terms of the outlook. On one hand, we are seeing an element of slowdown or slack in demand. So how do we see next couple of years in terms of what is the growth outlook one could have. I'm not asking for specific guidance, but can we go back to that high-teens kind

of growth or do you think that is still some time away for us? This is ex of Sunflame. Obviously, Sunflame will have the delta, but ex of Sunflame I would like to check.
Mithun Chittilappilly: What we've been seeing is right from June onwards, we are witnessing slowness in the market, and that is coinciding with the increase in the rate hike. So whenever there is a high inflation environment, it does 2 things – one is it is the fear in the minds of consumers to spend because their monthl

y household expenditure has gone up significantly, the petrol, food and whatever is it's gone up significantly. The second thing that happens is the increase in interest rate sucks the liquidity out of the market for retailers, also of distributors.
Banks are not lending like last year, last year they were flushing the trade with money and today, maybe not be very easy to get financing. So I think we are entering a high interest rate cycle and it will take some time until we start to see a reduction in the interest rate. So that's my answer to you. So if we see the reduction in oil prices and we see a reduction in inflation, reduction in interest rate, I believe that demand will come back strongly. It's a cyclical thing, nothing much we can do about it now.
Achal Lohade : With respect to counter that, obviously, the distribution side, if you could elaborate where are we in terms of the target? And how do you see that over next 2-3 years in terms of Non-South?
Mithun Chittilappilly: We are going as planned. We would assume in this third quarter, even on stock markets they have done well, and that ensures that our expansion work is going on. We will continue to grow spend and all that. But we have to understand that we also have very high market share, and that's where we probably face some headwinds because we probably can't grow there without the market, it's still growing because additional opportunity to grow distribution on sites is limited for us. Of course, Sunflame can grow, but for V-Guard brand, maybe slightly challenging because most of our products have been a of a very high market share.
Achal Lohade: Understood. The second question I had was with respect to Pumps business. Can you help us understand how further Pumps in terms of the momentum has been? Are you seeing any improvement there or it's just languishing as it was earlier?
Mithun Chittilappilly: No, Pump business continues to be under pressure. We are not as badly impacted like the Agricultural Pumps. We are more in the Residential Pumps category. But even the Residential Pumps demand has been impacted. I also think it's to do with the fact that we have had very good rains, very good months actually excess rains in those places. So I think until we hit a

Pump replacement, which usually happens when there is a reduction in the water table; what happens is Pump get largely replacement and new demand as well. So there, it's likely replacement demand. We've got a significantly high, water table as the requirement for Pumps is low. So we are hoping that the summer is going to be a strong and long one and that should kick start the demand for Pumps.

As of now, it is continuing as it is. It's not doing too well, margins are also slightly impacted, but that's as far as the Pump is concerned. There is not much of a difference from what we have stated in the last quarter.
Achal Lohade: Right. Just a clarification there that we were told by another competitor is that there is an element of aggressive pricing for the Pumps. So can you give some more sense on that? Are you seeing aggressive pricing by the peers or not yet?
Mithun Chittilappilly: Yes. I think so this is because of the other thing, right? So when there is lack of demand, you are going to have a pricing, right? So it is a demand and supply thing, when there is more supply than there is demand, there are going to be competitors who are going to cut prices and because some of them have to repeat their inventory and so on and so forth.
So I think this is something that we've seen before also when the demand is poor, this happens.
One more thing I'll tell you, during COVID, what happened is 1 year of COVID, first year of COVID, the Pump demand was very strong because all the smaller Pump companies in Coimbatore and Gujarat, they did not supply.
Now all of them have come back in full force as well. There

is obviously that also playing out.
But I think we'll wait and see what happens. So obviously, with the lack of demand, pricing is also under pressure or other people are not taking up pricing. The increases have not been passed on.
Moderator: The next question is the line of Keyur Pandya from ICICI Prudential Life Insurance.
Keyur Pandya: Sir, I just want to understand in the backdrop of the macro environment you mentioned about the inflation and demand slowdown. So now when we see our RM cost coming down. Does, , I mean, cutting the price to help improve the demand or it is better to get the margins and demand Basically, your thought in this context between, say, maintaining the margin or improving the margin versus giving away margin to improve the demand?
Mithun Chittilappilly: I am a firm believer in not cutting price to improve sales because that's a very short-term thing and that can be done by anyone. But all of my peer companies don't believe in the same way like I do, so some of them will resort to this type of tactic. Ram, anything you want to supplement?
Ramachandran V : Yes, because I did see that margins are stressed for all companies, okay? I do believe that there is limited room for companies to cut prices on. You will see price tweaking happening here and there, 1-2% will certainly happen with what I believe as we end up the season because most people have not been able to do much of the particularly after the February or March of last year, no price increase has happened.
The commodity continued to increase in mid-June and then it's now slow. Also, I think even if the commodity price increase is fully flowing into P&L, it will only help companies to get back

to that long-term rate. I think, so the business has normalized, right? Business spending is normalized, travel is slowly getting back to normal. It's not going to be practical to expect that the company will reform by cutting prices and also, I think 1-2% or 3% is not going to trigger consumer demand, right? That why there is not appetite to choose that part or kind of product portfolio.
I'm seeing this season, I would be very surprised they would resort to that. I also think that it will have less scope to increase demand. I think demand increase will happen based on macros.
I think as the confidence comes back, as you know, the inflation across the consumption markets, is flattening. We would have to wait for that.
Keyur Pandya: Any divergence demand as far as rural versus urban or say, in regions – North, South, East, West?
Ramachandran V: That is a bit of pressure on small town rural and entry-level segments. So that is pretty much there and visible from somewhere around in August of last year. So that is pretty much there, and it continues. Geographically, I think it's, by and large, to my mind, this by and large fine geographically.
Keyur Pandya: So now you're saying rural or.
Ramachandran V: Small town, rural, entry-level customers in that segment there is still pressure.
Moderator: The next question is from the line of Bhavin Vithlani from SBI Funds Management
Bhavin Vithlani: So the follow-up to the earlier comment that you mentioned about unorganized. Could you also highlight about besides the Pumps, which are the other segments where you've seen unorganized

come back with vengeance and that's kind of taking back some market share preceding the slow down?
Mithun Chittilappilly: Only category in our industry where we still have a large presence in unorganized and they're are very strong. If you look at other product segment is largely consolidated into branded products, Wires, Water Heaters. Of course, there is an organized event, but it's not like people who are buying the branded Wire or Cable are very unlikely to buy an unbranded product because we're getting it cheaper. But Pump are not like that. In Pumps, they are like a cottage

industry. There are very strong local brands in each district and small region and so on and maybe the awareness of people is less, people rely more on the retailer or the plumber and so on and so forth. So, only in the Pump, this issue is more present. I'm sure unorganized is there in all the other categories, but I think over the years, they've all reduced their activity level.
Bhavin Vithlani: The second is on the raw material, we've seen some amount of catch-up that has happened aluminum, copper prices have gone up. So for the bill of material index that you track internally,

what was seen over the last quarter is like if you take Jan as an end then versus what we saw in September and what's the kind of increase that we have seen?
Mithun Chittilappilly: So difficult to say on a blended basis, but I think copper has gone up significantly high and aluminium has also gone up. But there are certain others that have not gone up like steel and all that. I think steel, if we start to look at replacement, we should start to see some improvement there, and that's what is making us confident about talking about improving margins going forward.
But we'll wait and see if things are not free at the time, we will wait and see. But yes, there are also some price increases that have not happened and we are going to as we are approaching summer, we are going to push through some pricing.
Bhavin Vithlani: Just last question. While I understand you're not giving category-wise revenue numbers, but just to understand over some of the categories which were passed through last year, if you could give us a Y-o-Y growth number for the quarter for Fans and Water Heaters.
Mithun Chittilappilly: We'll probably share that offline. Bhavin, right, from SBI Mutual Fund.
Moderator: The next question is from the line of Khadija Mantri from Sharekhan.
Khadija Mantri: Hello. Sir, my question is regarding Sunflame Enterprises. In the budget, the basic custom duty on Electric, Kitchen Chimney has increased from 7.5% to 15% and the duty on heat coils has been reduced. So will it have any impact on Sunflame?
Mithun Chittilappilly: Yes. Ram, you want to take this?
Ramachandran V: Yes. Yes, Sunflame has a large Chimney business. But having said that, Sunflame has started to manufacture Chimneys and over the last 4-5 months is slowly stabilizing also. It's quite possible that there may be some near-term impact on the Chimney business because it's presently dependent on imports to some degree. But I think it's going to shift to fully to own manufacturing, can be done manufacturing ready soon because they are just month on month ramping up the production output.
Khadija Mantri: So currently, how much of it is imported, I mean the mix?
Ramachandran V: I wouldn't have that kind of sense. But I think that there is some maybe there is a smaller portion, which is domestically sourced and there is a larger portion, which is imported. But I think it is just a matter of 3-4 months because the plant is already up running, and they took the pilot plant also about 4 to 5 months back. And they are scaling the throughput month on month. So I think even if there is an impact on Sunflame, it's going to be transitionary maybe whatever inventory is sitting in the system and whatever POs that are in pipeline. I think probably we will switch over to domestic manufacturing or domestic sourcing pretty soon, except for maybe some premium models, which might mean that some; I would say that 6 months down the line, maybe

not more than 15% of the revenue may come from imported Chimneys and the rest will manufacturing in the factory.
Khadija Mantri: And my next question is regarding the capital employed number. So if I see the unallocated capital has gone up on Q-o-Q basis from INR 400 crores to about INR 700 crores.
Mithun C

hittilappilly: Sudarshan, do you want to take this.
Sudarshan Kasturi: We'll come back later.
Mithun Chittilappilly: So we'll answer that later. We don't have the number with us right now.
Moderator: The next question is from the line of Aksh Vora from Praj Financial.
Aksh Vora: Earlier, you mentioned that the manufacturing base contribution would go to around 65-70% or 75%. So just from a longer-term picture, what could be our blended EBITDA margin be, in say,

3 to 4 years, say?
Mithun Chittilappilly: So we obviously don't give out guidance on EBITDA margins, but our hope is that the manufacturing push will help us to improve gross margin and consequently EBITDA margin. But we have to get back to pre-COVID EBITDA margin before we talk about moving even higher than that. So that's our immediate focus to restore margins to above 10%, which was the pre-COVID margin.
Aksh Vora: No, I understand. I'm not asking for any number, actually, but then just wanted an assessment in the past, you have been saying that we would move to South and Non-South to next to 50:50 and you have executed that well enough. From a longer-term picture, I was just assessing that the manufacturing base goes higher and we passed the margin level of the pre-COVID, say from 4 to 5-year picture, would it be around mid-teens levels, we can achieve that number or something like that.
Mithun Chittilappilly: I think we prefer not to make any comments on that. But I've always said that we would like to improve by 1% every two years. But that happens first I need to get back to my pre-COVID margins and then work on that. Of course, when Sunflame comes on board, the Sunflame margins are higher than VGaurd so some impact of Sunflame will also show in our branded markets.
Ramachandran V: Just 1 point I want to make – on the business environment, it is pretty volatile right? For example, short term, we are suggesting sometimes there are revenue slippage and inventory expenses. So it's a bit hard with the pricing, with some haziness on near term demand. It would be sensible to say that we would like to see that these have normalized. I think once the business normalizing, I think we will be able to continue on our track of being able to improve it. The foundational normalization of business has to happen, the business margins.

Moderator: Ladies and gentlemen, that would be last question for today. I now hand the conference back to the management for their closing comments. Thank you and over to you.
Mithun Chittilappilly: I would like to thank the entire team of Nirmal Bang for helping us to host this call. Thank you, all.
Moderator: Thank you very much. Ladies and gentlemen, on behalf of Nirmal Bang Institutional Equities, that concludes today's call. Thank you all for joining us, and you may now disconnect your lines.

Call: Jun 2023

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June 07 , 2023
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Listing Department,
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1, G Block, Bandra- Kurla Complex,
Bandra -East,
Mumbai - 400 051
Scrip Code: 532953 Symbol: VGUARD
Dear Sir/Madam,
Sub: Transcript o f earnings c all pe rtaining t o the F inancial R esults f or the qua rter and year ended March 31, 20 23.
Dear Madam/Sir,
This is with reference to the Company intimation dated May 19, 2023, filed with the stock exchanges in terms of regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements) Regulation, 2015, regarding the earnings call to discuss the financial results for the quarter and year ended March 31, 2023, scheduled on May 31, 2023. The audio recording was filed with the stock exchange. We are enclosing the transcript of the Earnings call. The same is also being uploaded on the website of the Company at https://www.vguard.in/investor -relations/shareholder- information
We reques t you t o kindly take the above i nformation on r ecord .
Thanking You,
Yours Sincerely ,
For V-Guard Industries L imited
Vikas Kumar T ak
Company Secretary & Compliance Officer
Membership No. FCS 6618
Encl: As above

“V-Guard Industries Limited
Q4 FY '23 Earnings Conference Call ”
May 31, 202 3

MANAGEMENT : V-G UARD INDUSTRIES LIMITED

MR. MITHUN CHITTILAPPILLY – MANAGING DIRECTOR
MR. RAMACHANDRAN V – DIRECTOR AND CHIEF OPERATING OFFICER
MR. SUDARSHAN KASTURI – SENIOR VICE PRESIDENT AND CHIEF FINANCIAL OFFICER

MODERATOR :
MR. DEEPAK AGARWAL – PHILLIP CAPITAL INDIA PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the V -Guard Industries Limited Q4 FY '23 Results Conference Call, hosted by PhillipCapital India Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an oppor tunity for you to ask

questions after the presentation concludes. Should you need assistance during the conference
call, please signal an operator by pressing 'star' then 'zero' on your touchtone phone. Please
note that this conference is being recorded.
I now hand the conference over to Mr. Deepak Agarwal from PhillipCapital India Private
Limited. Thank you and over to you sir.
Deepak Agarwal: Thank you. Good afternoon, everyone. On behalf of PhillipCapital India Private Limited, I
welcome you all to V -Guard Industries Limited Q4 and FY '23 Earnings Conference Call.
Today, we have with us senior management represented by Mr. Mithun Chittilappilly, Managing Director; Mr. Ramachandran
V, Director and COO, and Mr. Sudarshan Kasturi , Senior VP and
CFO.
Without taking much time, I would like to hand over the floor to the management for their
opening remarks, post which we'll open the floor for Q&A.
Thank you and over to you, sir.
Mithun Chittilappilly: Thank you, Deepak, and PhillipCapital for hosting this call for us. A very warm welcome to
everyone present on today's call. Thank you for joining us today to discuss the operating and
financial performance of our company for the fourth quarter and FY '23. I trust a ll of you have
had a chance to refer to our Investor Presentation, which was shared yesterday.
We reported consolidated net revenues of INR4,126 crores in FY '23, which is higher by 17.9% on a Y -o-Y basis. Excluding
revenues from Sunflame, the underlying r evenue growth is 16.3%
on a Y -o-Y basis, ahead of the CAGR of 11.9% over the period from FY '19 to FY '23.
During the year, the South markets grew by 9% y- o-y, while the non- South markets grew by
26.4% Y -o-Y. With continued strong growth from non -South mar kets, their contribution to
overall revenues has crossed 45%, providing the business with a diversified revenue base.
In our Electronics segment, comprising of stabilizers, digital UPS and inverters, we reported revenue growth of 21.9% Y -o-Y.
In the Consum er Durables segment, where we market fans,
water heaters, kitchen appliances and air coolers, we registered a growth of 20% Y -o-Y. The
Consumer Durables segment is achieving meaningful scale in top line, and we are sure that the
benefits of operating lever age will soon become visible going ahead.
In the Electricals segment, comprising of wires, pumps, switchgears and modular switches, we
registered a growth of about 11% Y -o-Y. FY '23 has been a difficult year in terms of margins
for our industry. After a fe w challenging quarters caused by significant input cost challenges,
Q4 margins have shown an improvement over the previous quarter. The benefit of stable commodity prices and the charge
out of high -cost inventory are beginning to flow through. We
expect th e gross margins to further improve in Q1 FY '24.

In Q4 FY '23, we have taken a P&L charge of about INR10 crores towards one -time expenses
relating to the acquisition of Sunflame and Simon Electric. The advertisement and promotion
spends are also higher as they are steadily returning to the normative levels. PAT in FY '23 is
INR183 crores compared to PAT of INR228 crores in FY '22. It is pertinent to note that in FY
'22, we had a prior year tax credit of INR8 crores as we switched over to the new tax regime.
In FY '23, the tax benefit of about INR20 crores arising from the Simon merger has been shown
under the other comprehensive income. Adjusting for that one -time expense incurred in FY '23
and the tax benefit in the base year, the profi

t after tax is of a fairly similar level in FY '22. As
we had indicated earlier, we are carrying higher inventories to mitigate risk of supply disruption
and would like to revert to normative inventory levels over FY '23. We have made substantial
progress in doing so, a nd we have released close to INR200 crores worth of working capital with
the scope of another INR70 crores to INR80 crores to be released in the following quarters.
During Q4 FY '23, we completed the acquisition of Sunflame and the merger of Simon. In the
case of Sunflame, the initial post -transaction work is complete and the business integration is
underway. Hiring for key positions is complete and dealership is now in place for Sunflame.
Over the next 6 months to 9 months, we will review the portfolio, st rengthen channel presence
and undertake interventions in technology and process capabilities.
The Simon merger has been completed with effect from 25th of March 20 23. We have started
running the business and have identified areas to focus on the near term. These M&As are all
good strategic fit to V -Guard and with multiple levers for synergy benefits. The Board of
Directors have recommended a final dividend of INR1.3 per equity share on a face value of
INR1.
With that, I conclude my opening remarks and would like to thank Deepak Agarwal and their
team at PhillipCapital for hosting this call and would like to request the moderator to open the floor for Q&A.
Moderator: The first question is from the line of Rahul Agarwal from InCred Capital.
Rahul Agarwal: Three questions. Firstly on the South market. It's been underperforming for V -Guard for the

year, for the quarter. What's your reading, Mithun, on this? Is it more due to competition or is it anything else? Especially wires and Durables for fourth quarter looks really low to me.
Mithun Chittilappilly: Okay. Yes, the South market is fairly mature for us. We don't have that much avenues of growth in terms of distribution expansion. So, most of the growth is organically coming and some of the growth is coming by way of introduction of new products. So with the kind of challenging environment as we saw in the last year with huge inflation and softening consumer demand, there has been , there is growth of 9% , what we have achieved. But having said that, even traditionally pre -COVID South was growing at something like 8% to 9% and non -South was growing at something like 22%, and that's how the average was coming to around 15%. So, we're doing ok ay with the South market growth of 9%. It's not very high, but it's probably reflective of the fact that it's a fairly mature market. And sorry, the second question is?

Rahul Agarwal: No, second question essentially was a reflection of fourth quarter performance also that whilst Durables ' top line look pretty low to me, but the more important question here is that since you said in South, we cannot expand distribution more. So, this performance of 9% Y -o-Y, maybe 15%, 20% non -South, does that continue next year? That's more important to understand.
Mithun Chittilappilly: Yes. I think this was the -- of course, as we grow larger in non -South, the base is getting large, but we still have some white spaces even in non -South. So, we are probably only prese nt in the larger towns and cities in non -South. We've not really explored the upcountry markets much because we are building a new brand. So, we still have lot of levers in non -South to grow. If you ask me non- South market is actually roughly 60% of the to tal India market and about 35% to 40% is the Southern part of the country. So in that sense, we still have some more way to go in terms of distribution expansion.
Rahul Agarwal: Perfect. Got it. Secondly, on Sunflame, in your press release, you have given consol P&L as well as the ex -Sunflame P&L. I'm just trying to r

emove the EBITDA difference, that's INR10 crores. Obviously, there is a one -off sitting there, which is INR10 crores, which is including other expense. Is that correct, Sudarshan?
Sudarshan Kas turi: So, you're trying to work out Sunflame EBITDA? Is it? That was INR8 crores for the quarter. That's the difference.
Rahul Agarwal: But the EBIT reported is INR14 crores, so I was bit confused how is that?
Mithun Chittilappilly : No, the Sunflame -- we will recheck that. But what I remember saying was Sunflame revenue...
Sudarshan Kasturi : Sunflame revenue was about INR57 crores something and EBITDA was ...
The other INR10 crores what you mentioned is one -off is in the V -Guard costs.
Mithun Chittilappilly : It's sitting in other expenses of V -Guard.
Rahul Agarwal: Okay. So maybe I'll repeat my question. What I meant is Sunflame difference is INR57 crores on revenue. The EBIT reported in Sunflame is INR8 crores. Is that correct?
Sudarshan Kasturi: Yes. Correct.
Rahul Agarwal: Can I get the EBITDA number for Sunflame?
Sudarshan Kasturi: Just give me a moment. I will tell you.
Mithun Chittilappilly: We will come back on that.
Sudarshan Kasturi: We will come back on that.
Mithun Chittilappilly: We will connect offline on this number.
Rahul Agarwal: Okay. Just last question on the debt side. So, my understanding was we had INR400 crores cash, and we were drawing about INR300 crores for the acquisition. When I see the balance sheet

right now, it has I NR270 crores long term, which I understand is more for Sunflame. But why do we have INR150 crores short term? I just need to get a clarification on that. That's all. That's my last question.
Sudarshan Kasturi: Yes. No, we took a funding mix like that. We t ook a long -term funding of INR275 crores and then the short -term reflects vendor financing, which is a working capital facility. So, that was the funding which we used.
Mithun Chittilappilly: So V-Guard was not using its working capital facilit ies and we decided to use a mixture of the working capital facilities to a smaller degree and, of course, long term de bt to a larger degree. So it gives us some flexibility to keep the debt down as we go forward.
Rahul Agarwal: Got it. Perfect. All the best for the year. I come back in the queue.
Moderator: We have the next question from the line of Sonali Salgaonkar from Jefferies.
Sonali Salgaonkar: Sir, my first question is again regarding Sunflame integration. You did speak about that a little bit in your

opening remarks. But could you throw some more colour as to what are the key steps
of integration that you propose to take, both in terms of back -end integration as well as front -
end integration? Also, if you could share any milestone revenue or cost synergies that you propose to get out of this integration?
Mithun Chittilappilly: Okay. Ram, you want to take this?
Ramachandran V: Yes, Mithun. I'll do that. I think Sunflame is going to continue as a standalone entity
operationally, and it will run independent of V -Guard, so that the 2 brands are able to compete.
Again, they also have the different advantages in terms of cost structure and go- to-market s. So,
at this stage, we are keeping these two separate. So that's the first part.
In terms of how we will try to create a benefit and impact on Sunflame, would be through some
of our central capabilities like maybe trade, procurement like, for example, if you may talk about
customer service, so these are areas where we will be bringing our capability and know -how to
benefit the Sunflame business. I think that was your question, right? So, there is no direct
integration between Sunflame and V -Guard. We are going to operate separately.
Sonali Salgaonkar: Right. But in terms of, say, production, so V -Guard outsources, if I'm correct, about 50% of the production.
Ramachandran V:

No, no. So as far as kitchen is concerned, again, in the short term, they continue to run as separate
entities. V -Guard is setting up its own manufacturing facility, which is underway in Vapi and
that fundamentally, we are looking at the gas stove and mixer grinders. At this stage, immediately, we don't have any plans to shift o ur sourcing of gas stoves to Sunflame , but these
are things that we will see because we are putting our capacity in place independent of Sunflame.
Sonali Salgaonkar: I understand. W hat is the capex guidance for FY'24?
Mithun Chittilappilly: Sudarshan?

Suda rshan Kasturi: Capex will be around INR100 crores.
Sonali Salgaonkar: I understand. Any cost or revenue synergies you would like to quantify that you propose to get
from Sunflame, say, in your one -off integration or your two -off integration?
Mithun Chittil appilly: I think at this moment, we won't like to quantify anything. But yes, there are going to be
synergies in sourcing, freight, packaging, stuff like that. There may be even synergies by
sourcing through Sunflame vendors for V -Guard as well, especially for gas stove and chimneys.
So, these are things. At the moment, we are not going to quantify it. But I think for us, the low -
hanging fruits for Sunflame today has very little presence in e -commerce, which is usually about
25% to 40% of the kitchen busine ss in India today and Sunflame has very little presence in
modern trade. Again, maybe 20% of the business in India today.
So barring GT, we will be aggressively driving the other channels for Sunflame. Sunflame is very strong in canteen and GT, but the ot her two channels is missing from its portfolio. So, our
focus will be on driving revenue growth for Sunflame first and then working on cost reduction
and synergies .
Sonali Salgaonkar: I understand. Second part of the question, Mithun, is also about the distribution network. Are
there any advantages in terms of cross -selling that you pursue because Sunflame is mo re non-
South? Also, if you could quantify what is the distribution of the re tailer footprint of Sunflame
versus V -Guard?
Mithun Chittilappilly: Yes. So Sunflame follows a slightly different distribution strategy. Sunflame works with super
stockists, super distributors. So in each state, they have 1 or 2 or in some cases, 3 very la rge
distributors, where Sunflame sells its products on a cash -and-carry basis and the distributor then
stores and gives credit to the retailers in GT and then they have their own sales people on the ground selling it. So it's a very different system from V -Guard where V -Guard is more, working
directly with retailers, and we have a very large sales force and we have lot of smaller sized
distributors. So that's slightly different. So immediately, we are not looking to change much.
But yes, in South India, Sun flame's presence is very low. They get only 15% to 18% of the
revenues from South India. So, we are aggressively going to grow the Sunflame business in South. Now, we are in the process of hiring people for Sunflame in South. They have a very
small team, a nd we will be aggressively driving that. Right now, we are not looking to change
the way Sunflame is doing its GTM. There are advantages to the way they're doing it and also,
there are some disadvantages. But at the moment, we are not looking to change it.
At some point in the future, yes, we will try to see what is the best way to reach customers of
Sunflame, whether we should follow their old selling strategy or move more in line with V -
Guard's GT .
Sonali Salgaonkar: Sure. Just one last question from my side regarding the core V -Guard business. Is there any
pricing action that you have taken in Q4 or Q1 up until now? H ow do you see the demand
scenario and the channel inventory? That's it from that side .

Mithun Chittilappilly: So, there has been a reduction in commodity prices as we move d from Q3 to Q4, and we are also seeing further reduction in commodity prices as we move from Q4 to Q1 of this year. So, this means that this kind of is not required - that we need to take any more pricing action s. I think if the pricing remains stable and the raw material prices are still where they are . We should, in fact, slowly in the next 4 months , be back to the pre -COVID levels of gross margin. So it does mean that we have finished that super cycle inflation of commodities and we are back to where it was probably pre -COVID.
Sonali Salgaonkar: And on demand and channel inventory?
Mithun Chittilappilly: Demand is weak. As you can see from our numbers and probably our peers, the demand has slowed down quite a bit in the country. I think the all -round inflation of foods, fuel, everything has taken a toll on consumer sentiment and demand. O f course, the cons tant increase in interest rates also has put some s top in terms of ability for retailers to borrow and all that. Basically, lot of tightening has gone down. So retailers are also not stocking like they used to before this whole thing started.
But we think that maybe Q2 onwards, we should start to see some revival in demand because now fuel prices have come off. We are seeing prices of a lot of the other items have also come down. We are hoping that with this kind of reduction in inflation, hopefully, we wil l probably enter the reduction in interest rate cycle, which should fuel demand. I think that sometime mid of next year , this year that this should happen.
Moderator: We have the next question from Mr. Achal Lohade from JM Financial.
Achal Lohade: Okay. Si r, the first question is with respect to Sunflame. Is it the right understanding that earlier we were talking about acquiring this business and being part of the standalone and now we are talking about running the other independent business, is that unders tanding right?
Mithun Chittilappilly: Yes. So, yes, Ram can go over that.
Ramachandran V : Yes. Sorry, if I understood your question correctly, you were wondering whether earlier our intent was to merge it and now we are running it separately. Is that what you're saying?
Achal Lohade: Yes.
Ramachandran V : No, no, that's not correct. The reason that we are running this independently is that, fundamentally, each business system has its advantages and t herefore, we are keeping them apart . The cost structure and the GTM of the two businesses are very different . That's the reason why, at least in the near -to-midterm, they are going to run as separate entities . This is because there is a risk that there will be dilution in focus for Sunflame, right? So, we would like to focus and grow the Sunflame business.
As Mithun said, we believe there is a fantastic opportunity to grow the Sunflame business. I mean, it's an extremely reputed and well -known brand with very, very high top -of-mind awareness a nd recall in the kitchen category. T here are very strong growth levers like South, modern trade and e-commerce. We think that the value that we can create, by focusing on

Sunflame is far more than integrating it because integrating it will certainly bring efficiencies, but I think the focus and the ability to grow the business will get impacted. That's the reason why we're going to run these two separately initially .
We also have our own kitchen business and we need to figure how we are going to play the two-brand architecture to grow more aggressively in the kitchen business. I think it's fair enough to say that it was never our intent that we will immediately merge that business into V -Guard. It was always our intent that we would like to run these two businesses separately, so that we can focus parallelly.
Because what has also

been happening is lot of work has happened within V -Guard on the V -Guard kitchen business. As you can see that, we have set up our own manufacturing facility, and we have our own gr owth plans for, as you know, with all inorganic, right, until it is done, there is always uncertainty, right? So, we had our own plans for the growth of the V -Guard business, and we have made investments for the growth of V -Guard business, right? Bringing them together is detrimental to the growth of both these, right?
Achal Lohade: Understood. The second question I had, sir, is it possible for FY '23 as a whole, if you could give some clarity in terms of the growth in stabilizers, inverters, cables and wir es, switches, etcetera? You may not give the mix, but at least the growth, if it is in percentage ?
Mithun Chittilappilly: So, we don't give out the product wise numbers, but I can tell you the stabilizer business has

recorded a pretty strong growth, and that's been primarily responsible for driving the growth in Electronics. The rest are okay , I mean, like the wire business h as done a decent job. It was pretty good in the first 6 months, but last 6 months, the growth has slowed down because of reduction in copper prices and destocking by retailers. So that's the broad colour I can give on the various segments.

Of course, Consumer Durables, as you know, is the segment with most number of new product categories. So it's on a low base, growing fast, but of course, margins are a concern. I think we are able to see some significant improvement in margins in CD even in this quarter a nd going forward because the margins in both water heaters and fans w ere impacted in this commodity cycle. In fans, at least we are able to see good improvement in margins going forward. I think once the water heater season starts, there also we'll start t o see improvement in margins as we consume the new lower cost RM.

Achal Lohade: Understood. Any broad number you would talk about in terms of the growth for FY '24? Would that be in double digit, high single digit? Any colour ?

Mithun Chittilappilly: So, we are hoping that we can grow by 14% to 16% in the coming year, that is FY '24.

Achal Lohade: This is including Sunflame you're talking, right ?

Mithun Chittilappilly: No, no. This is without Sunflame. Sunflame will be an additional number.

Achal Lohade: Right. On this 14% to 16%, what will drive it, if you could give some more clarity on that, sir?

Mithun Chittilappilly: So what we can see is the Electronics segment will continue to grow well. I mean, we have had a good start to the year. Last year, we did not have a very good Q1 for electronics, and that impacted at least 6 months growth for Electronics. So electronics segm ent, it's rebounding back to its pre -COVID kind of growth. I t will have like the CD will grow at a high level and followed by Electronics and then Electricals. So that's obviously the growth there.

Moderator: We will proceed with the next question, which will be from the line of Natasha Jain from Nirmal Bang.

Natasha Jain: Yes. Sir, in the Electronics segment, your revenue growth, I am seeing it on a Q -on-Q basis, it has increased sharply. But vis -a-vis, if you see the margins there, that has not really improved. So can you just throw some colour on that as to what is not really driving the margins there? Is it battery?

Mithun Chittilappilly: No. So in the Electronics segment, there are two large categories, tha t is the stabilizer business and the inverter business. What happens is in every quarter, the product mix is different. So in Q1 and Q4, we s ell lot of air conditioner stabilizers and inverters and batteries, whereas in Q2 and Q3, it's mainly the refrigera tor and television stabilizer s and to a lower extent inverters because it's off -season for inverters. So the margins for the non -air conditioner stabilizers are fairly high, and that's why the margins are looking good for Q2 and Q3 for Electronics. Because product mixes are different in different quarters. So maybe it's better to compare them Y -o-Y basis in terms of margins.

Natasha Jain: Understood, sir. The second question I had was particularly in the battery segment. So sir, in quarter 3, the lead price s have increased sharply and we weren't able to pass on the price. But now in quarter 4, we've seen that the prices for lead has kind of softened. So sir, can you just throw some colour on that as well as to how the inventory is? Do we have high -priced inv entory? Or how are we moving there?

Mithun Chittilappilly: So battery is a perishable product. So, we don't carry much inventory in batteries because it's got a finite shelf life. So typically, in the case of batteries, we try to work with as low inventory as possible. Having said that, if you ask me whether the margins are -- so whether batteries are out of the woods? Not yet. But maybe we're getting there. But in Q4, definitely, the battery margins were still less.

Natasha Jain: All right. Sir, last quest ion – where are we in terms of manufacturing our own chimney versus importing? Have we ramped up the manufacturing facility in quarter 4?

Mithun Chittilappilly: In the case of V -Guard, particularly V -Guard is moving it's chimney procurement from China to domestic vendors. V -Guard is not planning to set up a manufacturing for chimney. However, Sunflame is manufacturing chimneys in India. I n case of Sunflame, we are seeing some improvement in margins because they have moved from importing to making chimneys in their new manufacturing facility in Faridabad. So in the case of Sunflame, that is happening. At some point in the future, when the manufacturing systems in Sunflame have stabilized, we will see the possibility of supplying chimneys to V -Guard as well. But at the moment, they are concentrating on only supplying for Sunflame brand.

Natasha Jain: Understood, sir. Sir, that is all from my side.
Moderator: The next question is from the line of Aniruddha Joshi from ICICI Securities.
Aniruddha Joshi: Yes. Sir, one question regarding the demand outlook that has considerably slowed down. So what is our internal thought process? When do we see the demand recovering back? A ny number that you can see maybe 2 quarters, 3 quarters down ? What are the 3 key important things that V-Guard is doing to, in a way, for increase the demand? Also, can you indicate any market share gains or losses in past 1 year in the major categories of V-Guard as well as Sunflame? That's it from my side.
Mithun Chittilappilly: Okay. So the demand continues to be certainly weak. But having said that, there was decent sales for stabilizers in March and April. However, after that, we have had some unseason al rains and it slightly impacted. But, overall, we are still hoping to do a decent Q1 for summer products.
The demand for fans is still little bit subdued because of the changeovers to the new star rating regime, and the fact that the channel is still sitting with inventory of older models, which was pushed out by all the brands in Q2 and Q3. So, that's continuing to be slightly a drag on the overall fan demand.
In terms of what we are doing is, we are constantly working on launching new products. We are having some launches for fans in the upcoming quarters, which we think will have some good, positive impact on demand. We are also going to have some launches on water heaters in the upcoming season.
So, some of the product launches that are going to happe n will have some positive impact on product demand. T he good news is the inflation has peaked and has started to come down, at least since the last 4 months, and is continuing to do so. As there is going to be reduction in prices of a

ll commodities, including food and non -food and fuel and everything, we hope that the confidence will come back for consumers to start again to spend money. So, I think that's probably going to happen in mid of the current financial year – that's somewhere in the festive season when we are expecting to see some revival in demand, and that's what we see.
Aniruddha Joshi: Sure. Sir, and the key market share?
Mithun Chittilappilly: Okay. We don't give out any market share numbers. But I can say that in the last 2 years to 3 years, V -Guard has gained some market share in fans probably and we have also gained some market share in water heaters. We also had a very low presence in e -commerce business, and we have also probably started to add some market share in the e -commerce side, where traditionally V-Guard was probably a late entrant and a slow mover.
Aniruddha Joshi: Okay. Sure, sir. Very helpful.
Moderator: The next question is from the line of Mr. Achal Lohade from JM Financial.
Achal Lohade: What I wanted to un derstand is in terms of the distribution, where are we, what kind of growth are we looking at in terms of number of dealers and retailers? If you could also quantify, as of March, what is the retail and the dealer count?

Mithun Chittilappilly: Okay. Ram, you want to take this?
Ramachandran V : Yes. I think we have traditionally been growing our retail base annually by between 5,000 to 10,000 , sorry, 5% to 10%. So typically adding between 3,000 to 5,000 retailers every year . We are very much on course with that kind of a n addition.
Achal Lohade: If you could help us with the current statistics?
Ramachandran V : I will give you a precise number. Maybe we'll share offline. But it should be in the region of 50,000 to 60,000, which would be our current base . That's why I said 5% to 10% and 3,000 to 5,000.
Achal Lohade: Right. I'm sorry, I missed out in the earlier question. Did you also give some clarity in terms of the Sunflame – what kind of revenues can one look at, given this is the first full year of operation?
Mithun Chittilappilly: You are asking about Sunflame?
Achal Lohade: Yes. Now, I'm asking on Sunflame.
Mithun Chittilappilly: So Sunflame, we are expecting to do close to INR400 crores to INR425 crores, somewhere in between that in the current year, hopefully.
Achal Lohade: The margin what we had in fourth quar ter, sir, Sudarshan sir, have you given the EBITDA number like for Sunflame for -- or the EBIT number?
Sudarshan Kasturi: The EBITDA number for Sunflame is INR9 crores. The details are given in the presentation we circulated last night.
Achal Lohade: Okay.
Mithun Chittilappilly: So Sunflame will do between 12% to 13% EBITDA, because we are also going to invest a lot of the moneys backed into A&P and strengthen the brand, and a lot of the other investments will

go in. So maybe the Q4 EBITDA is looking a litt le high because there is not much activity in
terms of A&P and all that in Q4. But in this year, we will be starting to spend again.
Achal Lohade: Understood. Just one more question with respect to the competitive intensity. I remember in the earlier calls , you have talked about the competitive intensity being way too high in Southern market for some of these categories like wires and water heaters and all given our presence. So if you could talk about how the current scenario is? Are you seeing the intensi ty is broad -based across the pockets, same intensity or is it kind of moderating?
Mithun Chittilappilly: So Ram, you want to take this?
Ramachandran V : Yes. Sure. I think see, in general, I think the growth outlook has been weaker for quite some time now, I mean, over the last few years. That has kind of triggered hyper competitiveness as every company has got into adjacencies. So, these forces are very much there. We are seeing some b

road contours of consolidation because I think continuous years of, what I would say, attempting to break in and not having a healthy outcome is showing i n some instances. I think

companies are looking at how to organize towards that objective. But , for now, the competitive environment stays, what I would say, it continues to stay aggressive. Yes.
But we should see some semblance or sense maybe in a year or 2, maybe 12 to 18 months off the line. See, all incumbents are trying to hold ground, right? So there is not much scope for -- in an environment like today where growth has been significantly lower, right, for the market in the industry compared to histor ical growth rates w hich are pre -COVID growth rates. So, I think companies are holding on to that position and that's kind of making it difficult to move forward through strategies, which are hypercompetitive in nature. We should see things getting better, but right now, thing will continue to seem okay.
Achal Lohade: Understood. Any impact on the margins? Like earlier, you had put a 100 bps margin improvement, gross margin improvement every year. So just wanted to understand if that stays.
Sudarshan Kasturi : I think, I mean our primary task this year is to get back to the range that the gross margins were originally. So while in Q4, there is some improvement, some more has to come. We have to first get to where we were and then improve from there.
Moderator: The next question is from the line of Swati Jhunjhunwala from BOB Capital.
Swati Jhunjhunwala: Yes. Just one question on the ad spend. So, you ended this year with ad spend of around 2.1% and normalized ad spends are around 4.5%, if you see pre -COVID leve l. So do we expect this 2.1% to go to 4.5% exact like for FY'24 itself or do we expect it to go to around 3%, 3.5%?
Sudarshan Kasturi: So historically, our ad spend is -- hovers between 2.5% to 3.5%. When the times are tough and we are not able to spend, i t come s down to 2.5%. In a normal year, it's gone to 3.5%. So, obviously, if our gross margins recovers to a pre -COVID level and the environment remains like I'm saying this kind of hypercompetitive activities are not too much there and the environment is conducive, yes, we will probably move to 3% of revenue in the A&P and then progressively it will increase from there.
Swati Jhunjhunwala: Got it. When you say pre -COVID gross margins, that's around 33%, if I'm not wrong?
Sudarshan Kasturi: Yes. Around 32% to 33% we used to do, yes.
Moderator: The next question is from the line of Natasha Jain from Nirmal Bang.
Natasha Jain: Yes. Sir, could you just throw some light on the pumps business? The last time you had mentioned that the water level was go od and therefore, the demand was subdued. So what's happening in this quarter?
Mithun Chittilappilly: So the pump business had a very rough FY '23. We have noticed that most companies have had a similar tough time in terms of lack of growth and of course, which also means hyper competition and lower -priced model launches, onslaught and all that. We are seeing some improvement in sales in May, which means that after a long time, it's starting to grow. So, we'll wait and see what happens. Even we have seen material cost come off from their highs. We had very, very good rain. So water table remain very high throughout the year. Although I'm hoping

that this year will be a little better. Having said that, we'll wait and see. It's still early days. But there are some indications that this year the pump business should do much better than what we did last year.
Natasha Jain: All right. Sir, my next question is more on the broader macro side rather than very company - specific number. So sir, you've been continuously telling in your con calls that you want to protec

t your margins and you do not want to go to a price -cut strategy just to gain market share because that is not sustainable. And you say that everyone else can do it. So after a point, you stop to gain market share really. Sir, I want to know if you are protecting your margins at the cost of your top line, how quickly can you gain b ack the lost share? Because in this hypercompetitive market, I believe losing market share is more costly than protecting margins. So sir, what's your take on that?

Mithun Chittilappilly: No. As a strategy, we try not to initiate price wars. But if some co mpetitors wants to do it, we will match it and we will defend ourselves. For example, we have lost huge amounts of margins in our water heater business by simply trying to defend our market share. And not only defended but also in fact, we have gained by s ome of the lost share over the last 3 years.

So it's not that we are sitting idle and waiting for others to take our share. So that's what Ram said that all the incumbents are holding on to their share and we are doing the same. So it's not like we are let ting anyone take any market share. What I meant to say that we will not initiate price wars or those kind of things to take. Probably, we will not start it. But if someone starts it, we will respond equally back.

Natasha Jain: Got it, sir. Got it. That's all.

Moderator: The next question is from the line of Rahul Agarwal from InCred Capital.

Rahul Agarwal: Yes. Just two questions. Firstly, April, May, I'm getting feedback from the company that the weather has been funn y and rain has been there in North and West. We obviously saw the IPL final also disrupted. What's your view in terms of non- South outperformance? How has it been?

Mithun Chittilappilly: Yes. So our numbers in South and East have been pretty good, and North and West has been subdued f or summer products. Whatever you have heard and whatever we've been reading is correct. North and West practically did not have much of a summer where every fourth day or fifth day, there was rains and so it has been funn y. But having said that, Eastern ma rkets and Southern markets have done well, where there was pretty warm weather. Again, this is not across. It's state specific. So, we have had some mix of good summer and not so warm summer across.

Rahul Agarwal: Does that impact our Electronics because I think AC is quite a large business for us? My sense is AC secondary sales were pretty weak versus primary. Would y ou have seen any issues there or maybe fans, how that's been?

Mithun Chittilappilly: So fan is continuing to be slow for a bunch of other rea sons apart from weather, like the higher level of inventory of old models sitting in the channel because of people, other brands flushing out all the old inventory in Q3. That's continuing to take some impact because the working

capital of all the retailer s are blocked with the old inventory. So, until that sell-out, that's going to be a challenge.

In the case of air conditioner stabilizers, we've had a good start to the year in the month of April, but May has been very weak. So we'll wait and see. It's not yet over. We still have one more , at least June 15th in North, there is -- there used to be summer. So we'll wait and see. But it's not been; we have had a decent performance by the stabilizers division in April, May.

Rahul Agarwal: Got it. And lastly on Sunflame. So, I got the fourth quarter EBITDA. What I wanted to ask is for full -year fiscal '23, could you share revenue, EBITDA and PAT for the company for Sunflame?

Sudarshan Kasturi: The previous periods don't belong to us.

Rahul Agarwal: Yes. I understand. I understand that. I just need the base.

Sudarshan Kasturi: We won't be able to give you the previous -- the full -year number. The 2.5 months is what we consolidate.

Rahul Agarwal: Okay, sir

. No problem.

Moderator: The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance.

Keyur Pandya : Sir, just want to understand, if I'm not wrong, you mentioned about 15%, kind of 15%, 16% kind of growth for the next full year. So looking at these demand challenges, what will drive this growth, any particular products or particular geography? Would it be back -ended since near - term demand challenges are there? So if you can just dissect this 15%, 16% kind of growth number.

Mithun Chittilappilly: Yes. So that's the kind of target we set ourselves when we had our a nnual planning meeting, annual AOP in the month of March. But we have also assumed that we will have a pretty normal summer. So some part of the growth could get impacted. Yes, the demand environment is a bit weak. Summer has not been very robust - it's been okay in some places and i t's not been okay in some places. So yes, there is a chance that some of this growth will also come in the last 4 months, 5 months as we prepare for the next year summer.

So yes , we will try to gro w 14% to 15%. But yes, there are some challenges through what we see in terms of bad weather and demand, both constricting our ability to grow in the first 4 months, 5 months. But I think, going forward, like I said, we are expecting the effect of inflation that is kind of wearing down and as people have more money in their hands because the fuel,

food and other inflations coming down , we are hopeful that consumers will be coming back again.
Keyur Pandya : Okay. Our second question on the fan side. You menti oned about the higher inventory because of stocking, because of the rating change. So now, I mean, we have always considered fan as more of, say, necess ity than discretionary. So this issue is because of the higher stocking because there are challenges at the secondary sales also. If you can just throw some light on that.

Mithun Chittilappilly: What happened is we had abnormal sale in Q3. I think most companies have had reported very good sales growth in Q3. Even we actually ran out of inventory by October end or something like that. We actually did not have inventory to sell for the old models. So, I think whichever company had a lot of stock of the old model, they just gave whatever kind of discount they wanted and then sold them in the market.
Also, there is a price increase from the old model to the new model. So the retailers were very enthused w ith the delta of buying something at potentially a 20%, 25% discount from what the new model will look like in January. So, that has enthused a lot of these guys to stock up on these products, and that's what's creating the slowness in the market.
Keyur Pandya : Consumer sales is happening or there is lull at that ?
Mithun Chittilappilly: Even there, I think the summer was not as strong, right? So even there, I think, at least in North and West, the summer has been quite weak. Eastern markets and Southern parts – South markets, summer has been good and we are seeing secondary liquidation. So the secondary liquidation has not happened, also to the extent that it could have happened in North and West. So that also is going to play a -- delay the demand for fans, yes, new fans .
Keyur Pandya : Okay. Understood, sir. Just last one question. So on the Sunflame side, so as you mentioned that V-Guard has kitchen appliances portfolio so has Sunflame. So any timeline on how ; any broad thought we would have definitely give n before acquiring the company that how we'll navigate through this? What is the medium- term plan for both of these brands and would it be geography - specific or do you layer it one over the other? So what is the thought over medium term?
Mithun Chittilappilly: Yes. Ram, you want to take this?
Ramachandran V : Yes. I think, at this point in time, we would not

like to outline in more detail. I think we are also
doing some work because we need to get into the company and the brand and understand the business and the brand and its customer base better, right? So, we are in that stage of the journey.
It has been ; we will be playing a two-brand strategy. So it's not like it's one or the other . It will be V -Guard and Sunflame. The contours of how we are going to play this, I think that's something that we are in the course of exploring and discovering, right?
So, I think that is work in progress. I think whenever that we would be in a shape to share, I'm sure we will share. But at this stage, I think we are still in the discovery phase, right? I think mostly, we've been focused on taking control of the operation. It was a promoter -driven business side. Taking control has been the primary focus for us in the first 6 months and then we will move forward tow ards, what I would say, how do we compete and how do we grow the combined franchise, right?
But yes, I think what we are clear about is what brands are going to coexist and that we will have a strategy and approach that will allow both brands to, what I wo uld say, play in the marketplace, focusing on different consumer segments, right? So that's going to be our approach.
Moderator: The next question is from the line of Natasha Jain from Nirmal Bang.

Natasha Jain: Yes. Sir, my question is more of a follow -up on what the last participant had asked. So sir, in fans, what I understand is the market is very saturated and the demand is mostly a replacement demand, which is usually slower than the first -time demand. Now having that background in mind, just 2 days ago, Atomberg kind of raised good amount of money. Now understanding that their moat was BLDC, which is now replicated across players, so that moat goes away. So sir, then is it true to assume that there is still a very big market, which remains for fans? How do you see it in the long term?
Mithun Chittilappilly: No, fan is a very, very old product. It's not a new category as such. So, you're right in thinking and discovering that most of the demand is replacement. Of course, there is some new demand when o ur people build new houses, people build new apartments, buy new apartments and furnish it, fans will get sold. But a large part is replacement demand.
What has been happening in the fan space and across broadly with Indian consumers is, as the

value of t he houses go up, as the amount of money people are spending into interiors is going up, we'll be spending on interiors like decorative fans, premium interiors and all that. The average price of the fan is going up. So although the number of fans sold may not go up significantly, we believe the average price per fan will continue to go up and even BLDC is going to increase the prices by 20% to 30% per fan.

What will probably happen is that the market growth for fans, a lot of it will come from the value grow th of fans. Today, some segment of people are spending money in terms of fans, but there's still large part of the fans business still economy. So once what we believe in the next 10 years will happen, surely, the economy segment will reduce to probably, m ainly institutions and those kind of customers buying in and then the retail customers would be starting to spend more and it has already started to happen. So on fans that is the case.

We don't comment on competitors and all this . But yes, Atomberg is a startup and they are running the business like a start -up. We would like to see every company in the business to run a profitable business.

Natasha Jain: Understood, sir.

Moderator: Thank you. Ladies and gentlemen, that was the las t question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Mithun Chittilappilly: I would lik

e to thank Deepak Agarwal: and PhillipCapital for hosting this call, and thank you all for your patient listening. That's all from my side. Thank you.

Moderator: Thank you. On behalf of PhillipCapital India Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

The transcript has been edited f or clarity and it may contain transcription errors. Although an effort has been made to ensure high level of accuracy, the Company takes no responsibility of such errors .

Call: Aug 2023

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Dear Sir/Madam,
Sub: Transcript o f earnings c all pertaining to t he F inancial R esults for the qua rter e nded J une 30, 2023 .
This is with reference to the in■ma■on dated July 29, 2023, ■led with the stock exchanges in terms of regula■on 30 of the SEBI (Lis■ng Obliga■ons and Disclosure Requirements) Regula■ons, 2015, regarding the earnings call to discuss the Fina ncial Results for the quarter ended June 30, 2023, scheduled on August 10, 2023. The audio recording was duly ■led with the stock exchange. We are enclosing the transcript of the Earnings ca ll. The same is a lso being uploaded on the website of the Company at https://www.vguard.in/uploads/investor_rela■ons/V-G uard-I ndustries-Q 1-Transcripts.pdf
We reques t you t o kindly take the above i nformation on record.
Thanking You,
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For V -Guard Industries Limite d
Vikas Kumar Tak
Company Secretary & Compliance Officer
Membership No. FCS 6618
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ncl: As above

"V-Guard Industries Limited
Q1 FY '24 Results Conference Call "
August 10, 2023

MANAGEMENT : MR. MITHUN K CHITTILAPPILLY –
MANAGING DIRECTOR – V-GUARD INDUSTRIES LIMITED

MR. RAMACHANDRAN V. –
DIRECTOR & CHIEF OPERATING OFFICER – V-GUARD INDUSTRIES LIMITED

MR. SUDARSHAN KASTURI –
SENIOR VICE PRESIDENT AND CHIEF FINANCIAL OFFICER – V-GUARD INDUSTRIES LIMITED
M
ODERATOR : MR. ACHAL LOHADE – JM FINANCIAL

Moderator: Ladies and gentlemen, good day, and welcome to the V- Guard Industries Limited ("V-Guard") Q1 FY '24 Results Conference Call hosted by JM Financial Institutional Securities Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Mr. Achal Lohade from JM Financial. Thank you, and over to you, sir.

Achal Lohade: Yes. Thank you, Zico. Good afternoon, everyone. On behalf of JM Financial Institutional Securities, I welcome you all to Q1 FY '24 earnings conference call of V-Guard Industries Limited. Today, we have with us Senior Management, represented by Mr. Mithun K Chittilappilly, Managing Director; Mr. Ramachandran V, Director and COO; and Mr. Sudarshan Kasturi, Senior Vice President and CFO.

Without taking much time, I would like to hand over the floor to the management for their opening remarks. Post which, we will open the floor for Q&A. Thank you, and over to you, Mr. Mithun.

Mithun K Chittilappilly: Thank you, Achal. A very warm welcome to everyone present on today's call. Thank you for joining us today to discuss the operating and financial performance of our Company for the first quarter of financial year 2023-24. I trust all of you have had a chance to refer to our investor presentation which was shared yesterday.

We reported consolidated net revenues of Rs. 1,215 crore in Q1FY24, higher by 19.3% on a YoY basis. Excluding the revenues from Sunflame, the underlying growth is 13.1% YoY. This strong topline growth has been broad-based across all three segments.

In Q1, the South market grew by 9.9% YoY while the Non-South markets grew by 16.7% YoY despite the North market being impacted by adverse weather conditions. Growth in non-South markets has been strong. Our non-South revenues are approaching 50% contribution of the total sales, thereby strengthening the business.

In our Electronics segment, comprising of Stabilizers, UPS and Inverters, we reported revenue growth of 20% YoY. In the Consumer Durables segment, where we market Fans, Water Heaters, Kitchen Appliances and Air Coolers, we registered YoY growth of 10.7%. We continue to make progress towards achieving scale in key Durable categories. In the Electricals segment, which remains our largest revenue contributor comprising Wires, Pumps, Switchgears and Modular Switches, we registered growth of 10% YoY in revenues over Q1FY23.

Gross margins improved to 32.5% this quarter from 30.0% in Q1 last year. Sequentially, there is an improvement by 120 basis points compared to 31.3% in the last quarter. The impact of

softening commodity prices has started to reflect in the gross margin with gradual improvement over the last few quarters. We expect further improvement to reflect in the coming quarters as well.

Consolidated EBITDA excluding other income was Rs. 105 crore in Q1, an increase of 27.7% on a YoY basis. Consolidated PBT was at Rs. 86 crore, grew by 19.9% YoY. This includes a fair value gain of Rs. 7 crore on the Gigadyne investment, which is a one-off item. Profit after tax in Q1FY24 was Rs. 64.2 crore and increase of 20% on a YoY basis.

The strong financial performance that we reported in Q1 has been accompanied by a robust cash generation. As indicated a few quarters ago, we would revert to normative inventory levels as COVID-related supply disruptions diminish. Inventory levels have come down by Rs. 120 crore as compared to a year ago.

During Q1, we completed the integration of Simon Electric Private Limited , with most of the backen

d processes now aligned with the mainstream. The go-to-market approach continues in its original model for the present and we are working on growth strategies to drive, from the combination of both entities.

In the case of Sunflame Enterprises Private Limited ("Sunflame"), business integration is underway at an accelerated pace. The management team is in place enabling first level alignment. We have prioritised the integration of e-commerce, Canteen Stores Department (CSD) channels teams and initiated expansion in the Southern market where Sunflame did not traditionally have a strong presence. The finance and IT integration for Sunflame has also started. We are working on renewing the portfolio, aligning the distribution channels and will undertake technology interventions wherever required in Sunflame.

With these acquisitions being streamlined, inventories normalised and upward momentum in topline and margin, the business is well placed to execute on plans for growth. We look forward to the upcoming festive season and are hopeful to sustain the growth momentum during the quarters ahead.

With that, I conclude my opening remarks. I would like to thank Achal Lohade and the team at
J M Financial for hosting this call and would like to request the moderator to open the floor for
Q&A.
Moderator: The first question is from the line of Shubham Aggarwal from Axis Capital.
Shubham Aggarwal: Thanks for the opportunity. Just on the first question on Sunflame, we noted that Q4 only had a part of the revenue. The whole Q4 revenue did not get consolidated. The Q1 revenue has also been weaker for Sunflame. However, we were guiding for INR400 crores or so, but it's weaker, so I just wanted to get a sense. Is it significantly lower or is it lower than our expectations for Sunflame? What should we expect for Sunflame going forward this year?
Ramachandran V. : I think, as far as Sunflame is concerned, it is trending similar to other kitchen companies. There is some stress on kitchen revenues, and that's also reflected for Sunflame. Yes , we had hoped

that Sunflame – the kitchen category would recover from Q1 this year, but it is still continuing to be weak; you have seen with other kitchen companies who have announced it themselves.
Shubham Aggarwal: I'm saying, is there any change in guidance given the weaker sentiment for kitchen appliances on Sunflame?
Mithun K Chittilappilly: Yes, Sunflame, Q3 is the main quarter. In fact, Q3 is a very large quarter for a company like Sunflame, which has primarily its revenues coming from the non-South market, where Diwali is the main selling season. So we'll wait and see. Some of it, we are expecting it to recover. There are also some one-off issues in terms of, there were some issues with stockouts and there were some issues with CSD ordering system and all that.
So some of those things are being streamlined and we are expecting it to come back. So I think once we finish Q3, we can give a better picture. But, yes, kitchen companies across are reporting muted numbers. In fact, for most companies, either it's flat or negative growth.
Shubham Aggarwal: Moving on to the second question, just wanted to get a sense that the electrical margin seems a bit low, it is on the lower side. Last year, we had inventory losses in the same quarter in the first half. So why is that; can you give some more colour on why the electrical margins are so low right now, in this quarter?
Mithun K Chittilappilly: Yes, Electrical segment is primarily, the margin impact has been primarily on account of A&P. We had a campaign for wires that started in Q1 of this year, so the A&P cost in this quarter is much higher than what it was the previous year. So that's the primary reason for the margin compression. The gross margins are almost comparable.
Shubham Aggarwal: I see that there was only 20 bps inc

rease in the A&P spend on an overall company level. So, the higher allocation has gone towards electrical this year, is that the right way to understand and that's what's led to a lower margin? Can you quantify that how much should I add back to -- how much extra, something that gives you?
Mithun K Chittilappilly: So, the way to look at A&P is, depending on the need, then depending upon our strategic priorities, we spend money on different categories, so this year, because this year we decided to support wires and cables category in Q1 as a part of strengthening our presence in that segment across the country. Last year, there was no campaign for wires in the same quarter. So that's the reason.
In terms of the exact value, we will come back to it.
Sudarshan Kasturi: It had an impact of about 1.8%.
Mithun K Chittilappilly: About 1.8% for the quarter would be impact for electricals for the quarter, because of A&P.
Shubham Aggarwal: Got it, sir. Sir, a very nice set of growth in Electronics that's been continuing even in this quarter. What is leading to this growth and how do you see this going forward in Electronic s?
Mithun K Chittilappilly: For the past few years, both stabilizer and inverter sales has been impacted due to one reason or the other. I mean, we had multiple COVID waves during summer, due to which our categories

were impacted. This year, there was strong support of sales from Southern and Eastern markets, whereas in the North, like many other companies, we also faced a lot of headwinds because there was not much of a summer season in the Northern markets. So, I think this year is a good year.
I think it looks like this momentum should continue going forward, and Electronics should do well for the entire year as well.
Shubham Aggarwal: Okay. So, any Electronics EBIT, how should we look at it, the margins going forward?
Mithun K Chittilappilly: Like we had mentioned, there are some commodity prices that has come off and some of it has started to flow. I think we probably will see a little more, maybe a slightly more expansion in margins, but that's not only for Electronics, maybe in ot her categories, we are expecting some

expansion in gross margins as the quarters go ahead.
Moderator: Our next question is from the line of Venkatesh Balasubramaniam from Axis Capital.
Venkatesh B.: Yes. Again, going back to what Shubham was asking you on Sunflame, now, this is the first full year of operations for Sunflame. What we are trying to understand is, is this like a INR 300 crores business, top line revenue business? Is it like a INR350 crores? Is it a INR400 crores or is it like a INR450 crores? Some kind of ballpark indication for the current year would be very helpful to us in terms of modeling the business, what is the starting point for this business? Is it INR 300 crores? Is it INR450 crores? Or is it like somewhere in between?
Mithun K Chittilappilly: I think we have to understand this that Sunflame is an asset where we have been engaging with the promoters for sale for some time, at least for many years, even at least a couple of years before COVID started. During COVID, what happened is, we had suspended the negotiations, and actually there was a small boom in kitchen appliances across categories. Companies grew very fast and so did Sunflame.
But our original investment philosophy and whatever acquisition costs we had negotiated, we did not change it. So we ended up still buying Sunflame at a reasonable valuation. So, obviously what has happened now is, after that, there was an abnormal boom in the kitchen appliances business during COVID.
Now, across companies, you will start to see, and some of them are already announced, and then you'll start to see in most cases, there is either a flattish kind of a number or some people have degrown, depending on what kind of product mix

each company has. So, I think incase of Sunflame, we are looking at something like INR 330 crores to INR 350 crores of revenue in the current year.
The good thing to note is that, margins are intact in Sunflame. In fact, we are expecting some margin improvements coming in as the commodity prices are going down. We first want to fix the basics of the business. For example, the aftersale service for the entity, the quality of aftersales is not as great as what V-Guard customers are used to. So we are first fixing the basics and we are putting boots on the ground to ensure that Sunflame has better reach and sound.
There are some levers that we have activated and some of this may take time to show. But, yes, we are looking at between INR 300 crores to INR 350 crores of revenue in the current year. We

are still hopeful because the decline in kitchen appliances sales started towards the H2 of last year. So to that extent, the basis are going to be low once we start entering post Diwali period.
Venkatesh B.: What about EBIT margins? Is it like a 9% to 10% kind of EBIT margin business? Is that a reasonable assumption?
Mithun K Chittilappilly: Sunflame is between 11% to 12% EBIT margins. Sunflame's margins are higher than that of V-Guard's margins.
Venkatesh B.: Understood. Now, going back to that Electronics' question which was asked, now, obviously, I mean, the quality and quantity of power, which is available from the grid, has improved significantly over the last 10 to 15 years. Now, while we are seeing a jump of 20% in FY '23, we're also seeing a jump of 20% growth Y-o-Y . Is this like normal growth or it is just that it is just a catch up? I mean, is this a category which can go at 10% going forward from next year onwards, or it again trends back to like 4%, 5% kind of level of growth?
Mithun K Chittilappilly: See, it's a heavily dependent category, both inverters and stabilizers are primarily sold in Q4 and Q1. So, what happens is, in a year, if there is not good summer, it affects the category growth for the entire year. If you look at last 4, 5 years at least, the CAGR has been extremely low for Electronics, practically not grown. We do expect it to come back to its original CAGR of about 8% to 9%. This year, we may grow faster than that because in the last few years, there was no growth.
Venkatesh B.: Understood. Another thing, on the segmental numbers, if I see your segmental numbers, consolidated segmental numbers, there's an item called unallocable. Now that unallocable number usually is a negative number, it's around anywhere between INR 2 crores to INR 5 crores kind of a negative number. In this quarter, you have seen a positive number of around INR 2.6 crores. So why is that, that you have a positive number? Is this like a forex gain or is there something else at play here in the first quarter?
Sudarshan Kasturi: These are very small numbers, so they can move from a slight negative to slight positive depending on what items they are. Basically what is unallocated are some financial costs and financial income and some depreciation with non-factory. Sometimes if the finance cost is higher and income is lower, it can go into negative .
Venkatesh B.: One last one from my side – last year, obviously our margins were impacted. Overall consolidated margins were at around 7.8% kind of levels. What is kind of a reasonable level for EBITDA margins in the current year FY '24 and when can we get back to double- digits? Is it like, we can get back to double-digits in FY '25 or, and what can be achieved in the current year

in terms of EBITDA margin?
Mithun K Chittilappilly: We want the EBITDA margins to basically land somewhere between 9% to 9.5%. As of now, the trend of commodities, barring copper, almost all commodities are trending down. Even in the month of July, I think there has been some slight sof

tening in certain commodities. So, I think the 9% to 9.5% is possible. We will start to see this progressively happening over the quarter as, we go ahead.

Moderator: Our next question is from the line of Aniruddha Joshi from ICICI Securities.
Aniruddha Joshi : Yes. Sir, thanks for the opportunity. Consumer Durable margin continues to remain weaker. I understand there is an angle of depreciation of plant. So, if you can indicate what was the EBITDA margin in this quarter versus the previous quarter, or please also suggest how should we think about the EBIT margin improvement over the next 2 years. That is the first question. Secondly, what we understand, the trade margins of Sunflame, they're materially higher than that of V-Guard. So, how are you able to merge the two distribution networks? And what are the likely synergy benefits, whether we will continue with higher trade margins for Sunflame or we will cut them down to V-Guard level? It might be 1, 2 -quarter impact on sales? That's it from my side.
Mithun K Chittilappilly: First of all, our consumer durable (CD), this is the segment where V-Guard has launched the maximum number of new products if you look at the last 7, 8 years. The two large categories in this is fan and water heater. In the case of water heaters, the company is still sitting with a lot of high cost inventory from last year's season, which is not fully sold out, because the season was not as good as we expected. So we expect the high cost inventories to get sold out sometime by October of this financial year.
Partly in Q3 and then in Q4, we should see CD margins going back. It used to be something like 4%, 5% EBIT margin, before we had this kind of huge inflation and commodity pricing and that's also being the category that has been mostly impacted.
Sudarshan Kasturi: If you look at the last two quarters of the previous year, it was in negative territory. At least it's now come to positive 0.3. There's still some more margin recovery to happen in water heaters and fans.
Mithun K Chittilappilly: Yes. Regarding Sunflame, I'll ask Ram to answer .
Ramachandran V.: As far as Sunflame is concerned, these two will run as independent go-to-market systems. There is no plan to merge them. They presently are separate legal entities with independent teams which go to market independently. At this stage, we have just landed the management team in the last quarter. They've just been in the company for 2 to 2.5 months and we will evolve the strategy, going- forward. But there is no plan to integrate Sunflame and V-Guard into the existing system. That's going to remain independent.
Presently, we are maintaining the Sunflame practices till we understand the Sunflame business and what drives it before we move forward in terms of what we can do with the business.
Aniruddha Joshi: Understood. But unless and until both the brands come together as one single entity, how do we see the synergy benefits? Basically what are the synergy benefits that we are building in?
Ramachandran V.: Fundamentally, there are some growth levers and there are some profit levers, right? As far as growth levers are concerned, the entire Southern market, they are absent and that presents a good opportunity. I think e-commerce is again an area where we have a strong business system and V-Guard added with Sunflame, can leverage. I think these are the two key areas.

The other critical area, fundamentally in terms of, I think, over a period of time, sourcing or, what I would say, supply chain are some areas where we can get the better benefits like, sourcing is like whether it's raw material or packaging material. So these kind of opportunities are there and we are working on some of those kinds.
Mithun K Chittilappilly: If you ask us, our priority is goi

ng to be to integrate the back-end. For example, customer service, sourcing, logistics, these are the areas that we will integrate first. Probably the sales system will be the last because, like you know and you have said, Sunflame has got a very different GTM. There are some advantages and there are some disadvantages with that, but at the moment, we don't want to make any knee-jerk reactions, because there are ; it is a brand that has been there for almost 35, 40 years. So, it has some certain practices and it will take us some time to change those practices.
Moderator: Our next question is from the line of Renu Baid from IIFL Securities.

Renu Baid: Yes. My first question is, can you provide some input on the cables and wire segment
performance in terms of the volume growth and what kind of capacity utilization are we working on currently in this segment?
Mithun K Chittilappilly: So, our cables and wires is primarily house wiring cables. We don't make underground cables and cables that are going to infra and stuff like that. I think, our growth in cable, the house wiring cable segment was around close to 13% and I think that its value growth. On the volume growth;
it has come back with the volume growth of about 13%, because there has not been much of a
price difference.
Renu Baid: Sure. Approximately what capacity utilization are our manufacturing facilities running today in
this segment?
Mithun K Chittilappilly: So we have spare capacity. I think, our capacity utilization is not more than 65% to 70% in terms of cables and wires. But we have to understand that the sales are volatile. Like for example, there
is a practice of upstocking and destocking depending on how the copper price is going. So, certain months, it can go higher, but on average it is 65% to 70%.
Renu Baid: Sure. Second, while we understand that there is no clear plan as of now for modular or Sunflame,
this is a completely different portfolio. But how should we look at the deleveraging plan against
finance, which was raised for funding the acquisition?
Mithun K Chittilappilly: On deleveraging, we have already paid down the working capital debt, which we had started to avail once we acquired Sunflame, that is something like INR80 crores, INR 90 crores of working
capital.
Sudarshan Kasturi: Yes, INR100 crores, we have been retired already.
Mithun K Chittilappilly: Yes. Of the total INR 400-odd crores of debt, already INR 100 crores has been repaid . V-Guard is already sitting with a cash of close to INR 100-odd crores even after retiring the debt. I think,
from April of 2024, V-Guard will start repaying the debt which we have taken for Sunflame. I think, looking at the current cash flow generation of both the entities put together, they are both

very healthy. So, in about 18 to 24 months' time, we should be probably completing the
repayment of most of the debt.
Renu Baid: Sure. Secondly, sir, broadly if you look at the demand environment, what is your reading in
terms of the consumption? Where do you see the pockets of consumption being far more weaker
than expected and any timelines on recovery?
Mithun K Chittilappilly: Like I said earlier, the kitchen part seems to be a bit stressed. We are hoping that H2 should be better. We started noticing stress on the kitchen business even last year after Diwali. I think that
has also got to do with the fact that there was a huge increase in sales in the previous year prior
to; that's 2 years back.
The other area where we are worried, there is some soreness we are seeing in the switchgear space, Switches and switchgear also not grown as well as we had hoped, although cables and
wires is doing better. So, we'll have to wait and see, it's been a mixed bag. But the good thing is, once we have a good start for the year for any summer -based products, we tend to at least do
well in the following q

uarters, because there is very little inventory in the channels for a product like stabilizers or inverters. Last year and all, we were struggling with a huge channel inventory,
and thereby our numbers were muted in the Q2, Q3 for these categories. Overall it looks okay. I think, Onam will also give us some indication on how the consumer spend is going to be for this year.
Renu Baid: On the new products segment, because for the last couple of years, we have been trying to
refocus on new segments categories where we can improve the profitability. But despite that, as
you mentioned, even performance of some of the segments like switches and all have not been
as expected, still a bit softer.
So in your view, it is just that the overall demand environment is weak or somewhere the acceptance of V -Guard brand in some of these new categories have been softer than expected in
the Southern markets. And aligned with this, what is the kind of penetration that you're looking
for some of these new categories for non-South markets as well?
Ramachandran V. : The newer categories are growing. They're growing faster than market and faster than
competition. There is a general softness in the market, and I think you would have seen this from
the results that have come. Probably if you are able to separate the B2B outcomes from B2C
outcomes, you will have a more broader understanding of the extent of softening.
Last quarter, we have been able to do stronger relatively, in spite of the slowdown. We will have
to wait and see as we are entering the festive season, whether it's going to shift the mood. I think
some of it has also had to do with heavy rains in certain parts of the country and stuff like that.
But there is a larger slowdown in consumption.
Now, in terms of, what I would say, the newer categories, entering into non-South, I think selectively depending on the category, we are moving them into non-South. In fact, the non-
South business has by and large been growing. This last quarter has been bad for North and, therefore, North has pulled

down our non-South business for this last quarter, fundamentally because of weather. But otherwise, I think, we are on track.

We are adding retail partners by category in most new categories, wherever we have taken them to non-South, but primarily, that is switches and switchgears. In the kitchen, we still remain in South. So, primarily the new categories are switches and switchgear-oriented, and these are growing in these markets. And air cooler to some degree which is also growing here.

Renu Baid: My last question is, if you look at the broader framework of the expansion across segment categories, diversification from South to non-South, which now has been over a decade in journey, from the current levels where we ended last year, in your view, how many more years it should take for you to double the revenue from the current level? Would it be like a 3-year journey, a 4-year -plus journey or how are you looking at the market from a slightly longer-term perspective?

Mithun K Chittilappilly: We have always said that, our goal is to hit 50% of revenues from non-South. In some quarters, we are already hitting. I f you actually combine the Sunflame's business, it should even go to something like 50% to 53%. I think we have not set a target, in how many years we have to do X number and all that. I think broadly if we get like about 60-odd-percent of revenues from non-South, that would say that we are reasonably mapped to the overall market sizes of both these zones.

Ramachandran V. : So, in our category, South is typically about 38% -- 37%, 38% of the market is South, and 60% to 63% is non-South. Presently, we are hovering between 48% to 50% non-South contribution, not including Sunflame. I think, we should be able to grow this by 2% every year, given the higher growth rate typically, non-South is enjoying over South.

But I think the last, 2, 3, 4 percentages are going to be harder to come by because it will require more deeper penetration from a channel standpoint. It will also require higher extraction, which will typically come with more maturity of the brands present in those markets. We should be able to see 2% increase in non-South contribution every year over the next 4 to 5 years.

Moderator: Our next question is from the line of Rahul Agarwal from InCred Capital.

Rahul Agarwal: Yes. Sir, my question is on Electronics. I understood what you explained, but was the mix very different? My understanding is that AC contributes about 70% to stabilizer sales mix and my sense was Q1 was not a great sum for North and non-South, let's say, for V-Guard. So, was the mix very different or you saw growth between stabilizers was pretty equal?

Mithun K Chittilappilly: Yes, AC stabilizers is the main driver for the stabilizer business, in Q1 especially and the other components for Electronics which is inverters and batteries. Yes, North business was impacted. In North, in fact, there was a degrowth for the stabilizer category. But our business in South and business in East grew very well.

Some of this growth overshadowed degrowth in the Northern market. So that's why overall we have grown well. So I hope this answers. The Eastern, for example, West Bengal, Orissa and Bihar had extremely good summer season, so did Kerala and Tamil Nadu and parts of Andhra.

So, all this kind of compensated for the degrowth in North.

Rahul Agarwal: Got it. Understand. Secondly, on gross margin, obviously good to see the recovery to 32.5%. Is there more to go here?

Mithun K Chittilappilly: Some of the increases in gross margin have come due to the product mix also. So, there has been a better mix of products because stabilizer contribution has grown faster than the company average. Some of it is due to that. But even other than that, we are expecting some more improvement as the quarters go by. Like I said, we are still having some high cost inventory for certain categories that should go out by October. So, I think in the following orders also, we are hoping to see some improvement in gross margin.

Rahul Agarwal: So, stabilizer obviously won't sustain 20% growth in my understanding. So, obviously that will come down over the course of the year, and water heater might be better in second half. Net-net should be the same or you're saying net wise on a consol level the margin should go up?

Mithun K Chittilappilly: No, I think, even from this level, I think gross margin should improve. Because see, for example, some large categories like water heaters and fans, we have still not got to the levels of gross margin which we should have, what was there before the commodities started shooting up. And there has been some good news on that front in the sense that for some of the commodities like steel and aluminum , prices have softened in the last 2 months. So, some of it should benefit.

In water heaters especially, we are still having high cost inventory. I think only by October, we should be coming back to; so water heaters still whatever we are selling is high cost inventory. Till that goes out from the system, it's going to impact the overall number in terms of gross margin. That's why we are still expecting a further improvement from this. Another, I think, 1.5% improvement is what we think we should get over the next 3 quarters.

Rahul Agarwal: Mithun, why not in fans, like what is really wrong with fans? I thought the entire old inventory thing is in the past now and prices have gone up.

Mithun K Chittilappilly: Fan does not see an inventory issue. It is just that the North is a big market for fans. So what happens is, when there is a very bad summer season, what happens is some of the price increases that were taken up

by brands in April, finally they resorted to giving discounts in the month of May and June because of heavy rains. So, fans does not have the issue of old cost inventory. Fans see an issue of extra discounts being given by brands because there are very poor sales in the Northern markets.

Rahul Agarwal: Yes. Last question is on non -South, could you help us with more color on what are the gaps here now? Are we like present across states, which states are contributing better and what's the strategy in terms of your sales channel development into non-South markets, please?

Mithun K Chittilappilly: In non-South, maybe 4, 5 years back, we had a huge lag of contribution from Western markets, but that's now largely solved. I think the gap for us will be Delhi, Bombay and Calcutta, the metro cities where our presence is limited, but we are okay with that because those are the toughest markets to break. But otherwise, we are pretty much happy with where we are in terms of our presence. There is, I would say, a pretty strong presence; West was a lagger, but even today, I can say that West is also having very strong presence for V-Guard from what it was five years back.

Rahul Agarwal: Got it. The last one , small one for Sudarshan, could you help us with the capex needs for this year and next year?

Sudarshan Kasturi: Capex for this year is around INR100 crores; INR100 crores to INR 110 crores. Similar amounts for next year also.

Moderator: Our next question is from the line of Rahul Gajare from Haitong Securities India Private Limited.

Rahul Gajare: Yes. Mithun, some of the questions have been answered, but I just wanted to dwell a little more on the gross margin. Obviously, the product mix has aided the gross margin, but is there any price hike also which have been taken by the company? And if yes, how much is that?

Mithun K Chittilappilly: See, the only price hike that has happened was probably for wires where there was actually; first there was a price decrease because copper was falling and then towards the month of June there was an increase in copper price, so there was an increase in prices. But other than that, I think we are largely done with the regime for price hikes. I think only in fans, I think there is maybe a little bit of gap in pricing t hat is remaining.

I think most categories are fine. When we look at the replacement costs what we have today, and so we understand where the margins will be in the next 2 to 3 months. Most of them seem to be largely okay. So, price hikes may not be required. We just need the high cost inventory to move out. Maybe in fans, maybe a little bit of pricing action is still required in fans.

Rahul Gajare: With respect to your own manufacturing, now over a period of time, there is a lot of in-house manufacturing that you'll have done. How is it stacked today in terms of your total in-house manufacturing and what is the long-term view as far as manufacturing is concerned?

Mithun K Chittilappilly: Yes. Today I think it's about 60-odd- percent overall. And this number was something like 35-odd-percent if you look at maybe 8, 9 years back. I think, we expected to go to close to 75-odd-percent in the next 3 years. We have 2, 3 more plants that are coming up from various categories.

Once they start contributing meaningfully, we'll probably go to 75%, 76% of the basket being manufactured in our own factory.

Rahul Gajare: My last question is, in your opening remarks, you did highlight there was an exceptional item sitting in other income. I have actually missed that. Can you please give us the details of that?

Mithun K Chittilappilly: Yes. Sudarshan?

Sudarshan Kasturi: Yes. So that one-off item is relating to the investment we made in Gegadyne. There was a INR 33 crores of investment that we made. There was a reassessment or a fair valuation done this quarter; as pe

r the Accounting Standards, we had to do a fair value adjustment once in a few quarters or so. Thus, coming out of that, there is a gain of INR 7 crores that we recognized, which is part of other income.

Moderator: Our next question is from the line of Achal Lohade from JM Financial.

Achal Lohade: Yes. Just had a couple of quick clarifications. Mithun, you mentioned that we can look at another 150 basis points kind of a gross margin improvement over next 3 quarters as our high cost

inventory gets liquidated and raw material costs get softer. But at the same time, you also indicated the gross margin -- the EBITDA margins could be between 9% to 9.5%.
So, what I'm trying to figure out is that, are we planning for substantial investments in terms of employee or A&P or other expenses, which is pulling this, otherwise this should cost 10% in this year itself?
Mithun K Chittilappilly: So, I think, gross margins will increase progressively. So it will not happen that, all the 150 bps will come in the second quarter. Some of it will come in second, some of it will come in third and fourth. So, that's why I said, it will be a mix of, an average of all this, in terms of gross margin. Yes, I think A&P spends are still at least 1% lower than what we would like it to be. We are still at about 2% to 2.2-odd-percent. We would probably like it to go up by another 1 percentage point more once gross margins reverts back to normal. So, yes, so some of it will go back to A&P.
Achal Lohade: Got it. Secondly, with respect to the in-house manufacturing, you said the mix will go up to 74% -- 75-odd-percent over next 3 years. What kind of gross margin improvement can we look at because of that, and as well as EBITDA level margin improvement, purely because of the in-house manufacturing?
Mithun K Chittilappilly: So these are going to be very directional because what will happen is, as we start a new factory, for the first 18 months, we are actually going to probably have a decline in margins because the startup costs, the factory won't be running at full capacity and so on and so forth. So, a lot of the benefits will start to flow in only after the first 18 months. So these factories are not all starting at the same time.
For example, we had one factory that started last year in January. We have one starting this year in January, and then we have some things. So what will happen is, maybe it's too early for us to start talking about margin improvements because some of these will get masked by additional cost of the new factory startup. So, I think once we have completed all the factories and once we start production and majority of the new factories, at that time, maybe it'd be better to come back with this number.
Achal Lohade: Understood. One more question. With respect to distribution, is it fair to say that we've kind of reached a level where we can say that we are fairly present across the country? Or is there a substantial white space which is still remaining, which we can look at over the next couple of years? So, A, in terms of distribution tally, in terms of dealer and retail touchpoint, and how do you see it from a 3-year perspective?
Ramachandran V. : There is room for the depth of distribution to increase, which means that within the markets that we are present in, maybe we can address more outlets or get into smaller towns that we are not servicing. So that the opportunity is there. Second thing is, within our portfolio, the reach may not be uniform across all categories, categories that are recent, right? There is an opportunity to increase the penetration of categories.
The category access is going to be one key access for us to improve the overall market presence of the company. The recent categories will have opportunity to go through that route. I think,

particularly in non-South, there may be opportunity within the markets we are present and to get into some adjacent markets. So I think that is there. But overall, structurally, in terms of addressing major states and major clusters, we are there already in most of these markets.
Achal Lohade: The count, Ram sir, if you can highlight, what is the count?
Ramachandran V.: We will be adding about 3,000 to 4,000 retailers every year, and that's what we've been saying and we continue to do that.
Moderator: Our next question is from the line of Natasha Jain from Nirmal Bang.
Natasha Jain: Most of my questions have been answered. Just will delve a little deeper segment- wise. Sir, in your Electronics segment, since this has been mostly a quarter for AC stabilizers, can you tell me how the growth in the battery and inverter segment were and have we been able to take a price hike in that segment?
Mithun K Chittilappilly: So we don't give out category-wise numbers, but both stabilizers and inverter battery. I nverters and battery, we don't think of them at two different categories, it’s sold as a bundle product.
People buy inverter and batteries, and sometimes people buy batteries as replacement also. But both of them have demonstrated healthy growth, and that's contributed to the 20%- odd growth for Electronics.

Natasha Jain: Okay. On price hikes, were you able to take there or not simply because of cross-market
expansion or everything?
Mithun K Chittilappilly: No, I think in terms of prices, like I said, was only in the case of fans, I wouldn't say it's even in
pricing. I think pricing has improved. But discounts have increased after the summer season in
certain parts of the country were not supporting, brands have resorted to additional discounts
being given maybe from May 15th onwards.
So, I think that's the only case where maybe real-life pricing has to improve. In other cases, I
think, we are today in an environment where most of the categories, except for copper, is in a
deflationary trend. Copper being, it's also range -bound, it's not increasing much. So, we don't
foresee the requirement for further increases in prices.
Natasha Jain: Understood, sir. Sir, then next to your Electrical segment, I know you're talking about 20% of
your revenue is coming from pump. So, how has that segment been specifically taken like that?
Mithun K Chittilappilly: So, pump business has been impacted; it is the second largest category after wires and
Electricals. The pump business was impacted in the first 45 days of the quarter, but I think in the month of June, we saw a
little improvement. This business has not taken off to the level that
some of the other summer category products have done.
So, there still seems to be some challenges. I think this is more of a rural product. So, it could
be that there is more stress, but yes, we've come to understand that across brands . Pump business,
so it's not degrowing or anything, it's growing at very low single-digit kind of numbers. So, this

is not very encouraging, but we are hoping that the situation will reverse when we have better -
- probably better environment in the rural market.
Natasha Jain: Understood, sir. Sir, considering the results that we posted this quarter, and we still have two
seasonal quarters that remain, so are we still maintaining our top line growth of 14% to 16% or do you see a bump up there?
Mithun K Chittilappilly: No, I think, at the moment, we don't like to change anything. And let's see, let's finish a couple more
quarters and then we'll come back.
Natasha Jain: All right. And sir, lastly, can you just throw some light as to how the e-commerce and MP segment did both for
Sunflame and V-Guard?
Mithun K Chittilappilly: Okay. Ram?
Ramachandran V.: I think, the e-commerce segment for us would have grown at about 20-odd-perce

nt, muted
compared to what typically we have been enjoying. This is to some degree led by just
competitiveness, but the growth on the platform has slowed down. I think, Sunflame, we are in
the process of integrating the Sunflame e-com business on V-Guard platforms, and V-Guard e-commerce systems.
That's going to take some time, maybe another 1 month or 1.5 months before we will start to see the Sunflame business
operational for scale up. So, I think, otherwise the Sunflame business continues the old way. I think they do typically about 6%
to 7% of the revenue, or maybe 7% to 8% of the revenue that typically comes from e-commerce.
Natasha Jain: Okay. All right. And sir, last question, I could not hear clearly. What was your capex number
for FY '24 and '25? If you can just repeat that.
Mithun K Chittilappilly: Capex number?
Natasha Jain: Yes, capex number.
Mithun K Chittilappilly: INR100 crores each.
Natasha Jain: INR100 crores each, all right.
Moderator: Our next question is from the line of Khadija Mantri from Sharekhan.
Khadija Mantri: Yes. I just wanted to know if it is possible for you to provide volume growth on consolidated
basis, excluding Sunflame.
Mithun K Chittilappilly: See, I think there is a problem by giving that because we have products like modular switches
where the average price of the product is INR 30. And then, we have products like solar water
heater where the average price is INR 20,000. So, I think, it may not make much sense. What I'm
saying is that when you give out the volume numbers, consolidated-wise, these things could
distort.

Sudarshan Kasturi: But for this quarter, you can assume that pricing has been flat. There's not been much of a pricing
action as compared to last year.
Mithun K Chittilappilly: Yes. So from Q4 of last year to Q1 of this year, there is not much of a pricing action.
Moderator: Thank you. Ladies and gentlemen, that brings us to the end of our question-and-answer session.
I would now like to hand the conference over to the management for closing comments.
Mithun K Chittilappilly: Thank you all for participating on this call. I would like to thank Achal Lohade and the team at

JM Financial for hosting this call. Thank you.
Moderator: Thank you. On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2023

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Mumbai - 400 051
Scrip Code: 532953 Symbol: VGUARD

Dear Sir/Madam,
Sub: Transcript of earnings call pertaining to the Financial Results for the quarter and half year ended September 30, 2023.
This is with reference to the in■ma■on dated October 23, 2023, ■led with the stock exchanges in terms of regula■on 30 of the SEBI (Lis■ng Obliga■on s and Disclosure Requirements) Regula■on s, 2015, regarding the earnings call to discuss the ■nancial results for the quarter and half year ended September 30, 2023, scheduled on November 01, 2023. The audio recording was ■led with the stock exchange. We are enclosing the transcript of the Earnings call. The same is also being uploaded on the website of the Company at
https://www.vguard.in/uploads/investor_rela■ons/V -Guard -Industries -Q2-Transcript.pdf

We request you to kindly take the above information on record.

Thanking You,
Yours Sincerely,
For V -Guard Industries Limite d

Vikas Kumar Tak
Company Secretary & Compliance Officer
Membership No. FCS 6618

Encl: As above

"V-Guard Industries Limited
Q2 FY202 4 Earnings Conference Call"

November 01, 202 3

ANALYST : MR. ANIRUDDHA JOSHI – ICICI SECURITIES

MANAGEMENT : MR. MITHUN K CHITTILAPPILLY – MANAGING DIRECTOR - V-GUARD INDUSTRIES LIMITED

MR. RAMACHANDRAN V – DIRECTOR & CHIEF OPERATING OFFICER – V-GUARD INDUSTRIES LIMITED

MR. SUDARSHAN KASTURI – SENIOR VP & CHIEF FINANCIAL OFFICE R – V-GUARD INDUSTRIES LIMITED

 Moderator: Ladies and gentlemen, good day and welcome to V -Guard Industrie s Limited ("V-Guard ") Q2 FY202 4 earnings conference call hosted by I CICI Securities . As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that the conference is being recorded. I now hand the conference over to Mr. Aniruddha Joshi , thank you and over to you.

Aniruddha Joshi : Thanks Akshay. On behalf of ICICI Securities we welcome you all to Q 2 FY2024 results conference call of V -Guard . We have with us senior management represented Mr. Mithun K Chittilappilly, Managing Director; Mr. Ramachandran V, Director and Chief Operating Officer; and Mr. Sudarshan Kasturi, Senior VP and Chief Financial Officer. Now, I hand over the call to the management for the initial comments on the quarterly performance and then we will open the floor for question-and -answer session . Thank you and over to you Sir!

Mithun K Chittilappilly: Thank you, Aniruddha and ICICI Securities for hosting this call. A very warm welcome to everyone present on today's call. Thank you for joining us today to discuss the operating and financial performance of our Company for the second quarter and first half of financial year 2023- 24. I trust all of you have had a chance to refer to our investor presentation which was shared yesterday.

The second quarter witnessed subdued consumer demand especi ally in the discretionary categories like consum er durables thereby impacting topline growth. We have reported a consolidated Net revenues of Rs. 1,134 crore in Q2, it is higher by almost 15% on a YoY basis. Excluding the revenues from Sunflame, like -for-like comparison, revenue growth is 8.7% YoY. In Q2, the South market grew by 6.7% YoY while the Non -South markets grew by 11.3% YoY. As Non -South markets continue to grow in double digits, their contribution to revenues has increased to 43.8%, indicati ng the enhanced scale for V -Guard across all regions of the country. In our Electronics segment, comprising of Stabilizers and Inverters, we reported revenue growth of 12.1% YoY. In the Electricals segment, which remains our largest revenue contributor comprising Wires, Pumps, Switchgears and Switches, we registered growth of 9.6% YoY in Q2FY24. In the Consumer Durables segment, where we market Fans, Water Heaters, Kitchen Appliances and Air Coolers, the growth has slowed to 5.1% YoY. The effect of sluggish consumer demand and tepid weather conditions has impacted topline growth particularly in the Consumer Durable segment.

We have reported an improvement in the gross margin to 33.8% in this quarter from 29.3% in Q2 last year, an increase of 450 basis points YoY. Further, the gross margin is also higher by 130
 basis points compared to 32.5% which we reported in first quarter. Softening of commodity prices is reflecting in the gross margin and we are now moving closer towards the pre-covid levels. We bel ieve we can further drive a further 100 basis points improvement to reach the pre-COVID level's gross margin.

EBITDA excluding other income was

Rs. 93 crore in Q2, an increase of 26.5% YoY . In Q2 we have recognised a fair valuation gain of Rs. 10 crore on the Gegadyne investment. Gegadyne is making good progress towards meeting technical and commercial milestones. The V -Guard 's Board has also approved a further investment of Rs. 20 crore in Gegadyne in order to fund scaling up of the pilot plant, product s pecification improvement and preparatory work required for series B funding.

Excluding other income, EBITDA margin is 8.2% is 80 basis points higher compared to the margin of 7.4% of Q2 of last year. Profit after tax in Q2FY24 was Rs. 59 crore compared with PAT of Rs. 43.7 crore in Q2 of last year, an increase of 35% on a YoY basis.

Cash flows have remained strong. Cash from operating activities are at about Rs. 300 Crores during the first six months and it has helped us to fund CAPEX and capacity expans ion. We have also fully repaid the working capital borrowing of Rs. 100 Cro res that existed at the beginning of the year.

In V-Guard Consumer Products Limited (“VCPL”), our wholly owned ma nufacturing subsidiary, we are progressing well as the manufacturing units are coming up as scheduled. The first plant at Pant Nagar has reached its planned output. The battery and kitchen products unit will be commissioned in Q3 and will be scaled up in Q4.

In the case of Sunflame Enterprises Private Limited (“Sunf lame”), there is a decline in topline growth although the margins are healthy. The entire kitchen appliances industry at l arge is currently witnessing sluggish demand. There are also some internal gaps that we have identified and have undertaken actions to arrest the decline. We are also working on initiatives to start realising the synergies between both V -Guard and Sunflame.

Consumer response for our recent launches, like fans and mixer -grinders, has been positive and starting with the upcoming festive seas on, we expec t a strong topline growth in the second half of the year.

With that, I conclude my opening comments. I would like to than k Aniruddha and his team at ICICI Securities for hosting this call. I would like to now request the moderator to open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question-and -answer session. The first question is from the line of Natasha Jain from Nirmal Bang . Please go ahead.

Natasha Jain : Good afternoon, gentlemen . My first question is on the electrical side - so our product category consists of wires, switches , and switch ge ars and all these are ancillaries to real estate which is doing well . What could be the reason for us to not post a stronger double -digit kind of growth here, compared to all our peers so first question is that . In the same segment can you also throw some light a s to how the pumps segment is like; are we beginning to see some s trength building there or is the market still stressed ?

Mithun K Chittilappilly: Okay so regarding electrical s V-Guard sells lot of its product on B2C basis - which means we sell through distributors to our retailers , which then goes into i ndividual housing or sm all projects . V-Guard 's presence in very large projects is limited but apart from that most of our peers have also mentioned that demand for house wiring cables has been muted for las t quarter so what we have come to know is that even in B2B segment , in house wiring cables . The demand has been muted . The only segment that is doing well is the large infrastructure projects run by central and state governments which are using industrial and underground cables that is the only segment th at seems to be doing well within the cable and where V -Guard does not have any presence.

Regarding pum ps, yes, so we have now completed almost three-to -four quarters of d ecline and I think in last quarter onwards we have started to see an increase in sales. H owever , it is not enough. The largest contributor in electrical is wires so with the w ires sales not growing very fast the entire electrical segment growth has come down to something like 9 -10% .

Natasha Jain : Understood Sir, that is helpful . Sir, my s econd question is on the consumer durabl es portfolio so our channel checks indicate a s lowdown for fans demand and also a possible price cut . Did we at V-Guard experience something similar for fan s?

Mithun K Chittilappilly: See we have not cut any prices but I think there w ere unusual rains in the North and some companies , I think even us, we were forced to offer some discounts in those parts , the northe rn region , because North was completely washed out . This has also meant that in fans and water heaters especially the price increases that were required to be taken for offsetting the raw material prices increase has not been fully taken. We hope in the next 6 months some of that will get corrected as we enter the seas on for water h eaters and as we will be entering seas on for fans in March .

Natasha Jain : And Sir how is air coolers ?

Mithun K Chittilappilly: I think for us coolers ha ve done well but still coolers on annualized run rate will be close to Rs. 90-100 odd Crores so it is not enough to really pull up the entire consumer durable basket . The larger products like water heaters and fans contribute most . This quarter esp ecially we have seen softening of demand for water heaters which is better last year and that has pulled down the overall performance.

Natasha Jain : Understood Sir. Thank you I have more questions but I will get back in th e queue .

Moderator: Thank you. The next question is from the line of Rahul Agarwal from InCred Capital. Please go ahead.

Rahul Agarwal: Hi good evening thanks for the opportunity , so first question on ECD margins where do you see this numb er by March 2024?

Mithun K Chittilappilly: So I think we used to be something around 5- 6% E BIT margins for ECD and I think we have indicated that we would like to increase our margins by at least one percentage and most of that increase would come at least 2 -3% of that should come from consumer durable segment . So, we are hopeful that starting with water heater 's season . I think we are also a little unfortunate in the sense we are sitting still with some old inventory of water heaters which were produced last season . I think once that starts getting offloaded we are hopeful of the increase, but we have to also understand the demand is extremely sluggish . So, market leaders , major market brands are refusing to take timely price increases or like someone mentioned earlier , some of them are resorting to price discounts which will mean that it is going to be difficult for us to recover these margins , it will get delayed .

Apart from water heaters, in fans we are seeing some traction so we have some new launches that is gaining good traction and they are also on the premium side so we are hopeful that in fans at least we should see a better performance this year . For water heaters we have to wait and see as the season is yet to start . We are hoping that the winter does kick in soon and that should drive the demand for water heater.

Rahul Agarwal: Got it, second ly on Sunflame - given how the first half has been would you still think that Rs. 330- 350 Crores of top line with 11 -12% operating margin is possible for the full year ?

Mithun K Chittilappilly: So I think we have to also see S unflame in relation with the performance of the entire kitchen industry . As you woul d have noticed few of the players have already announced results. The larger players are talking about 15 to 16% Y oY revenue decline . Sunflame's decline has been slightly higher because , like we mentioned in the opening

remarks , there were some product gaps and there were some issues in terms of after sales which ha ve all got resolved .

The new team has settled down well . They came on b oard only in April a nd May so they needed 3-4 months to take over the management of S unflame. I think H2 we should pos t mu ch better numbers , but we have to also keep in mind that the entire kitchen industry is de growing, sharply . So, our hope is that in relation with the industry we should do better .

I do not think we will be able to post full year increase in sales but I think in H2 we are hoping to at least look at the numbers we did last year , so at least arrest the decline. We will wait and see . I think let us see how the demand goes because we have to also keep in mind that post Diwali , the sales have been very mut ed for kitchen appliances in last year . So, the base is also low for Sunflame for last year in H2.

 Rahul Agarwal: Got it and lastly on Gegadyne just your 11% equity valuation I think is bit not clear – what is it right now , how will Gegadyne benefit from this investment apart from the monetary upside on the financial side of it and what is the busine ss goal here?

Ramachandran V.: I heard the question Mithun , I will answer . I think there were two parts to the question one was you were trying to understand th e source of gain . So, fundamentally what has happened is , there was a valuation on the basis of which we had invested into Gegadyne . Two years had passed , so the accountants , annually they look at these investments and they m ark-to-market , so they felt that the technology development agenda has progressed further . With the pilot plan t the technology has also been commercialized at a p ilot plant scale what was otherwise very basic and getting done at a lab scale. So, I think they wanted to reflect the improved v aluation consequent to the progress on technology development and technology commercialization. We have got the valuation done of the entity and we are just reflecting the incremental valuation and accounting it has gain ed. It is notional so it is remaining on the books and will be the case so on, so it is basically an accounting requirement .

Coming to the second part on how V -Guard will gain from Gegadyne . Gegadyne is not a financial investment for V -Guard, it is a strategic investment for V-Guard . With that investment we are making investment in what I would say in the d eep tech space which has high risk also . I mean not every initiative in that space succeeds and we must keep that in mind . But fundamentally we believe that this technology is the best fit for our application in inverter and battery and which is the reason w hy we have decided to to back this technology development . We believe that in the next 18 to 24 months they should be able to move from p ilot scale to manufacturing . Once the manufacturi ng activity commences I think V -Guard should be able to place these products in the market as a V -Guard offering . That should be able to drive our revenues and maybe in time profitability, once the initial investment towards building this concept in the market is through .

Rahul Agarwal: What is the value of Gegadyne today ?

Sudarshan Kasturi : The valuation is now at Rs. 293 Crores.

Rahul Agarwal: Okay Sir. Okay thank you. I will come back in the queue to understa nd further . Thanks .

Moderato r: The next qu estion is from the line of Bhavin Vithlani from SBI M utual Fund. Please go ahead .

Bhavin Vithlani : Good evening , gentlemen . My first question is on the electrical segment – if you could just help us understand what percentage of the segment is wires and what was the Y oY growth in the

wires segment in the quarter or the first half ?
Mithun K Chittilappilly: See we do not give out these figures so we will discuss this offline ,

but wires is very large part of
electrical . I mean wires is the larg est constituent of that sub-category .
 Bhavin Vithlani : So actually the question because you mentioned pumps has been de growing and in that .
Ramachan dran V.: If I may answer that . I think the wire growth is bringing down the electrical growth . The pump growth is moderate and not recovered to long-term growth levels . Typically pump we would grow between 8 t o 12% and I think it is much below that . However we have not degrown for the first half. So the other categories have posted strong growth and c able growth has been lower than the electrical category growth.
Bhavin Vithlani : Because I was little surprised because the KEI results today which they list out the wires ' segment that that segment grew like 22% . So I was a little disappointed looking at single digit number . Is it something that the competition has got aggressively into class five and which V -Guard is not in and given the quality standards that you have and that is hampering the growth?
Mithun K Chittilappilly: No I think it is a questi on of choice . Many years back V-Guard made a choice to be in the B2 C space so we exited whatever we used to have businesses that was supplying UK system to bank ATM s which we shut down . We had businesses that were supplying large underground cables to big EPC contractors which we shut down. These were all conscious choices that were taken from 2009 to 2016 -2017 and for many years EPC business in India struggled but now there seems to a cycle. S o we believe it is a cycle so maybe there is a infras tructure boom that is happening in the country, probably also i t is going to happen before the election and they want to show case some growth, some investments in the country before the election.
So, all these things will happen but I think in the long term still the consumer business will do well. Many players like K EI and Polycab are heavily indexed towards project s business whereas brands like us are more into the retail part of the business . But even in house wiring cables, many of our larger peers have in dicated that there has been slow g rowth. So, I do not think it is a V-Guard only issue . KEI I am not s ure. I mean again it is a projects company , it is there in retail , but it is more of a project s' company . But I can tell you that the retail consumer , B2C part of wires' business has been slow.
Bhavin Vithlani : The second thing that I want to understand t he margins on the consumer durable segment which has been negative in most quarters even in this quarter . Prior quarters , you highlighted that the newly commissioned fans facility which was und erutilized and it was ramping up and then there were issues related to the TPW fans which were imported and you had to p ivot to the local and had some cost issue s. So if you could just help us understand the negative margins in the consumer durable segment and the efforts taken by the management to kind of turn these around and when could we see the 5 -7% margin bracket as you alluded to earlier ?
Ramachandran V.: So I think we need to look at it in two parts , one is gross margin and one is EBITDA. I think EBITDA is fundam entally , I think the consumer durable growth has been weaker first half of this year compared to the kind of growth rates that we have been enjoying last two years and compared to what we had planned. So I think some amount of stress is coming because of that because the growth has not been adequate to cover the investments that we have been making to
 scale up this business . That is one part of it . I think the other part of it is fundamentally related to the margin recovery . I think while marg ins on electri cals and margins on the electronics have by

and large recovered - gross margin , and we have an intervention in terms of manufacturing facility coming up for battery and we had commenced factory for inverter and stabilizer , which I think some more benefits we expect in the next 6 months to one year . So the margin recovery journey on electronics and electrical s is by and large complete right . However , I think because of the slowness in the market actually the market has been slo w from I think Se ptember , Octob er of last year . I think it was more strongly seen in the fan category and kitchen and lately it ha s also been seen in water heater s, fundamentally because part of it seasonal . Also because I think the summers have extended in E ast and S outh, so this year the water heater season is slower to come by. These factors are affecting the t op line growth and that is kind of affecting the conversion of gross margin to EBITDA.
Second thing is the pricing transmission . Because of the slownes s in the m arket there is a lot of competition , so the pricing transmission has also been impacted . Although our gross margins have improved in this category, from last year , if you look at a half-year basis we have improved our gross margin by about t wo odd percent and probably the exit gross margin maybe even 2.5% and 3% high er, but I think there is another 3-4% of recovery which has to happen . We have some interventions in this area - we have product launches in fans and I that s hould change the product

mix and sup port the margi n improvement even if the growth is tapered.
Thankfully for us fan grow th has been all right . Fan growth has been all right and even air cooler growth has been all right . So, in kitchen again we are setting up a factory , which will help our competitiveness and help us to recover our gross margins in t his area. Water heater s and fan s are the two categories where we are expecting that it will take some more time. H opefully in the next 3 to 9 months I think fan should come back, water heater should partly com e back towards this upcoming quarter and I think some recovery will happen only next year again when the season starts – because of the lower upt ick in water heater s; the inve ntories are stretching later into the season and that is affecting our ability to benefit from the easing commodity environment . Also because of slower growth , the pricing trans mission is also getting impacted .
There are no fundamental issues here that come to my mind . Some of the categories will roll over. I think a bit of c hallenge on water heater synergy, the commod ity transition happens for us that part of it is bit of a problem for us compared to the market ; but I think to the extent that growth is sl ower in water heater . So there is some pricing pressure also which can develop.
Keeping all that in mind I would say that it will take slightly longer for water heater to fully recover to pre -COVID levels but you will see some recovery further in the upcoming quarter .
Bhavin Vithlani : Last question from my side if you take out the S unflame acquisitio n, while the growth is high single digit 9% thereabouts but the employee cost increase is closer to the 20% mark so could you just help us understand this ?
 Suda rshan Kasturi : There are some swings in employee cost when you compare with last year . It basically comes
from one , variable pay provision and second, the addition of some of the subsidiaries . Last year we had reversed the variable pay provisio n because at th e end of H1 it was clear that a payout is not going t o happen . This year we have provided in full so there is about a Rs. 20 Crores swing in that alone .
Ramachandran V.: The under lying payroll increas e is about 15-16% .
Mith un K Chittilappilly : About 15 to 16% is the like -to-like increase if you remove all the things .
Bhav

in Vithlani : Okay so this looks like much higher than the underlying growth in the industry and so is it that are we seeing growth in the other sectors and h ad pressure on them ?
Ramachan dran V.: You also need to see this together with our tr ansition from what I would say sourcing to manufacturing right . If you look at it last year we had one new fa ctory come up which was in Pantna gar whic h was stabilizer and inverter . We have the battery plant and the kitchen plant which is likely to come by end of December . I think st affing cost related to that are also sitting there.
Sudarshan Kasturi : If you take out S unflame also , Simon Electric Private Limited addition itself has brought in like 120 odd head count plus establishing VCPL and manufacturing unit. So there are some hefty increases which takes the pay roll increase to about 15 to 16%.
Bhavin Vithlani : Understand it is just a lag impact .
Ramachandran V.: I think als o what needs to happen is that our gross margin i mprovement has to be more because when we were sourcing , the gross margin was including the manufacturing cost , right , but here that is being accounted below .
Bhavin Vithlani : Thank you so much for taking up my questions.
Moderator: Thank you. The next question is from the line of Sonali Salgaonkar from Jefferies India. Please go ahead.
Sonali Salgaonkar: Sir thank you for the opportunity. So my question is an extension to B havin' s earlier question . We have s een about 450 bps rise in the gross margin and just about 70 to 80 bps rise in the EBITDA margin . Of course one of that you explained as employee cost but there has been a sharp rise in the other expenses as well wherein we maintain that we have retained our promotion spend about 2.2% of sales. So could you please throw more colo ur as to where we are seeing this increase and how sustainable is this going from ?
Mithun K Chittilappilly: I think apart from employee cost and A&P. O f course A&P has not gone up sig nificantly . The other thing that has gone up much more than last year was travel cost . So, the frequency of
 traveling and all that has increased much more because there is no restriction on travel as such so sales team traveling that also includes local and outstation travel that h as significantly gone up and also some of it is due t o the increases in hotel prices and all that which we have been reading about in the paper . There has been a rebound in tourism . So, some places the hotel prices have gone up sign ificantly so all these things are adding to the other expenditure .
One major item in other expenditure is , what Ram mentioned , outsourced manpower cost – bulk of it is sitting in the factor y, they come in other expenditure . Like Ram said the increase in gross

margin had to be m ore than this to offset that . Some of the increases are due to reduction in commodity prices but some of the increases in V -Guard is also because of a change from outsourcing to in sourcing and once these factories gain scal e we wil l have further increases in gross margin.
Sudarshan Kasturi : The other expenses line has elements relating to factory and during this transition when we are moving from outsourcing to in house the base year and the current year are not really comparable just wait for another two , three quarters then the base also becomes on the same basis .
Sonali Salgaonkar: Sir what percentage of our manufacturing is in house this quarter versus same quarter last year ?
Sudars han Kasturi : Currently it is about 65%.
Mithun K Chittilappilly : There is 65% , last year would have been .
Sudarshan Kasturi : 7-8% less .
Mithun K Chittilappilly : About 8% less .
Ramachandran V.: But also M ithun what happens it is not a matter of sales percentage. Like the factories which are coming up, the manpower there, becau se th

ey are all going to get the commissioned in Nove mber , right , people would have been hired before , trained and all those things .
Sudarshan Kasturi : Sonali if you see the movement also it is not really that significant. Y ou look at f irst half other expenses has gone from Rs. 293 crore to Rs. 370 crore , Rs. 293 crore did not include Sunflame. Sunflame is Rs. 23 crore, so 293 plus 23 is 316 , so Rs. 316 crore has become Rs. 370 crore. It is not really a huge movement .
Sonali Salgaonkar: Understand Sir. Sir my second question is about the festive demand with N avratri behind us what kind of a consumer sent iment did you see especially in your appliances portfolio during the festive season ? What are the indications you are getting for the upc oming Diwali season ?
Mithun K Chittilappilly: So see like Ram said in fans we are getting traction also because we have some new launches that are doing well . We have recently launched a new range of fans that is getting good traction . Water heat ers like I said more than Diwali, that season is yet to start , Although because of ‘big
 billion days’ and those kind of pre -Diwali s ales, e-commerce seems to be some sales to be happening but general trade sales have not really started . So we will wait and see how it plays out. Typically for us , once we complete the full month of Diwali , only then we can comment but we can say that in water heaters we are still seeing some stress but the others are largely doing okay.
Sonali Salgaonkar: Understand Sir and Sir my last question any signif icant pricing action if you have taken during Q2 or a ny plan ned pricing actions in Q3 either way upwards or downward?
Mithun K Chittilappilly: See there is hardly any pricing actions . At the best , almost entirely it is volume growth , whatev er sales growth you are seeing is volume growth. T here is no pricing increase happening. L ike I said there is still pricing gaps existing in fans , especially ceiling fans and electric water heaters and that we are hoping to take in the next 6-9 months ’ time. Ceiling fans we believe that the industry has still not fully pass ed on everything primarily because there was also a major sh ift from the traditional fans to BLDC fans. So the older models are not f inding takers and tha t is also one of the reas ons why some companies have not fully passed it on.
Sonali Salgaonkar: Sir how much of your fans portfolio is premium and how do you d efine the premium price point ?
Ramachandran V.: I think I would say now about 40 -45% would be premium products and that would be like closer to Rs. 3,000 plus kind of price contract ion.
Sonali Salgaonkar: Understand Sir. Thank you very much for answering my questions .
Mod erator: Thank you. The next question is from the line of Aniruddha Joshi from ICICI Securities.
Aniruddha Joshi : Sir, we have a fan s facility at Roorkee I guess under a separate subsidiary with a lower tax rate , effective tax rate . But we are still not seeing any reduction in the c onsolidated tax rate so how should we see the overall profitability happening at the new plant ? Any tax rate guidance that you would like to give ? That is qu estion one . Secondly , I guess three to four quarters ago I guess we had in troduced water purifiers through the e -commerce channel , so any update on that and regarding the general trade launch any update on that ?
Sudarshan Kasturi : Roorkee plant is under V -Guard so that will not impact the ETR . The plants which are coming up under the new subsidiary , the only one which has reached scale as of now is Pantnagar . So for the effect to be seen we just need to w ait for a few other plant also to come up .
Mithun K Chittilappilly: So the new manufacturing entity , the only plant that is running today i s the Pantnagar plant. That is giving us some tax benefit but i

t is still small in relation wit h the overall tax outgo of V-Guard . We will start to see , maybe end of next year , some reduction in ET Rs because as the new manufacturing entity will be under about 17% tax vis-à-vis 25% for the company.
Aniruddha Joshi : And regarding water purifiers ?

 Ramachandran V.: Water pur ifiers are doing well . One of the reasons that we d ecided to limit to e -commerce is ease
of development of offering and we had very good success w ith the offerings that we have
brought to the market and the e -commerce is doing well. It is today the second largest category
after w ater heaters and even ahead of stabili zers and that is the good part . We will get to mature
the product portfolio so that we address consumer needs and we are confident that these products
will have constant run. We have a good installed base to get good feedback . I think post that we
will get it into general trade. Even there , our focus will be on organized ret ail because it is easier
to reach and better to manage because you being a late entrant in the category , educating the
consumers about V -Guard and the benefits of our product s will be key for us to break into the
market . At this stage we will remain at least for another year on e -com before we plan to market
but it is going on course and we are quite satisfi ed with the kind of traction that we are getting .
Aniruddha Joshi : Okay Sure . Thank you.
Moderato r: Thank you. The next question is from the line of Rahul Agarwal from InCred Capital. Please go
ahead.
Rahul Agarwal: Yes, thanks for the followup. T he question essentially is on the working capital cycle , the 68 days
we have done i s quite a bit of an improvement over the last three quarters should we stabilize
here or there is more to improve here.
Sudarshan Kasturi : It will be more or less around this some incremental opportunities may be there but it is largely in
the rig ht place.
Rahul Agarwal: Okay an d secondly on Gegadyne , so obviously it is a strategic investment and there is some
business to be done on the inventor battery side of V -Guard . But are we looking for an exit from
this company let us say three years down the line where there is a larger fund raise which will
happen eventually to get the product to the market .
Sudarshan Kasturi: See we are there as a strategic investor so that means we are inter ested in that product getting
developed and how we can depl oy it in our business . When series B investor comes in the ticket
size will be much larger so we will hold a small sta ke. At this point we have not decided whether
we will exit or sell. We are interested in the product capability .
Mithun K Chittilappilly: See V -Guard is not in the business of private equity so our current focus is on making sure that
this idea moves from l ab to p ilot plant and from p ilot plant to the mother plant , that is the next
stage and we are working very closely . We have a couple of people from V-Guard who are
working very closely with Gegadyne on that and we will see. I think we can not comment on what
we will do after 3 years and 5 years . We will see at that point of time but I mean like I said we
have not bought into this company to sell out so to speak .
Rahul Agarwal: That explains. T hank you so much and have a good Diwali, thank you .

 Moderator: As there are no further questions , I will now like to hand a conference o ver to management for closing comments .
Mithun K Chittilap pilly: We would like to thank Aniruddha and ICICI Secu rities for hosting this call. Thank you all for listening and have a Happy Diwali .
Moderator: Thank you. O n behalf of ICI CI Securities that concludes the conference. T hank you for joining
us and you may now disconnect your lines .
Th

e transcript has been edited for clarity and it may contain transcription errors. Although an effort has
been made to ensure high level of accuracy, the Company takes no responsibility of such errors.

Call: Feb 2024

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Scrip Code: 532953 Symbol: VGUARD

Dear Sir/Madam,
Sub: Transcript of earnings call pertaining to the Financial Results for the quarter and nine months ended December 31, 2023.
This is with reference to the in■ma■on dated January 23, 202 4, ■led with the stock exchanges in terms of regula■on 30 of the SEBI (Lis■ng Obliga■on s and Disclosure Requirements) Regula■on s, 2015, regarding the earnings call to discuss the ■nancial results for the quarter and nine months ended December 31, 2023, scheduled on February 02, 202 4. The audio recording was ■led with the stock exchange. We are enclosing the transcript of the Earnings call. The same is also being uploaded on the website of the Company at
htps://www.vguard.in/uploads/investor_rela■ons/V -Guard -Industries -Q3-2024- Transcript.pdf

We request you to kindly take the above information on record.

Thanking You,
Yours Sincerely,
For V -Guard Industries Limite d

Vikas Kumar Tak
Company Secretary & Compliance Officer
Membership No. FCS 6618

Encl: As above

“V-Guard Industries Limited
Q3 FY '2 4 Earnings Conference Call ”
February 0 2, 202 4

MANAGEMENT : M R. MITHUN K. CHITTILAPPILLY – MANAGING DIRECTOR – V-G UARD INDUSTRIES LIMITED

MR. RAMACHANDRAN V – DIRECTOR & CHIEF OPERATING OFFICER – V-G UARD INDUSTRIES LIMITED
M
R. SUDARSHAN KASTURI – SENIOR VP & CHIEF FINANCIAL OFFICER – V-G UARD INDUSTRIES LIMITED
M
ODERATOR : MR. MANOJ GORI - EQUIRUS SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '24 Earnings Conference Call of V-Guard Industries Limited ("V -Guard") hosted by Equirus Securities. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manoj Gori from Equirus Securities. Thank you a nd over to you, Mr. Manoj Gori .

Manoj Gori: Thank you, Zico. Good afternoon, everyone. Welcome to the 3Q Earnings Call of V -Guard Industries Ltd. We have the management being represented today by Mr. Mithun K Chittilappilly, Managing Director; Mr . Ramachandran V, COO, and Mr. Sudarshan Kasturi, CFO.

At this point, I will hand over the floor to Mr. Mithun K Chittilappilly for his initial remarks, post which we can open the floor for Q&A. Over to you, sir.

Mithun K Chittilappilly: Thank you, Manoj. A very warm welcome to everyone present on today's call. Thank you for joining us today to discuss the operating and financial performance of our company for the third quarter of the financial year, 2023-2024. I trust all of you have had a chance to refer to our investor presentation, which was shared yesterday.

Consumer demand remained soft for most of the quarter, presenting a challenging backdrop, though we saw some revival towards the end of the quarter. In this context, we had delivered a resilient performance as we reported a consolidated net revenue of INR 1,165 crores in Q3, higher by 18.6% on a Y -o-Y basis. Excluding revenues from Sunflame, the like -to-like revenue growth was 10.9% Y -o-Y.

In Q3, we saw balanced growth o n a geographical basis as the South market grew by 10.6% Y -o-Y, while the non -South market grew 11.2% Y -o-Y. We continue to progress well on our strategy to scale contribution from non-South market, ensuring better diversification for V -Guard across all regi ons of the country.

The Electronics segment comprising of stabilizers, inverters and batteries delivered good traction with revenue growth of 16.7% Y -o-Y. In the Electricals segment, which remains our large revenue contributor, comprising of wires, pumps, switchgears and modular switches, we registered a growth of 8.3% Y -o-Y in Q3.

In the Consumer Durables segment where we market fans, water heaters, kitchen appliances and air coolers, the revenue growth was 10.9% Y -o-Y. In the case of Sunflame, we had grown revenues by 2% during the quarter, successfully arresting the decline witnes sed in the first half of the year. This gives us the confidence that the actions we have undertaken are yielding results, and we are hopeful of accelerating the business in the coming quarters.

We have reported an improvement in gross margin to 33.9% this quarter from 29.7% in Q 3 last year, an increase of 420 basis points Y -o-Y. Gross margin ha s continuously improved over the last few quarters and we have substantially closed the gap that existed at the beginning of the year.

EBITDA, excluding other income was INR 102 crores in Q3, an increase of 52% on a Y-o-Y basis. The EBITDA margin stands at 8.7%, 190 basis points higher when compared with 6.8% reported in Q3 of last year.

Some one -offs have contributed to cost increases under the other expenditure. There was a write-back of bad debt provision of around INR 11 crores in Q3 of last financial year, which makes it a low base. We have also made a provision of INR 4.5 crores for end -of-life product recycling, as required by a recent legislation. We have also accrued INR 4.5 crores towards the strate

gic
projects in the Electronics department.

Profit after tax in Q3 was INR 58 crores compared with PAT of INR 39 crores last year, an increase of 48% on a Y -o-Y basis.

The stable working capital has meant that the cash flow remain ed strong. We intend to repay the term loan taken for the Sunflame acquisition over the next 4 to 6 quarters.

In V-Guard Consumer Products Limited, our wholly owned subsidiary, we are progressing well as the manufacturing units are coming up as scheduled. The electronics plant at Pantnagar is performing well. The battery plant at Hyderabad and the kitchen plant at Vapi will commence

production in Q4 of this financial year.
With the upcoming summer season and indications of demand revival , we remain hopeful of a stronger top line growth in the coming quarter.
With that, I conclude my opening remarks and I would like to thank Manoj and the team at Equirus Securities for hosting this call.
I would like to request the moderator to open the floor for Q&A. Thank you.
Moderator: The first question is from the line of Rahul Agarwal from Incred Equities.
Rahul Agarwal: Thank you so must for the opportunity. My question is on a bit of the longer term, Mithun. So just wanted to understand few things. Firstly, on the V -Guard standalone business, between the three revenue segments, I think, more or less, we have different product classifications. My sense is ECDs will see the maximum growth followed by Electricals and followed by Electronics going into the next 3 to 5 years. The ranges could be 12% to 15% for E CD, 10% to 12% Electricals and 7% to 8% for Electronics on top line growth is what my understanding is on a CAGR basis. Which products within this could surprise? Because what I understand is 11% to 12% is what we target on a CAGR basis for the overall company. It would help me understand which could surprise and what is the way forward. That would be really helpful. That's my first question.

Mithun K Chittilappilly: So I think we have different categories of different maturities. If you look at wires, stabilizers and electrical water heaters, these were traditionally large categories for V -Guard and where we are having a substantial market share. And our opportunity t o grow organically in these segments are limited.
So I wouldn't say that there is any surprise, but we can say that we internally look at categories as matured and emerging. And so the categories like modular switches, switchgears, kitchen, including Sunflame, fans, although fan is an old category generally, but for V -Guard, it's relatively a new category and is growing fast.
So these are some of the categories that will tend to grow faster. I wouldn't say that any one category will suddenly surprise us or something like that. But the opportunit ies to grow in some of these categories mentioned later are more than the earlier categories, which are older categories, and V -Guard has covered a significant part of the market already.
Rahul Agarwal: So these categories fall into Electrical s and ECD s largely, right?
Mithun K Chittilappilly: Yes. So in Electronics, there is a category like inverter and battery, which is growing fast, but stabilizers is a very old category for us it is the largest category. We are the largest player, so we can't possibly grow much faster than the industry is growing. So we need to probably track the industry growth, yes. So you're right, ECD s will grow the fastest, followed by Electricals and the Electronics space.
Rahul Agarwal: On the margins, would 9.5%, 10% range over the next 2 to 3 years, is that a fair assumption? And what could surprise there? Because I think a lot of ground has been recovered now.
Mithun K Chittilappilly: Lot of ground has been recovered, but we would like to improve margins in the ECD segment. ECD margins, as you can see,

are the lowest. So we still have a lot of work to do in that area.
We have initiated certain actions in terms of margin improvement projects. So for example, the kitchen factory in Vapi, to a large degree, will address a lot of the margin issues happening in the kitchen appliances space, which is housed there in ECD . We have initiated a lot of new launches and product revamp, followed by interventions in manufacturing for fans, which is also showing good results.
So I agree, if you take these two largely, the margin issues in ECD should also start to look much more healthy than what it is today, even though we are investing more in ECD because a lot of new categories we are incubating.
Rahul Agarwal: So the range of 9.5% to 10%, it is sustainable in the long-term, is that fair to say ?
Mithun K Chittilappilly: Yes. Even this year, I think we will be closing somewhere between 9% to 9.5% in EBITDA margins in the current year. So yes, that is sustainable.
We had a very adverse raw material price inflation environment. And as you can see in the last 3 quarters, sequentially, gross margins have been moving up, and they will continue to go up, even through next year.

Rahul Agarwal: Got it. Second question was on Sunflame. It's been almost a year, I think, we are reaching in terms of acquisition. Wanted to get your sense on three things. Channel, you've discussed that you want to move more offline , sorry, more online, modern trade e -com. But on geography and

product, North and West is 80% of sales. One question here was, are we growing offline for white spaces here?
On the channel, obviously, the intention is to increase modern trade e -com. That's where the industry is. But are the margin s similar offline, versus GT and online?
And thirdly, on the product, I think cooktops, chimneys and h obs and hoods are about 50%, 60% bulk of the top line. What could be the top 3 products to be sold going into next 2 years? What's your plan for the same?
Mithun K Chittilappilly: Okay. So I'll ask Ram to answer this. I think it's a very long-ish question, so as much as we could have understood, we will answer, and then we'll come back to you. Ram?
Ramachandran V : As far as Sunflame is concerned, I think you talked about 25% to 30% of the kitchen business is coming from e-commerce. And the organized retail is also a significant player in this space and some of the categories are also driven by own channel, particularly the built -in cooktops and stuff like that, yes, so hoods and all.
So I think from a channel perspective, we will have to develop these areas. I think we are at the course of, what I would say, supporting the transition. So I think we have strong teams in V - Guard to address emerging channels, and these teams are working t ogether. They should be helping Sunflame to penetrate in these 2 channels.
The preparatory work is complete as far as e-commerce is concerned, which was basically making sure that the team could transition , get hold of pricing, get the supply chain in place and all of those things. F rom the upcoming quarter, the current quarter that we are in, I think we should start to see gradual traction as far as kitchen is concerned. It takes 2 to 3 months.
Our GTM for kitchen is very different from Sunflame. Sunflame has, what I would say, an intermediary through whom they go-to market, whereas we are directly present on the platform as a company , and that requires different preparation. So that's why it's taken some time. I think that the preparatory work is out of the way and it takes about 2 to 3 months, maybe even 4 months before products take online traction , that's as far as e-commerce is concerned.
I think the M TRSS's conversations are ongoing, and the teams are in place. And you should see quick traction in that area also , modern trade and RSS (MTRSS) . Geo

graphically, I think we have set up a new team for South for Sunflame. Sunflame has been absent in the South or rather lacking presence in the South, primarily some strong presence in Andhra, but very weak presence in other parts of the market.
The team is on the ground from a round the month of August, September. And we should see traction happening on that also. That is as far as the channel and the geography part that you were asking about.

In terms of the category part, gas, hoods and built -in, these are going to be the 3 primary revenue drivers as we go forward. Built-in , of course, will require investments in terms of shop -in-shop and probably exclusive s tores where relevant . So that's something that you can expect to see going forward over the next 12 to 18 months.
So that's covering the channel and the product dimension. What were the other questions? Sorry, the first part of your question?
Rahul Agarwal: So basically, the only part left is a bit more specific on the product side, like top 3 products sold into next 2 to 3 years. Will the mix be largely same or it will change?
Ramachandran V : No, I think, it will be largely the same. I think the contribution of hoods will go up . But otherwise, the contribution in the near term will be the same. But maybe, probably over a 5-year horizon, built- in will also become significant, but may be less significant in a 3 -year horizon.
Moderator: The next question is from the line of Aditya Bhartia from Investec.
Aditya Bhartia: Hi Good afternoon Sir. My first question is on the provisioning that you spoke about, could you just repeat that , about what are the provisions that have been created in this quarter? And what was the strategic project that you spoke about?
Sudarshan Kasturi : Yes. So there are 2 one-offs, which Mithun mentioned. The first one is related to the recent legislation. It's called the Extended Producer Responsibility. It says that these products ha ve to be collected back at the end of their life and recycled . So we have provided some amount for that. That was one of the one -off items.
The second one is relating to some strategic intervention in the inverter s' business. So that's a project we accrued at some point across this quarter . So these are the two one-offs.
Aditya Bhartia: Okay. And this Extended Producer Responsibility bit that you did, that was in respect of sales that have been made in the past ? Have these provisions been created on a retrospective basis?
Sudarshan Kasturi : Yes. It pertains to sales made in the past. The collection responsibility happens now.
Aditya Bhartia: Understood. And that amount also is roughly INR 4-odd crores, right?
Sudarshan Kasturi : Yes. So both are INR 4.5 crores , each.
Aditya Bhartia: Understood. And what's the strategic intervention in stabilizers that you're speaking about?

Sudarshan Kasturi : No, it is in inverters.
Mithun K Chittilappilly: It's basically that we had some margin issues in inverters and battery businesses. And we also want ed an accelerated sales program done . In fact, this topic was discussed before COVID, but due to COVID, we couldn't start the project. So we are doing it post COVID once the market has stabilized.

So it is basically, working on margin improvement and sales acceleration in the area of inverters and batteries. Now we have put up 2 world -class plants for manufacturing inverters and 1 for manufacturing batteries. We wanted to make sure that those capacities are used up quickly and profitably.
Aditya Bhartia: Understood. So this is a cost that you'll continue to incur in the subsequent quarter s as well, correct?
Mithun K Chittilappilly: Ram, you want to comment? I think they may not phased equally. So phasing it, in some quarters it will be more and every quarter, we may not incur this.
Ram, do you want to comment on this?
Ramachandran V : Yes, you are correct. There is a phasing issue also here. So it's likely that 1 or 2 quarters, the initial phasing and the design phase, the deal size is large so the loading will be high and then it will take , at least as far as the consulting is concerned. The EPR responsibility is the past provisioning, right? And the ongoing provisioning is thin and limited, right?
Aditya Bhartia: Sure. Understood. My second question is on the demand scenario that you spoke about, wherein you said that you have started seeing some green shoots towards the end of the quarter. If you could just elaborate a bit on that. What are the changes that you have started to see? Which are the verticals wherein you are seeing stronger growth? And specifically on something like fans, which is a market which I think has gone through a prolonged slowdown, what's the demand scenario lo oking like?
Mithun K Chittilappilly: So I think to put it in context, last year was the year when we had to seize selling new non-s tar rated fans. And what we saw in the fan industry was that there was significant amount of discounting and dumping by almost all players of the old type of fans. But I think the fact was known to everyone at least for 12 months.
So for V -Guard, at least, we stopped selling of these fans in November itself. So from December onwards, our sales is primarily for the s tar rated fans. So in that sense, we d id not have this huge overhang of discounted and obsolete products in the market bearing V -Guard’s branding for a long period of time.
But I think that is probably the reason that for us, at least in Q3, fans had grown well because our last year ’s Q3 was not a bumper quarter. It was a normal quarter for us. And because of that, our sales have recovered faster, and we are having pressure inventories in the market.
So I think for us, at least, in Q3, fans have done well because our base last year was not that high. Even in this quarter, I think it will do well because we have some new launches, and there is some good traction we're getting in the market.
Overall, we saw improvement in December. I think barring water heaters w here th e weather was not that cold at least until the third week of December. There was a slowness in offtake, except for electric water heaters , for the r est of the products, we saw improved sentiment in the month of December. And Jan uary also has been decent.

Moderator: The next question is from the line of Bhavin Vithlani from SBI Mutual Funds.
Bhavin Vithlani: Thank You Mithun, looks like the good performance is now starting and, hopefully, it continues.
So I have a couple of questions. If you could just maybe give us an understanding on the fans, as a category, because what we have seen from the other peers is that after they reach INR 300 crores, INR400 crores kind of a range, then they kind of stagna te.
So for V -Guard, we understand now it's closer to USD 100 million plus. So how kind of you can go to INR 1,000 -plus crore category and then grow also? That's the question one.
The second part is if you could just help us with what are the management changes you would have done at Sunflame and the other changes that you are doing. May be if you could talk about it qualitatively that we could see some acceleration in the growth after that.
And the last bit of the question is on the margins. So within the ECD as a category, if you could just give us a flavour in terms of which is the category that is under indexed in terms of the margins. And what are you working to get the margins to the double -digit category? These are

my questions.
Mithun K Chittilappilly: Okay. So I'll answer the margins part first, and then I will give the rest to Ram. See, in ECD , we have f

ans, water heaters and kitchen appliances. These are the 3 large contributors to the ECD business. We also have air coolers, but that's smaller in size.
In that, both fans and kitchen, we are under indexed in terms of margins. In case of fans, it's also an issue of scale where F ans is a very large market. So even at USD 100 million, we are getting better, but the scale cannot be matched to some of the larger players in the industry.
But in all th ese places , what we've done is two things. One is we have gone for a backward integration. That means from ; if you look at us 6 years back from almost outsourcing 100% of fans and kitchen appliances, at least in the case of fans, now almost 50%, 6 0% of the ceiling fans are made by us, which gives us a lot of advantage, one - in terms of finish and quality; two - in terms of the ability to differentiate and three – there is also a cost advantage.
So that is one access, and we will be pursuing the same thing for TPW fans as well as kitchen appliances. The kitchen factory will come in this quarter, and TPW factory is supposed to come up in the next financial year. So with these things, we believe tha t the margins can be better.
Even in the case of electric water heaters, we are not really happy with the margins because we are slightly under -indexed in the premium part of the electric water heater market. So our sale is primarily coming from the mix segment and the lower end , where the margins are not that great.
So we are undertaking actions to have a better lineup of products. And just like we've done in fans that we have consistently launched premium model s in the last 36 months. We will continue to do the activity and will start the activ ity in water heaters. So all those should significantly improve the health of the Consumer Durables segment.

One more thing we have to keep in mind is that we are also investing in A &P, we are investing in disproportionate manpower , we are investing in a lot of other promotional activities because ECD houses a lot of the new categories. So that's also one of the reasons why our combined basket in ECD looks slightly lower margin, but we have gotten a lot better this quarter. And I think they will start to see continuous improvement. So this as far as the margin profile and all that regarding ECD is concerned .
Ram, do you want to take the other thing?
Bhavin Vithlani: Yes. I have a just follow up, sorry, on your response. Are the gross margins in the ECD comparable, so it's more to do with, as you said, scale and greater A&P, so as t hat revenue or the size comes up ; that's the whole answer to the margins ?
Mithun K Chittilappilly: Yes. It was to a large degree, yes. But like I said, even in fans today , 50% of the fans are still outsourced. So purely on a gross margin basis, we may not be fully comparable because when you are in the outsourcing model, your gross margins are going to be low. Your ability to differentiate is very low because you're getting suppli ed from ; but yes, to a large degree, yes.
So our gross margins are healthy. I think if you look at kitchen appliances business, our gross margins are probably comparable. In the case of fans, we still have maybe a few percentage points to go as far as gross margin is concerned.
But I think we are getting better. I think our presence in the segment of premium fans is improving, much better than what it was 5 years back. And that is definitely; so it's also a mix issue, right? It's not only that it's only good enough to sell INR 600 crores, INR 800 crores of fans. We need to also sell the right type of fans to ensure that the business remains profitable.
And that's where we are doing work, and we'll continue to do work.
Bhavin Vithlani: Sure, sure.
Ramachandran V : Yes. Just one more point to add to that – if you take something like

fans , I think the throughput also matters, right? At different output scale from the factory, conversion cost can significantly come down making these.
So it's not only the cost below gross margin. Sometimes, it is even the manufacturing conversion costs, right? It's not only the front line sales over heads , but also manufacturing conversion cost can also be a load. But fundamentally, yes, our businesses are competitive and mostly issue is of scale.
Mithun K Chittilappilly: Ram, do you want to take the other two?
Ramachandran V : Yes. I'll go with the second one. The first question, I forgot, and maybe you can remind me.
So coming to Sunflame, what changes we are making – fundamentally, in Sunflame, we have onboarded 4 key talent s. One, we have brought in a CEO for the business , we have brought in a CFO for the business, we have brought in a person to look after the supply side of the business

and one for HR. So these are the 4 people we have brought into Sunflame to manage and support the Sunflame business. That was the first part.
The second part, the business of e -commerce, the business of modern retail and regional specialty stores and the business of the CPC and CSD canteens . So these we are trying to support through V -Guard 's operating teams because, surely, we have deeper and longer relationships.
And we have some unique advantages in terms of our business systems, particularly in e -commerce or our relationships in the organized retail space, which should benefit Sunflame. So there, these parts are being managed more recently from the V -Guard teams, particularly in the last, 3 to 4 months .
Second thing, what we have done is we have moved one of our customer service people to support and redesign the service operations of Sunflame, so that we are able to achieve good turnaround time and get the first time right when it comes to complaint s. So I think that should lead to a positive word of mouth and should support the brand with the trade and consumer. So these are areas that we have moved on.
We have also tried to move fast and quick in terms of trying to get some efficiencies going. And we have been able to observe significant opportunities for efficiency in the area of transportation management, in the area of packaging. I think these are ear ly quick wins. We are now working on the sourcing side, and we will see what comes up.
We have also initiated a project, which is working on the new operating model, which will be an integrated operating model, where we will clarify sharply what operations will be jointly handled, mostly the back-end ones and which operations will run uniquely, which is the go- to-market part of it, so that we get agility at the end and we get quality and efficiency also.
We have a project going, which is fundamentally working on the operating model. It will also be working on the growth strategy for Sunflame. So I think this, we expect to have an output in place by maybe June or July of this year. And the second half of this year, we should be able to initiate action and start the rollout .
Also we have commenced the integration operation, and we have put SAP in place in Sunflame, so that we have a stronger controls over the transactional side and we have the ability to have faster reporting of MIS .
So now we are able to get the complaint results on the second day or third day, so that we can make quick, better and faster decisions. So these are some of the things that we have put in place.
The first question, if you may just repeat.
Bhavin Vithlani: Sure. So that was on the fan s as a category, I mean, if you look back last 20, 25 years. So I think most have kind of struggled with a smaller ones.
Ramachandran V : Yes, now, I remember the question that was on fan s. Fundamentally, your question was how will we be able to get beyond

this and not get stagnated like others, right? W e are receiving good

traction and we do believe that we will be able to build out our business beyond INR 1,000 crores revenue in the next couple of years.
That's fundamentally going to happen on the back of improved competitiveness and improved offerings, particularly in the premium segment, right? So I think these are the major drivers.
There are some favourable factors out there in the market. So there are some changes that are happening in the market. I think the BLDC itself is a significant change. And in this situation, the segmentation and the established offerings, right, are getting disturbed. And the new platforms are getting established in the market, right?
And that presents a very good opportunity for someone to be able to enter and establish new offerings in the market because everybody is on an even footing then. So I think that should help and that should favo ur and support someone like us and make it easier for us to establish, right?
And fundamentally, the other thing that we are doing is we are working to improve our visibility and presence in the retail, so that we can improve the ability for our fan s to get into the consideration set of the shoppers .
We are bringing in a lot of focus in improving the displays of our offerings because we have some great offerings and they would merit significantly higher throughput, but many-a -times are constrained either because of reach or because of visibility.
There is a lot of focus around making sure that our offerings are visible to shoppers and so that we are able to get better traction. So these are the primary drivers, which will support the growth of our fan s business.
Moderator: The next question is from the line of Shubham Aggarwal from Axis Capital.

Shubham Aggarwal : Thank you for the opportunity. Just a few questions. First one is on the Electronics segment. Can you give what's the current breakup of stabilizer, inverters and battery? That's one.
And we've seen healthy double -digit growth in this segment in this quarter and in the last quarter as well. Stabilizer is a reasonably big part of this portfolio. What's leading to this growth? And what do you see going forward?
Mithun K Chittilappilly: So we don't give out product's separate numbers. So sorry, what is the second part of the question?
Shubham Aggarwal : The growth has been good in this segment. How do you see it shaping up going forward because we understand that stabilizers is a large part of this business?
Mithun K Chittilappilly: Yes. See what happens is the stabilizer business is largely dependent on; almost 15% of the revenue comes from the air conditioner stabilizer segment, which is the stabilizer, and most of it is in summer. And same thing with the inverters. It's also a seasonal business, where a high summer is required for a good sale.

What has happened is from 2021 - FY '21, FY '22 and FY '23, we had disruptions, either due to COVID or due to cold summer and stuff like that. So some of this is also that the growth is reverting back towards long-term growth. And last year, for example , sorry, this financial year, we had a very good summer in South and East, and we ha d very intermittent rains in North and West.
So it's primarily weather dependent. In the case of inverters, I think probably next year, we will start to see some improvement in sales because, like we said, we are doing an intervention for sales activation. So some of that, we are expecting to bear fr uits next year.
Shubham Aggarwal : Fair enough, sir. So this intervention, which you've done, I believe this is INR 4 crores this quarter. And this will continue for how many quarters, in 2 years, 3 years or whatever, can you give some sense?
Mithun K

Chittilappilly: Like I said, the project is running for between 12 to 14 months, but the char ge on P&L may not be equal in every quarter. I think this quarter, we have booked INR 4.5 crores, but we are not expecting every quarter to be like that. Maybe next quarter, it will be 60%, 70% of that. And then following quarter, it maybe 10%, 20%, lower than that. So it won't be an equal charge across all quarters.
Shubham Aggarwal : Now second, would you be able to give some understanding of where do we see all these categories g rowing ? Category -wise, you already highlighted earlier that some products are mature, some products are not mature. But at the category level, would you be able to guide on the growth that you see over the next 2, 3 years?
Mithun K Chittilappilly: On a blended basis, we should be looking at 12.5% to 15% growth. If you look at the current year, barring wires where there is some slowdown in the B2C segment, and we are largely present in the B2C space in wires. Whereas the B2B part of cables and underground cables seem to be growing very well. The B2C part is slightly impacted due to various issues, inflation and poor rural demand and fluctuations in copper prices and so on and so forth.
So even in the current year, we are looking at that kind of a growth. And we typically try to grow our top line by 15% every year, and that's something we'll try to do. We don't give out revenue guidance by category. It may be difficult also to do because various things happen. 40%, 50% of our products are heavily dependent on summer. And it's very tough for us to give the long-term guidance on how it will grow each year. So we don't typically do that.
Shubham Aggarwal : I just have one last question. This is on Sunflame . We saw good margin expansion Q -o-Q in Sunflame. Do you expect this to sustain or improve? How do we see this, since you've also talked about a lot of efficiency and the things you're doing in Sunflame, the growth will pick up, we understand ; where do we see the margins?
Mithun K Chittilappilly: Yes. I think like Ram mentioned, I think we have had some margin improvements , quick -wins, like transportation, packaging and all that. And there are more interventions being planned.
I think as far as gross margin is concerned, we are very happy with where Sunflame is. And I think our focus will be more on accelerating the sales. If you look at the Sunflame margins today,

they are at par or better than many of the industry players because of its superior product mix and price realization in the market. So our focus will be on improving the sales acceleration going forward.
Shubham Aggarwal : Right. So it is good to understand that the margins at 10.8% will inch towards that 14.5%, which

was where Sunflame was earlier on in Q4 last year.
Mithun K Chittilappilly: Yes. I think with the right kind of volume, we should hit that. B ut we will also see ; we will also try to invest more back in the brand. So I don't want to give out any margin guidance, so I'm just saying that we're happy with the gross margin improvement.
A lot of the EBIT margins will also depend on how much we plough back into A&P and all that.
And we will be significantly investing back in the brand because we would like to scale it up much larger than what it is today. So our focus may not be to increas e EBIT from this level, but more to increase sales.
Shubham Aggarwal : Okay. So broadly, I understand that the margins will be better than what they were this quarter, though they might not inch too much, t hat's what my understanding is.
Mithun K Chittilappilly: Yes. Correct.
Moderator: Our next question is from the line of Mukesh Pat il who is an investor.
Mukesh Patil : Thank You Sir. Just one question regarding the wires business. So what is the percentage of wire business in our business and how i

s it growing?
Mithun K Chittilappilly: Yes. Regarding wire, I think we mentioned that wire is our largest category. But for V -Guard, almost 95% of our sales comes from retail trade for house wiring cable s. We are not present in industrial cables and LT cables and underground cable s. In that sense, the wire business has been under pressure this year. I think our growth has been muted, not only us, it is across the industry.
Primarily, we see that there has been huge inflation across building product segments. And if you no t only look at us, but if you look at sanitary tiles and those kind of companies are also reporting muted numbers.
We also think that it can be a timing issue. So a lot of people are speculating that as there is a lot of push for housing coming in, 12 months down the line, the demand for electrification for those houses should pick up and then improve the sales of wire s.
Mukesh Patil : And what is the capacity utilization we are in for this business?
Mithun K Chittilappilly: One second. It is a bout 68% to 70% is the capacity utilization for the wire factory.
Mukesh Patil : And what is the percentage of total revenue is the wires business?
Mithun K Chittilappilly: It is about 27%, 28% of total revenues.
Mukesh Patil : Okay. And what kind of capex are we looking at for next 2 years?

Mithun K Chittilappilly: No, in the wire business , we just raised a large capex i n the last 18 months, we had expanded capacity. We are having spare capacity and even with a small investment, we can further expand the capacity. So today, I don't think we'll have any huge capex over the next 36 months for wire s.
Mukesh Patil : It is the o verall business that I'm ta lking about , not the wires business.
Mithun K Chittilappilly: Overall business, capex will be roughly INR 80 crores. I think this year also, it is about INR80 crores, INR90 crores. Next year also will be about INR80 crores, INR 90 crores.
Moderator: Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to the management for closing comments.
Mithun K Chittilappilly: We would like to thank Manoj and the Equirus team for hosting this call and thank you all for your participation.
Moderator: Thank You. On behalf of V -Guard Industries Ltd, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

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Scrip Code: 532953 Symbol: VGUARD

Dear Sir/Madam,
Sub: Transcript of earnings call pertaining to the Financial Results for the quarter and year ended March 31, 202 4.
This is with reference to the intimation dated May 06, 202 4, ■led with the stock exchanges in terms of regulation 30 of the SEBI (Listing Obligation s and Disclosure Requirements) Regulation s, 2015, regarding the earnings call to discuss the ■nancial results for the quarter and year ended March 31, 202 4, scheduled on May 17 , 2024 . The audio recording was ■led with the stock exchange. We are enclosing the transcript of the Earnings call. The same is also being uploaded on the website of the Company at https://www.vguard.in/uploads/investor_relations/V -Guard -Industries -Q4-Transcript.pdf

We request you to kindly take the above information on record.

Thanking You,
Yours Sincerely,
For V -Guard Industries Limite d

Vikas Kumar Tak
Company Secretary & Compliance Officer
Membership No. FCS 6618

Encl: As above

"V-Guard Industries Limited
Q4 FY '24 Results Conference Call "
May 17, 202 4

MANAGEMENT : MR. MITHUN K CHITTILAPPILLY – MANAGING DIRECTOR – V-GUARD INDUSTRIES LIMITED

MR. RAMACHANDRAN V – DIRECTOR AND CHIEF OPERATING OFFICER – V-GUARD INDUSTRIES LIMITED

MR. SUDARSHAN KASTURI – SENIOR VICE PRESIDENT AND CHIEF FINANCIAL OFFICER – V-GUARD INDUSTRIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the V -Guard Industries Limited Q4 FY '24 Earnings Conference Call Results hosted by ICICI Securities Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you, and over to you, sir.
Aniruddha Joshi: Thanks, Zico. On behalf of ICICI Securities, we welcome you all to Q4 FY '24 Results Conference Call of V -Guard Industries Limited. We have with us today the senior management represented by Mr. Mithun K Chittilappilly, Managing Director; Mr. Ramachandran V., Director and Chief Operating Officer; and Mr. Sudarshan Kasturi, Senior Vice President and Chief Financial Officer.
Now I hand over the call to the management for initial comments on the quarterly as well as annual performance, and then we will open the floor for a question- and-answer session. Thanks, and over to you, sir.
Mithun K Chittilappilly: Thank you, Aniruddha and to ICICI Securities team for hosting this call. A very warm welcome to everyone present at today's call. Thank you for joining us today to discuss the operating and financial performance of our company for the fourth quarter and for the financial year ended '23, '24. I trust all of you had a chance to refer our investor presentation, which was shared yesterday.
The fourth quarter witnessed a good start to the summer season with revival in demand. As a result, we reported consolidate d net revenues of INR 1,343 crores in Q4 FY '24, higher by 17.9% on a Y -o-Y basis. Revenues for the full year FY '24 were INR 4,857 crores, higher by 17.7% over the prior year.
All our segments delivered double -digit growth in top line on a year -on-year basis. Growth was led by consumer durable segment, where we market fans, water heaters, kitchen appliances and air coolers, which reported a top line growth of 27.9% in Q4 on a Y -o-Y basis. The Electronics segment comprising of stabilizers, inverters and batteries delivered a good traction with revenue growth of 18.9% Y -o-Y. In the Electrical segment comprising wires, pumps, switchgears and modular switches, we registered a growth of 10.7% Y -o-Y over Q4 FY '23.
Sunflame also delivered robust growth in top line of 28.3% on a Y -o-Y basis in Q4 leveraging on our various strategic initiatives implemented over the last year. We are pleased with the initial signs of turnaround and performance as we continue to progress on the integration process with Sunflame.
In terms of geographies, we witnessed a top line growth of 18.6% Y -o-Y in Q4 in the South market, while the non -South market grew by 15.8% Y -o-Y. It has been some time since we have seen the South markets registering a higher growth than non- South markets indicating a very strong start to the summer months in southern part of the country. Gross margins continue to improve. In this quarter, we have reported an improvement of 310 basis points Y -o-Y and 40

basis points Q -on-Q. We have substantially now covered the gross margin gap as we have progressed through the year. Plans to increase in -house manufacturing are also progressing well. The battery and kitchen appliances factories, which recently commenced commercial production are expected to deliver benefits during the coming year. We are evaluating pricing actions in some products, which combined with some further initiatives should ai d us in bringing EBITDA margins back to the range of 10% to 10.5% that we have indicated earlier. On an o

verall basis, FY '24 has been a gratifying year with a strong double -digit top line growth and improved margin trajectory. We also had a healthy cash g eneration aided by an improvement in working capital.
The Board of Directors have recommended a final dividend of INR 1.4 per equity share of INR 1 each for financial year '24.
With that, I conclude my opening comments, and I would like to thank Aniruddha and the team at ICICI Securities for hosting this call, and would like to request the moderator to open the floor for Q&A. Thank you.
Moderator: Thank you very much. The first question is from the line of Natasha Jain from Nirmal Bang

Equities. Please go ahead.
Natasha Jain: Congratulations on a good set of numbers. So I have 3 questions on fans. First, can you tell us how the performance was in fourth quarter? And if you can break that down into premium versus non-premium? Now 1Q FY '25 has also started on a very strong footi ng in terms of good summer. So how are you seeing fan growth in 1Q? And at an industry level, has there been any meaningful price hikes? Or are we still seeing sharp discounting happen?
My second question is, like you've mentioned earlier that you are making efforts in terms of improving visibility for fans at MT channel. So if you could throw some colour on that and if you've been able to break any deals with bigger retail channels? And lastly, sir, what is the update on TPW fans? And I also wanted to understand a little bit about the kind of penetration that TPW has and what is the kind of industry growt h that this part of fans can deliver in the medium term?
Mithun K Chittilappilly: Thank You Nat asha, a lot of questions. We'll try to answer them as best as we can. As far as Q4 is concerned, we have had a very strong growth in fans, but as a policy, we don't give out the numbers product -wise. We've also had a new launch, which happened in Q3, which is in the premium BLDC segment in the range of around INR 5,000 consumer pricing, which has done extremely well. So both these put together, we have had a very strong growth for fans in Q4.
But as fans, there are other products also like air coolers and stabilizers and inverters, they also have grown because the summer has been benefiting all the categories. As far as the first quarter is concerned, we finished April. April also has been quite decent for fans.
However, I have to say that the growth in certain other categories like air coolers and voltage stabilizers has been stronger than fans because the summer has been very, very harsh at least in Southern and East part, which had prompted people to buying air conditioners, which helped us in stabilizers and air coolers. Fans also did well in the first month of the year. As far as price hikes are concerned, I will ask Ram to takeover.

Ramachandran V: Yes. I think we are attempting to transmit pricing action. I think we have initiated some pricing action in April, and we plan to take some pricing action again in May. But this will also be driven by how the industry plays out. April pricing action, we ha ve been able to realize. May, we will have to watch, and we should know in maybe the next 30- 60 days, how it goes.
Mithun K Chittilappilly: So regarding TPW, TPW fans are roughly 25% to 30% of the entire fan industry. And it's a similar kind of revenue for us from TPW fans. TPW fans used to be imported from China and Vietnam earlier. Now most of the TPW is getting manufactured within the country . All the companies have set up their own supply chain. And I think starting September or October of this financial year, almost entirely, including premium TPW fans will be made in India. Now , only the premium part is imported.
The TPW fans went through some rough patch a few years back when there was a sudden ban on import of fans. So companies like us, which were heavily relying

on imports , got into some trouble with TPW, but now we are strongly back with a strong local i.e., domestic manufacturing. And we are also in the process of setting up our own factory for TPW for making the premium end of TPW fans in Hyderabad, which should get completed in the next 18 to 24 months. So I hope I have answered all the questions.
Natasha Jain: Sir, just on the visibility part in terms of fans for us, have we been able to make any deals with retail chains?
Ramachandran V: Yes, we are placing our fans into retail chains. But we don't do dealing or strike big numbers that way. We are placing our product into stores and we are replenishing them based on uptick , because that's the only way that we can protect our price positioning, right? Otherwise, dealing has its challenges because if we pressurize the retailer to take a lot, they also tend to sometimes discount if the velocity of movement is not to their plan. S o no, I think we've not been doing deals.
Mithun K Chittilappilly: So let me put it in another way for us. At least the growth of fan has been broad- based, both in modern trade as well as GT and e-com. All the 3 segments have done well. And for fans, especially we have worked a lot on the point -of-sale kind of display sys tem, which is not only for MT, but also for GT.
Moderator: The next question is from the line of Sonali Salgaonkar from Jefferies India.
Sonali Salgaonkar: Sir thank you for the opportunity and congratulations on a great set of numbers. Sir, my first question is regarding the Sunflame integration. Obviously, we have been able to deliver very strong top line growth even despite and amid demand softness that we have been seeing across the past 3, 4 quarters. Even your margins have been quite strong, anywhere between 8% to 10%.
So could you elaborate on what are the steps that we have taken for integrating Sunflame across revenue and cost initi atives?
Mithun K Chittilappilly: Okay. Ram, you want to take this?

Ramachandran V: Yes. So Sunflame continues to operate as an independent entity as it was operating before. I think our initial effort at integration is fundamentally focused on control systems and an accounting system so that we are able to report and integrate results.
We have started the work on operational integration and that work is underway. I think it's underway since the last 3 to 4 months. I think the design is complete and I think the execution will take maybe some time, maybe 12 to 15 months. But I think we've figured out what Sunflame will run and what we will run commonly ; where Sunflame will leverage V -Guard, and where Sunflame will operate independently.
So I think the design is out of the way. I think the planning for execution and the execution is the next step, which is progressing. Some areas, which we have some areas like e-commerce, I think we have already started the integration work and that is sig nificantly under progress. E - commerce and South are the 2 major opportunities, I think, it's nearly almost 55% to 60% of the kitchen revenue, overlaps with this universe. And these are areas where Sunflame is presently weak.
So our focus is to build these 2 opportunities, and we are bringing to Sunflame our network with the retail chains in South, which are significant players and bringing our entire organizational capability, which we have built for e-commerce to play for Sun flame. I think with these 2 areas we should see good results going forward.
Sonali Salgaonkar: Sure. Sir, what about manufacturing footprint, are there any synergies over there? And secondly, the last bit on cross -selling. So have we started utilizing our channels for cross -selling each other's products?
Ramachandran V: Two things. So let me answer the second first. So as you know, V -Guard has its own kitchen business and Sunflame has its kitchen business

. I think when it comes to going to market, there is mainly a GT question. I think that we will stay separate there. MT/RSS, we have an entire organization to drive sell -out to MT/RSS. The sellout organization may be common, but the sell - in organization will be separate so that there is a focus for both brands. E -commerce will be managed in a combined manner because it's the customer who makes the choice and, therefore, we are good with that. As far as the first question, the first question was...
Mithun K Chittilappilly: Manufacturing.
Ramachandran V: Yes, on manufacturing. V -Guard has its own facility in Vapi and Sunflame has its facility in NCR. I think at this point, we are not planning to cross source, but I think over a period of time, such opportunities will arise. It's possible that the mixer grinder pa rt of the business of Sunflame maybe fed by the Vapi factory. It's possible that our hoods and hobs requirement may come out of the Sunflame factory. So I think these are things that are underway.
In manufacturing, mainly the big piece of work has been that the hoods line . Sunflame had set up a hoods line just before the merger. W e are happy to say that the line has scaled up, and that allows for local manufacturing of hoods. And that will be an important margin driver for Sunflame because there is a 7% to 10% advantage to make within Sunflame as opposed to either

locally sourcing or importing from China. So , that is well underway, and the output has stabilized. So this year, we could spot benefit there, yes.
Sonali Salgaonkar: Understood, sir, helpful. Sir, my second question is on pricing actions. You did mention some taken in April, some in May. Could you elaborate which segment and what was the quantum of pricing action?
Ramachandran V: No, I think the way the industry works, right, so we initiate actions, but I think, ultimately, how much and how fast it lands is a function of market also. But I think we are taking pricing action across some of our summer categories. And I think maybe in a month from now, we would be in a better position to tell how much of it will land. But yes, but we do expect to land pricing changes at least to make sure that we recover our long -term margins, so that our business comes back to our long -term margin of double -digit EBITDA, right?
Sonali Salgaonkar: Understood, sir. And lastly, on capex , any guidance? And secondly, how much of our manufacturing is own versus outsourcing now versus 5 years back?
Mithun K Chittilappilly: Sudarshan, do you want to take this?
Sudarshan Kasturi: Capex , there's no change in the guidance, whatever we said last time. We probably see about INR100 crores of capex in the coming year. And own manufacturing was your question, we are at about 65% now.

Sonali Salgaonkar: And 5 years back, it was about 45%, 50%?
Sudarshan Kasturi: It was around 40%, 45% range, maybe 45%.
Moderator: The next question is from the line of Achal Lohade from JM Financial. Please go ahead.
Achal Lohade: Sir, if I look at the electronics growth, 19% growth which is a very strong growth across stabilizers, inverters, et cetera. Usually, in the past, we have seen the margins actually expand given the operating leverage. But this time around, we have not seen that. Would you be able to give us some clarity because 1Q FY '24, if I look at margin had touched 16%, while it kind of stagnated at 12.5%. In fact, Q -o-Q, it's down 40 basis points. So can you help us understand?
Sudarshan Kasturi: There's also a mix of the UPS and stabilizer and the EPR.
Mithun K Chittilappilly: Ya I think as far as the margins are concerned, I think, it will be good to compare fourth quarter with the previous year fourth quarter. Sequentially there is a dip because of product mix. For example, in Q3, we sell more of smaller, lower KVA that are refrigerator and

television
stabilizers. Whereas in fourth quarter, it will be largely air conditioner, stabilizers. So , there is a mix impact there.
I think there's also an EPR impact coming in fourth quarter . So the inverter and batteries are part of the Electronics segment as they are sold together. The battery has an EPR charge happening in the fourth quarter, which has also impacted margin.
Achal Lohade: Would you be able to quantify, sir, how much is the charge, especially for the Q4?

Mithun K Chittilappilly: We'll come back on that.
Achal Lohade: Okay. Sure. The second question I have is that, we have seen recently in the last 3 months, the raw material prices have flared up. Copper is back to $10,500 a ton. If I were to look at your cost basket, how much has it moved up? How much of a price hike is required to maintain the current margins given the cost inflation you would have seen, as we speak?
Mithun k Chittilappilly: First of all, this is an evolving situation. But definitely, one thing that we can say for certain, and we can definitely feel is that commodities have bottomed out. So the bottom levels have been reached some time in maybe November, December period and after that, it has started to move up.
The good news is the flare -up is not as fast as it was last time when there was the Russia/Ukraine war when almost all commodities started flaring up at a very fast pace. So this time, the flare-up is happening in certain commodities . Copper is going to raise prices to some extent in fans and pumps. Mostly these 2 categories because in most of the other categories, we also use a lot of aluminium , which has not gone up that much.
Also, I think both in fans and pumps, now we are also having aluminium motors for the economy segment. So the impact may be not as high as it happened last time. Having said that, like Ram mentioned this before , that we have taken some pricing action. I think we'll have to see where the commodities settle. But definitely, commodity price increase will have an impact on the margins. The o nly product where this is a positive is wires. So when copper prices go up, there is a tendency by retailers to upstock w ires, which is driving sales for wires more than the sellout. And in the case of wires, there is an immediate increase or decrease in prices as and when the copper moves.
So yes, so in that sense, there would be more pricing action required. But it is still evolving, like, for example, copper has even moved up of in the last 5, 6 days. So we'll have to see where the average price for the month settles. But definitely, I think, as of now, maybe a 1% or 2% impact is there. But having said that, we have already taken some pricing increases in categories like fan and pumps because of this. W e'll wait and see. We are hoping that the shock s of the increase won't be as fast and as steep as like last time.
Achal Lohade: And if you could quantify how much is the price action, which has got absorbed, which you had initiated in April? How much or what was the quantum?
Ramachandran V : Maybe about 2% has flown through in maybe fan. And maybe in May, we expect in pump.
Achal Lohade: Okay. So April hike was only in fans, you're saying?
Ramachandran V : Yes, fan s and pumps .
Achal Lohade: And May '24 is in pumps?
Ramachandran V : Yes.

Achal Lohade: Okay. One more question I had in mind is in terms of demand scenario, while I understand that the summer products are doing well. But are you seeing the green shoots even for the non-summer categories? Or that's too early to call out? And secondly, has there been any impact of

the unseasonal rains because we tend to hear, read about unseasonal rains across the country?
Mithun K Chittilappilly: No. Definitely, the weather is much more supportive than last year. B

ecause last year, we had a
lot of unseasonal rains except in South India. So this year, for example, Southern and Eastern part of India has been extremely warm in March and April. The onl y place where it has not been that warm was the Northern part, which I'm told that now it is beginning to get there.
The unseasonal rain is happening right now mostly in the Southern markets and in some of the Eastern markets, which we are okay with because they already had a very good 45 days starting from March and all the way through April. So , I think as long as the northern part of the country does not receive much unseasonal rain, I think, the whole of summer has been pretty good, I would say, for the entire industry. And yes, so that's our call on the weather .
Achal Lohade: Right. And in terms of the demand for non-summer products, are you seeing?
Mithun K Chittilappilly: Yes. for non-summer products, I think, right now see, like I mentioned, only wires, we are seeing an uptick because of the increase in copper prices. So it may be too early to call it out; so far, we are not seeing much of a change in demand for non-summer categories. It's probably a situation as usual as it was in the earlier quarter.
Achal Lohade: Understood. Just one more question. Sunflame was acquired in the fourth quarter of last year and I remember, this was not a full quarter revenue that we had. So is it possible to know like -to-like what is the growth in case of Sunflame in terms of the revenue growth?
Sudarshan Kasturi: The Sunflame was not there only for the first 10 days of Q4 last year.
Achal Lohade: Okay. So it was almost there for the full quarter then?
Sudarshan Kasturi: So it was almost there for 80 days.
Achal Lohade: Understood. Just one more last question – with respect to pumps, are we participating in the solar pumps, if yes, how is the situation? And if no, why not?
Mithun K Chittilappilly: I think Generally, we don't do the tendering business. So, the G overnment tendering business is something that we don't do. We are present on the G overnment 's GeM platform, that is e -procurement marketplace. But usually, we don't participate in tenders because of uncertainty on payment, lack of margin and practices.
Moderator: Thank You The next question is from the line of Vidit Trivedi from Asian Market Securities. Please Go ahead.
Vidit Trivedi: Thank you for the opportunity. My question is on the housing wire segment. Could you please elaborate what's the growth in this particular domain? And what is the guidance going forward? And what are the EBITDA margins?

Mithun K Chittilappilly : We don't give out product -wise numbers for any segment and neither do we give margins for any product segment. But I can say that house wiring cable is the largest part of the electrical s segment , it carries the most weight. The gross margins are around 20% to 22% in the electrical wiring business. We don't give out EBITDA numbers.
Moderator: Thank You. The next question is from the line of NV Chandrachoodamani from Prime Investor.
NV Chandrachoodamani: Thank You for the opportunity. My question is with respect to your stake in Gegadyne Energy Labs – in terms of the benefits to V -Guard, will it accrue in the form of any new product launch or increasing your competitive advantage in any of your existing segments? So can you give some light on how and by when it would happen?
Ramachandran V: So Gegadyne Energy Labs is a technology company working on next -generation battery technology. They are in the phase of product development and pilot production, right? So that's the stage that they are in. I think our ability to commercialize the technology will come up when they will set up manufacturing facility to produce batteries and supply to us.
And fundamentally, we have made the investment to protect our interest

in the inverter battery
business, and that's our primary objective for investing in this because this technology has certain advantages in terms of life cycle and in terms of effective cost for consumers. So that's the reason why, and also performance. So that's the reason why we have invested in this company. I think maybe it's at least another 24 to 30 months away before we can be able to derive meaningful revenue out of the technology.
NV Chandrachoodamani: Okay. Sir, as a follow -up to that. This is a segment where your market share is in single digits or where you have very strong competitors. So eventually, over a period of time, your own manufacturing combined with the benefits from Gegadyne and all will help to significantly improve your market share in this segment. Is that understanding correct?
Ramachandran V: That is the objective for the investment that we would be able to bring some technology, which can disrupt this space, right? So that's the objective.
Moderator: The next question is from the line of Rahul Agarwal, an individual investor. Please go ahead.

Rahul Agarwal: Hi very good evening . My first question is on the south market. It's grown 18% Y -o-Y as you alluded that it's been some time we've seen such strong growth. Should we think this is a sustainable way forward for South markets now? D oes it have an effect of base also because we had seen 2 quarters of degrowth last year? Some comments on that will be helpful.
Mithun K Chittilappilly: No. South is a more mature market where our ability to increase penetration is limited. I think we are very well entrenched in most of the markets in South. So by that context, non-South should grow faster. But what happened in Q4 is, starting mid of February until end of March, both in Kerala and Karnataka, there was an extremely strong summer. There was also a strong summer in the E astern part of the country.
But the weight of Kerala and Karnataka is very large to the overall business. So on that base, there was a good growth in most of the summer categories. I probably don't think it is

sustainable. I think non- South will still continue s to grow faster. It's just that for this particular quarter, yes, South had an extremely favourable tailwind from this summer.
Rahul Agarwal: Got it. Next question was on the capex , which is the battery and the kitchen factory, both have started. We're expecting some benefits. I wanted to know these benefits are going to be more at the gross margin level? Or we are also expecting EBITDA to be better purely because the gross margin f low through or the opex is more managed? Any comments on that, please?
Mithun K Chittilappilly: No, both the battery as well as kitchen appliances, we were in the outsourcing model. And when we did a lot of analysis on make versus buy, we found that we are not very competitive. And one of the reasons our battery business has also stagnated in the las t few years is because we are not competitive. So I think both these factories have been set up to improve competitiveness, which means that some part of the gross margin will flow through the EBITDA and some part will be used for making our product pricing more competitive in the market.
Rahul Agarwal: Okay. So that means that essentially we will be more cost competitive, which doesn't mean that we'll pass through that benefit and it's more to become a level playing field versus peers. Is that correct?
Mithun K Chittilappilly: Like I said, some part of it will be passed back to the market to make it more competitive. But we still believe that there can be an overall improvement in gross and EBITDA margins.
Rahul Agarwal: Okay. Got it. And lastly, ECD growth obviously has been pretty widespread, as what you mentioned, across channels and across products. I just wanted some more underlying trends, whatever you could share

quantitatively in terms of products? In ECD, what has done well and what has not and the outlook for the same over the next 6 months?
Mithun K Chittilappilly: So I think in ECD, we have fans and air cooler, which has got a lot of the tailwind because of the summer. And we have products like water heaters, which is nonseasonal during Q4 and i s primarily in season from Q2 and Q3. So that has been the mix. I think for kitchen also, it is a nonseasonal quarter. I mean, for kitchen appliances typically sales happen in Q2 and Q3 during the festive quarter. So it's primarily fans, air coolers, which has driven the sales for growth for Consumer D urables.
Rahul Agarwal: So what has driven the Sunflame top line so hard? I mean, for the quarter Y -o-Y basis because it's a non -season quarter. Could you elaborate a bit on that?
Ramachandran V: Yes. See, Q1 was the first quarter post transition, right? So in some part of it, there was some low base initially, and in some part of it is recovery. T hat's how we should read it. Sunflame business is coming on track. I think our GT business and modern trade business this has come back on track. There is some work to be done on e -commerce. There is work to be done on setting up our network in South. So t hose are areas that we are working on.
Mithun K Chittilappilly: Some of it is happening through a new ; see, for example, in the case of Sunflame, just before the transaction, they were in the process of moving their manufacturing from imports to own manufacturing. So they did lose a few months because of that because there was some supply shortage and stuff like that. So we have corrected all that. And there were some teething

problems with their service system, which we have now kind of moved to the V -Guard type of service. So a lot of it is because of the little bit s of work that we have done. And I think a lot more work is left to be done. So Sunflame because we are expecting quarter -on-quarter growth. So we probably are not really comparing with the previous year, but more on to grow quarter -on-quarter.
Rahul Agarwal: Right. So just to conclude this discussion, it looks like Sunflame next year, which is fiscal '25,

obviously, will have a higher top line growth because most of it is basically readjustment to what was really happening last year. And second, also the margi n for Sunflame should be like moving to 11%, 12% because of operating leverage. Is that understanding correct?
Ramachandran V: I think the first part is correct. So the second part, I think, we may also make some investment in the business, right? I think we might step up ATL and we are strengthening these systems, right? So the business was managed for cash by the promoter , before us and by manage for cash, what I mean is that they had a pretty strong and robust model, which was generating cash year -on-year. We might make investments in the business and our systems and ways of working will also involve focus on ma ny areas, which may not have been focused on earlier. So there may be some investment in people and some investment in technology that we'll have to factor. And there will be some investment on ATL, right? So these are things that we will step up.
Moderator: The next question is from the line of Aniruddha Joshi ICICI Securities.
Aniruddha Joshi: Sir, generally, at least at the industry level, we have seen that whenever the summer is very strong, for the rest of the quarter, the sale of summer products tend to be a bit slower. We have seen it in the room air conditioners also as well as, in a way, coolers also. So do you see a similar phenomenon can happen in fans also? And from your earlier experience s, do you see similar situation panning out? That is question number one.
And secondly, in terms of the manufacturing which will now be, in a way, increased from the compa

ny's side – what is the current share of own manufacturing and outsourced products? And how do you see that changing, let's say, in a period of next 2 to 3 years? That is question number two.
And then question number three is that with your own manufacturing, do you see more investments in R&D? And what are the possible innovations that you can share? Yes. That's it from my side, sir. Thanks.
Mithun K Chittilappilly: What we have observed is that when V -Guard has a strong summer, our following quarters are actually quite strong because what happens is ; if you ask me today, the situation is that we are also running with low inventory, o ur distributors are having very low inventory and our retailers are also not having inventory.
When such a situation happens, even after summer is over, for at least for 30 to 40 days, we will keep feeding to at least keep some basic level of inventory. So typically, for us, at least what we have experienced is when there is a strong start for the ye ar, it kind of carries through for the
rest of the year, even for air conditioner stabilizers, which is very closely linked with the sale of

air conditioners. So this has been our experience. We also expect this year is going to be like that.
On the c urrent manufacturing status, in-house is about 65%. W ith all the new factories that are coming online, we probably expect it to go to about 75-odd -percent in the next 18 months or so because the factories will scale up, it'll takes about 8 to 9 months to scale up because month one onwards, we won't be producing at full capacity. So about 75% is what we can expect in the next 12 to 18 months from own manufacturing as well as the in -house manufacturing itself.
Aniruddha Joshi: Sure, sir. And in terms of innovation?
Mithun K Chittilappilly: Innovation, we have done and we have invested a lot ; we have expanded our product development and R&D teams in the last many years. So I don't foresee us having a lot of more investments in product development, I mean, significant investments. But I think definitely, our capex towards new moulds will go up . The rate of product refresh is becoming much faster than before. So in that sense, you will see some elevated level of capex in mo ulds, which basically we are already seeing and it's already being part of our base in the last 2 years.
Aniruddha Joshi: Okay. Sure, sir. Sir, last question, how do you see the margins playing out considering now in -house manufacturing will also increase. So compared to outsourcing, definitely, the margins should be better. So do you see the margins moving up significantly o ver the next, let's say, 3 to 4 years? So how should we build in terms of the margins?
Mithun K Chittilappilly: Like I mentioned before, some of the manufacturing is to address competitiveness issue, so we may not see a huge increase in margins. But in some cases, yes, there will be some efficiencies.
So wherever we have set up a factory, we have found that in about 2 to 3 years' time, we are squeezing out more margins than before. But we also have a more strategic objective of setting up plants. We want to address a segment of the market, which is mid -premium and premium
segment, which cannot be addressed by products from vendors. So we have a more important reason to set up these plants because we want to make sure that we are able to offer products in the higher range as well. And those products typically come with higher prices and higher margins.
Moderator: The next question is from the line of Shubham Aggarwal from Axis Capital.
Shubham Aggarwal: Just one question, this is on the inverters and battery side. We're investing in the manufacturing

capacity. If you can just remind us on what is the revenue share in this segment from inverters and battery on a full year basis? And given the investments and you sa

id that you'll become more cost competitive after this investment, what kind of growth do you expect from inverters and batteries over the next 3 years, let's say?

Mithun K Chittilappilly: We don't give out individual product -wise revenues, but we can tell you that inverters and batteries and solar inverters put together is a pretty large product category for V -Guard. So it's one of the top 5 product categories for us – it's pretty large. It is also a very large market. The market size of inverters and batteries is more than INR 14,000 crores. We already have a manufacturing facility for inverters, we set up in Pantnagar along with stabilizers, about 18 to

24 months back. So this is to address the competitiveness of the battery pricing. So we are not competitive right now in outsourcing it. So to some extent, it is to address that.

Shubham Aggarwal: Okay. Sir, any ballpark number on what kind of growth will you see after you become competitive on the battery side, 15%- plus or 10%, 12%, broad range?

Mithun K Chittilappilly: I think inverter and battery, we are already growing at 12 -odd-percent. So definitely 15% plus is possible. I think it's too early for us. O nce we cross that bridge, we will report.

Moderator: The next question is from the line of Natasha Jain from Nirmal Bang Equities. Please go ahead.

Natasha Jain: Thank You for the opportunity once again Sir, you mentioned that your battery and kitchen appliance factory has commenced production. So taking that into account, what kind of improvement can we see in electronics as well as ECD margins for immediate term? And at a consol level, what would be then your guidance for EBITDA? My first question is that .

Mithun K Chittilappilly: Okay. So I think battery is not sitting in ECD, it's sitting in electronics, so the factory will not have an impact on that segment. Regarding ECD, I think our ECD margins have improved comparing with previous year, but we are still not where we would like to be, which is what was the case 3, 4 years back before the last spike in commodity prices. So I think we still have some pricing action to land in fans and water heaters. These are the 2 large categories in ECD.

Of course, there is also a kitchen business, which is sitting inside ECD. But I think the larger part of the drag in margins has come from fans and water heaters, which we hope to correct in the next few quarters. In the case of kitchen, yes, so we have just set up the plant. We have some hypothesis. But like I said, our product offerings are not competitive. So we may initially use the reduced cost to penetrate more in the market than get more profit to that extent.

Natasha Jain: Sir, then would our consol , with that guidance, would it be in the range of 10% to 10.5% for now?

Mithun K Chittilappilly: Yes, of course, if you look at Q4, we are already at about 9% to 9.5% in EBITDA margin. So definitely, it's possible. And we have demonstrated in the last 12 months, subsequent quarters of improvement in gross margin. So that will continue. But I think in t he case of consumer durables, I think there is some more work to be done in terms of margin improvement. I think in the next 6 to 8 months, we should start seeing better margins.

Natasha Jain: Understood. And sir, in terms of Sunflame, can you throw some light as to how did it grow in the South markets given that we have lower presence there?

Ramachandran V: I think it's early days. I think typically, what happens is when you get into a market like South, you probably would start with chain stores and all that. So it's taking some time. What I can tell you now is we have a team on board and we have signed up s ome retail accounts, and we have started business. By the time we put the team in place, it was only in Q3 of last year, which was last quarter, right, the early part of Q3, somewhere arou

nd October, November is when the team has come in pl ace. So it's going to be some time. I think you will start to see some significant

traction in the current financial year and probably better visibility to impact in the year following that, right?

Natasha Jain: Understood. And sir, lastly, in terms of water heaters, while I know that the product will not be that stronger traction in the summer season. But just want to understand that what's the update in terms of introduction of premium products because last time , I think, we were on that commentary that we'll try and introduce premium products so that our margin gets uplifted. So what's the update on that?

Mithun K Chittilappilly: So I think in case of water heaters, we have launched a face lifted version of our premium range call Pebble. It's called Pebble Neo , it's a digital model. So that has just got launched at the fag -

end of last financial year. It's getting good traction, both on modern trade as well as e -commerce.
But yes, like you said, this quarter is not the right quarter to sense this demand trend because we
are not in season, but I think the early indications are good. But we are also hopeful tha t in the
next 18 months, the next set of premium models that we are working on should get launched and
that should solve the problem. But I think for the time being the refreshed Pebble model, it's
getting good acceptance.
Moderator: The next question is from the line of Achal Lohade from JM Financial.
Achal Lohade: Sir, if you could help us with the channel mix for the stand-alone and for Sunflame in terms of GT, modern trade and e-com for FY '24, a ballpark number?
Mithun K Chittilappilly: We won't be giving out any Sunflame specific numbers as of now. I think maybe once the
business scales up after that we will be giving out those numbers .
Achal Lohade: Sure. How about the stand-alone?
Mithun K Chittilappilly: Standalone, I think for us, maybe GT is...
Ramachandran V: Yes, I think it's good for you to see it this way. See, there are businesses like wires, switches, switchgear, pump, okay? The other channels are not relevant. It's mostly general trade, right?
These categories are close to about 40 -odd-percent of the 42%, 45% of our business, right?
Because wire is about 30% and the remaining will be another 15%.
I think for the remainder part of the business, where this question is relevant, I think, close to 20-odd-percent of our business may be coming through these channels, maybe as opposed to,
let's say, maybe a market structure of 30% or something like that for that blended portfolio. So I think that's how I would put it.
So we are under -indexed in these channels variably. But we
have significantly grown the indexation levels in these channels.
Achal Lohade: Okay. So if I understand correctly, what you're saying is for the 60% of our business, 20% is e -
com, store, modern trade, 80% is...
Ramachandran V: No, no, it will be more because there is also indirect. We are not measuring that. So there are
like some chains who are serviced by our distributors. So directly, what we do is about 22%,
right?

Achal Lohade: Okay. Directly is about 22%.
Ramachandran V: Yes, 22%. But there are indirect ones. We have some large chains, which are serviced through
our distributors, which is for legacy reasons , which we have not yet transitioned. But to give you
a sense, compared to market, we'll be under -indexed by about 20%, yes. 20%- 25%, we will be
under -indexed in these channels.
Achal Lohade: 20, 25 percentage point or 20%, 25% in absolute terms, sir?
Ramachandran V: Yes, 20%, 25% percent in absolute terms, right? So if the market index is 100, we will be at 70%
to...
Mithun K Chittilappilly: So for example , if you assume that modern trade and e-com as 35%, we w

ill be at 35% minus
25%.
Ramachandran V: So that is 75% of 35%. What I'm saying is we'll be at about 25%, right? If the market is at 35%,
we'll be at 25%. So that gives you some sense, right?
But we are growing year -on-year and we have focus ed on that. W e have made some significant
gains. I think, it will get better if we shift some of our indirect business also to direct.
Achal Lohade: Understood. Just one more question. F rom a full year perspective, FY '24, is it possible to get
some sense where we would have gained market share where we would have just maintained or
where we would have lost market share? Just qualitatively if you could comment?
Mithun K Chittilappilly: I think the issue with our industry is we are not verified and all that. But we have a sense of where we have gained and lost, but we will not like to talk about it at this time.
And you can look at the numbers. See, I think the best way to do it is you can compare the annual
numbers for the last 3, 4 years for various companies and you can come to a conclusion where
people have done well and people have not.
Achal Lohade: Yes. But that's more on the aggregate number and I mean if you've added categories, then it's
very hard to kind of call out. But that's fine. I mean that's the best we could do.
Mithun K Chittilappilly: But your channel checks also will give you some idea about who is gaining share.
Ramachandran V: It's speculative, so that's why we are not saying anything because it's not something that's measured .
Mithun K Chittilappilly: Unlike FMCG, there is no G FK data where it's measured monthly and all that. And it's all claims
by one company versus other companies. Then we also have unlisted companies in some of these
spaces who are not listed. So , it is difficult to measure. Even for us it's difficult to measure.
Achal Lohade: Understood. Any comment on the switches, switchgear piece, how is it doing? What are the plans? What growth have you seen? Like has it been slow? Has it picked up? Anything on that
front in terms of manufacturing versus outsourcing?

Ramachandran V: Yes, I think we are very positive about the outlook for the switches and switchgear business, and we have intent to grow this business aggressively. W ith the acquisition of Simon, we have access to Simon's manufacturing capability. And we have in-sourced a good part of our switches business into that factory, and we have gained some benefit from that. We have a road map for distribution expansion as wel l as new platform investments, which together should drive future growth of these business es. I think these businesses will obviously grow faster than the company growth rate.
Achal Lohade: Understood Just last question, if I may, with respect to the dealer -retailer touch point counts as of March 24, would you be able to give out that? And what kind of addition are we looking at?
Ramachandran V: So yes, I think we used to typically say that we are present in about 50,000 to 55,000 outlets , rather 40,000 to 50,000 outlets, yes. But so we have now in the last 1 year have completed scan of the number of outlets we are present in, and I think it's now touching almost 1 lakh as we speak.
Achal Lohade: Okay. And what was it in March '23, would you have that number by any chance?
Ramachandran V: No, I think that's what I was telling you that we were believing that we are in about 50,000 outlets okay? But subsequently, we have taken a lot of effort to identify so that we can monitor where we are and who is dropping and where we can add more categor ies into a store. So we have set up a system now to know where we are and we were pleasantly happy to discover that .
Mithun K Chittilappilly: So today, we have a distribution management system where we are able to see the secondary data, which was not possible previously. So this number, what we've

got right now is more accurate. I think the earlier number, t hat we had was more of an estimate because there are both retailers and distributors, we sell directly to, and there are also certain wholesalers we sell to. We are not very sure about the Tier 2 numbers, what is being furnished by them in terms of the number of retailers and the list and all that. So this is a more accurate, it's close to 100,000 now, which I think is probably 60% of the universe, if you want t o call it that there.
Achal Lohade: And the direct dealers, dealer count?
Mithun K Chittilappilly: See, the total direct partners, what we have is about 3,500 -odd people. That includes 10% to 15% of that are distributors and about 80%, 85% are direct dealers. There would be direct dealers and wholesalers, okay? It's both. It will be a mix of both.
Achal Lohade: And you are seeing that the distributor as well as direct dealers, their retail invoices we have access to? Have I understood right?
Ramachandran V: No, not the entire retail invoices. We have access to relevant information, which helps us to understand our reach. And this is verified because now we know who they are. We know their GST number and stuff like that. So I mean, it's more reliable. See, ear lier, we used to be conservative because we did not have visibility to how far we are reaching, right? But then we had some high -level estimation. But now we have data and we have like unique identifiers. So we can say that this is where we are now.

Achal Lohade: Understood. Any number you could gather for the EPR provision?
Sudarshan Kasturi: Yes, Achal. It's not major. It's only about INR 70 lakhs for battery. So that's not a big factor. The major factor is the product mix, which Mithun spoke about.
Achal Lohade: It had such a large impact?
Mithun K Chittilappilly: No, battery will have a large impact because for battery, it's based on weight, right? I mean, so battery is 70 -kilo product. So it's based on the weight and the average number of years, useful years. So that is how it's calculated.
Achal Lohade: Understood. Okay. So if I understand right, we are talking about 10%, 10.5% margins in the current year. Have I understood right, EBITDA margin?
Mithun K Chittilappilly: We said we will work towards 10% -10.5%. But I think as you've seen with the trajectory, it is possible, and we are hopeful there.
Moderator: Thank you. Ladies and gentlemen, this will be the last question for today's conference call. It's from the line of Manoj Gori from Equirus Securities. Please go ahead.
Manoj Gori: Thank you for the opportunity. You have given a very detailed explanation on the top line front, just wanted to understand on the margin side. So if you look at the electronics business, probably from FY '20 to FY '22, we were somewhere between 16% to 18%, 19% range. Over the last 2 years, we have seen that 13% to 14% probably in FY '23, we were impacted because of the high-priced batteries and which we believe have been depleted by somewhere around 2Q or 3Q of FY '24.
So probably, how should we look at the margin trajectory for electronics business? And

secondly, on the consumer durables as well. Over the last 2 years, we believe like you would have done exceptionally well versus the industry standard in terms of growth. But when you look at the margin, probably we have fallen from FY '22 levels during FY '23 and '24. So where do we see for next 2 years? This would be very helpful.

Mithun K Chittilappilly: Okay. We have to understand that FY '20 onwards, we have had various types of disruptions where 1 year, there was a deep drop in commodity prices, which aided a lot of margins, but revenue was limited. And then after that, we had a huge spike in commodity prices, w hich went over and above the pre -COVID era, which kind of eroded margins. So when I look at FY '19, which i

s here before all of this started, I think, in Consumer Durables, we still have at least 3% to 4% improvement to do. I think we are at about 1.5-odd -percent in Q4 as far as EBIT in Consumer Durables margin is concerned.

Sudarshan Kasturi: EBITDA was 3%.

Mithun K Chittilappilly: So I think this was something like 7% or 6% pre -COVID. That's where the main drop has happened. The other places, we are largely in line. I don't think in electronics, I think we have had; I mean, we have had some margin issues in batteries and with this plant and some other

work we are doing, it should get largely solved. But Consumer Durables, yes, we have some work to do.

Like I said, there have been huge pricing pressures in the fan business. All that has grown, but we have found it extremely difficult to pass prices because some of the competitors are not very proactive about increasing prices. But I think with this kind of demand environment and this kind of a summer hopefully, this should be through. Water heaters are an other place where we are having some margin challenges. W e have taken steps to address that. And I think in the next few quarters, we should improve. So as you've seen CD, Consumer Durable, has gone through a very, very tough margin environment and it's coming back. And I think you will find that going forward, we should come back.

Manoj Gori: What I understand is that Consumer Durable margins on a Y -o-Y basis during FY '25, '26 and gradually, we should see an improvement. While electronics margin should be somewhere between around the current range of 13%, 14%? Is that understanding correct?

Mithun K Chittilappilly: Yes. Correct.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today's conference call. I would now like to hand the conference over to the management for closing comments.

Mithun K Chittilappilly: Yes. Thank you, Aniruddha and ICICI Securities for hosting this call, and thank you all for patient ly listening.

Moderator: On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jul 2024

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Scrip Code: 532953 Symbol: VGUARD
Dear Sir/Madam,
Sub: Transcript of earnings call pertaining to the Unaudited Financial Results for the quarter ended June 30, 2024.
This is with reference to the intimation dated July 13, 202 4, ■led with the stock exchanges in terms of regula tion 30 of the SEBI (Listing Obligation and Disclosure Requirements) Regula tion, 2015, regarding the earnings call to discuss t he Unaudited Fina ncial Results for the quarter ended June 30, 2024, scheduled on July 25, 2024. The a udio recording was ■led with the st ock exchange. We are enclosing the transcript of the Earnings call. The same is also being uploaded on the website of the Company at https://www.vguard.in/uploads/investor_relations/V-Guard-I ndustries-Q 1-Transcript-q1-2 024.pdf
We reques t you t o kindly take the above i nformation on record.
Thanking You,
Yours Sincerely,
For V -Guard Industries Limite d
Vikas Kumar Tak
Company Secretary & Compliance Officer
Membership No. FCS 6618
E
ncl: As above

"V-Guard Industries Limited
Q1 FY '2 5 Earnings Conference Call "
July 25, 2024

MANAGEMENT : MR. MITHUN K CHITTILAPPILLY – MANAGING DIRECTOR – V-GUARD INDUSTRIES LIMITED

MR. RAMACHANDRAN V – DIRECTOR AND CHIEF OPERATING OFFICER – V-GUARD INDUSTRIES LIMITED
M
R. SUDARSHAN KASTURI – SENIOR VICE PRESIDENT AND CHIEF FINANCIAL OFFICER – V-GUARD INDUSTRIES LIMITED
M
ODERATOR : MS. NATASHA JAIN – NIRMAL BANG INSTITUTIONAL EQUITIES PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day and welcome t o the V -Guard Industries Q1 FY ' 25 Earnings Conference Call hosted by Nirmal Bang Institutional Equities Private Limited. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the "*" and "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Natasha Jain from Nirmal Bang Institutional Equities Private Limited. Thank you, and over to you, ma'am.

Natasha Jain: Thanks, Steve. On behalf of Nirmal Ban g Institutional Equities, we welcome all of you to the first quarter FY ' 25 Results Conference Call of V -Guard Industries Limited. We would like to thank the management for giving us an opportunity to host this call. We have with us today the senior management, represented by Mr. Mithun K Chittilappilly , Managing Director; Mr. Ramachandran V, Director and Chief Operating Officer; and Mr. Sudarshan Kasturi, Senior Vice President and Chief Financial Officer.

Now, I will hand over the call to the management for initial comments on the quarterly performance and then we will open the floor for the question-and -answer session. Thank you, and over to you, sir.

Mithun K Chittilappilly: Thank you, Natasha and Nirmal Bang team for hosting this call. A very warm welcome to everyone present on today's call. Thank you for joining today to discuss the operating and financial performance of our company for the first quarter of financial year 2024-' 25. I trust all of you have had a chance to refer our Investor Presentation , which was shared yesterday.

It has been a positive start to the fiscal year with a strong performance in the first quarter. We have reported a consolidated net revenue of INR1,477 crores in Q1, FY '25 , higher by 21.6% on a Y-o-Y basis. It has been an all -round performance aided by a very good summer. The Electronics segment comprising majorly of stabilizers and digital UPS, led the growth with the revenue growth of 41% Y -o-Y. In this segment we also have solar power systems, which are seeing good traction and is a category for the future.

The Consumer Durable s segment where we market fans, water heaters, kitchen appliances and air-coolers, also reported a strong performance with the top line growth of 26% on a Y -o-Y basis. In the Electrical s segment comprising of wires, pumps, switchgears and modular switches, we registered growth of 7% in revenue on a Y -o-Y basis. Wires, which is the largest category under the Electrical s segment was impacted by trade de-stocking due to decline in copper prices in June.

Sunflame reported de- growth in the top line of 7% on a Y -o-Y basis. Also, the top line was soft. It was largely in line with our forecast s and plan. The overall kitchen industry has been facing subdued demand in the recent quarters. We recognize there is a task ahead of us to get the business on the growth path and there are several actions in progress in terms of functional integration and sales acceleration. Gross margins in Sunflame business remain good. EBIT

margins have been lowered due to higher A&P s pends and filling up of critical vacancies, which will yield result s going forward.

In terms of geographies, all regions have done well. The non-South markets delivered a top line growth of 30% Y -o-Y, with revenues in South market growing 17% Y -o-Y. The contribution from non -South markets have crossed 50% in total revenues for this quarte r. Gross margins continue to improve with the benefit of softening commodity prices and various pricing actions and cost effectiveness initiatives flowin

g through.

We reported a gross margin of 36.3% in this quarter, an improvement of 380 basis points Y -o-Y. This is due to a combination of pricing action, softening input prices and better product mix. The recovery in margin is now largely complete. We expect to continue the margin improvement through benefits of manufacturing, premiumization and scale benefit s from the Consumer Durable s segment.

Of late, we are also seeing some firming up of commodity prices and will be taking pricing actions wherever necessary to preserve margins. Effective management of working capital has enabled us to deliver robust cash flows. We paid one -fourth of the loans raised for Sunflame acquisition this April. Another one -fourth will be repaired at the end of July and we are on track to repay this loan as per plan. It has been a good start to the year and we are optimistic of delivering a good performance in the comin g quarters as well.

With that, I conclude my comment. I would like to thank Natasha and the team at Nirmal Bang

for hosting this call and would like to request the moderator to open the floor for Q&A. Thank you.
Moderator: Thank you very much, sir. We will now begin the question-and -answer session. The first question is on the line of Natasha Jain from Nirmal Bang Institutional Equities. Please go ahead.
Natasha Jain: Thank you. Firstly, congratulations on a good set of numbers. My first question is on the Consumer Durable s Segment. Firstly, can you call out the growth in fans particularly, and if there was any meaningful price hike? And if there was a price hike, can you please break it between commodity cost pass -through versus an organic price hike?
Mithun K Chittilappilly: Okay, first of all, we don't give out product -wise numbers for various reasons, but we can say that the fans category has done reasonably well. Regarding price hikes, I'll ask Ram to comment.
Ram?
Ramachandran V: Yes, I will. See on price hikes, price hikes have been taken and they are also ongoing because there has been some subsequent increase in prices of copper and aluminium. So, prices hikes are ongoing, including we wish to land some prices hikes this month if possible. So, it's ongoing.
We had improved our margins through the realization of input cost benefits towards the last quarter of last year and we had taken some price increase, I think, it was about 2 -odd percent in quarter four of last year. We have also taken 2-odd percent in quarter one of this year.
But there have been sharper increases in copper and aluminium prices and i t may warrant some more corrections . Depending on the market situation we will land a competitive situation and

we will progressively go ahead. T he increase that we have taken in March quarter was to compensate for absence of price transmission in the previous year, but subsequent increases have been responding to input cost.
Mithun K Chittilappilly: And one more thing. Fans remains an extremely competitive category. We have a very, very aggressive market leader and we have a startup who's also very aggressive. So, most of the price hikes are in relation with the increasing commodity prices. So, I would not say that there are any organic price hike s. Most of them have been to offset increases in commodity price s.
Natasha Jain : Understood. That's very clear. Sir, my next question is on the electronic side. Now, while we are on a consistent trajectory , upward trajectory in terms of EBIT margin improvement, are we where we were broadly targeting to be or is there still a scope of improvement? And on a related note, sir, gross margin improvement has also happened because of cost reduction initiatives, specifically in the Electronics S egment . So, given that second and third quarter are now going to be comparatively leaner for us, what kind of an overall gross margin can we expect in

FY '25 ?
Mithun K Chittilappilly: So one thing is, regarding gross margins, there is also an element of mix. For example, in the first quarter, the summer -based products have done extremely well , much more than ; and wires, which is almost 30% of our revenues, has grown only by a smaller percentage. So, there is some effect of product mix, which will change in the next few quarters. But largely when we look at it on a normalized level also, I think we are largely okay with gross margins . As Ram pointed out, there ha ve still been some increases in aluminium and crude derivatives and all that. Copper went up, but it also did come down little bit in June. So, in that sense, there may be some more increases that may be required.
Natasha Jain: Understood, sir. Thank you. I'll get back in the queue.
Moderator: Thank you. The next question is from the line of Rahul Agarwal from Ikigai Asset Management. Please go ahead.
Rahul Agarwal: Good afternoon and thank you for the opportunity. Firstly, Mithun, I wanted to understand what really drove ECD (Electrical Consumer Durables) as well as Electronics ' margins. So basically, I understand that input pricing was weak and that the summer was strong and hence is it more to do with operating leverage here ; that a 20% EBIT margin for Electronics and a 5% ECD is more seasonal and one- off and hence it might obviously taper down going into the following year? Is that correct?
Mithun K Chittilappilly: See, if you look at the previous year, also, the Electronics margin was around 18%. So yes, you can attribute that maybe 1 % or 2% is due to operating leverage, but you see the Electronics margins are always on the higher side comparing with the other segment. In the case of Consumer Durables, our margins used to be 5% to 6% and it had crashed with the increases in prices and the lack of further increases companies were able to do towards the market for various reasons ; there were competitive pressures . The quantum of increases were probably unheard of in the earlier years, so there was some resistance from trade in consumers and all that.
So now, I think we are largely back. In the case of Consumer Durables, we probably will see a little more or probably should see a little more improvement in margins. And after that, we will

go for it . But I think this is sustainable. There is an impact of operating leverage. But it is probably 1% or 2%.

Rahul Agarwal: Okay, get it. Secondly, on the working capital, broadly, it is maintained at 50 days of sale, but I wanted to understand what is driving the receivable days coming sharply down to 35 and what is driving the creditors increase to 75 days. What are the reasons here?

Mithun K Chittilappilly: Okay. Sudarshan, regarding the working capital ?

Sudarshan Kasturi: So debtors have come down, they are lower than our normative levels because it was a strong season, so customers pay on time. Otherwise, similarly, even on the payable side, even May and June, both were big months. So therefore , it is a point -in-time measure and the volume of buying that was done in May and June is higher than usual.

Rahul Agarwal: So, where should we see these numbers back in terms of, let's say if we see you r March balance sheet for 2025, where should we sustain?

Sudarshan Kasturi: We should work on the normative levels of about 60, 62 days. That's our standard. Currently, it is a bit on the lower side because of the factors I mentioned.

Rahul Agarwal: Perfect. Lastly, where are we on the factory capex? If you could just update us across the manufacturing plants. What is the status update? That will be helpful. Thank you.

Sudarshan Kasturi: Factory capex, except for one project, which is the fans plant, other ones are complete.

Rahul Agarwal: And when does the fans plant get complete d?

Sudarshan Kasturi: That building has just sta

rted.

Mithun K Chittilappilly: Maybe 18 months.

Sudarshan Kasturi: Yes, maybe 18 months.

Mithun K Chittilappilly: 18 months more.

Rahul Agarwal: Okay, so we should work with like, INR 100-120 crores of capex for this year and next year? Is that fair enough?

Sudarshan Kasturi: Yes, that's fine. INR100 -120 crores is okay.

Mithun K Chittilappilly: INR100 -120 crores of capex. Basically what will happen is as we get into next year, there are also investments in mo ulds and dies that are going on. And they are also going to come up. So, there will be a normative capex of around INR100 crores to INR120 crores for the next two years also.

Rahul Agarwal: Perfect. Thank you so much for answering my questions. All the best and congratulations for a good quarter.

Mithun K Chittilappilly: Thank you.

Moderator: Thank you. The next question is from the line of Ravi Swaminathan from Avendus Spark. Please go ahead.

Ravi Swaminathan: Hi, sir. Thanks for taking my question and congrats on a good set of numbers. My first question is with respect to the stabilizer business. I know that this quarter would have s een a fabulous growth because of the strong traction in air -conditioning sales. But say to think over a slightly more normalized manner and over a longer time period, like two to three years, what kind of growth rate should we think of for this particular sub -segment , given the fact that AC sales might still end up doing well because of the improved penetration level etcetera? In the presentation, we had mentioned that the industry would be growing at a double -digit. Can it separate positively by growing at much, much higher number?

Mithun K Chittilappilly: See, for stabilizers, we are expecting, if you look at a very, very long term, that is about 10 years CAGR, It is somewhere around 8% to 9%. And that should be the growth that we also will be working with. But there are years when it goes up substantially higher because of the kind of weather we have . We have to also understand that we may not get this kind of weather every year. There are years where rains do kind of happen a lot within summer and then summer does not really take off, so this year was good on all the fronts.

It was also good on all the geographies as well. So, sometimes you have a very warm summer in South, but then the entire non -South gets washed out. Sometimes we have a very warm summer in non -South and South India gets washed out. So, these kind of things happen. This is one of the rare y ears wh ich we have had. S o 8% to 9% has been o ur very, very long term CAGR and that I think is the right number to work with.

Ravi Swaminathan: Understood, sir. What is driving growth in the digital UPS product s. So, I mean, what are the factors of growth which is driving that particular product?

Mithun K Chittilappilly: Digital UPS is also dependent on summer, because what happens is, as the summer gets really warm, power cuts tend to start and the usage of inverters goes up, especially in Tier 2 and rural areas. So that has been one of the main drivers. But apart from that, we also have a new division, which started two to three years back, which is a solar rooftop solutions product, so that is also

driving good growth within the inverter and battery segment.
Ravi Swaminathan: Okay. And the solar rooftop, what percentage of the overall Electronics would it be a contributor to and how fast is it growing? Is it like a high -teen s kind of a growth segment?
Mithun K Chittilappilly: Solar rooftop is growing very fast. It is very small as of now and we do not give out product -wise number s.
Ravi Swaminathan: Understood, sir. M y second question is say the real estate-link ed products like wires, switches, switchgears, etcetera, are you seeing any signs of major uptick in terms of real estate demand, which can actually

kind of improve the growth from a single -digit or a high single -digit to a much higher number ?
Mithun K Chittilappilly: So, V -Guard's wires and E lectrical s business is largely retail. It means that almost 90% to 95% of the sales come from the trade. That is retail shops. We do not have a big business supplying

to very large builders and infrastructure players and so on and so forth. So for us, these are more normal sales, but yes, our partners do supply to medium sized builders and all that.
So, we have to understand that there is a lot of real estate activity happening, but what we are seeing is that it is probably getting more formalized. So earlier also, i t was going on, but it was probably split among a lot more smaller and larger number of builders, where now, what we are seeing is a few builders are enjoying majority of the sales.
So I think for us, that is when we will see our peers also ; we are not seeing that much of an improvement in that sense. But retail sale is more stable and for example, when the interest rates were low, we did see some uptick, because when interest rates are low, people tend to make investments in real estate and stuff like that. So, we cannot say that there has been a huge tailwind for us, specifically, but companies which are focusing on projects will probably get some of that.
One of the reasons we do not do projects is that the margins in projects are 10% to 15% lower in a product category with very small gross margins . So, it does not make sense for us to supply to projects.
Moderator: Thank you. The next participant is from the line of Aditya Bhartia from Investec. Please go ahead.
Aditya Bhartia: Hi. Good afternoon, Mithun, Ram and Sudarshan. My first question is on other expenses, which saw clearly a sharp increase in first quarter. I understand that A&P is one part of it. But even if you strip off A&P, it appears that other expenses have actually risen quite sharply. Is there any one-off in this quarter? Or if there's nothing, then what is this on acc ount?
Mithun K Chittilappilly: Yes. I'll ask Sudarshan to take this.
Sudarshan Kasturi: There are some, few different parts to it. One is A&P, as you mentioned, so that's one factor. Certain factory -related costs also appear in other expenses. And compared to one year ago, manufacturing expenses have gone up. There are some one- offs, yes, because there were some releases in the previous year. Nothing unusual really. There's a big jump in freight and warranty, which is for this quarter, because for Electronics and Durables, which were the high growth categories, these tend to be higher than average, largely done.
Aditya Bhartia: Understood. So, you're saying in the preceding quarters, there were some releases of provisions and in this quarter, given that there are no releases, optically, we are kind of seeing a sharp jump?
Sudarshan Kasturi: Yes. And this quarter, also, the mix was like that. So, freight and warranty is higher.
Aditya Bhartia: Understood. And how should we kind of then think about it going forward? Freight and warranty is something that we can normalize a bit depending on mix, but rest everything appears to be in a similar kind of a range?
Sudarshan Kasturi: Yes, it's better to look at it as a 12 -month number, not by quarter. So, if we have our cost progress in the previous year, it will take the same thing.

Aditya Bhartia: Sure, because if I just look at last year, the quarterly average works out to be closer to INR200-odd crores, while this quarter we have spent almost like INR260 crores.
Sudarshan Kasturi: Better to look at it as a percentage of turnover for the other expenses for FY ' 24.
Mithun K Chittilappilly: Some of the expenditures sitting in other expenses are also volume related, like as

you sell more
– more transportation, more warranty, provisioning, as we manufacture more and more i n our factories, more outsourced manpower cost. All these are sitting in other expenses.
Aditya Bhartia: Sure. My second question was on the growth that you have seen in Electronics S egment. While I understand that you do not break up the segment, just wanted to understand, is it getting largely

driven by stabilizers or would digital UPS have also seen a big improvement? And a related question to that we used to struggle with profitability on the digital UPS side. Have we seen a significant improvement around that?

Mithun K Chittilappilly: I think both have grown well. Like I mentioned, both , stabilizers has grown well and inverter battery has grown well. So, it is not like it is one that is driving. Both of them have grown well. You asked about profitability of digital UPS?

Aditya Bhartia: Yes.

Mithun K Chittilappilly: Okay. Ram, you want to take this, regarding margins?

Ramachandran V: Yes. Digital UPS has two components, the inverters and batteries. Inverter gross margin and profitability has significantly improved over time with the investment that we made in manufacturing and having moved inverter manufacturing in-house. What I would say, t he battery margins, of course, continued to be under pressure. We have already taken action there in terms of setting up our own facility. I think the benefits from that probably should be visible towards later part of the year or maybe next year t o be more precise. So that should give you a picture on inverter batteries.

Aditya Bhartia: Perfect. That's helpful, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Hardik Rawat from IIFL Securities. Please go ahead.

Hardik Rawat: Thanks for the opportunity and congratulations on a strong set of numbers. You mentioned in your earlier remarks that largely the price increases that you have taken in your fans portfolio was to transfer the increase in commodity prices, would that be correct?

Mithun K Chittilappilly: Yes, that would be correct. Like see, pre-2020 we had a gross margin structure for fans and it was completely destroyed after the Russia-Ukraine war , significant increases in aluminium and lack of increases done by the industry. There are two reasons. One is hyper competitiveness. Second is the kind of increases we had to do, it was not possible to do it in one shot. So, the industry took two to three years to actually do this over time. And then, of course, prices also cooled off a little bit in between. So, yes, it's largely to accommodate the RM increases.

Hardik Rawat: So there was a bit of pressure on the input prices as a result of change in the regulatory requirements .

Mithun K Chittilappilly: Yes, correct. So, there were two shocks. One was the shock given by the Russia -Ukraine war. The second shock was given by BEE, which meant that there were almost 7% to 10% price increases in the entry level products and may be 5% increase in the premium level product s. So, this is also largely meant that if you wanted to buy a branded product, it was getting too expensive, especially for a value conscious consumer.

Hardik Rawat: Got it. So, could you please share with us the quantum of price increases you have taken in the category?

Mithun K Chittilappilly: So, you are talking ab out from 2021?

Hardik Rawat: No, not 2021, this quarter and in the last three months.

Mithun K Chittilappilly: So, I think as Ram mentioned earlier, we have taken around 2% in Q4 and another 2% in Q1.

Hardik Rawat: Okay. That helps. And lastly, with regards to the debt repayment that you mentioned, one -fourth by July. Could you please repeat that? The debt repayment for the Sunflame, i.e., the loan that you have taken for the Sunflame acquisition?

Mithun K Chittilappilly

: Sudarshan, you want to take this ?

Sudarshan Kasturi: Yes. So in April, we repaid one -fourth of the term loan we had taken. It is about INR70 crores that we have re paid and a similar amount will get repaid by end of this month.

Hardik Rawat: And for the entire year, FY '25, we should expect the entire loan to be repaid?

Sudarshan Kasturi: Yes, that is what we are aiming to do that either by end of this year or by end of Q1 next year we should have paid in full.

Hardik Rawat: All right. Got it. Thank you so much. I'll get back in the queue.

Moderator: Thank you. The next question is from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.

Aniruddha Joshi: Yes. Thanks for the opportunity. Sir, just wanted to understand the stabilizers and UPS market. So, is the market growth itself is so strong or have we gained the market share? W ith improving quality as well as quantity, both for electricity in India, how do we model this? Because these are considered to be sunset categories in India, but we still see V -Guard continues to do extremely well in both the categories quarter after quarter. H ow should we see growth rate in medium term for both the categories?

And again, where are the uses? For air -conditioner is one which I can understand, but apart from that is what are the other s where these products are used? If you can elaborate more on whether these products are getting used in urban markets or rural markets? Essentially, what is the TAM

(Total Addressable Market) for these products?

Mithun K Chittilappilly: Yes, I will make a couple of comments and then I will pass it on to Ram . See, in 2008, it is almost 16 years back , when we went for an IPO, all the analysts told me that you will go out of business in three years. N ow it has been 14 years or 16 years, and we are still growing. So, I do not have an answer for this. I can give you the same answer what I told them that the mess in the power distribution system in India is very, very large. So, they are sitting in Bombay and Delhi, you cannot assume that the entire country will have privatized clean power.
So, I think it is going to be very difficult because power is a state subject. There is politics involved. There is union of the State Electricity Boards involved, there is all kinds of stuff happening. So, it is going to be very difficult to privatize power for the entire country. So, what we are expecting is that the largest cities will get privatized first and then it will move on.
But even there, I think after a point, the Central Government has not been able to really push for privatization of power barring the big metros in the country. This is my answer. I mean, this is my comment and Ram, if you want to take the rest of the ques tion.
Ramachandran V: I think what we have observed is stabilizer usage continues to grow and as also inverter battery.
I think what also happens is while the power situation improves, it is not necessarily 100% and there are interruptions. Maybe the length of interruption is short or getting shorter, but it is there
and the people want to have reliable power at home. So, they want to have an alternate means so that they can continue with life uninterrupted, right? Even in large metro cities, particularly in peak summers like this, even in Central Delhi, sometimes power is going out because the load is very high, so load shedding continues to happen in larger cities also. But this is what we are observing and this is why the category is going up.
For inverter battery as a category, rooftop is also developing as a segment and that is fast - growing with incentive and support from government. I think that is an area also which is going to be a significant driver of growth for that segment. Stabilizer, yes, as Mithun already said, you will have a good year or a bad year.
O

nce in four years we have always witnessed very strong summer and we find then that on a CAGR basis, we end up at a long -term growth when we look at a four to five -year average which is no different from what it was five to ten years back. So, we still continue to believe that 8% to 9% growth long term growth will come on a four or five year cycle. Maybe some years it will be like 6% to 7% and some years it will be like 11% to 12%.
Aniruddha Joshi: Okay. Sure, sir. Understood. And just last question. In terms of kitchen appliances as well as Sunflame, kitchen appliances under V -Guard brand itself. I guess o verall, in this portfolio is the restructuring largely over? Should we see revival in growth rates, let us say from H2 onwards or do you think that some amount of restructuring of the portfolio as well as the slowdown then in the market may continue for some more period of time? Yes , that is it from my side. Thanks for the questions.
Mithun K Chittilappilly: Yes. Ram, you want to take this?
Ramachandran V: So, you must have seen some results have already started to come out in the different states, right? I think the kitchen demand continues to be under stress. And it has been I think almost

seven quarters that we are continuously witnessing a stress in this segment. So, I think that's the first observation.
At our end, on the V -Guard side, we had invested in setting up our own manufacturing facility. The main challenge with V -Guard was to improve the competitiveness of the V -Guard offering and to that end, we had set up facility in Vapi. The facility has come up and it is still maturing and by October or November, I think we should start to get output in line with what we need so that we are able to derive 100% of output from that factory.
Once we have our own manufacturing facility, besides supply competitiveness, it is also giving us a lot of flexibility to improve our offerings in the market in terms of these competitive value proposition. So, I think this is fundamentally going to be the main piece that is going to drive our business. And towards that end, we are already seeing traction in some of the categories like e-commerce where we, in anticipation of the manufacturing facility coming up, we have tried to be competitive with our offerings.
We are seeing good and encouraging signs . We do believe that with the facility in full stream by around November or December and with some newer launches that are coming, I think the V -

Guard kitchen business should start to do well.
Regarding the Sunflame business, it was in Q1 last year that progressively we could assemble our team to manage Sunflame, although Q4 was when we did the transaction. But Q1 was when actually, we could put the management team on board in Sunflame. T he team is about the three quarters into the company. I think they have settled down well. They have a clear idea of how to play and how to win.
There is still work happening in terms of developing our long -term strategy for Sunflame and that is going to take another three to six months, right. I think the G T markets are doing better for Sunflame compared to organized retail where Sunflame is looking to leverage V -Guard 's business systems. Th ese processes are taking a bit of time, but for example, e-commerce and even organized trade ; from the coming quarter, I think our systems should be able to better support the requirement of Sunflame.
That is broadly to give you an idea on Sunflame. T he fundamentals are strong and positive and the margins are intact. Growth is a challenge for the industry and for Sunflame . The growth levers are yet to get stressed , right? That is why we are not seeing the result coming in. Because there is preparatory work which has been happening at our end to facilitate the scale up of Sunflame business through leveraging V

-Guard 's infrastructure and business system s.
Aniruddha Joshi: Okay. Sure, sir. Very helpful. Many thanks.
Ramachandran V: Thank you.
Moderator: Thank you. The next question is from the line of Achal Lohade from Nuvama. Please go ahead.
Achal Lohade: Yes. Greeting, gentlemen. Thank you for the opportunity. Congratulations for the great set of numbers. Sir, just wanted to clarify, you said the summer season was good, but ex of summer

season, would you be able to quantify if the growth was in single -digit or double -digits? Because I think wires, you said had very slow growth and al so in kitchen, you said things are under pressure. So, if you could just clarify on non-summer product s, how the momentum was in fourth quarter and how it i s playing out in first quarter?
Mithun K Chittilappilly: So, Achal, I think it is slightly difficult to do that. Because, yes, definitely summer. So, I think if you look at Q4 and Q1, we definitely got a few percentage points boost in sales because of summer. I am very sure about that. So, let us see. I think it is going to be very difficult to say that if summer was not good what would have been? So, I think the way you look at it, it is like this. So, if you look at last four years we have been struggling in the Electronics category. Our CAGR was very low, stabil izer – the growth rat es were in low single digits and now it has caught up with a long term CAGR of 8% to 9% or 10%. So, I think one has to look at it like that rather than saying that ex of summer, what would have been the growth.
One more thing to notice, see a lot of our channels which sells Consumer Durables, especially kitchen, is the same channel, the same distributor and same retailers who sell stabilizers and air - conditioner s. So, when you have this kind of a summer, the working capital deployment of retailers and distributors will move to the summer categories and the others will get tightened. And that's been a phenomenon that we see every time. So that is also there as an added reason for some of the slowness in the non-su mmer category.
Achal Lohade: Sorry. Maybe, I was not that clear. In terms of the categories which are not summer driven, like wires, kitchen appliances, etcetera, if the growth was weak or are you seeing an improvement on that count?
Ramachandran V: Mithun, can I take that?
Mithun K Chittilappilly: Yes, Ram.
Ramachandran V: So, I think, see wire business responds to copper. If copper prices go up or go down, it influences sentiment for wire purchase and that will influence the sales of wires because they stock up or stock down. So, if you take out the wire s and if you take out the summer categories, you are really looking at about some 20% or 25% of our revenue and a large portion of that is water heaters. Because for switches and switchgears, they are fine, I think we have double -digit growth. We do not have an issue there. Our penetration is low. These are growing categories and they are doing well.
Then the other part there is really water heater s. Water heater s see, winter is to yet to start and we will get a better picture ; because whatever happens with water heater pre-season, it is basically trade up stocking. I think with water heater s, the growth has been lower than typically what you would expect for reasons that Mithun talked about, because the entire working capital of trade partners is focused on summer categories, whether it is AC, whether it is air -cooler s because these categories have seen abnormal growth, right 40, 50%, 70% kind of growth and they have had to purchase these, stock these, and sell the se, right? So, they are really focused their working capital there. I think clear picture on water heaters will be visible in the upcoming four or five months. I think last year was a challenging year for water heater as the weather did

not support the category. So, we do hope that consequently the current year should be favourable as far as water heaters are concerned.
Kitchen, I think kitchen is an industry-wide problem. For us, our indexation to kitchen for at least the V -Guard kitchen business is very small, although V -Guard and Sunflame are strong.
As far as Sunflame is concerned, I think broadly our performance is closer to plan. O ur business systems and practices are traveling to Sunflame, there are some challenges in terms of timing of accounting and all of those things and therefore, although broadly, performance of Sunflame is close to the annual plan, what is reflecting has been maybe a little lower.
We had the forecasted that our Q1 would be lower in February itself than we have made the forecast for this year. But we are getting into festive season. Quarter two and quarter three are the strongest quarter for kitchen. Given that kitchen as a category has been under stress for now almost six to seven quarters, we are hoping that festive season will really see some sales uplift.
But, yes, that is the part which is a bit uncertain as we see for us and for the industry.
Moderator: Thank you. The next question is from the line of Kawal from Samar Wealth . Please go ahead.
Kawal: Okay. Sir, my question is, could you provide any guidance on expected top line and margin improvement?
Mithun K Chittilappilly: You are asking about expected top line and expected margins?
Kawal: Yes, sir.
Mithun K Chittilappilly: We do not give a guidance as such, but we always said that we should grow around 13% to 15% in revenues. And margins, we have largely come back. I think we should hover around between 9% to 10% EBITDA margins for the year.
Kawal: Okay, sir. My next question is, are you planning to expand in a new segment or any product category as of now?
Mithun K Chittilappilly: I think we do look at new categories, but we are not ready to talk about it publicly.
Kawal: Okay, sir. Thank you.
Moderator: Thank you. The next question is from the line of Priyank Chheda from Vallum Capital. Please go ahead.
Priyank Chheda: Hi, this is Priyank Chheda from Vallum. Sir, my question is on the rationale for you to keep the two kitchen businesses in a separate entity. One, kitchen appliance business in V -Guard, another one is Sunflame. And when you are investing further into the kitchen appliance in V -Guar d, while Sunflame is operating at 50% utilization. So, how do we see these two businesses under the same parent group operating in a two different companies?
Mithun K Chittilappilly: Okay, got it. Ram you want to take this?

Ramachandran V: Yes. I think two things. F irstly, when we set up our manufacturing capacity in Vapi, this project had commenced even the Sunflame transaction could be firmed up, right? And the transaction process is always uncertain and after waiting for a long time, we could wait no more. And so we decided to go ahead and make investment in the interest of growing our kitchen business, this is the first part.
Secondly, the 65% to 70% of the output of Vapi plant is basically going to be towards mixer -grinder s for which the capacity is not existing in Sunflame. So, I think this factory will be producing mixer -grinder s for V -Guard and should in the future, also be able to support the mixer -grinder s and the food processor requirement of Sunflame. So, that is as far as our investment separately in these two places is concerned.
The Sunflame plants have been operating in festival period at least close to full capacity utilization. Recently, we have reorganized the manufacturing layout and the manufacturing system to increase the capacity in Sunflame factories to support the future growth. So, that's on the manufacturing side.
On the s

trategy side, we are going to retain both the businesses. Today, the V -Guard kitchen portfolio is approximately INR200-odd crores annual. Maybe a bit more this year. And Sunflame is expected to do about INR325 crores to INR350 crores. So, I think the businesses are significant. We are in the course of doing is that we are engaged in a consulting engagement to deliver a long -term strategy for V -Guard ’s play in the kitchen business. And how the two brands will coexist an d how they will operate, right.
Over the midterm, obviously, the back end will be integrated, whereas the front -end will be focused to drive the two brands. So that is how the efficiency will play out. T he front -end will

be; so even at the front -end, front -end for categories like, some of the channels will be common, like e -commerce and all, one-third of the business is common, whereas GT infrastructure, right, front -end infrastructure that will be independent of the two brands.

Priyank Chheda: Then on a broader kitchen appliance system, you did mention that the category is under a stress for multiple quarters now. Can you specify any particular categories? Kitchen appliance as a segment is very broad. Any particular categories which you would li ke to call out which are working well? And any particular categories which are yet under stress and which you do not see any issues?

Ramachandran V: Yes, look we may not be significant player in every part of the kitchen portfolio, but from my understanding, certainly gas stove, mixer -grinder and induction cooktop. Till last quarter, hoods was doing well, but I understand even kitchen hoods and hobs have come under stress. This is what I understand. So, small domestic appliances, not so sure. But what I understand is even the platforms, the e-comm erce platforms are under stress on kitchen portfolio, implying even small domestic appliances may also be under pressure.

Priyank Chheda: Do you see any changing in this as a broader category now when government focuses back on to the rural spending socialist reforms ? Do you see anything changing for this category after so many quarters of loss?

Ramachandran V: I think that there may be two factors. So one is, people spent a lot of time at home during COVID period. And while most categories compressed during the COVID period, I think the kitchen as a category did exceedingly well. And it is quite possible that this has been one factor which has contributed. As the category came out of COVID, I think the pressure has come down, right, that the consumer demand has come down.

The other thing is see, typically, when you look at the overall Consumer Durable space, right, the most widely penetrated category is kitchen . Because when you take a product category like gas stove or you look at a mixer -grinder, these are highly penetrated categories. Maybe hoods and built -ins are still sitting with premium or let us say, higher income households. So, it is quite possible that during the COVID phase and the post COVID phase, the household balance sheets have come down, and they have been under stress and particularly for I would say middle class and lower middle class, the stress may have been aggressive and it is quite possible that the households are busy repairing their balance sheet and they are only making essential replacements, right? And that is reflected in the consumption data also.

Yes, there are some positive signs. M onsoon is extremely favourable . This year, monsoon progress has been on time and it is progressing well which should augur well for the rural markets, right? That is one part of it. T he other part of it is also that the budget has talked about bringing a lot of focus on developing the farm and agri sector. That is a very, very positive and prominent thing. That kind of focus has been seen after some time and it is p

robably responding to the challenges and str ess that th is sector is facing.

This will have positive implication s on the midterm demand over a three to five-year horizon. So, these are favourable factors. The fiscal deficit is also forecasted to be lower and that should probably keep inflation on the lower side and which might be a positive for consumption. So, this is how it is playing out. Yes, when you look at a midterm horizon, things are looking good, right? Things are looking better for consumption and hopefully, it should reflect in kitchen category demand.

Moderator: Thank you. The next question is from the line of Natasha Jain from Nirmal Bang Institutional Equities. Please go ahead.

Natasha Jain: Yes. Thank you for the follow up. If Mithun sir can address my question. I had recently concluded exhaustive channel checks pan-India and the feedback I got from the ground was, while products of V-Guard is probably one of the best in terms of quality, we do lack in terms of visibility, especially as we move from down South to Northern India. So, can you throw some light as to what is our advertisement strategy?

Are we doing anything specific in terms of addressing the Western and Northern market? Specific meaning, onboarding some kind of a bigger or a larger -than -life iconic celebrities to improve visibility or target the influencer management space. What is our broader strategy here?

Mithun K Chittilappilly: I will answer your question and then maybe I will ask Ram to pitch in after I do. So as of now, we do not have any plans to get in a celebrity. What one has to understand is that we are in a multi-product category. So, we have seven to eight large categories. So, the problem of getting a celebrity is you can only do it for one category usually because they are usually tied up; so they will not, because different companies are there getting them . Only you can get a celebrity for a single category, getting it f or multi-category, is usually difficult and that is what we have faced in the past and that is one of the reasons.

Second is we really believe that our product wor k should speak for itself. For example, we have made significant strides in the fans business without having any celebrity, without having any advertisement – solely on the basis of our product wor k. So, I think we are doing similar works in other categories and they will also ; because we believe that you can advertise, but if the product is also not up to the mark, then there is no point in advertising. T hat is something we have realized and that is why we set up close to five to six plants for various categories because it all star ts from the manufacturing side. We need the flexibility to do the refresh of products faster. We need better quality, which we can only do in our own plants because vendor s have a limit. We need fit-finish, design has to be outstanding. Again, this cannot be made with vendors. So, those are the reasons why we have invested. And we are now starting to see the fruits of that.

Regarding advertisement I think till 2020, we were spending between 2.5% to 3% on A&P, and during COVID, FY 2021 and FY 2022 we had cut our A&P. FY 2023 was, we really got impacted through margins. If you look at the current year, our A&P for Q1 has gone up by some 30% to 40% in revenue. It has gone up faster than the revenue. So, we are pressing the foot on the accelerator for A&P.

But I think you have to keep in mind that India is a very large country and we have diverse markets and languages . So, I can say for sure that we are having very strong recall , following and preference in Southern and Eastern markets. Northern and Western markets are yet to have that similar kind of acceptance, again d o your channel checks. But then, having said that , if you look at Q1, North has grown by about 2

5%. Western markets have grown by about 27% and East has grown by 30%, so they are not that largely different , just to answer your question.

Ram, do you want to add anything?

Ramachandran V: Yes, I will, Mithun. So, if you look at V -Guard business last year, or if you look at our current business, we are trending at about INR2,500 crores revenues in non -South and today, under the V-Guard franchise . I am talking about , INR2,500 crores to INR3,000 crores will be our non-South business this year, trending on V -Guard franchise. So obviously, we can not build this kind of business, without brand awareness. That is the first point.

Yes, when people talk about brand awareness, people talk basically about top -of-mind recall, right ? With top of the mind recall , there people instantaneously say, yes, I know this brand. So, we are really talking about top -of-mind recall , okay? I am sure aided recall will be good. The problem with top -of-mind recall is that it takes time to build. So, let me just go back. If you go back to our non -South business, it is not more than fifteen years old. And if you really look at our presence in non-South, considering that we have staggered our entries into different markets at a state level or even at a district level. And if you also look at the fact that we have staggered our entry across different categories, broadly, we are a seven to eight -year old brand in most markets, right? In some markets, we are two to three years old. Some markets we are ten to

twelve years old, that is our, actually, the breadth and depth of our presence . It is not, actually fifteen years also. It is like seven to eight -year old brand and now for that size, our awareness is quite decent. Right. But we lack top of mind recall.

Top of mind recall building, right. It really takes time. Of course, you can get a good celebrity and you can pump it up. But sustaining it will mean also sustaining the spending over a long period of time. Now, as a business, right, we have number of impe ratives when it comes to building business. The most important thing that you have to invest is actually to build your capability . So that's what we have done, right?

We are investing along the path of doing business. We are investing to strengthen our quality. We are investing to strengthen our fit and finish, as Mithun talked about, right? The investments, we are making, we are actually making very deep investments an d I think, unfortunately, most of our investments are not visible. They are not visible because they are all driven towards capability.

We believe that we will reap the best fruit when we are really capable and equipped so that when we invest significantly in advertising, we are able to reap the fruits of it. So, I think there is a lot of investment that is happening – investment in service, investment in quality , investment in design and we are doing that. And today, if you look at V -Guard, we are far, far stronger than who or what we were five years back. We are investing in talent and we are investing in talent for the future of the bus iness also, not only to run the current business. So, investments are

happening in many areas, huge investment is happening on technology and digitization.
Yes, of course, we could do more on the front -end. The problem with front -end investing is also that we have to sustain that investing to build the brand. It is not a one year effort, but you need to do it over a three to four year horizon. Unfortunately, we have been passing through a lot of uncertain times with the demon etisation , GST, COVID and then the commodity shock , right?
So, I think that has been a bit harder for us to make land investment. Because we are also investing on internal capabilities simultaneously as the business is under stress.
So, internal investments have continue

d very, very strongly, even during the most difficult
phases that most business es have gone through. So that is how I would put it. I think we are very much committed to investing in the future of the V -Guard brand. It is just not visible in the way that you typically expect to see because it is directed in different directions.
The other final point I want to make is you should correlate the brand. The brand, whatever you may be sensing, fundamentally coming from a top of mind awareness issue, right? We can not build a INR2,500 crores business in twelve to fourteen years, right? We can not build this kind of a business, right, without brand awareness. I do hope you understand it. It is not the absence of brand awareness, it is the absence of top of mind awareness in newer markets where on an average you would be not more than seven to eight years old.
Natasha Jain: That is extremely helpful. Thank you for that. And definitely on the ground, we have seen improvement in terms of quality as well as design. That is all from my side, sir. Thank you and all the best.

Ramachandran V: Thank you.
Moderator: Thank you. The next question is from the line of Naushad Chaudhary from Aditya Birla Mutual Fund. Please go ahead.
Naushad Chaudhary : Hi. Thanks for the opportunity and congrats on a decent set of numbers. First thing I wanted to check on our outsourcing model. In last three, four years, as a percentage of revenue, it has come down from 40% to roughly 33% last year. In the next two to three years, how do you think this number should move?
Mithun K Chittilappilly: Yes. We are hoping that in the next two to three years we should move to 25% of outsourcing and 75% of in- house manufactur ing.
Naushad Chaudhary : And eventually, in the long term do you plan to make it zero?
Mithun K Chittilappilly: No, I think we are always going to have categories where it is not going to make sense for us to manufacture. F or example, we will always incubate categories by working with the best partners in manufacturing that category and then once we gain scale, we will slowly insource the product, because if you want to make everything in your plant, you need to have a minim um order quantity and many of the categories are seasonal. So, you can not have a plant which is only working a few months of the year. So, we are always going to have and we are also, what we probably do is our mid segment and premium segment.
If you look at fans, we are manufacturing only the mid and premium segment. The economic segment, we are largely outsourcing because it does not make sense for us to make the plain vanilla fan in our factory. Because our factories are more expensive, we have to pay, we have to comply with all rules and regulations. We have to pay all the benefits and all the legally required wages and overtime and all that. So, when you do all that ; but our vendors need not follow all this because they are all under the radar and they are not listed companies and stuff like that. So typically, what we do is, we , in our own plant, we actually manufacture the hero products and the mid segment and premium segment products .
Naushad Chaudhary : Understood. Second question on stabilizer, if I heard it correctly, you mentioned this category, which was struggling with low single -digit CAGR growth and has now come back to 8% or 9%.
So, is this something just a beginning? And you see, this kind of run rate should at least continue for next couple of quarter s?
Mithun K Chittilappilly: Yes. I think typically, when we have a good first quarter, the following quarters also tend to be good, because our distributors do not have much inventory. Our trade partners also do not have much inventory. So, they actually buy throughout the year. When you have a very bad summer, the reverse is also true. You have a very sluggish market. Your

inventory goes up, your
receivables go up and so forth.
Naushad Chaudhary : And the long term CAGR for this category is 8% to 9% or lower than this?
Mithun K Chittilappilly: It's about 8% to 9% if you look at last, 15 to18 years.

Naushad Chaudhary : So if it is coming back for low CAGR, ideally, it should have been higher. 8% to 9% from a low CAGR, should not be disappointing number ?
Mithun K Chittilappilly: No, see, if you look at stabilizer was having a, let us look at pre -COVID it was having a CAGR for around 7% to 9%. Now, post -COVID, it has dropped to 4% to 5% and if you actually look at last five years, it will be 15% to 16%. But the thing is, it may not repeat every year because we are sitting on a high base for next year. I am talking about a long term CAGR, it will be about 9% to 10%.
Naushad Chaudhary : Understood, sir. Thank you so much.
Moderator: Thank you. The next question is from the line of Rahul Agarwal from Ikigai Asset Manage ment . Please go ahead.
Rahul Agarwal: Thanks for the follow up. Just one question. I was going through the website it talks about few contests being run for business plan and tech designs. Just curious to know over the past years, since you have run these, how fruitful has this been in terms of incorporating certain ideas and designs into products? If you can cite some examples and what would you expect going forward? Thank you.
Mithun K Chittilappilly: Okay. Ram, you want to take this regarding Big Idea?
Ramachandran V: Yes. See, this Big Idea contest was started around 2009-2010 fundamentally as an engagement platform with the student community. I think it has been now running since then, right? So, the primary objective of this is to engage the student community. So, I think it should be seen from that perspective. It gives us the opportunity to meet some bright students and we do hire some students into our system as management train ee and we have done that in the last four or five years. We have taken some of them on board. As far as the idea part is concerned, yes, I think there are a lot of ideas which gets shared at that kind of a platform. Of course, what we do with our business sometimes or many times it may not look like it how it is presented, but definitely, the thoughts inspire, let us say exploration at our end in terms of the possibilities on how to go forward.
Rahul Agarwal: Thank you so much. All the best.
Ramachandran V: Thanks.
Moderator: Thank you. The next question is from the line of Aditya Bhartia from Investec. Please go ahead.
Aditya Bhartia: Just a very small follow up. Are we seeing signs of restocking in wires market in July?
Mithun K Chittilappilly: See, I think we do not like to talk about an ongoing quarter, but I will just say that today also, I think copper has corrected by about 2% to 3% or something like that. So, the typical behaviour is the trade will try to see if we have reached a bottom. So unless we have sustained 2% to 3% increases in copper prices happening over a few weeks, restocking does not start. Normalized sale is going on like Ram mentioned earlier also.

The destocking had started at some time in May and so the destocking towards normalized sale will be happening, but the restocking will happen only when the retailers will see, that okay, the tide has turned. It d oes not even have to be a very strong uptrend, but even in the medium term, a small uptrend also helps them to rebuy. Because they will be sitting with less than desirable inventory.
Aditya Bhartia: Understood. That's helpful. Thank you.
Moderator: Thank you. Ladies and gentlemen, this will be the final question for today. It is from the line of Hardik Rawat from IIFL Securities. Please go ahead.
Hardik Rawat: Thanks for the follow up. I wanted to understand, based on how the first quarter has been, what is your outlook for demand across segments, especially Consumer Durables? How do you see that evolving for the fiscal year?
Mithun K Chittilappilly: No, we do not give out any segment -specific guidance, but as a blended basis, on an overall basis, we should be doing well. Typically, when we have a strong first quarter, it typically translates into decent numbers going forward, but I have to say that the Kitchen se gment demand is soft, but Q2 and Q3 are the festive season s. So, we are eagerly waiting for that. Wire is another item which is not summer based. So, in case of wire, it is really depending on copper price. I think we are less worried, because it typically does bounce back quickly. So, let us wait and see. I think we typically look to grow between 13% to 15% in sales annually, and I think that should be possible.
Hardik Rawat: Thank you so much.
Moderator: Thank you. Ladies and G entlemen, that was the last question for today's conference call. I would now like to hand the conference over to Ms. Natasha Jain for the closing comments.
Natasha Jain: Thank you, Steve. I will request the management to give their final remarks.

Mithun K Chittilappilly: Thank you, Natasha and Nirmal Bang for hosting this call and thank you all for your patient listening.
Natasha Jain: Thank you so much, sir. This concludes the conference. We thank all the participants and you may disconnect your line now. Thank you.

Call: Nov 2024

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Dear Sir/Madam,
Sub: Transcript o f earnings c all pertaining to t he Unaudite d Financial R esults f or the q uarter and h alf ye ar ende d September 30, 20 24.
This is with reference to the intimation dated October 15, 202 4, ■led with the stock exchanges in terms of regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements) Regula tion, 2015, regarding the earnings call to discuss the ■nancial results for the quarter and half year ended September 30, 2024, scheduled on October 30, 2024. The audio recording was ■led with the stock exchange on October 30, 2024.
We are enclosing herewith the tra nscript of the Earnings call. The same is also being uploaded on the website of the Company at https://www.vguard.in/uploads/investor_relations/V-G uard-Industries-Q 2-FY25-T ranscript.pdf
We reques t you t o kindly take the above i nformation on record.
Thanking You,
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Company Secretary & Compliance Officer
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October 30, 202 4
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MO
DERATOR : MR. DEEPAK AGARWAL – JM FINANCIAL
■ JJM FINANCIAL 83

Moderator: Ladies and gentlemen, good day, and welcome to V -Guard Industries Limited Q2 FY '25 Earnings Conference Call hosted by JM Financial. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the

presentation concludes. Should you need assistance during the conference call, please signal an
operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is
being recorded.
I now hand the conference over to Mr. Deepak Agarwal. Thank you, and over to you, sir.
Deepak Agarwal : Thank you. Good afternoon and H appy Diwali to everyone. On behalf of JM Financial, I
welcome you all to V -Guard Industries Limited Q2 FY '25 Earnings Conference Call. We have
with us senior management re presented by Mr. Mithun Chittilappilly , Managing Director , Mr.
Ramachandran V., Director and Chief Operating Officer and Mr. Sudarshan Kasturi , Senior VP
and Chief Financial Officer .
Now I hand over the call to the management for initial comments on quarterly performance, and
then we'll open the floor for question and answer. Thank you, and over to you, sir.
Mithun K Chittilappilly: Yes. Thank you, Deepak and to the JM Financial team for hosting this call. A very warm
welcome to everyone present and thank you for joining us today to discuss the operating and financial performance of our
company for the second quarter of financial year '25.
I trust all of you have had a chance to refer to our investor presentation, which was shared
yesterday. The business delivered a healthy top line growth this quarter , despite some severe
weather conditions in some parts of the country. We reported consolidated net revenues of
INR1,294 crores in Q2 FY '25, which is hig

her by 14.1% on a Y -o-Y basis.
The Electronics segment, comprising of Stabili zers, UPS, Inverter s and Batter ies, led the growth
with revenues increasing by 18.8% Y -o-Y. The strong performance of summer products in Q1
carried its momentum into the second quarter as well. We are particularly pleased with the performance of the solar power
system, which is a catego ry for the future.
In the Electricals segment, our largest revenue contributor comprising of W ires, Pumps,
Switchgears and M odular Switches, we registered a growth of 16.3% Y -o-Y. While we
witnessed a significant growth, the volatility in prices, copper prices caused a margin impact of
0.6% at a company level.
In the Consumer Durables segment, we reported a top line growth of 10.6% on a Y -o-Y basis.
The Kitchen Appliances business has been facing a slowdown, which has impacted both V -
Guard as well as Sunflame. Sunflame reported a degrowth in top line of 1.1% Y -o-Y in Q2.
Given the actions we had undertaken, there has been a growth in the general tr ade of the business. ■

But the reduction of orders from the CSD segment has resulted in an overall decline in top line.
We believe that the fundamentals of the business are strong. We continue to focus on completing
the functional integration and pressing ahead with the growth s trategy interventions.
In terms of geographies, most regions have done well. We did witness some impact of inclement weather in Eastern markets,
which is a very strong market for us. The non -south market reported
a top line growth of 16.9% Y -o-Y in Q2, while revenues from southe rn markets grew by 13.6%
Y-o-Y. With the strong growth, the non-south markets contributed 44.5% of the total revenues
in Q2.
Gross margin continues to improve, aided by a higher share of in- house manufacturing and cost -
saving initiatives and gradual shift to our premium portfolio. We have reported a gross margin of 35.8% in this quarter as
compared to 33.8% in Q2 last year, an increase of 200 basis points.
EBITDA, excluding other income, was INR110 crores in Q2, an increase of 19.2% on a Y -o-Y
basis. The EBITDA margin of 8.5% is 30 basis points higher compared to 8.2% in Q2 of last year.
Major cost heads such as advertising, travel and other overheads have largely returned to normative levels. In Q2 FY '25,
other income was INR 4 crores compared with INR14 crores in
Q2 last year. This is because there was a one-off item related to the fair valuation gain on the
Gegadyne investment in the previous financial year. Continued effective management of
working capital has enabled us to deliver robust cash flows.
Cash flow from operations remained strong for H1 FY '25 as we generated INR 336 crores, which
has helped us to progressively repay the debt taken for the Sunflame acquisition. We expect to repay the loan in full by the
end of the current financial year. It has been a fairly decent quarter marked with revenue growth, margin improvement,
continued effective working capital, healthy
cash flow generation and further repayment of the debt. We expect to continue the momentum
and deliver a strong performance in the second half of the year.
With that, I conclude my opening remarks. I would like to thank Deepak and the team at JM Financial for hosting this call and
would like to request the moderator to open the floor for Q&A.
Thank you.
Moderator: The first question is from the line of Natasha Jain from Nirmal Bang. Please go ahead.
Natasha Jain: Thank you for the opportunity and congratulations on a very good set of numbers, sir. My first
question is on the Electronics side. So firstly, can you please bifurcate the growth between

Stabili zers and Batter ies separately? And if Batter ies as a category has picked up?
Mithun K Chittilappilly: We don't give out product -wise numbers. But in the Electronics segment, Stabili zers, Inverte

r s
and Batter ies and the solar UPS, all 3 have grown. All 3 have contributed. ■

Natasha Jain: Understood, sir. Because in the past con call, you've said that Batteries has been under pressure. So, I was just wondering if there is any change in that particular category.
Mithun K Chittilappilly: No, we have had a decent growth in Batter ies, both in Q1 and Q2. Like we said before, the summer season was very strong in most parts of the country, and we got some benefit of that in the first half of the Q2.
Natasha Jain: Understood, sir. And sir, in the same segment in terms of margin, I mean, the margin growth has been impressive until now. I just want to understand how much more scale -up is possible here in terms of backward integration? And in the medium term, say, in 2 years' time frame, what kind of expansion can we expect from here as well, given that even Batter ies facility will get commissioned in the offing?
Mithun K Chittilappilly: So, I think as far as margin improvement is concerned, we are still in the process ; so when we in-source manufacturing, in some cases, we are seeing margin improvement. But in some of the cases, we are not doing it for margin improvement. In fact, we are going to do it for the case of competitiveness for example, for Batter ies and for Kitchen Appliances. The primary reason for setting up the plant is that we were not competitive in the market.
So, some part of that improvement is going to be passed back into the market. So, we are right now almost still 1% to 1.5% behind in terms of gross margin from our earlier pre -COVID days.
And that's the gap we are looking to bridge. So, you may not see an increase in margin, but you will see an increase in price competitiveness and a better acceleration in sales.
Natasha Jain: Understood, sir. And sir, you mentioned in-sourcing, outsourcing. So, can you please call out the current manufacturing versus outsourcing percentage?
Mithun K Chittilappilly: I think we're at around 65% which is the current in -sourced manufacturing and outsource d is 35%.
Natasha Jain: Great. And sir, if I may just squeeze one more question. In terms of Consumer Durables, there has been strong margin improvement. So , can you call out what led to this improvement? And how has Water Heater s done this quarter?
Mithun K Chittilappilly: So, Ram, you want to take this, for CD?
Ramachandran V : Yes, so I think as far as the D urables is concerned, there is a moderate improvement in margins, but we're still to come up to our long-term margin level, which used to be pre-COVID. The margin lag is fundamentally because of slower pricing pass -through, yes. So, I think that's the background in context.
Water Heater s growth has been muted fundamentally because of the delayed, what I would say, delayed summer progress and the extension of summer has resulted in delayed onset of the winter season, so the selling has not happened yet . That is the context to that. ■

Natasha Jain: Okay. Sir, because I was under the impression that Water Heater s in the industry has done well because peers have reported comparatively stronger numbers on Water Heater s.
Ramachandran V : The geography mix of business is different from company to company. And maybe in case some of the peers have reported the strong growth in Water Heater s, then it may be the case because we don't have access to segments or product performance of peers . My sense is that because of the delay in summer onset ; because we are seeing much stronger growth in summer categories that what we would typically expect, and we have had a moderate growth in Water Heater s.
And just one more point. J ust to say that some of the other anecdotal evidence of slowness in the market is the kind of pricing that also we are witnessing, the c

ompetitive pricing that we are witnessing. So , it's not only summer sale being strong in the early part of this quarter, but it is also the kind of pricing that's witnessed in the category. So, these are indicative of the pressures that the winter products are facing.
Natasha Jain: Thank so much sir. Understood. I will get back in que.
Moderator: The next question is from the line of Rahul Agarwal from Ikigai Asset Management. Please go ahead .
Rahul Agarwal: Hi very good afternoon and wish you all very happy Diwali. Firstly, just in your view, Mithun,

versus expectations and how Q 2 has actually panned out, it looks like it's obviously a very strong quarter. But when I see growth, it's basically segment 1 is higher than 2 and then segment 2 is higher than 3. Ideally, we would want that to reverse, right? We want D urables to do better and followed by Electricals, followed by Electronics.

Any thoughts in terms of how do you look at growth going forward? Electronics and Durables, you explained what really happened in the quarter. Any colou r on Electrical demand and supply, that will be helpful.

Ramachandran V : Yes. Mithun, can I take this?

Mithun K Chittilappilly: Yes, take it.

Ramachandran V : Yes. Let me take up the D urable s part first. So fundamentally, there is some pressure on Water Heaters . And there is some pressure on, if I may say, Kitchen , right? So , Kitchen continues to grow slower than the rest of the categories, right? So , I think these 2 categories have depressed our growth in this segment.

I think one more thing is that certain regions like East, for example, for us was flat last quarter because some of the sales came tail ended and because of the cash flow issues because the visit s/ walk -ins into the market were slow, mainly because of the weather. So , some sales may have slid forward also , and we will have to take it into the next quarter. So fundamentally no concern on Consumer Durables. ■

Consumer Durable s' demand is healthy. I think for Water Heater s, we feel that the demand is weak. Maybe some companies are getting better business than some others. Right now , September quarter is all about sellin g and it is all about sentiment.

But in South, what happens by September is that we start to see some offtake because it's a tail end of monsoon and the weather is starting to get cold there. So not evidencing that is indicative to us of some challenges with the winter, but we expect a delayed winter , and long winter may be running later into January also. So that's the background and context on this.

The second part of the colour on Electrical s. Mithun was talking about 1% to 1.5% gross margin improvement progress that we have to do. Some part of it is also connected with the margin erosion, which is happening because commodity prices have been fluctuating in Wires .

We had copper prices dropping at some stage in the second quarter, and that we have had to pass through. And we had to take some inventory, et cetera, right? so there is a bit of margin pressure on Wires in the last quarter. But this will disappear fundamentally because the pricing pass - through is far more efficient in E lectrical categories as compared to Consumer Durables. So, no concern on that, but just to paint that colo ur that you are looking for.

Obviously, whenever there is a price reduction, there is a bit of, what I would say, down stocking that happens in trade. So naturally, the W ire sales will be softer. I'm sure you would have had this commentary from other W ire and Cable companies. Otherwise, I think it is a business as usual as far as the Electrical Products segment is concerned.

Rahul Agarwal: Anything on the Pump s, Switch es, Switch gears, anything on that, any specific trends?

Mithun K Chittilappilly: Ram, do you want to take it?

Ramac

handran V : Yes. In Switches and Switchgear s, we continue to get double -digit growth broadly on the Switches and S witchgear s portfolio , as a whole. I think we are witnessing reasonably normal demand, maybe one of them is higher in one quarter versus the other. But directionally, no challenges there.

As far as the P ump is concerned, we have had good growth for some time. But I think we'll have to wait and see. The monsoon has been strong and water tables would have risen up and how that will affect demand, both in terms of type of P umps and the geographies and how it will impact business. T hat is something that we will have to wait and see. Because once the water table goes up, maybe the P ump needs or the replacement needs can be lower sometime in the short -term.

Rahul Agarwal: Got it and secondly, on Sunflame, how was the quarter versus your own internal expectations? And what is the outlook on this business? It's been about 7, 8 quarters. Just wanted to understand when do we see growth? ■

Ramachandran V : Just to give you the background and context, it took us about 4, 5 months or maybe 6 months to put a new operating team into Sunflame. Sunflame when we acquired was very thinly staffed as an entity and it took us about to 5-6 months to put a management team on ground . The management team is well settled , and operational control is something that we have established well and the critical financial control systems, including SAP and adjacent systems to SAP and all the implementation is out of the way.

Now coming to the revenue and the margin side of the business, the gross margins are well intact as far as Sunflame is concerned. Coming to the top line part of it, there are a couple of challenges there. The modern trade and RSS business and even e -com business, they have some long preparation time. The way we run our e-commerce business, we run it directly with inventory from our warehouses and as opposed to the way Sunflame does it where they would do it through an intermediary. So , we have transitioned the Sunflame e-commerce system into V -Guard. It has taken quite some time for us because there are a number of technology solutions, which were required to be put in place. We also needed to have the platforms to be able to make modifications to control. Some of it requires to be done overseas. So, we have lost some time in that transition. This is now in place and operational, including new warehouses . Again, all the warehouses have to be registered for operation s. So, I think that business has been under a bit of stress until this transition could be executed. But now this is out of the way, and we do hope in the upcoming 3 to 4 quarters, the business will progressively pick up and move forward.

Similarly, for modern trade and RSS, the portfolio required a product refresh. Cycle times for refresh are long, takes close to 12 months to 15 months, and these actions are out of the way. And that again should help us going forward into the future. GT business has seen a decent growth and better growth than what we have witnessed for the K itchen industry as a whole. So , GT is getting better and is growing. CSD and CPC, some challenges are there. In the CPC transition, the benefits that CSD customers enjoy have now been extended to the CPC consumers. They have had the transition period for the implementing technology changes, and that's impacted our business partly or significantly last quarter and to some degree this quarter also. But that will again recover going forward. There have been some changes in CSD in terms of classification and way of doing business for some of our categories. So, CSD orders have been slow this quarter, and that is reflecting in the overall number also. So that is broadly to give you a channel -wise picture.

The fundamentals are intact and gross margins are good. Work has happened on strengthening our product offerings, and we have initiated work in terms of building, developing and delivering a new long -term strategy for K itchen for Sunflame and V -Guard. We remain hopeful and confident about the future of the business. But fundamentally, the challenges that impact the overall Kitchen market, they are also touching Sunflame. Sunflame traditionally , if you look at the long -term growth, it used to grow at about 4% compared to the industry growth of 11% to 12%. And this context may also be kept in mind.

Rahul Agarwal: Should we see growth in second half on Sunflame, on top line? ■

Ramachandran V : I think, yes, the business should start to grow. I think the GT will definitely continue to grow, right? The other 3 channels, there are actions which have landed, which are in flight, and some are externally driven like CSD and CPC, which is externally driven by the channe l.

So, I think predicting what's happening in those 3 areas may be a bit of a challenge. Probably even e-commerce, I think, should be okay because we have completed what needs to be done, and we should start to see results there.

So, I would say GT and e -commerce, yes. I think the other 2 pieces, there is some uncertainty and in some time, we will know. Maybe by end of next quarter, for sure, we will be able to give a better colo ur on the upward trajectory. But the CSD business, there are years, it corrects; and there are years, it goes. So , it's dependent on some of the system changes and other things that happen internally or somewhere. Fundamentally, no issue on the overall demand side.

Rahul Agarwal: Thank you so much sir for answering my questions. Have a great Diwali.

Moderator: The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance. Please go ahead.

Keyur Pandya : Sir, on the E lectronic s' side, we have seen margin improvement and earlier you have talked about some initiatives to improve the margin as well. So, in that backdrop, should we see current year's margin as one- off because of the exceptional growth? Or this is more of a steady -state margin on an annual basis, bearing the quarterly anomalies? That is first question on Electronics.

And the related question is, I mean, with your lower share of Batter ies and the plant coming up for Battery as well as this ramp -up in the solar rooftops, how should we think about growth of this category in near to medium term? That is the first question.

Mithun K Chittilappilly: See, Electronics margin has grown, I would say, both because of volume as well as manufacturing. So , for example, for S tabilizers, Inverters and for Batteries. So , for these 3 categories, we have put up factories. The Stabili zer and Inverter factory has been online for the

last 15 to 18 months, whereas the Battery factory is new.
So, some of the increases we are seeing because of the in -sourcing into manufacturing. Some of the increases, we are also seeing because of better season. So , if the summer season is good, in a year when summer is very strong, we will be giving out lesser discounts and all that for those kind of products. So that is also one of the reasons margins are improved in Electronics.
Electronics as a category should grow something like 12% to 14% because Electronics has Stabilizers, which is slightly slower growing, whereas both Inverter s and solar products are fast growing. Solar products, the base is a little small, but they are growing into a large part of Electronics.
Keyur Pandya : Ok. Sir, second question is on the overall general demand side. There are mixed trends about demand. Some are talking about consumer slowdown, whereas your growth as well as some ■

other consumer categories are growing

decent enough growth. So how has been the demand situation for our categories? And in context of V -Guard, so basically on a low base, we can grow faster. Just how you see your growth trajectory, say, next 1, 1.5 years?
Mithun Chittilappilly: So, V-Guard is fortunate to have a very diversified portfolio. So, we are straddling across 3 different parts. So here, you can really see there is stress in the Consumer Durable side.
Consumer Durable sales growth has been only about 10%. The growth in sales in Elect ronics is primarily driven by weather, and that is an external factor. So that is probably not indicative of the general consumer demand.
There is definitely slowness in the market. This quarter was one of the slowest quarters we experienced for many categories. So , although as a portfolio, V -Guard has done well, there are definitely pockets of slowness. We did face a lot of slowness in the market, and we are also feeling whatever the sentiment echoed by the general CPG industry in India. So there seems to be a lack of spending.
All these things are true. But the Elect ronics segment is not really dependent on that , and i t is more dependent on weather. Elect ricals has done reasonably well, primarily because there has been some price growth in especially W ires and Cables. So that's another reason it has done well. But generally, we are also cautious about the environment and when we go forward into the next quarter.
Keyur Pandya : Understood. Sir, just last question. So, on the employee cost trajectory, we have seen 20% growth in H 1 on relatively higher base on previous year as well . Where do you see it settling? Are there some more gaps to be filled ? So just your thoughts on employee cost ? Thank You and best of luck.
Mithun K Chittilappilly: Sudarshan, do you want to take this?
Sudarshan Kasturi: Yes. So , some of that increase is explained by expansion of the manufacturing subsidiary. So as new plants are coming in, that team is getting larger. There have also been mining additions in Sunflame during the last 12 months. So, a significant amount of management team has come in.
So, like-to-like, it would be a 13%, 14% kind of increase, which is pretty much the annual increment and some normal headcount additions that happen.
Keyur Pandya : So that should normalize when all plants are commissioned probably by end of this year?
Sudarshan Kasturi: Yes. I mean the next year, we will have this one as the base. So , then the increase will be there.
Mithun K Chittilappilly: Yes, 13% to 14% should be the normal growth of employee cost.
Keyur Pandya : Noted sir . Thanks a lot. All the best. ■

Moderator: The next question is from the line of Naushad Chaudhary from Aditya Birla Sun Life Asset Management. Please go ahead.
Naushad Chaudhary: Hi. Thanks for the opportunity and Apologies if I'm asking any repetitive questions. I've missed some of the part. Just wanted a clarification again on the Sunflame margin. What specific reason was for the dip in the margin? Are we done with the restructuring in this business o r is there more impact yet to come in the coming quarters? And on outlook also?
Mithun K Chittilappilly: Ram, you want to take the outlook also?
Ramachandran V : Yes. So , as I said in the call earlier, right, the gross margin is the same, okay? There the margin that you are referring to is the EBITDA margin, which in this quarter is looking lower than previous quarters. There are a couple of reasons for that – one component in that is the lower Sunflame sales because of the lack of top line growth; naturally, the flow o f that will reflect on the bottom line, right?
The CSD channel and some of the e-commerce and MT, RSS channel s, where our actions are yet to fully fall in place, the growth impact of that is also reflecting at the EBITDA level, right? The

gross margin is the same. But since the top line growth is not there, it is not reflecting in the
EBITDA. That is one p art.
The other part is that we are doing strategic interventions in Sunflame, consulting interventions
in Sunflame and those costs are also booked in that head. That is the second part of it. Naturally,
that will affect the variance in EBITDA compared to same period last year. Third part is we have been adding people and the incremental cost because of that is also reflecting here.
Coming to the progress on the integration, I think the financial integration and integration of
financial systems is already complete. Work is underway for defining the road map for operational integration. I think in 3 to 6 months' time, both long-term strategy and the operational
integration road map will be in place. I do not expect negative impact on the financials of Sunflame consequent to any recommendation that may come from these 2 interventions, which
are underway. We should be able to maintain that , or we should be able to find fuel for growth
coming from those inte rventions.
Naushad Chaudhary: What was the consulting fee in this quarter and was this in lumpsum for the entire year , or will
we see that cost in the coming quarters as well? On the margin of this quarter, should we expect
to remain similar in coming quarters? What is your outlook?
Ramachandran V : I do not have data on that readily on hand. But I think it would have maybe a 1% to 2% impact,
incremental impact in this quarter. S ome impact will come from each of those 3 or 4 factors that
I talked about. Yes, the consulting impact may be there for another quarter or two . That is one
part of it. Second is, hopefully, margins for next quarter should be better than the current quarter.
Naushad Chaudhary: This was the first quarter for the consulting cost, right? ■

Ramachandran V : Maybe, maybe not . I think some things on financial integration were done even earl ier. So may
not exactly be the case. What I am saying is that we have an incremental cost for this quarter
compared to same period last year. I think it is important for you to focus on gross margin. Our
gross margins are maintained. These are one-off actions ; the p roject gets over, cost gets over
and booking for that gets over and a fter that it will stop.
Naushad Chaudhary: The double -digit growth you expect to come back in coming quarters, right, for this piece of business?
Ramachandran V : I think it i s a function of how the industry will also grow. The industry growth also has to recover.
As I was telling you, if you take a 7-8 year view of Sunflame, when the industry used to grow
at 11% to 12%, Sunflame used to grow at about 4%, right? So yes, Sunflame growth should
recover , but most importantly, the industry growth has to recover . From whatever we are seeing
in the market, industry growth is flat to negative now at least for almost 2 years now.
Naushad Chaudhary: Sir, past growth comparison of industry versus Sunflame, are you indicating any inherent issue with that?
Ramachandran V : It is not an issue with the brand. It is how the business was managed for value, okay? So , it is a
very strong brand with a very high profitability and strong cash flow s, right? T hat is what was
prioritized, right? So now when we are driving growth, we are adding people, we are supporting
investment in products, in customer service and all of that, that is going to have some
consequence. That is one part of it, right? That is on the margin side.
On the growth side, I am just saying that the overall industry has to grow, right? If the industry
is not growing, even if we grow at 10% to 12% in a flat industry, it is like growing at 15% to
20%. So that is the point I am making. I think for us to get the kind of growth rate you a re talking
about, the K itchen industry

has to start to grow.
Naushad Chaudhary: Yes. Second question is on the Wire s' business outlook, sir - what did we experience here? A
few of your peers have experienced very good double -digit growth and they have been quite
excited on this revival of the W ire business growth. What is your view and outlook on this
business, sir?
Mithun K Chittilappilly: So, Wires even I think we have had decent growth. We have had a double -digit healthy growth.
But see, in W ires, you have to look at a 4 -quarter period because you may have a lot of
fluctuations in prices and stuff like that. For example, this quarter, I think there has also been a
price growth. So , although there has been a healthy growth, it is partly because of price and
partly because of volume.
Naushad Chaudhary : Right. I will come back in que. I have few more. Thank you so much and all the best for future.
Moderator: Thank You. The next question is from the line of Sonali Salgaonkar from Jefferies India. Please
go ahead. ■

Sonali Salgaonkar: Sir Thank you for the opportunity and firstly wish you and your team a very happy Diwali. Sir, my question is pertaining a little bit to the industry scenario right now. Now that we are nearing Diwali and past Navratri, how in your experience has been the festive season? How has it panned out so far? What are the channel inventory levels across most of your product categories? And has there been any significant pricing action in the last 6 months or H1 of FY '25?

Mithun K Chittilappilly: So, regarding the Diwali sentiment and the sales leading up to Diwali, we have actually seen pretty strong traction in the month of October. But there is a huge caveat because last year, Diwali was in November. And this year, it is in the last day of October. So, it is possible that some of the sales could have got preponed.

So, we will have to wait for the quarter to be over to give you a full picture, but initial indications are encouraging. But again, like I said, it could be that last year, September was low because the some of last year 's Diwali sales happened in November as well. Regarding pricing action, Ram or Sudarshan, you want to take this?

Sudarshan Kasturi: Yes. I mean, pricing actions have been there first half. There has been some small movements in input costs, and then we have covered them through prices. It is across categories, across various categories, ranging from 1% to 3% in various cases. I am talking about how much has landed. We may have announced more, but this is what has landed in the first half. It is just about to cover some input cost movement.

Sonali Salgaonkar: Understood, sir, and channel inventories?

Mithun K Chittilappilly: We are not sitting with any huge inventories in the channel, nothing abnormal. Like I said, we had a very good Q1. So, we ended Q1 with a very low inventory, both on the company side as well as the channel. And even now, it is not ballooned to any unreasonable degree. It is fairly normal.

Sonali Salgaonkar: Understood. Sir, my second question is a bit strategic in nature. Now your gross margins. This is, I think, the seventh consecutive quarter wherein we are observing that your gross margin has improved year -on-year. Now it is almost nearing 36%. Sir, you did mention some of the reasons behind this in your earnings presentation, but a bit more clarity on that. And secondly, where do you expect the gross margins to settle down, say, in the near term?

Mithun K Chittilappilly: So, I think one thing you have to understand is earlier, V -Guard had a manufacturing and outsourcing mix. And today, we are at a different mix. So , what happens when you manufacture is that actually your gross margins appear higher because some of the costs , the factory costs like outsourced manpower, freight, some of these things are sitting in the indirect, wher

eas when we outsource the n everything is sitting in COGS. So , there is some 1% to 1.5% difference from how we were looking at gross margin.

Sudarshan Kasturi: Sonali, it i s like this. Even if we adjust for that, about 1% to 1.5% is not real improvement. It is shifting from one line to the other. You will still see that the gross margin has improved in the ■

last 2, 3 years. But then also recognize we are coming out of a low point. While gross margins have been improving, we are happy with that. But like Mithun said earlier, there is still another 1% gap in margins we need to fix.

Mithun K Chittilappilly: Yes. So , if I look at FY '19 and where we would like to be, we are still around 1% lower than like-to-like basis because like I said, today, some of the costs are sitting in indirect.

Sonali Salgaonkar: Understood. Sir, last question from my side regarding your non-South versus South mix. Sir, we see that your non- South is growing handsomely as compared to your South yet again this quarter. Could you help us understand the margin profiles of non-South ver sus South? Have the gross margins converged? Or is South still higher than non-South?

Mithun K Chittilappilly: So, I think margin -wise, today, there is no difference between South and non-South. We are following a pretty much pan-Indian pricing policy. If you look at the gross margin, because of this more and more sale coming from non -South, my guess is there will be absolutely no change because the gross margins are almost identical. So , there is no real difference in terms of pricing and gross margin.

Of course, in South India, with like 7 or 8 branches, we are doing INR 2,600- odd crores, with an average revenue of INR300 crores to INR 400 crores per branch. Whereas in non-South, we have another 17 branches doing the similar kind of a number. So, in that sense, the overhead cost is still high. The throughput is not as efficient as South. So , in that way, you will see some changes in terms of bottom line, like EBITDA margins. But gross margins are all the same.

Sonali Salgaonkar: Sure. Sorry, sir, one last question. Sir, any particular product category, which you would like to highlight wherein you are seeing a little excessive competition as compared to the other categories?

Mithun K Chittilappilly: No, I think, competition and hyper -competition is something that is part and parcel of this industry. It has been going on at least for the last 7 to 8 years, and now we are kind of used to it. So, I wouldn't like to say; it doesn't matter. I mean, like, for example, like Ram mentioned,

Kitchen is going through a very tough environment for the last 18 to 24 months.
So, we have significant competition both in online ; especially online. So , if you look at our e - commerce business, there is significant price competition happening in K itchen, Water Heater s. So that means that brands are desperate to get sales , and they are ready to go to any extent in terms of discount. T hese are the signs when certain categories are weak. But having said that, there is competition in almost everything. If you take any category today, there are 15 to 20 brands in any of these categories. Of course, not everyone is active in everything, but it is a biased market.
Sonali Salgaonkar: Understood sir. Thank you and all the best. ■

Moderator: The next question is from the line of Naushad Chaudhary from Aditya Birla Sun Life Asset Management. Please go ahead.
Naushad Chaudhary: Hi and thanks for the opportunity again. On our investment in Gegadyne, what is the rationale of this investment and what kind of tech support that we get from them? W hat do we expect in the future?
Mithun K Chittilappilly: Okay. Ram, do you want to take this?
Ramachandran V : Yes. So fundame

ntally, our investment in Gegadyne, it is a deep tech company, and we were attracted by the potential of that technology in terms of its ability to create disruptive value . Fundamentally, we have been supporting them to enable technology development . So, which is to convert a potential technology idea into a viable product.
So mainly, our support has been towards setting up the pilot plant and putting in place systems, processes, helping them put in place systems and processes to convert what would be, what I would say, an idea into a large -scale product, right? So , this is the objective of our support and this is what we have been working on with Gegadyne.
Naushad Chaudhary: Any technological support, which we have outsourced from them, which is helping us?
Ramachandran V : No, I think this is the next -generation technology product, right? W hen they get into commercial production, at that stage, we should be able to source b atteries from them, which we would be able to launch in the market. But that will require a commercial plant to be put in place. Right now, they are engaged in building what I would say, products through pilot plant to establish proof of concept and to supply to customers for customer validation and certification before they can go ahead for mass production. So , at this stage, no, no support. We have not received any support from them. We are supporting them.
Naushad Chaudhary: All right sir. Thank you so much. That’s it.
Moderator: The next question is from the line of Mukesh, who is an individual investor. Please go ahead.
Mukesh: Thank you for the opportunity. Just one question. What is our capacity utilization on various product segments and what is our Cape x plan for next 2 years?
Mithun K Chittilappilly: Sudarshan, do you want to take this?
Sudarshan Kasturi: Yes. Our Cap ex plans will be in the region of about INR 100 crores a year, roughly. In terms of capacity utilization, yes, it varies plant to plant and some of them are seasonal, some of them are around the year, so difficult to put a number. But just to say that we will sort of invest in Cape x and capacity utilization before it becomes a bottleneck.
Mukesh: Ok. Thank You. ■

Moderator: The next question is from the line of Natasha Jain from Nirmal Bang. Please go ahead.
Natasha Jain: Hi Sir. Thanks for the opportunity once again. Sir, if you could just give us a newer guidance or any guidance on K itchen Appliances in K itchen Appliances as a category and bifurcation in terms of what V -Guard is expected to do versus Sunflame?
Sudarshan Kasturi: See, I mean, it's like this. Sunflame is doing about INR 60-odd crores run rate in a year, and this is with depressed orders from CSD.
Mithun K Chittilappilly: INR60-odd crores per quarter.
Sudarshan Kasturi: Yes, per quarter. And this is at a time when CSD has cut down orders significantly. We would have expected to make about INR 75 -80 crores if the CSD orders were in the normal shape. So that sort of gives you a sense of size. And V -Guard ’s Kitchen business, we are running at about INR 200- 220 crores. And we would have expected that to become bigger this year, but we know that Kitchen has been facing some severe headwinds.
Natasha Jain: All right. So just to iterate the number, you said INR 220 crores per quarter for V -Guard, right?
Mithun K Chittilappilly : No. I think INR 220 crores for V -Guard , per year, last year, and Sunflame was about INR 240

crores for the full year. T his year, it is looking like both of them are flat. That means there is not much of growth because of the challenges in the K itchen environment.
Natasha Jain: Understood Sir. Thank you so much, that's helpful and Happy Diwali.
Moderator: The next question is from the line of Vaibhav Jain, who is a

n individual investor. Please go
ahead.
Vaibhav Jain : Hello. Ya, am I audible.
Mithun K Chittilappilly: Yes , please go ahead.
Vaibhav Jain: Hi. Congrats on a good set of numbers and Diwali wishes to you. My question is slightly on the strategy side and long-term oriented. Just wanted to understand the next 5 years, in which of our categories are we trying to enhance our competence? Are there any new categories that we are planning to enter into new geographies, channels, et cetera? Just wanted some information on that.
Mithun K Chittilappilly: Okay. Regarding new entry, we would not be commenting because it is confidential information . Ram, do you want to take the other one ?
Ramachandran V : Yes. I think fundamentally, the growth trajectory across different product categories will remain. Obviously, Consumer Durable categories will continue to grow, and our focus there will be to improve scale and improve EBITDA margin . Gross margins are reasonably decent. So , there is ■

some scope to improve there. But I think scale up of the Consumer Durable business will be key to also the EBITDA margin 's objective realization, right?
We will also be trying to drive to improve our presence in the E lectrical segment, particularly categories like S witches and S witchgears where we have a lot of headroom to grow. So , these are going to be our growth categories.
Inverter and Battery, here again, with the inroads that we have made in manufacturing, we believe it should be able to bring required competitiveness to this category for stronger growth . That is how we would see that . Stabilizer s and Wires & Cables will move ; Wires will move more or less in line with the market . So strong growth is going to basically come from Consumer Durables, Switches and S witchgear s and Inverter -Battery .
Vaibhav Jain : Sure, sir. So , I just wanted to understand from an end-use case standpoint, where do we see ourselves in segments like data centers and solar generation, solar rooftop, some of the new up-and-coming use cases in the power sector?
Ramachandran V : No, I think as far as rooftops are concerned, I think we are participating in that. We will see how this evolves and grows , because the numbers outside are quite ambitious, and we will have to see how they pan out. I think the trajectory is good, and we have called that out in our report.
We have, as of now, not developed a very strong point of view on how far we will reach with some of these. As far as data centers are concerned, we are not into it.
Mithun K Chittilappilly: We are into only the B2C part of this, not the B2B part.
Vaibhav Jain : Ok. Sure sir. Thank You.
Moderator: Thank You. As there are no further questions, we have reached the end of our Q&A session. I would now like to hand the conference over to the management for closing comments.
Mithun K Chittilappilly: Thank you, all, for taking out time to join our earnings call. I would like to thank Deepak Agarwal and the team at JM Financial for hosting this call. On behalf of the V -Guard family, I would like to wish all of you a very H appy Diwali and a P rosperous New Year. We look forward to interacting with all of you in the next quarter. Thank you.
Moderator: Thank you. On behalf of JM Financial, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Call: Feb 2025

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G Block, Bandra- Kurla Complex,
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Mumbai - 400 051
Scrip Code: 532953 Symbol: VGUARD

Dear Sir/Madam,
Sub: Transcript of earnings call pertaining to the Unaudited Financial Results for the quarter and nine months ended December 31, 202 4.
This is with reference to the intimation dated January 20, 202 5, ■led with the stock exchanges in terms of regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements) Regulation, 2015, regarding the earnings call to discuss the ■nancial results for the quarter and nine months ended December 31, 202 4, scheduled on January 29, 202 5. The audio recording was ■led with the stock exchange.

We are enclosing the transcript of the Earnings call. The same is also being uploaded on the website of the Company at https://www.vguard.in/uploads/investor_relations/V -Guard -
Industries -Q3-FY25 -Transcript.pdf

We request you to kindly take the above information on record.

Thanking You,
Yours Sincerely,
For V -Guard Industries Limite d

Vikas Kumar Tak
Company Secretary & Compliance Officer
Membership No. FCS 6618
Encl: As above
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"V-Guard Industries Limited
Q3 FY25 Earnings Conference Call"
January 29, 2025

MANAGEMENT:MR. MITHUN K CHITTILAPPILLY – MANAGING DIRECTOR – V-GUARD INDUSTRIES LIMITED

MR. RAMACHANDRAN V – DIRECTOR AND CHIEF

OPERATING OFFICER – V-GUARD INDUSTRIES
LIMITED

MR. SUDARSHAN KASTURI –SENIOR VP & CHIEF
FINANCIAL OFFICER – V-GUARD INDUSTRIES
LIMITED

MODERATOR: MR. ADITYA BHARTIA – INVESTEC CAPITAL
SERVICES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the V-Guard Industries Q3 FY '25 Earnings Conference Call hosted by Investec Capital Services Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assi stance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Aditya Bhartia from Investec Capital Services Limited. Thank you, and over to you, sir.
Aditya Bhartia: Thank you, Sejal. Good afternoon, everyone. A warm welcome on behalf of Investec India to t h e Q 3 F Y ' 2 5 E a r n i n g s C a l l o f V - G u a r d . W e h a v e w i t h u s t h e s e n i o r m a n a g e m e n t t e a m represented by Mr. Mithun K Chittilappilly, Managing Director; Mr. Ramachandran V, Director and Chief Operating Officer and Mr. Sudarshan Kasturi, Senior VP & Chief Financial Officer.
Now I hand over the call to the management fo r initial comments, post which we'll open the floor for Q&A. Thank you, and over to you, sir.
Mithun K Chittilappilly: Thank you, Aditya and Investec team for hosting today's call. A warm welcome to everyone joining us today to discuss our company's operating and financial performance for the third quarter of FY '25. I trust all of you had the opportunity to review the investor presentation that we had shared earlier.
In Q3 FY '25, we reported consolidated net revenues of INR1,269 crores reflecting a Y-o-Y growth of 8.9%. Overall consumer demand remained moderate during the quarter.

Our
Electronics segment continued its strong performance with a revenue growth of almost 28% Y-o-Y, building on a robust first half. This se gment maintained the mo mentum well into Q3.
In the Electricals segment, we registered a growth of 1.2%. Demand for wires, which is the largest category under the Electricals segment was impacted due to commodity price fluctuations. The Consumer Durables segment grew by 8.1% Y-o-Y during the quarter. Demand for kitchen appliances continues to be muted, while water heaters also were impacted by a late onset of winter.
Sunflame reported a top line growth of 4% Y-o-Y in Q3. General trade business registered a healthy growth while the orders from CSD continued to be lower. In Q3 FY '25, the Non-South market demonstrated a strong performance with 15.8% Y-o-Y revenue growth, contributing now 48.4% of total revenues, while the South market grew by 3.7% Y-o-Y.
Gross margin improvement is sustaining on back of higher share of in-house manufacturing, cost-saving initiatives and gradua l shift to premium portfolio. We have reported a gross margin of 36.2% in this quarter compared to 33.7% in Q3 last year, an increase of almost 250 bps.
EBITDA, excluding other income was INR104 crores in Q3, an increase of 2.5% on a Y-o-Y basis. ■

Higher A&P spends, particularly in Sunflame, led to an EBITDA margin of 8.2%, which is 50 basis points below 8.7% in the previous year. Employee costs rose significantly Y-o-Y due to significant reversals in the previous year's third quarter.
Working capital remains steady, ensuring strong cash flow generation. The repayment of long-term debt relating to the Sunfla me acquisition is progressing as planned. We are on track to fully repay the loans by the en d of the financial year.
Our Board has approved around INR100 crores investment in VCPL (V-Guard Consumer Products Limited) facility at H

yderabad, which will produce both TPW and ceiling fans. It will
be funded in phases through internal accruals.
Overall, our performance for the 9 months is in line with our annual plan. We look forward to
the upcoming summer season with the expectation to deliver a robust performance.
With that, I conclude my opening remarks. And I would like to thank Aditya and the team at
Investec for hosting this call and would like to request the moderator to open the floor for Q&A.
Thank you.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Nattasha Jain from Phillip Capital. Please go ahead.
Nattasha Jain: Thank you for the opportunity and Good afternoon, sir and Congratulations on a good set of
numbers. Sir, my first question is on your Southern region growth. Now the growth has
considerably moderated compared to the past quarter run rate. So, any particular reason why such a low growth here in the Southern region?
Mithun K Chittilappilly: So the South market has a larger contribution from the wire segment. So a lot of our categories, especially the well-established and older categories, we have a very decent share of revenues coming from non-South. But in the case of wires, due to the way the market is structured, the price competitiveness, our inability to offer differential pricing, et cetera, our revenue, a lot of it
still comes from South. So the decline in wire has impacted South market more adversely than
non-South.
Nattasha Jain: Understood, Sir, our channel checks also suggest that I think barring Andhra Pradesh, central government has curtailed certain spending, which has led to a slowdown in broader southern
markets. So is that also any is there a phenomenon that you are also observing on the ground?
Mithun K Chittilappilly: Ram, do you want to take this?
Ramachandran V: Yes. So fundamentally, what we are observing is like the wire performan ce is more linked to
commodity volatility and

typically, whenever there is a commodity increase or decrease, there
is up-stocking or down stocking that happens. And this is related to that. If you look at our broader portfolio, which is a non-wire portfolio, we've had the challenges mainly in water heater
because the winter has been not as expected, particularly October and November. It was a delayed winter. ■

So the summer category sales have been good and winter category sales have been weak, okay?
The only area where we have observed underlying consumer demand challenges is in kitchen.
Kitchen as a category now I think is the third consecutive year, we are seeing some challenges
in growth.
Also, I think if you look at the three Southern states, yes, AP and Telangana seems to have a bit
more challenge in terms of demand compared to the other 3 states. That's what we have witnessed over the last 3-4 months.
Nattasha Jain: Got it sir thank you so much . my second questi on, so just in continuation to th at, so fourth
quarter, you mentioned about wires that's a high contributor in your southern region. So fourth quarter, are we seeing some kind of up-stocking happening in terms of wires as a category?
Mithun K Chittilappilly: So yes, I think there has been an increase in copper prices in January. And there has been a round of price increases that has been announced in the market, and that has restarted the up-stocking
for wires, at least in January. So we are only 1 mo nth finished in the quarter. So it's very difficult
to talk what's going to happen in the quarter, but January looks good.
Nattasha Jain: Got it. And sir, my second question is on your Electronics segment. Sir, a very good set of
numbers. Congratulations once again for that. Can you throw some light as to what was the
growth between batteries and stabilizers? And in terms of margins, are we done in terms of getting there where we wanted to or we can s till see some kind of expa nsion going forward in
margins?
Mithun K Chittilappilly: So the first part is we don't give out product- wise numbers due to confidentiality. The second
part, I'll give a qualitative answer. Yes, we have invested in manufacturing batteries at our new factory near Hyderabad. And it's completely now online. All the equipments have been installed,
and they have started to produce in good quantity. So definitely , that is also helping us.
So the margins in batteries have improved considerably because that was our hypothesis to set
up the factory. So in that sense, yes, it is helping us in the Electronics segment. But we have
noticed that sales have happened across categories with maybe a slightly higher growth
happening in our solar rooftop solutions business, which is a very new business. It is small, but
it's growing very fast. So apart from that, there has been growth across other Electronic categories.
Nattasha Jain: Got it. And sir, in terms of margin expansion, are we there or we can still expect some more
expansion here on?
Mithun K Chittilappilly: So I think we have had continuous improvement in gross margin. I'm talking about a company-
wide gross margin. And last 2 years, we have significantly taken up and improved our margins.
I think most of our investments are over as far as manufacturing is concerned. There is one more plant that is coming up to manufacture TPW fans and ceiling fans where already work has

started, and we hope to commission in the next 18 months.
So with that, a little more, maybe there could be some more improvement. But I think largely, I
think our gross margins, we have increased. As we go forward, definitely, we will work on ■

increasing it. But a lot of the init ial reasons for us setting up the plant, they've all kind of; a lot
of it has come through. Some is yet to come through because like I said, as these factories mature,
t

hey will start producing more benefits for the company.
Nattasha Jain: Got it. And sir, at least in qualitative sense, can we say that room air conditioner was one of the
stronger drivers for ou r electronics segment?
Mithun K Chittilappilly: Yes. So, Q1 and Q2, RACs were a very strong driver for the stabilizer business. But our other
businesses like inverters and batteries have also done well. Our, like I said, solar rooftop
solutions have also done well. So these are the 3 broad categories within Electronics, and all of
them have done well.
Nattasha Jain: Sir, inverters and batteries, I just want to understand, is it a more Tier 2, Tier 3 led demand
because metro cities, I have not seen a lot of people picking up batteries. So is the demand
completely coming from rural and Tier 3 below?
Mithun K Chittilappilly: Yes. Inverters have a higher skew towards; it is not only rural. Rural, like if you look at NCR,
there are suburbs of NCR where there are power issues. Delhi, there is no problem, but I'm
saying suburbs like Ghaziabad and all those, there are power issues there. So I think I wouldn't call it rural, but yes, it is more
rural than or skewed than other categories. That product and
pumps, these are the 2 products that are more rural skewed.
Nattasha Jain: Got it. And sir, one last question, if I may. In terms of kitchen appliances, you did mention that we're seeing a
continuous slowdown. So I just want to understand at an industry level, sir, what is happening? Are we just over-penetrated
because of COVID? Can we expect some growth in
the next year? Because this year, the commentary was same that we would expect growth, but none of the listed players
really have register ed growth. So what's happening in that category?
Mithun K Chittilappilly: Yes. Ram, do you want to take this?
Ramachandran V: Yes. So I think, see, our hypothesis is that probably in the COVID period, people spent a
significant amount of time at home. I think that is also the period when the growth in kitchen
was very, very strong. And possib ly post-COVID and as the country came out of it, I think that
we are seeing a moderation in demand.
The other thing is, see, particularly small kitchen appliances and all that, these are the highest
penetrated items among all, what I would say, durable purchases. It may be a reflection of some
amount of stress in the lower income segment. Probably as they came out of COVID, some of the household balance sheets
may have been damaged and probably their priority is to restore
that to good shape and probably the pace at which, in the past, either they would replace, so the replacement cycles have
become longer.
And probably also impulse addition of, let's say, newer appliances, newer categories of
appliances, which they are not in, have slowed down. I think these two can probably be the only
major explanation. In fact, I think last 10 - 12 months, even large kitchen appliances are seeing
slowdown. ■

So I think probably these are the 2 reasons that I could attribute to why we are seeing this
phenomena. Otherwise, fundamentally, other consumption categories are growing. And what we have witnessed is it's only
when the weather is not favorable. In our case, at least we are
having a challenge in water he ater because October and November were still warm. So I think
that's what I would feel. And probably, I think it should get better. It stayed down long, yes.
Nattasha Jain: Sir, do you think that the competition from the unlisted space has increased in the kitchen
appliance side?
Ramachandran V: No, not really, not in the kitchen appliances space because the kitchen appliance space is already
hypercompetitive, right? So I don' t think so. Definitely, I don't think so because it is a fairly
secular slowdown. So it's hitting everybody. So it's not like stronger brands and weaker brands;
that phenomenon is not there. And i

t's broad – it's on small, it's on large. So I'm not so sure. I
don't think so.
Nattasha Jain: Got it, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Rahul Agarwal from IKIGAI Asset Management. Please go ahead.
Rahul Agarwal: Hi, good evening and thanks for the opportunity . I was looking for some qualitative comments on specific products. Wires, I think you already spoke about. Could you talk about a bit more on switchgear, switches and fans, please? How was the quarter and what are the trends?
Mithun K Chittilappilly: So switches and switchgear, in that particular category, it has been a decent growth. I think switches, there is some amount of slowdown, some amount of, what you call, sluggishness. But switchgear, we have done well because I think now V-Guard is being seen as one of the go-to options.
We have started to become large in many of the states. We have spent almost 10 years, I don't know. I mean we have spent enough time for the trade and consumers to start recognizing us as a brand to be picked up. Fans, we have done well. We also had some launches in ceiling fans in the last three, four quarters, which has been well accepted.
So it has been decent. I think overall, these 3 have been decent. On the Electricals side, if you remove wires, the growth has been decent. Switches, there has been a little bit of sluggishness, but switchgear has done well. But in the case of fans, fan also has done decently well for us. But we are, of course, smaller in terms of size when you compare with the market leaders.
Rahul Agarwal: And the new factory for fans, should I assume that the Roorkee facility is fully utilized?
Mithun K Chittilappilly: Yes. I think by the time we start manufacturing ceiling fans in Hyderabad, we expect the Roorkee facility to be fully breaching its maximum in term s of capacity. So Roorkee is making two types of products – one is the liquid painted and one is the powder coated. In liquid painted, we are having a capacity constraint. That is why we are building a second plant. Powder coating, we have spare capacity. So that's just to be clear. ■

Moderator: Mr. Rahul, does that answer your question?
Rahul Agarwal: Yes. Just one more question on Sunflame. I just wanted to know any specific defined goals in terms of top line EBITDA over the next 2 -3 years? Obviously, the current numbers are much below par. Any thoughts, please?
Mithun K Chittilappilly: So we won't be able to give out any figures in terms of what we are planning to do with Sunflame because it's kind of forward-looking. We still believe the brand, the strength, it's very much intact. And whatever we are facing is a result of an industry-wide issue and a channel-wide issue because in Sunflame also, we have still managed to grow well in the GT business, especially during the Diwali quarter, except the Canteen Stor es Department part is really having issues because for a prior period over ordering, a significant number of new brands and new SKUs getting approved and then there has been overstocking of some things, and they are trying to correct their inventory. So we don't think that there is anything fundamentally wrong with Sunflame. It's just an industry-wide issue. Ram, do you want to take the other part?
Ramachandran V: Yes, I think, we've been more or less in line wi th what you said. I think we are growing well in the other 3 channels, which is GT, e-commerce and this one. There is a bit of sluggishness coming out of the CSD, CPC, but we believe it's temporary and it should move forward going forward.
Yes, we have a clear plan in terms of how to build and grow Sunflame. And I think it will be well helped also if the category starts to grow. Pa rticularly, it is difficult to introduce the category to new markets or a brand to new markets in a period of slowdown or de-growth.
So there is t

hat bit of a challenge. The headwinds are strong. So that's a bit of challenge. But I think it's a transient phase and I do hope as things recover, I think we should be able to do better with Sunflame.
Rahul Agarwal: Got it, Ram. Thank you so much. All the best.
Moderator: Thank you. The next question is from the line of Achal Lohade from Nuvama Institutional Equities. Please go ahead.
Achal Lohade: Ya good after noon everyone and thanks for the opportunity, Sir, first question is if you could give a sense in terms of in-sourcing across our key categories? That would be my first question.
Mithun K Chittilappilly: So we don't give out the category-wise split, but I think as a company, we are at about 65% odd percent as a company. 65% of V-Guard's sales are sales coming from products manufactured in our own plants. And we believe in the next 3 years or 4 years, it should hit 70% to 75%.
Achal Lohade: Okay. But is it fair to say that; so wires is 100%, stabilizer, I presume we are moving closer to full in-sourcing. Is that understanding right?
Mithun K Chittilappilly: No, I don't think so. I think this wire is the only one, which we can manufacture 100%. The balance all has a mix of outsourcing, including stabilizers, even today. Just let me elaborate.
These categories are highly seasonal. So there ar e obviously merits in also having some amount ■

of production coming from outsourcing because otherwise; we are able to vary the production in plants to some degree, but we can't shut down the plants fully in offseason. So there are those kind of reasons why we will continue to have a mix of both.

Achal Lohade: Fair point. The second question I had with respect to Sunflame. So obviously, in terms of margins, we are seeing for the last three, four qua rters, the margins have been low. Can you help us understand in terms of how do you see this margin playing out if one were to assume normalized growth playing out? And first of all, what will be that normalized growth?

Mithun K Chittilappilly: See, Sunflame, there are a few reasons why this has happened. One is that, see, once V-Guard has taken over the brand, we were aware of this when we did our DD that a large part of the NPD work, a large part of the design, product development, et cetera, was done by the promoter himself. So obviously, we needed to staff it with more professionals than what Sunflame had.

Of course, we also staffed it with a view that the Sunflame team will also contribute for V-Guard. In certain categories, Sunflame will be the lead category even for V-Guard in terms of like whether it's a chimney or whether it's a gas-stove, et cetera. So some of the staffing has been done to ensure that we are looking at the very long term. We are not very worried about what's going to happen in the next 1 or 2 years. We believe that kitchen will continue to grow.

The second is Sunflame had a very thinly staffed sales team because Sunflame was working only with super stockists for every state. So they had very few people on the ground. And we wanted to slowly introduce Sunflame to the V-Guard model where we are staffing it with more people and we directly approach retailers and we also work with modern trade where Sunflame was very weak.

So some of these staff costs have started to come in and hit and some of it is showing results also, but I think the decline in CSD is kind of negating a lot of those growths. So Ram, you want to add anything.

Ramachandran V: Yes. I think there are other expenses like consulting expenses because we are doing a lot of projects, right, to align the systems and also to develop the going-forward strategy and for the integration. So some of these costs are also si tting there. The overall, the way Sunflame was managed before and the way it's being managed now, there is some of that cost also, which is sitting.

So some of this is transient. I

mean it's not permanent and will go away. Some costs will go away with the integration in the future. And yes, some costs will remain. There have also been some delays in price increases. We've also had to clear out what I would say, some of the older platforms, which were slower to move and replace them with newer platforms so that sales growth can start.

So some of those kind of expenses are also one- off kind of expenses. So it's a mixed bag. And things will definitely get better, much better compared to what you may have seen in the last one or two quarters. ■

Achal Lohade: And in terms of the growth, first of all, ex CSD, would this have grown in high single digit or double digit?

Ramachandran V: Yes, it would have grown. It would have grown, yes.

Achal Lohade: Okay. So is it fair to say that we can hit back to double digit in starting for next year?

Ramachandran V: Obviously, we have to see, I think, it's very hard to predict, right? See, none of us anticipated that the slowdown will hit. In fact, the slowdown in kitchen started probably in the quarter of our acquisition there. So none of us anticipated that. I think it's a forward-looking statement to be able to say what we will do. Yes, of course, our endeavor is to grow the business in, say, mid-teens to high teens.

That's our endeavor. But I think realizing that end eavor will also require external support, right, more favorable, what I would say, demand environment, which will certainly make our job easier to achieve this kind of growth. We have to grow this business because we have made investment in the business, but I think it is hard to say how it will take shape because it's also a function of the external environment.

Achal Lohade: Understood. Okay. And just last 1 question, if I ma y, with respect to solar rooftop. Is it fair to say that over the next, let's say, 3 to 5 years, could this be a INR500 - INR700 crores category? Is that a road map one could imagine or it could be much higher than this?

Mithun K Chittilappilly: See, we are very cagey about giving out any numbers about our products because it is something that we don't want to give out. But I can say that we entered this business 36 months back in a serious way. We got one of our

existing team me mbers to head up this division and build a team
around it.
And the results have been phenomenal. I think there is a huge demand for a brand, which is
giving not only a product, but impeccable servi ce. I think where we found a huge gap in the
market is that many people are se lling this product, but very few of them are actually providing
good aftersales support. So we got impeccab le reputation for this particular quality.
We think that South India has definitely accepted this and we are growing very fast. I don't want to give out any numbers . So once it gets a certain size, we will tell you how big it is.
Achal Lohade: Understood. Thank you. I will fall back in the queue for follow up. Thank you.
Moderator: Thank you. The next question is from the line of Nattasha Jain from PhillipCapital. Please go
ahead.
Nattasha Jain: Sir, I missed your commentary on the TPW and ceilin g fans. If you can just elaborate in a little
detail as to what's the time- line in terms of when this plant is going to come alive and what's the capex that we've incurred for this?
Mithun K Chittilappilly: So the capex of INR100 crores will be spent over 3 financial years. It will be like INR50 crores in year 1, that is next financial year, and then in phases in the following two financial years. The initial part of the plant will prod uce table, pedestal and wall fans and some part of ceiling fans ■

and the rest will be to scale up the production. We expect the first phase of the plant to be open
in the next 18 months. We have started work, so there is a ti

me required. The ground-breaking just happened a few weeks back. So 18 months, we expect commercial production to start, and
this plant will be near Hyderabad.
Nattasha Jain: Okay. All right. And sir, in terms of margin improvement, how we have seen your margins
improve in Electronics because of backward integration. Likewise, do you have any numbers that you can share in terms of where Consumer Durable margins are expected to then move in
the medium to long term because of the backward integration plan?
Mithun K Chittilappilly: Yes. So I think in Electronics, there has been a substantial work that was done and our hypothesis to set up the factories were al so to actually substantially get the improvement in margins,
especially inverter batter y space. Stabilizer already, we had de cent margins. But in the case of
fan, the issue is that pre-2000, I mean, till last financial year, we were importing a bulk of our
ceiling fans from Vietnam and China.
First, it was China and when China got the anti-dump duty, people moved to Vietnam. But I
think we are now very clear on how this will go. So this is roughly 25%- 30% of our business, and we want to have supply security. We don't want to keep importing stuff because we do
believe the government will bring in BIS and then they will eventually block out Vietnam as well.
And a lot of the fans are today getting made in India. We have a lot of vendors which are making
table, pedestal and wall fans for us. But we are still not very comfortable this way because these
are not exclusive vendors. They supply to everyone in the industry. So we want to have our own
plant so that we can come out with better products, innovative products, differentiated products
offering better quality.
So that is the reason. So some of this is not done only for margin improvement. It is also done
for our own long-term growth of the category.
Nattasha Jain: Got it, sir. And I know this is too early to ask, but any mix you can share in terms of our
manufacturing into premium and non-premium products here from this new factory?
Mithun K Chittilappilly: I think it's too early to say that. I think what we can tell you is that after we set up our first ceiling
fan factory in Roorkee about 3- 4 years back, our share of premium products in fans substantially
increased. And we have one of the best product mixes in the industry today, and we hope to replicate that with this factory as well.
Nattasha Jain: Got it. Sir, I'll just leave the queue with the feedback we got for V-Guard fans on the ground. So
we've got feedback in terms of the quality and the aesthetic appeal of your premium fans that
you've recently rolled out. So yes, the distributors are quite happy. Thank You so much Sir.
Mithun K Chittilappilly: Thank you.
Moderator: Thank you. The next question is from the line of Keyur Pandya from ICICI Prudential Life
Insurance Limited. Please go ahead. ■

Keyur Pandya: So first on the margin side, so we have been investing in many of the aspects, whether it is
manufacturing or branding. And because of that the gross margin has not say trickled down to EBITDA margin. So I just want to understand that whatever gains we have seen in terms of

higher gross margin or in terms of higher Electronics EBIT margin as well.
I mean when do you see Electrical and Consumer Durable margins improving? And what would
be the drivers? If you can just throw some light on those 2 segments' margin and then the overall margins?
Mithun K Chittilappilly: So I would like to take a different view. If you look at 5 years back, the difference between V-Guard and market leaders in terms of EBITDA was 4%- 5%. V-Guard's margin was 9% and
market leaders were at about 14-odd percent. Today, the gap has come down to 1% or 2%, not even 2%, I think 1% or something like that.
So we will also see this in the light of what has happened in the industry

post-COVID, how more
competitive it has become, how harder it has become for us to take price hikes and all that. So some of these things are also happening because the entire environment has changed. And if you
look at many of our peers, you will see a sharp decline over the last 5 years in terms of EBITDA.
So on one hand, yes, we are improving margins. But there is also additional costs related to that
in terms of setting up the manufacturing, and there is a journey for maturing the plant and all that. In our view, I think this year, I think when we see actually the improvement in gross margin
is 1.5%, net of all the additional costs in the factory.
But even that has not happened to trickle down. That is primarily because of some one-off write-
backs we had last year in Q3. So I just want you to put in perspective that if you look at last 5 years, we are not seeing us improving margins, but the gap with the market leaders is very, very
narrow today.
Keyur Pandya: And just one follow-up. So then is it fair to be lieve that the margins wo uld stay here only for
you? Our aspiration for near term is to remain here only or...?
Mithun K Chittilappilly: We have always said we would like to get to 10% odd EBITDA margins, and we are working on it. But many things are there, many headwinds are there. But I think this quarter, especially it was that there was a lack of operating levera ge. One of the largest ca tegory, which is wires
has degrown in this quarter, which has pulled down the overall growth. So some of it is due to operating leverage as well.
We do believe that next financial year, we should probably come out of most of these issues
unless we have some crazy inflation again happening, which I don't see any high inflation happening from here on.
Keyur Pandya: Okay. Sir, second question is on the demand side . So we are seeing this stocking and destocking
and restocking based on the copper prices. But just want to understand how is the end user wire
demand? I mean, just anecdotally, based on increased real estate activity, are you seeing a steady
demand or improving trends or the negative growth also indicates similar growth in the end user market as well. Just some color on how the end user demand is? ■

Mithun K Chittilappilly: See, I think V-Guard is primarily a consumer retail company, so our project sales are less than
5% of our wire sales. But of course, the real estate demand affects the entire market because when real estate does not do well, the brands which are active, they are also coming into the
retail and they create some kind of competition.
So as far as the end consumer is concerned, if you look at the individual home guys who build
individual houses, not like multiple units, they don't seem to time with. They come and buy whenever they want to buy, so the end user really does not; they don't track us like the retailers
do.
But if you're looking at a large developer like building like 2,000- 3,000 apartments in a year or
whatever. And those kind of guys, definitely, they will also see how the commodity is moving. And just like us, they will also time their purchases. So, it depends also on whether they're able
to like just to reduce; just to wait for a 2%- 3% reduction in wire prices.
They may not delay their purchase by 4 months- 5 months because the projects will also get
delayed. So I think that usually, the retailers are the most sensitive with this, price changes in
copper and then followed by developers and then probably the last person to bother about it would be the individual consumer.
Keyur Pandya: So do you mean end user demand continues to be healthy?
Mithun K Chittilappilly: End user demand, see, I think whatever slowdown we are talking about, I mean, this is not a slowdown only for kitchen. So there is a slowdown in FMCG, there is slowdown. So what is happening is, yes, organized real estate i

s growing. But if you look at real estate as the entire
pie, you are not seeing any crazy demand for cement and all that.
Cement demand is weak, so what does that tell you? If cement and steel demand is weak, that
what means is that the entire market is not grow ing. It's just that ex isting guys, existing small
builders who used to make 20 -30 flats in a project, they have all folded up and now it is only
big builders. So that's basically the market that is consolidating. And probably the earlier guys,
they were not doing business in an organized way, so it was never tracked.
Keyur Pandya: Okay. Thanks a lot. We w ill get back in the queue.

Moderator: Thank you. The next question is from the line of Archit Shah from B &K Securities. Please go ahead.
Archit Shah: Thank you for the opportunity. Sir, first question is regarding margins. So you said 65% of your sales is now from in-house manufacturing. Now let's say, once your TPW in-house comes online and you start utilizing fully and once you reach 75%, what kind of margins on a blended basis overall can we expect going forward, let's say, in FY '27 onwards, assuming that, that will be the time when all your 75% will be fully from manufacture or in -house manufacturing?
Mithun K Chittilappilly: So I think every time when V-Guard decides to set up or ask this question internally whether to make or to buy, we do a complete detailed working on the IRR of the projects. So we do only ■

projects that are IRR and ROCE accretive. That's all I can say. I cannot give you a guidance on how much our margins w ill go up or improve.
I think a lot of our journey is already done. But I think that many of our plants are not working 100% capacity. So we really hope that in the next 2 to 3 years, what you get to see is the operating leverage of plants kicking in, and there could be some benefit. But like I said, we are not targeting margins more than; today, we are only targetin g the margins for our goal which is to hit 10% EBITDA margins because we find that most of our market leaders are also not able to go beyond that.
So we have to understand the environment is also competitive. So our first phase would be to target a 10% margin, and that's where we are at.
Archit Shah: Okay. So directionally, at least it will improve from FY '24, FY '25 levels, but 10% is what you are currently targeting?
Mithun K Chittilappilly: Yes.
Archit Shah: Okay. And sir, second question is a bookkeeping question. Sir, since 4Q FY '24, we have seen this unallocated corporate expense increase multi-fold. Like on a consol basis, it was at around INR5 crores in 3Q, then INR30 crores, and it has been at this level since in last 4 quarters. So can you explain like what has led to this increase?
Sudarshan Kasturi: Fine. So there were some one-offs in that. The revaluation gain of Gegadyne came in during that quarter. So that's probably why.
Mithun K Chittilappilly: So last year, the other expenditures were,; it was artificially kept lower by a revaluation gain in one of the investments in our subsidiary, of about INR14 crores.
Sudarshan Kasturi: INR17 crores.
Mithun K Chittilappilly: INR17 crores. So yes, you'll probably have to add INR17 crores for the previous year to get the like-to-like comparison.
Archit Shah: And sir, even in these three quarters of FY '25 also, it has been at around INR36 crores, INR33 crores and INR34 crores for each quarter. So is this the new normal like these are going to be our unallocated expenses, corporate expenses?
Sudarshan Kasturi: That is the normative level.
Archit Shah: Okay. That's it sir. Thank you so much.
Moderator: Thank you. The next follow-up question is from the line of Keyur Pandya from ICICI Prudential Life Insurance Limited. Please go ahead.
Keyur Pandya: Thanks for the opportunity again. Sir, 2 questions on 2 line items, first is employee cost and sec

ond is A&P. So significant increase in both the line items. So just want to understand strategy ■

or thoughts on how we should see these line items growing from here on? And specifically to employee cost, was it for specific SBU or headquarter or I mean, where it is being targeted?
Mithun K Chittilappilly: Okay. So on A&P cost, we had done activity in Sunflame for Diwali. I think the previous year, that is last financial year, things continue to be rough for kitchen. But last financial year, we had not done any much activity because we were focusing on the integration part and product refresh and all that.
So this year, there was some acti vity that was done. And not only in Sunflame, there is a 10%-15% increase in V-Guard's own A&P spend, V-Guard brand's A&P spend. So this is as far as the A&P is concerned.
As far as the employee expenditure is concerne d, last year, I think, there was almost INR25 crores worth of reversals in Q3. There are primarily the 2 things. One is that in last financial year for Q1 and Q2, we have provided for variable pay for employee costs for employees, and that was reversed in Q3 because by 30th September or by Q3, we realized that we are not going to hit the parameters to achieve

variable pay. Wher eas this year, I think fo r the first 9 months, we
are on track to achieve the AOP and try to pay out the variable pay. So that is one. That's bulk of it, the difference. The other thing is, this year is again the first year of new ESOP grant. Last year, it was not there, so I think INR6 -INR7 cror es of this INR25 crores is belonging to that.
Sudarshan Kasturi: Plus. INR25 crores plus INR7 crores.
Mithun K Chittilappilly: So INR25 crores plus INR7 crores. INR7 crores is ESOP grant expenditure that has come. That is not going to remain INR7 crores every year. It is only the first year it's going to be elevated and it tapers down in year 2 and year 3. And in last year, the variable pay was reversed in Q3. So what you're seeing is employee cost almost as of INR30 to INR32 crores worth of expenditure sitting in this year whic h is more than last year and this is one-off.
Keyur Pandya: And from here on?
Mithun K Chittilappilly: It is a one-off think only variable pay will be happening. Yes, it's a one-off. We may not see because the previous year's quarters will also probably have some of this.
Keyur Pandya: Okay, noted. Thanks a lot. Thank you.
Moderator: Thank you. The next follow-up question is from the line of Achal Lohade from Nuvama Institutional Equities. Please go ahead.
Achal Lohade: Sir, just to clarify on Keyur's question. ESOP charge, INR7 crores, is it per quarter or for the full year, you mentioned?
Mithun K Chittilappilly: Yes, Sudarshan.
Sudarshan Kasturi: It is for INR7 crores is for the quarter.
Achal Lohade: Sorry, INR7 crores is for the quarter, so IN R21 crores for the 3 quarters. Is that sir? ■

Sudarshan Kasturi: Right.
Mithun K Chittilappilly: So the ESOP grant issue only happened. So like our ESOP cycle for bulk of the people who are under ESOP starts, that cycle happens in Q3 for whatever reason because it's the third round of something like that. So it happened.
Sudarshan Kasturi: Okay. Achal, let me explain in detail. The cost for the quarter this year versus last year, difference is INR7 crores.
Mithun K Chittilappilly: Yes, for ESOP.
Sudarshan Kasturi: It's not that the cost itself is INR7 crores.
Mithun K Chittilappilly: The delta itself is INR7 crores.
Achal Lohade: Right. In the base quarter, I see somewhere around INR83 crores of employee cost. That had some reversal you mentioned?
Mithun K Chittilappilly: Achal, last year, in ESOP, there was a reversal. This year, there is an additional cost. So the total delta is INR7 crores.
Achal Lohade: Okay. Understood. That's all

. Thank you so much.
Moderator: Thank you. The next question is from the line of Aditya Bhartia from Investec Capital Services. Please go ahead.
Aditya Bhartia: Hi Sir . you spoke about competitive inte nsity in the sector going up and thereby margins for the entire industry is pretty much coming down. How are you seeing this shaping up going forward? Would you anticipate margins to be moving up to 10% to 11% kind of a range that you used to speak about without considering other income?
Mithun K Chittilappilly: Yes. Ram, do you want to take this?
Ramachandran V: Yes. We will continue to endeav or to expand our ma rgins, maybe 0.5% ev ery year. But on the other side, this is also competitive, and that 's the point that Mithun was making, which is basically the profitability for the industry overall has been under stress. The margins, overall margins have come down for our competitors also, mainly because partly growth has been muted and partly commodity inflation, the pricing transmission has been weak.
So these are two factors, which have caused this situation. Yes, we have plans and we continue to grow. And that's the reason why, because we have these plants, we have been able to hold out our EBITDA margin, although the general environment has been one where over 4 - 5 years, there has been erosion.
So I think we continue to remain optimistic to be able to; we would like to grow 0.25%, 0.5% every year. I think that still remains our objective. But as I said, it has to be seen in an external context also. There are some efficiencies, which will come through from our manufacturing ■

programs and all because there is some operating leverage, which is likely as we go forward because many of these plants are still stabilizing.
That's there, but I think that we will also have to improve premiumization and we will also have

to do a better job with the pricing transmission . And both these are competitive also.
Aditya Bhartia: Sure, sir. And sir, like earlier, we used to speak about there being a scope of increasing margins in categories like batteries. But now you mentioned that a part of that benefit has already been extracted. Do you see further scope of expansion in certain specific catego ries or it is now going to be; I mean, we have categories broadly at normal levels, and it's going to be broad-based expansion?
Mithun K Chittilappilly: So okay. So let me answer like this. The benefits in Electronics has largely come through. I think because the battery plant is online and it's delivering and the Pantnagar plant for Electronic products is also online and delivering. So this has come through. What has not achieved the scale and benefit transmission is the kitchen plant in Vapi.
So obviously, the plant is yet to be inaugurated. We are inaugurating it next month. So kitchen plant will take some time to stab ilize. And of course, the second factory for fans that is TPW and fans is also yet to be commissioned. So these are the items where I think there is some operating leverage pos sibility happening.
So maybe Electronics, margins may not be there, but in kitchen appliances, which is in Consumer Durables; and fans, again, I think it's in Consumer Durables. Both these, there is scope for some improvement in margins. So with this, I think, CD, the Consumer Durables segment margins, we also hope to take it back to pre-COVID levels.
Aditya Bhartia: Great, sir. And one last question. The manufactur ing facilities, which we ha d started in the last 2 years or 3 years, roughly at what utilization would they be op erating? And do you see a big scope of operating leverage benefit coming thro ugh as utilization keeps improving or largely, this is now in the base?
Mithun K Chittilappilly: So like I said, in the Electronics segment, which is the stabilizer and inverter plant and the battery plant, all of them are sitting in

Electronics. A lo t of the benefits have already started to come in, and that's what we have seen in the last 18 months. Some more benefit could be there in the battery because the battery plant is still new and there could be some optimization, some work could be done.
But I think it's largely, I thin k, come through with some more benefit yet to flow through.
Whereas in Consumer Durables, I think there is still scope for this to happen.
Aditya Bhartia: Understood, sir. That’s very helpful. Thank you so much.
Moderator: Thank you. As there are no further questions from the participants, I woul d now like to hand the conference over to Mr. Aditya Bhartia from I nvestec Capital Services Limited for closing comments. ■

Aditya Bhartia: I would just like to thank the management team of V-Guard for giving us a chance to host this call. It was a very interesting and informative call. Thank you so much, sir. And thank you, everyone for joining us. Sir, do you have any closing comments?
Mithun K Chittilappilly: Yes. Thank you all for taking out time to join our earnings call. I would like to thank Aditya Bhartia and team at Investec for hosting this call. On behalf of the V-Guard family, I would like to wish all of you a very wonderful year ahead. We look forward to interacting with all of you in the next quarter. Thank you.
Moderator: On behalf of Investec Capital Services Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.
The transcript has been edited for clarity and it may contain transcription errors. Although an effort has been made to ensure high level of accuracy, the Company takes no responsibility of such errors.
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Call: May 2025

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Dear Sir/Madam,
Sub: Transcript of earnings call pertaining to the Audited Financial Results for the quarter and year ended March 31, 2025 .
This is with reference to the intimation dated May 06, 2025 , ■led with the stock exchanges in terms of regulation 30 of the SEBI (Listing Obligation s and Disclosure Requirements) Regulations , 2015, regarding the earnings call to discuss the audited ■nancial results for the quarter and year ended March 31, 2025 , held on May 1 5, 202 5. The audio recording was already ■led with the stock exchange. We are enclosing herewith the transcript of the Earnings call. The same is also being uploaded on the website of the Company at
https://www.vguard.in/uploads/investor_relations/V -Guard -Industries -Q4-FY-25-Transcript.pdf

We request you to kindly take the above information on record.
Thanking You,
Yours Sincerely,
For V -Guard Industries Limite d

Vikas Kumar Tak
Company Secretary &
Compliance Officer
Membership No. FCS 6618
Encl: As above

"V-Guard Industries Limited Q4 & FY '2025 Earnings
Conference Call"

May 15, 2025

MANAGEMENT :MR. MITHUN K CHITTILAPPILLY – MANAGING DIRECTOR – V-GUARD INDUSTRIES LIMITED

MR. RAMACHANDRAN V – DIRECTOR AND CHIEF OPERATING OFFICER – V-GUARD INDUSTRIES LIMITED

MR. SUDARSHAN KASTURI –SENIOR VP & CHIEF
FINANCIAL OFFICER – V-GUARD INDUSTRIES
LIMITED

MODERATOR : MS. NATASHA JAIN-PHILLIPCAPITAL (INDIA)
PRIVATE LIMITED

" ,/ VGU/\RD, PhillipCapital

Moderator: Ladies and gentlemen, good day and welcome to the V-Guard Industries' Q4 FY '25 Earnings Conference Call, hosted by PhillipCap ital (India) Private Limited.
As a reminder, all participant lin es will remain in the listen-on ly mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing "*", then "0" on your touch tone telephone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Natasha Jain from PhillipCapital (I ndia) Private Limited.
Thank you and over to you.
Natasha Jain: Thank you, Ryan. I, Natasha Jain, on behalf of PhillipCapital, welcome all of you to the 4th Quarter FY '25 Earnings Conference Call of V-Guard Industries Limited.
From the Management today we have Mr. Mithun K Chittilappilly – Managing Director; Mr. Ramachandran V – Director and Chief Operating Officer; and Mr. Sudarshan Kasturi – Senior VP and Chief Financial Officer.
I would now request the management to give their opening remarks, post which we shall open the floor for Q&A. Thank you and over to you.
Mithun K. Chittilappilly: Thank you, Natasha and PhillipCapital for ho sting today's call. A very warm welcome to everyone joining us today to discuss our Company's operating and financial performance for the 4th Quarter of FY '24-'25. I trust that all of you have had the opportunity to review the investor presentation shared earlier.
We have delivered a robust performance in Q4, marked by strong growth in both revenue and profitability. Consolidated revenues for Q4 FY '25 stood at ■ 1,538 crores, a year-on-year increase of 14.5%, representing the highest ever quarterly revenue in our history.
The Electronics segment comprising of stabiliz ers, UPS systems and in verters continued its strong momentum, recording a growth of 26.3% Y-o-Y. The performance builds on the solid start the segment saw earlier in the year.
The Electricals segment, whic h remains our largest revenue co ntributor and includes wires, pumps, switch gears and modular switches, registered a Y-o-Y growth of 14.6%. In the Consumer Durables segment covering fans, water heaters, kitchen appliances and air coolers, we reported a 11.9% Y-o-Y revenue growth, supported by a good start to the summer season and healthy demand for cooling products. P PhillipCapital

Sunflame reported a Y-o-Y top-line degrowth of 24% in Q4. While the kitchen appliance industry continues to face headwinds, this declin e also reflects the high base effect from Q4 of the previous financial year. Additionally, the business has been impacted by continuous slowdown in the CSD channel. Integration efforts for the Sunflame business are already underway. Once completed, we expect improved momentum in the genera l trade, modern trade and E-commerce channels. While recovering, the CSD channel could take time. We have a clear road map of the strategic steps to get the business back on a stronger growth trajectory.
In Q4 FY '25, revenue from non-South market grew by 18.6% Y-o-Y, while the South market grew at 15.3% Y-o-Y. For the full year, the non-South market contribution reached 47.5%, excluding Sunflame.
We have report

ed a gross margin of 35.5% this quarter compared to 34.5% in Q4 of last year, an increase of 100 basis points. We have driven a meaningful improvement in gross margin through the year and believe that the margin recovery is largely complete. This recovery has been driven by increasing share of in-house manufacturing, cost efficiency initiatives, and gradual shift towards a more premium product portfolio. We will continue to pursue further incremental gains in the gross margin going ahead.
EBITDA, excluding other income, for Q4 stood at ■ 143 crores, reflecting a Y-o-Y growth of 11.9%. For the full year, we reported an EBITDA of ■ 513 crores, an increase of 20%, while EBITDA margin was 9.2% compared to 8.8% in the previous year. Consolidated PAT for the quarter was ■ 91 crores, up 20% Y-o-Y, compared to PAT of ■ 76.2 crores in Q4 of FY '24. For

the full year, consolidated PAT was ■ 314 crores, higher by 21.8% Y-o- Y. In recognition of this strong performance, the Board of Directors recommended a final dividend of 150% equating to ■ 1.5 per equity share.
Working capital remains efficient, ensuring strong cash flow generation. We have repaid, ahead of time, the entire term loan related to the Sunflame acquisition and are back to being a debt free Company.
Overall, it has been a satisfying quarter and a strong year, marked by strong double-digit growth in both revenues and profitability. This growth has been broad based with meaningful contribution from all key segments. We are also progressing on initiatives aimed at structurally enhancing the performance of the Sunflame business.
With that, I conclude my opening comments, and I would like to thank Natasha and the team at PhillipCapital for hosting this call. I would re quest the moderator to open the floor for Q&A.
Thank you.
Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. The first question comes from the line of Rahul Agarwal from Ikigai Asset. Please go ahead.
Rahul Agarwal: Yes, hi. Very good afternoon to all of you. And congratulations for another good quarter. Mr. Mithun, two questions, essentially one is, there are a lot of highest-evers for V-Guard I think this year, I am looking at two things, gross margins and working capital. I think in the history of V-Guard's, both these numbers look like best ever . Just wanted some outlook on gross margin as well as working capital cycle, how will this shap e up over the next two, three years? Obviously, you mentioned that we will contin ue to improve this, but my sense is further improvements on gross margins will really need a lot of internal efforts, as well as on working capital. I think we are very tight on receivables now, so just some outlook on this. That's my first question.
Mithun K. Chittilappilly: Yes. I think as far as gross margins are concerned, as I mentioned in the opening remarks, we are largely back to the pre-COVID levels. I think, of course, some more small improvements in gross margins are possible, I think we will be wo rking on it. But I think largely it has recovered from all the commodity inflation and all that. So as far as working capital is concerned, we may not see a very huge improvement. But some more possibilities are there, like we had mentioned that we are working on a more premium portfolio in each category, so which also should kind of give the gross margin a slightly improved trajectory.
As far as working capital is concerned, I think, yes, we are at a very good place. I think as far as debtors are concerned, yes, I do not think it can go much lower than this. But inventory wise, I think we still have a little bit of more inventory than we would like to. So, maybe from the inventory side some more small improvements ar e possible. But I think even working capital wise, we are largely in line with whatever has been our steady

state.
Rahul Agarwal: Got it. Fair point. And the second question was on alternate energy business across, I mean, you have announced a battery manufacturing CAPEX, so just a bit on that, why this decision and what do you see going forward? Something on Gegadyne, if you can explain as in what's really happening there; and solar rooftops, which is essentially part of Electronics – how do you look at these businesses? And any single segment which you think can be like ■ 500 crore top-line annually, if you could highlight what could be your potential opportunity across these? That's all from my side. Thanks.
Mithun K. Chittilappilly: So the solar rooftop business is growing very strong. It's housed within Electronics. We have had very, very strong growth, although we do not give out product wise numbers. I think in about four to five years' time, we should hit really good numbers. And I think once it's large enough, we will start disclosing the numbers. So a solar rooftop is something that's doing very well for us. We have always been in the inverter business, but solar rooftop is something that was carved out about four years back, and I think we were right on time to take advantage of all the incentives given by the Government. The Government is giving a lot of incentives for individual houses moving to rooftops and that's driving a lot of demand. I think we still have a lot of headroom because this entire demand is from some seven or eight different states out of these 35 states. On the second th ing, sorry, what was the second part, on Gegadyne, right?
Rahul Agarwal: Right.
Mithun K. Chittilappilly: Okay, Ram, you want to take this question on Gegadyne?
Ramachandran V.: Yes. I think we had invested in Gegadyne to he lp them to support and establish the technology. And on where Gegadyne is today, I think about 18, 24 months back they had put up a pilot plant based on the funding that we had extended. They have kind of stabilized to achieve their technology goals and we have validated it; it's working well. So now they are in course of figuring out how to scale up and how to move forward, and how to prepare for a commercial launch, but that will be at least another couple of years away because they will have to establish

a capacity for that. But yes, I think the progress on technology development has been good and
they have met the development object ives for which they were funded.
Rahul Agarwal: Got it. Anything on the battery expansion for V-Guard?
Ramachandran V.: Yes. Mithun, would you want to or shall I?.
Mithun K. Chittilappilly: No, you can. Please go ahead.
Ramachandran V.: So, about three years back we had initiated a project for setting up a battery capacity in
Hyderabad. And about 18 months back, this capacity was commercialized. And as we sit today,
the factory is operating on full capacity utilizatio n there. The business has been growing in high
double digits and that is warranting further increase in capacity, together with what I would say
some shortfall or scope for us to feed some of our outsourced revenues through the factory. So I think this plant is expected to come up in the next 18 to 24 months. And we expect to be able
to feed our growth from this plan t. This plant may take about anot her six to nine months to fully
stabilize beyond the commercialization date. So we are looking at this capacity coming up two
and a half years from now, I mean, getting fully stabilized two and a half years from now.
Rahul Agarwal: Yes, and the ■ 50 crores can make how much amount of sales, like what's the asset turn here?
Ramachandran V.: See, this investment is purely on machinery, okay . And we are looking at th e possibility to install
this machinery around our existing facility. In terms of throughput, I think this should give about
■ 300 - 400 crores of throughput, it should support this investment in n

et sales terms.
Rahul Agarwal: Got it. Thank you so much for answering all the questions. All the best.
Moderator: Thank you. The next question comes from the line of Naushad Chaudhary from Aditya Birla
Mutual Fund. Please go ahead.
Naushad Chaudhary: Hi, thanks for the opportunity. Two questions. First on Sunflame sir. I think last quarter also we
indicated that the cleanup has been done and sequentially we should experience improvement.
But this quarter also we have se en sequential decline in the marg in and also on the top-line. Any
sort of clarity what exactly are we doing here? How should we look at this piece of business?

Ramachandran V.: Yes. Firstly, Q3 is a high quarter compared to Q4, because Q3 is when you have the festival
season. And generally, Q3 sales are higher than Q4, so you may not make a sequential comparison. However, that being said, I think compared to last year, our results have already
been published, and it is challenged. So notwithstanding that, I mean, the business is under stress. We are okay as far as emerging channels are concerned. We are okay as far as even GT is
concerned, it is in line with the market. I think that we have a bit of stress. I think last year base
was high, as Mithun has already explained, and also we have some stress in CSD, CPC channel.
Now, fundamentally in terms of what we are going to do going forward, I think we are working
on business integration of Sunflame with V-Guard, right. So this is a journey, and I think it will
take some more time before the integration is complete. We are also, as we had indicated last
quarter, we are working on a project and more or less we are at a stage of closure on defining
the way forward in terms of the strategy and pathway that we will take to grow the business
again. I think that business integration ha s taken a bit more time because we had a few
challenges. We have had to refresh the product portfolio. Typically the cycle for product refresh
is about, I think we had explained last time also, the cycle for refresh is about 18 months. And
we also had the team on board seven or eight months after the integration had happened.
So I think some of those are some of our set up delays which are impacting us. We remain
hopeful that we will be able to get the business back on growth path on the back of improved
product offerings and the integration of some of our capabilities into Sunflame, particularly in
the area of customer service, logistics and quality management, these areas we expect that by
September or October we should be able to fully integrate and extend similar de livery as what
one witnesses in V-Guard. So this is a journey. It's taking time and it's taking longer than what
we had anticipated.
Naushad Chaudhary: So for FY ’26, on a low base of ‘25, should we expect growth in th is business and margin
improvement or should that remain?
Ramachandran V.: Sudarshan?
Mithun K. Chittilappilly: You are talkin g about Sunflame, right?
Naushad Chaudhary: Yes, Sunflame, should we expect growth and margin improvement or should it remain a pain
point for us?
Sudarshan Kasturi: On the GT and E-commerce side, we are confident that we will see growth. However, on the
CSD front, we really cannot predict how long, whether that slowdown is going to continue or not. But as Ram was saying, most of the business integration efforts are towards strengthening
the product back end as well as selling capability, and primarily in the GT and E-com channels. So, yes, short answer, growth will depend on how CSD sort of turns up, but on the GT we are more confident.

Naushad Chaudhary: And GT and E-com would be 50% plus of the overall revenue?
Sudarshan Kasturi: Yes, about 60%.
Naushad Chaudhary: Okay. And last question on the Gegadyne. How would the

success of Gegadyne help our base business? If you can run us through what exactly we are thinking. And if this goes well, how will it help in our base business?
Ramachandran V.: So, Mithun, I will take this. So I think the investment in Gegadyne has been anticipating a shift in battery technology which we expect to happen. I think over a period of time, alternate energy battery costs are coming down, and at the TCO level already I think alternate chemistry batteries are having a better TCO compared to lead acid batteries. I think as the unit price of the alternate chemistry batteries starts to come down, there wi ll be a shift in the mark et towards the alternate energy batteries, right? And that's the play in which we are invested in as far as Gegadyne is concerned. I think as I already explained earlier, I think it will take a couple of years for the benefit of Gegadyne to materialize because these batteries are to be commercially produced for which a capacity has to be set up. I think the technology targets are met and we have given them a go ahead to figure out how to, what I would say, commercialize the battery output, right. So I think that work on that is underway.
Naushad Chaudhary: And suppose, it goes well three, four years down the line, would this kind of change/help the industry to consolidate further? And the guys wh o are ready with the technology and integration should benefit more? How would you be positioned from a three to four-years point of view? If you succeed in this, would you have better advantage versus what you are today?
Ramachandran V.: Yes. So two, three things. So one is that Gegadyne has its own journey, okay? And our business is a small part of Gegadyne's journey and future, right, because basically we have invested in this fundamentally to support our inverter ba ttery business, and also , wherever there is a possibility to have energy storage integrated wi th our existing products and categories. So that's our scope. Our scope is a narrow part of the overall Gegadyne journey, which has far more significant potential, multiple times. But as far as V-Guard is concerned, our objective is fundamentally centered around growth for our battery business. It will help us to obviously grow, because this is a differentiated product, it doesn't have lithium, it gives a far longer life than even lithium-based batteries, and it is far more stable and safe as a technology. It has the benefits to help us to be able to price and probably earn a better margin, right, compared to other alternate chemistries. So I think that's how it will be nefit V-Guard. And probably, we will have the comfort of having a more stable and reliable battery which we can launch in the market.
Naushad Chaudhary: Any plan, increasing the stake in this Company, if you are to come up with the commercial plant, how much minimum CAPEX would be required? P PhillipCapital

Ramachandran V.: I think that depends on the size of the CAPEX and that also depends on the plans of the promoters of Gegadyne. I think the shareholders of Gegadyne will make that call in terms of what is the size and what the investment will be.
Naushad Chaudhary: Do you have any exclusive rights with th is Company?
Ramachandran V.: Yes, we have exclusive rights for our categories, which is for the inverter battery space, and for any potential application for our categories.
Naushad Chaudhary: Thank you, sir. All the best.
Ramachandran V.: Thank you.
Moderator: Thank you. The next question comes from the line of Keyur Pandya from ICICI Prudential Life Insurance. Please go ahead.
Keyur Pandya: Thank you. Congratulations to the team for the great results. Sir, I just want to understand from the Electronics segment perspective, so stabilizer as a category of Electronics segment has grown for the last two, three years in high double digits. In the backdrop of such a high base

, and the recent news of relatively weaker summers, how do you see performance of Electronics as well as CD that is fans and coolers performance in FY '26? Some thoughts would be useful.
Mithun K. Chittilappilly: Yes. So, I think this year in Ap ril we had intermittent showers in the South and eastern part of the country, and summer here has been less warm when we compare with last year. So definitely the sales of cooling products will get impacted like air conditioners, stabilizers, air coolers, fans, pumps, and to some degree inverters as well. But we have not yet completed, so we still have 45 days to go. I think till June 30th we have summer in many parts of the country, so we will wait and see. But yes, it depends on what will happen in the next 45 days. But some parts of North etc. are warm. But yes, we have a bigger skew towards South, so there could be some challenge in terms of these categories for South India.

Keyur Pandya: Okay. In your earlier remarks when you talked about margin, I mean, in the longer journey of stable margin or improving margin, do you see this year's margin getting impacted because of either mix change or negative operating leverage, if the season is bad?
Mithun K. Chittilappilly: No, I do not think...
Keyur Pandya: Basically or you have lever options in South or some other levers say on manufacturing which would offset the margin?
Mithun K. Chittilappilly: So, I think we are not only dependent on; last year we had a tailwind in 1st Quarter definitely, but the following quarters we did not have any support from the summer categories. Definitely 1st Quarter of last year, we had a very good tailwind from that perspective. So, to some degree, we could expect a muted 1st Quarter. But I think for the full year, we do not expect a huge impact

because we are also having other categories. And like you said, we also have summer, there is a chance of summer still being warm in the northern part and the other western part of the country, which should support some demand. So, I do no t think it will have a huge impact. We are quite confident as far as margins are concerned, I do not think we will have problem.
Keyur Pandya: Understood. Sir, just a last question, some thoughts on how the demand has been for the house wires segment or other categories related to real estate? And your non-South initiatives, any specific regions, focused regions in previous years or say in FY ‘26? I mean, more details or specifics of the non-South initiatives and wires demand?
Mithun K. Chittilappilly: So wires, has it grown by about 10%-odd in the 4th Quarter. There were some challenges for the growth because there was some fluctuation and reduction in copper prices. But in April, we have seen that there has been an improvement and increase in copper prices. So, I think this quarter we should do better than previous quarter. The second question is on certain regions. I think today V-Guard is fairly well diversified with almost every part of the non-South market almost contributing equally, of course, the Western mark ets; East has a slightly higher weightage when you compare it in the non-South. But otherwise, it's pretty much well spread. Barring the small states, from almost all the large stat es we are getting goo d contributions.
Keyur Pandya: Noted sir. Thanks a lot and all the best.
Moderator: Thank you. The next question comes from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.
Aniruddha Joshi: Yes. Thanks for the opportunity. Sir, now considering the steep impact on the business of Sunflame, and if I look at the goodwill as we ll as the intangibles, let's say, between the standalone and consol balance sheet, so I guess there is ■ 700 crores of intangibles. I guess, it is primarily linked to Sunflame. So has the, in a way, management thought about almost ■ 700 crores intangibles? Any

like write-off or any revaluation of at least these intangibles?
Sudarshan Kasturi: We are required to review the carrying value of intangibles on an annual basis. So we have done that and we have sort of concluded this for impairment. That is something we will review again next year. So, at that time, we will see.
Aniruddha Joshi: Okay. Sure, sir. Understood. And in a way, what are the other ways we are looking at Sunflame? Because the V-Guard part of the business is doing phenomenally well. If we exclude Sunflame part of the business, V-Guard has done wonderfully well. So what are the triggers that we are looking at to, in a way, improve the Sunflame business? Or what can be the potential?
Because I guess the way Sunflame was doing the business earlier, it was high on trade margins and even debtor days etc. were materially higher to the trade. So now since we have changed that proposition, I guess, the value proposition for the trade may not be working out the way it was working out earlier. So what can be the potential here or like rebranding under it V-Guard,

Sunflame or something like that ? So what can be the potential change that we can do, or increasing the share of voice materi ally in that, something like that?
Mithun K. Chittilappilly: So just a couple of things. One is, the GT part of Sunflame is growing. Sunflame has two main channels, I mean, three, which is CSD, canteen stores department and defence canteens which contribute about 35% to 40% of Sunflame’s revenues. What happened is about one and a half years back they had added many brands, and even V-Guard was added. For example, V-Guard which was doing ■ 10 crores of business between CPC and CSD, today does close to ■140 crores of revenue. The same Sunflame team only sells the V-Guard products into CSD. So we have a single team managing it. So in that sense, it has not been a complete issue.
So one of the reasons that Sunflame’s CSD business has come under pressure is, CSD which used to have four or five brands, today is having 12 to 15 brands in each category. So they have added a lot of brands and that has created a lot of problems for them in the sense of a lot of

overstocking has happened. Now they are in a course correction mode and they are only ordering whatever is selling and stuff like that. That is one of the reasons why Sunflame business has got into trouble. GT has not had any issue. We have not changed much. We are continuing with whatever the earlier promoters were doing. Most of the distributors are continuing for Sunflame. So the GT business has not be en much impacted. And CSD marg ins for Sunflame were higher because the overhead cost for Sunflame for doing CSD was lower. So when there was a drop in the CSD business, it has impacted margins. Ram, you want to add on to this?

Ramachandran V.: Yes, I think we have not changed much. And fundamentally what has happened, see, it's a small entity. I think they lost about two and a half years in COVID, and then as they came out of COVID, we did the transaction. So three, three and a half years, not much activity and product refresh has happened, right? And after that our team came on board about eight months later and they took some time to settle down. And then they had initiated interventions on refreshing the product portfolio. In the last three, four months, and in the upcoming three, four months I think most of these SKUs are coming to market. So this is the first issue.

Second issue is I think that the service infrastructure has also been a challenge. And we are working on the integration of services with V-Guard. I mean, V-Guard service or V-Guard quality management systems and V-Guard logistics systems, these are far, far more efficient.

And I think those are the areas which will witness the changes in the next three to six months and which are beneficial changes. I think

the product refresh is an ongoing exercise and it will happen. Also what had happened is, in E-commerce I think V-Guard goes to E-commerce directly as a Company, Sunflame is to go through intermediaries. So we are transitioning this. It has taken us some time to set up the required infrastructure and systems, and also to build the recommendations before, what I would say, growth can be triggered.

So I think fundamentally now, these areas of organized retail, which is e-commerce plus modern trade, it's already integrated now with V-Guar d. And as we make the differentiated offerings, our approach is to have differentiated SKUs. So even in e-commerce we are not pushing the P
button aggressively because the pricing dynamics in e-commerce is very different from general trade. So a lot of the challenges are fundamentally related to resetting our product portfolio and offerings, right. In the meanwhile, the market ha d significantly refreshed the portfolio. So, the issue is not one of business system or brand, the issue is one of the competitiveness of offerings because of limited product refresh before we took over the business.

Aniruddha Joshi: Okay. Thanks for that elaborate answer. In a way, this CSD and CPC issue is a kind of structural, I guess, it is with many consumer brands including Sunflame. So now with so much new brands coming in, plus they are going for inventory correction also, so do we see the growth rates coming back? In a way, I mean, the business recovering back to, let's say, FY ’23-‘24’ levels immediately, or will it be a course correction for next two, three years?

Ramachandran V.: No, I think our business across the other channels will grow. I think CSD and CPC, we do not have a view at this stage. But I would think that whatever damage has to happen has happened. It should probably be better going forward because I am sure that they have taken aggressive action. I think it's but natural; the market is lim ited, so when more brands get in, so rediscovery will happen and some things will move and some things will not move and they will correct it. So, we do hope that this is what we have to do. And we will do better than where we are today, but this is something that we cannot control so we do not want to give a point of view on that subject, right, because we do not know how it will evolve. But as Mithun said, look, one side we have been hurt, another side we have been a beneficiary also, right. Because we have been able to significantly grow our business because more SKUs we could launch. So on an aggregate, the Company has done well, but one side has benefited, the other side is a bit stressed.

Aniruddha Joshi: Sir, this is very helpful. Just last question, if we divide the market as per the channels, general trade, modern trade, E-commerce, MFI and this CSD-CPC, what will be the share of all the channels for the market or fo r V-Guard per say? Yes, that's it from my side. Thank you.

Mithun K. Chittilappilly: Ram, you want to take this?

Ramachandran V.: Yes. I think, I mean, it's hard to answer this because the portfolio of every Company is different, i.e., the product portfolio of every Company is different. And the share of different channels is also different. But for example, right, if you were to look at the portfolio or the bundle that V-Guard is, in terms of categories, right, I think it would be fair to say that, let's say, if we exclude wires so maybe about 40% to 45% of the business may come from non GT, which is modern trade, RSS, E-commerce and CSD-CPC, and MFI and all these things. So GT is now about 55% to 60%, right. So, I think in Electricals' catego ries like the wires, switches and switchgears, I mean, these channels are not that significant in any way. So it's more or less GT oriented. Even pumps, right, so I would say wire s, switches, switchgears and pumps, it is more or

less 98% GT.
Aniruddha Joshi: Okay. Sure, sir. Many thanks. P PhillipCapital

Moderator: Thank you. We take the next question from the line of Natasha Jain fro m PhillipCapital (India) Private Limited. Please go ahead.
Natasha Jain: Yes. Thank you, sir. I have two questions. One, in terms of other expenses, there is a very sharp increase this quarter, so can you highlight what is that about?
Mithun K. Chittilappilly: Yes, one second. Sudarshan, you want to take this?
Sudarshan Kasturi: So, other expense has gone up by about 16% compared to a turnover growth of about 14%. But some portion of it is related to factory expenses, and some manufacturing expenses also get captured under this line. And as new factories come in and they scale up, so that cost goes up.
The routine overheads are pretty much normal, so much of it is contributed by factory related costs and some increase in A&P and volume related stuff.
Natasha Jain: Understood. Sir my next question is on the stabilizer business. So when I was on the ground, I saw certain of your peers, especially Voltas has also come out with AC stabilizers, and even Everest, pricing of Everest is way cheaper than V-Guard. While V-Guard still remains the leader,
I just want to understand from your perspective how you are seeing this competition coming up, especially Voltas? Because what I saw later on in the season was Voltas even started giving its stabilizer along with its ACs. So any comment on that, sir?
Mithun K. Chittilappilly: Ram, you want to take this?
Ramachandran V.: Yes See, these competitors have been around. I mean, they are not new competitors, they have been around for many, many years. Everest pricing vis-à-vis V-Guard has always remained the way it is presently, it has not got adverse. I think that there have been some challenges in the air conditioning industry, and it may be that some of these kind of measures may have been taken up tactically maybe by Voltas or something like that. But generally, yes we are around 55%,
60% of the market, there's a remaining 40%. This keeps changing. Brands come and brands go, brands become active, and brands become slow, I mean, they taper off. But that’s what I would like to say. Mithun, do you want to add anything more.
Mithun K. Chittilappilly: Yes, I think a lot of air conditioner companies ha ve stabilizers like an accessory. And when I guess maybe the season is slow this year, instead of discounting the product they may give free accessories. And this is not a new thing, it has been going on for some time. I mean, at least till last 10- 15 years, starting with Godrej and all that we have seen companies launching, like Ram said, they will launch and they will sometimes discontinue, sometimes continue. But anyways, we do not hope to own 100% of the market, like Ram said, we will be at 40%- 45% of the organized market, and that's comfortable for us.
Natasha Jain: Understood, sir. Thank you so much. P PhillipCapital

Moderator: Thank you. We take the next question from the line of Achal Lohade from Nuvama Institutional Equities. Please go ahead.
Achal Lohade: Good afternoon, sir. Thank you for the opportun ity. Congratulations for good numbers. My first question is pertaining to wires. You did menti on about 10% growth, is that the volume growth you talked about 10% Y-o-Y in Q4?
Mithun K. Chittilappilly: Okay, we need to come back on that. We talked about a 10% value growth, sales growth.
Achal Lohade: In Q4?
Mithun K. Chittilappilly: Yes, in Q4, yes.
Achal Lohade: Does that mean the volume was pretty much flattish given the average copper prices were about 10%-12% up Y-o-Y?
Sudarshan Kasturi: I think price growth was about 8% and volume growth was 2%, something like that.
Mithun K. Chittilappilly: Volume growth was about 2%, 3%.
Achal Lohade: Okay. And you are

saying that Q1 it is improving, have I understood right the volume growth?
Mithun K. Chittilappilly: Yes, 1st Quarter sequentially we are seeing an improvement because there was an uptick in copper prices in April.
Achal Lohade: Understood. The second question I had was with respect to pumps business, right?
Ramachandran V.: That is towards the end of March.
Sudarshan Kasturi: We were talking full year numbers until now. Q4 volume growth is 5%, price growth of 12%.
Mithun K. Chittilappilly: Okay, sorry, that was a full year number. Q4 growth is 17%, 5% volume growth and 12% value growth.
Achal Lohade: So 17% revenue growth in cables and wires, have I understood right, for Q4?
Mithun K. Chittilappilly: Yes.
Achal Lohade: Okay, understood. The second question I had was with respect to the pumps business, do we have any exposure in terms of solar pumps the way we have gotten to solar rooftop? Is there any

case for solar pumps as well?
Mithun K. Chittilappilly: So, it is something that we looked at it, but the go to market is through the agricultural department of various states. So we typically do not like dealing with these kind of customers. We have not got into it, no, we do not do solar pumps.
Ramachandran V.: Actually the problem is, the channel is very diffe rent. See, most of this is agricultural pumps, the channel is very, very different from our remaining part of the business, right? We do not have a pathway and this space is also highly volatile. Agriculture as a business is very much dependent upon the rains and also the size and type of pumps varies also across, right.
Mithun K. Chittilappilly: Sorry Ram, you are talking about solar pumps.
Ramachandran V.: No, no, I am just saying that basically it's for agri cultural application and a lot of it either travels through similar channel or it is through Government business, right. And the skills required there, we do not have teams which are focusing on this kind of business, right.
Mithun K. Chittilappilly: It's primarily Government tenders, so we are not present in that.
Achal Lohade: Fair point, sir. And just the last question with respect to CAPEX, how do we see current year, and over next couple of years do we see any substantial step up and the outsourcing mix?
Mithun K. Chittilappilly: We were around ■ 100 crores per annum. I think we do no t expect any major increase from this. In fact, a lot of our plants are up and running and there are a couple of more factories that are to come. And there is, of course, going to be more active investment in moulds and investments in moulds have gone up in the last five-six years and that will continue and that's going to be a major part of the CAPEX.
Achal Lohade: Got it. Thank you. I wish you all the best, sir. I will fall back in the queue. Thank you.
Moderator: Thank you. The next question comes from the line of Aditya Bhartia from Investec. Please go ahead.
Aditya Bhartia: Hi Mithun, Hi Ram. My first question is on employee expenses and Op Ex .which have almost doubled in the last three years. Just wanted to u nderstand is there an element of factory overheads not being absorbed properly, given that we are still in the ramp up phase? Or is it just a function of us doing more business in-house and therefore gross margins correspondingly increasing but associated costs now getting recorded in staff expenses and other expenses?
Mithun K. Chittilappilly: Okay. So I do not think the employee expenses have doubled over the last year.
Sudarshan Kasturi: Not doubled in three years, but against the published numbers, when we look at it’s showing about a 26%, 28% growth. And the increase is basically because there were some writebacks last year.
Mithun K. Chittilappilly: Okay. So if you look at Q4, I think there was some writebacks in the previous year of ESOP and stuff like that.
Sudarshan Kasturi: ESOP and variable pay some writebacks were ther e, this year the full provision is there.
Aditya Bhartia: No, sir I was looking from a three-year pe rspective that on a three-year basis, let's say, in FY ’22 we used to have roughly ■ 270-odd crores of per employee expenses which now are ■ 520 crores. Other expenses used to be ■470 crores, ■480 crores, which are now almost ■1,000 crores. So, from that perspective I was saying that is it also because of the change in mix or procurement wherein we are doing a lot more in-house?
Sudarshan Kasturi: So if you take employee expenses, the underlying growth rate of for the last three years was about 15% to 16%, which is really the routine increments, and some headcount increases and so on. The rest of it, as explained, when new factories come up there are people getting added there.
Mithun K. Chittilappilly: The other expenditure?
Sudarshan Kasturi: Even people cost. Similarly, on other expenses, there are manufacturing expenses going in where the new factories start coming in and then we see that the growth rate is higher. Once all the factories are set up and they have had one full year of operation, then this will start getting into a normalized level of growth.
Mithun K. Chittilappilly: You can say at least maybe if you look at other expenditures and as a percentage of sales, close to 1% to 1.5% is because of factory. Employee cost is largely okay, I mean there has been addition of Sunflame’s employees into our employment.
Sudarshan Kasturi: Sunflame is an addition that’s come in the last three years, plus new factories.
Aditya Bhartia: Okay. And do you think some of these costs are today not being properly absorbed and there's scope of increasing capacity utilization at our facilities and therefore operating leverage benefits should be playing out? Or all that has already happened and we are at a reasonable utilization level?
Mithun K. Chittilappilly: Not the factory. So, for example, the first factory that was set up, I mean, the fan factory and the Uttarakhand factory for Electronics, they are largely stabilized and delivering the results. Even battery factories have extended and started. But the Vapi plant for kitchen is not operating at the full capacity.

Sudarshan Kasturi: Typically in the first year of operation you will find that there is under absorption, but it takes about that much time for the factory to reach its potential.
Aditya Bhartia: Sure. And sir my second question is on the outlook that you gave in the presentation wherein you have mentioned that there was strong pre-filling in the channel in anticipation of a good summer. And at the same time, you also mentioned that you are excited about the new product P PhillipCapital

launches. So just two clarifications on that, given that summer so far has been weak, does it mean that channel has much more inventory than wh at is required, excess inventory, and to that extent primary sales in the next few quarters could be very weak?
And the second question is, the new product launches that you are speaking about, are these usual product refreshes that we would be doing, the usual product launches that you would be doing, or is there some thing more to it, maybe a new product category or a complete change in product profile?
Mithun K. Chittilappilly: So, as far as the new products, I think one of the key launches we have had last month was for fans. We have launched a mid-market range of BLDC fans, which comes in various configurations. And I think this segment, so V-Guard does slightly less than indexation in BLDC was slightly less than what we would have liked to be, and this should address that. This launch should do well. I think the initia l response has been great. I wa s there when we had the great launch with all the key retailers of the count

y. So I think whether there is summer or not summer, I think this product would sell. So that's point number one.
We are also having a key launch for water heaters, it’s going to happen in the next couple of weeks. That is also addressing the premium end of the water heater market, and that also we are quite excited about. So, these new launches should do well because in some sense they are addressing a new pricing segment where either we were not present or our models were not very desirable. So in that sense they should do well whether the summer is good or bad.
The second thing is, in case of South India, yes, there has been strong preseason filling, and sellout has been quite weak. But I think in the other parts of the country there has been reasonably decent summer, so we will wait and see. We are no t yet over, in terms of North at least till June 30th we typically get sales. So some of this issue is only related to the southern part, where last year in South India we had a very, very warm summer.
Aditya Bhartia: Understood, sir. That that's helpful. Thanks Mithun, thanks Ram.
Moderator: Thank you. Ladies and gentlemen, we take the last question from the line of Naushad Chaudhary from Aditya Birla Mutual Fund. Please go ahead.
Naushad Chaudhary: Yes, just one clarification on FY ‘26 outlook. As the summer cycle is not doing well, do we still maintain our 14%, 15% top-line growth and consistent EBITDA margin expansion for '26?
Mithun K. Chittilappilly: So I think like we said, we are really looking at one part of the country where summer has been impacted. There also we have time till May 30th, but South India typically March-April is the peak of summer. But the other part s of the country it is still warm , so we will wait and see. And like I said, last year if you look at it, only Q1 was very, very strong. After that, in fact Q2 and Q3, the performance was not that robust. So, we are not sitting on a very high base. So we could have a situation where Q1 growth could be slightly impacted, but for the full year we should still P PhillipCapital

try and hit that 14%, 15% growth. And margins, we are quite confident of maintaining the margins, we are not so far that worried.
Naushad Chaudhary: Okay. Thank you, sir. All the best.
Moderator: Thank you. Ladies and gentlemen, with that we conclude the question-and-answer session. I now hand the conference over to the management for their closing comments.
Mithun K. Chittilappilly: Yes. Thank you all for taking time out to join our ea rnings call. I would like to thank Natasha and the team at PhillipCapital for hosting this ca ll. We look forward to interacting with all of you in the next quarter. Thank you.
Moderator: Thank you. On behalf of PhillipCapital (India) Private Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Aug 2025

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Scrip Code: 532953 Symbol: VGUARD

Dear Sir/Madam,
Sub: Transcript of earnings call pertaining to the Unaudited Financial Results for the quarter ended June 30, 202 5.
This is with reference to the intimation dated July 16, 202 5, ■led with the stock exchanges in terms of regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements) Regulation, 2015, regarding the earnings call to discuss the ■nancial results for the quarter ended June 30, 2025 , scheduled on July 30 , 202 5. The audio recording was ■led with the stock exchange. We are enclosing the transcript of the Earnings call. The same is also being uploaded on the website of the Company at https://www.vguard.in/uploads/investor_relations/V -Guard -Industries -Q1-FY26- Transcript.pdf.

We request you to kindly take the above information on record.

Thanking You,
Yours Sincerely,
For V -Guard Industries Limite d

Vikas Kumar Tak
Company Secretary & Compliance Officer
Membership No. FCS 6618

Encl: As above

“V-Guard Industries Limited
Q1 FY26 Earnings Conference Call ”
July 30, 2025

MANAGEMENT :MR. MITHUN K. CHITTILAPPILLY – MANAGING DIRECTOR – V-GUARD INDUSTRIES LIMITED

MR. RAMACHANDRAN V – DIRECTOR AND CHIEF OPERATING OFFICER – V-GUARD INDUSTRIES LIMITED

MR. SUDARSHAN KASTURI –SENIOR VP & CHIEF FINANCIAL OFFICER – V-GUARD INDUSTRIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to V -Guard Industries Limited Q1 FY '26 Earnings Conference Call hosted by Nirmal Bang Equities Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Arshia Khosla from Nirmal Bang Institutional Equities. Thank you, and over to you, ma'am.
Arshia Khosla : Than k you, Palak, I, Arshia Khosla, on behalf of Nirmal Bang Institutional Equities, welcome all of you for the first quarter FY '26 earnings call for V -Guard Industries Limited. From the management today, we have Mr. Mithun K Chittilappilly , Managing Director; Mr. Ramachandran V , Director and Chief Operating Officer and Mr. Sudarshan Kasturi , Senior VP and Chief Financial Officer.
I would now request the management to give their opening remarks, post which we shall open the floor for Q&A. Thank you and over to you, sir.
Mithun K. Chittilappilly : Thank you, Arshia and the team at Nirmal Bang for hosting today's call. A very warm welcome to everyone joining us to discuss our company's operating and financial performance for the first quarter of FY ‘ 25-26. I trust that all of you have had the opportunity to review the investor presentation we had shared earlier.
Top line growth for the first quarter FY '26 was subdued due to weak summer season and the high base of last year. Consolidated net revenue from operations for the quarter is INR 1,466 crores, a marginal decline of 0.7% over the revenue recorded in the corresponding period of the previous financial year.
The Electronic s segment comprising of Stabilizers , Inverter System s, UPS System s and Solar System s delivered moderate revenue growth at 4.5% Y -o-Y in the first quarter. Demand for Stabilizer s was subdued in line with the overall demand trends for cooling products. But this is offset by good growth for other products within the segment.
The Electrical segment, which remains our largest revenue contributor that includes Wire s, Pump s, Switchgear and Modular Switches, registered a Y -o-Y growth of 7.6%. Hence, the performance was steady, both from a top line and margin perspective.
In the Consumer Durable s segment, covering Fan s, Water Heater s, Kitchen Appliances and Air Coolers, we reported a revenue de growth of 16.3% Y -o-Y. Growth was impacted by early onset of monsoon, which curtailed the summer season and caused a sharp drop in demand for cooling products.

Sunflame reported top line de -growth of negative 5.4% on a Y -o-Y basis in Q1. There has been some improvement in light of interventions undertaken earlier. And the business has done well in general trade, but continues t o face softness in the CSD channel.
We have also initiated actions to merge Sunflame operations with V -Guard, which will fast track a realization of th e synergy benefits. Since the merger is with the wholly owned subsidiary, there will not be any share exchange ratio or change in the shareholding pattern of the company.
In Q1 FY '26, revenues from non-South markets grew by 2.1% Y -o-Y now contributing 52.3% of the total revenues, while South market degrew by negative 3.3% Y -o-Y. Our strong market s, that is the Southern and Eastern regions were relatively more impacted by the weak summer.
We reported a gross margin of 36.7% this quarter compared to 36.6% in Q1 last year . On a sequential basis , the gross margin improve d by around 110 basis points from 35.5% in Q4 FY '25. As we had indi cated last quarter, margin recovery is ne

arly complete and we are back to
the pre -COVID margin level.
EBITDA , excluding other income , for Q1 stood at INR 124 crores, declining 20.7% on a Y -o-Y basis. The EBITDA margin was 8.4%, a reduction of 210 basis points from 10.5% recorded in Q1 FY '25.
Consolidated profit after tax for the quarter was INR 74 crores compared to INR 99 crores in the same period last year. The decline is due to the operating deleverage on account of flattish revenues. We expect the demand to normalize in the coming quarters and continue to invest in brand building and capacity enhancement.
With that, I conclude my opening comments, I would like to thank Arshia and the team at Nirmal Bang for hosting this call and I would like to request the moderator to open the floor for Q&A. Thank you.
Moderator: Thank you very much. We will now begin the question and answer session. T he first question is from the line of Rahul Agarwal from Ikigai Asset. Please go ahead.
Rahul Agarwal : Hi, good afternoon. T his is Ra hul from Ikigai Asset. Mithun, three questions. Firstly, you are entering into Lighting, just to understand what are you thinking ab out it , what are the products, which segment are we t alking about ?
Second question was on ECD . I understand Fan s and coolers would have seen a very large impact. But when I look at the company history, first quarter has never been, has never s een EBIT loss, right, except if I remove the COVID period '21 -22? So is it more of a function of -- I understand operating del everage; but because of newer plants, is there more opex sitting there, which is why this is impacted or the ad expenses, which have been a bit higher Y -o-Y, is that impacted for a specific campaign?

Thirdly, some comments on Inverter sales and Wire s? That would help.
Mithun K. Chittilappilly : Yes. So I'll start with the Light ing. So as you know that we are having a portfolio of categories in the Electricals space, and Light ing is the largest sub segment within the Electricals space. I mean Light ing and Wire s are the two large categories. W e were present in Wire s and Fans, which are the two other large segments, but Light ing was absent.
And we have been getting a lot of feedback from the channel that there is a huge white space, then we are not present and this is creating some gap in the product portfolio. So this is point number one. Point number two is we are already having a very, very good network of Electrical s' retailers across the country.
A good part of the 100,000 retailers we have is from the Electrical segment. And Light ing has almost 95% overlap with the Wire s retailers. So this is the second point that we have the channel. So I think it's also ; now we believe that we are having enough bandwidth to start creating a new category and this is the thought behind it. Ram, do you want to add anything about the Light ing category ?
Ramachandran V: As you already said, I think it's mainly that we have been under a bit of pressure from our trade partners to expand our portfolio and to include Light ing because this company has a bouquet of offerings on the Electrical s side, and that has been the primary driver for that ; and it is to complete our basket of o fferings . There are a lot of synergies, both on the channel side and even on the GTM side. So, the effort required for us to get into Light ing is very, very minimal, and that's why we decided to go for it .
Mithun K. Chittilappilly : Yes. On the ECD side, the ECD has got Fan s and Air Coolers. Within Fan s, there is a segment called TPW. TPW business has significantly been lower and so ha ve been the Air Cooler s. So I think both these have pulled out a good percentage. As far as loss is concerned, we don't think it's a huge issue. It is a transient issue.
And yes, there would be some advertisement expenditure that

was booked in both Fan s and
Air Coolers . So it is very much possible that is also one of the reasons that we are hitting a loss. But I think this time, we had an extremely cool summer. So last year, we had a very, very massively hot summer, which propel led demand for a lot of categories, especially cooling products.
This year, we had the reverse where we hardly had any kind of summer, especially in the Southern part of the country and the Eastern part. So , these two being our core markets, we faced th e headwinds. Wire s has done well, because there is a favo urable raw material price situation in which there w ere some step -by-step increases of copper prices over the quarter, which meant the demand situation was good.
We were also having inventory to supply. So W ires, in fact, has done well. Switches & Switchgear s also ha ve done well. They have also grown well. That's not because of any price increase. So just so you get, I think we have made some corrections in the team and channel

and all that, and that's beginning to deliver fruit s. So that's the scenario , as far as your question is concerned.
Rahul Agarwal : Just a follow -up. So on Light ing, what kind of products are we talking about? And is it that we are also going to get into manufacturing of this?
Mithun K. Chittilappilly : Initially, we are not looking at manufacturing. I think with regards to most of our categories that we have entered , they have been seeded by the outsourcing model. Initially, we will not be manufactur ing, but I think once we get a certain scale, definitely, we will look at manufacturing and bringing in efficiency.
We are looking at the consumer part of the Light ing and the residential part of the Light ing. So this is the initial focus. Anything that is going into consumer and residential Light ing is what we would look at.
Rahul Agarwal : Got it. And a follow -up on ECD, then maybe I'll back in the queue . Was the primary sale for fourth quarter very high and hence channel inventory was high and hence, our performance on Fans and coolers was a bit subdued versus peers because when I benchmark other listed companies, it looks like our degrowth is much higher. Any thoughts on this?
Mithun K. Chittilappilly : So I think it's more than pre -selling it. It's more of a geographical issue. So South India has a much higher share of TPW sales in summer than other parts of the country. And V -Guard is one of the largest seller s of TPW Fans in South India. So for us, it's got to do more with ; rather than selling it in March, most of the degrowth has come from the TPW segment.
In fact, the Ceiling Fan sales have not grown much. The second is Air Coolers . Air Cooler also, beyond a point, we are not able to sell the product because we sell on advance. So we sell with a similar kind of terms at the market leader, which is an advanced payment. So even in Air Coolers, there is no question of channel being staffed too much because the credit partners have to pay advance. So hope it's clear.
Rahul Agarwal : Perfe ct, Than ks for answering the questions.
Moderator: Thank You Sir, The next question is from the line of Aniruddha Joshi from ICICI Securities.
Aniruddha Joshi : Two questions. So now we are merging the acquired entity with ourselves. So what are the synergy benefits by merging the Kitchen Appliance s business? I guess most of the operational synergy benefits are already there, but still, there will be some benefits in terms of reduction in the number of invoices or double billing to the trade, et cetera. So what are the total synergy benefits that we can look at? That is question number one.
And question number two, in case of Light ing, no, obviously, this segment, we have seen the technology changes are so ramping that even most of the larger players are also finding it difficult

to , in a way, generate value. So what will be V -Guard’s right to win in this segment? This obviously, we have the brand as well as the distribution network also, but what will be the focus area.

I mean, whether it will be B2C more, B2B more and even the distribution network for many players is also separate from the ECD or rest of the distribution networks. So how are we thinking on these lines? Ya these are the two questions .
Ramachandran V : Yes. I think fundamentally, we're going to be leveraging the brand and the channel and our channel relationships. I think that's going to be our fundamental focus. I think initially, our strong focus is going to be in our core markets, which is South primarily had to start with, which is where we will focus already, and we are pretty confident that we can get some good and quick early wins in that area.
Yes, I think there are challenges. There are different challenges with different categories, I think the challenges with Light ing that are different in nature from other categories. But I think as an organization over a period of time, we have significantly matured in both our sourcing capability and development capability. And we have very strong Electronic s capability in the company also.
And so we are pretty confident that we can navigate this. Of course, there will be a learning period as with any business, and there will be a learning curve that we will observe in our case also. So I think that is on Light ing and the question on Sunflame. So I think more than synergy benefit , it is a question of bringing V-Guard ’s capability into Sunflame for driving growth in Sunflame. Initially, Sunflame is a small entity , which was managed by the promoter. It was thinly staffed , it was run in a very, very agile manner, and we had challenges to quickly move in our capabilities before understanding the business. I think that we've taken 18, 24 months to understand the business, and we are now moving fast with the quick integration.

To give you an idea, I mean, synergy benefits, financial benefits apart, I mean, that's not the focus of why we are doing this. I think I'll give you some sense of ; for example, we have about
70 days , we have integrated the customer service nationally. And what I would say, the call resolution rates, 24- hour call resolution rates have gone up to almost 60%.
And this will progressively get better. So that's one example. So we just want to bring the functional s trengths of V -Guard into Sunflame, which we believe will significantly empower Sunflame’s growth. That, of course, includes also our channel partners and our business system s where w e have a very strong nationwide sales infrastructure and a very aggressive sales infrastructure, which is extremely capable to scale up businesses in shorter period of time. So I think thus far, we have been k eeping Sunflame away from V -Guard's capabilities , to see what will happen to Sunflame. Our capabilities are growing faster, primarily our focus is going to be on R&D and NPD and go- to-market. So , we believe we should be able to significantly strengthen Sunflame going forward.
Aniruddha Joshi : Okay. Sure. Sir, this is very helpful. Thanks for the explanation. Just one last thing. Will Sunflame be rebranded under the V-Guard umbrella? I mean like S unflame by V -Guard?
Ramachandran V : I think as we have said the last time in the previous call, s o we have something where we have a project for the long-term strategy , for Sunflame, ye s? I think once we conclude that, maybe

you'll have a point of view , in maybe a couple of months , on that side. So, we will come back. We haven't made a determination in terms of how we will treat that. But of course, I mean the moment there is integration of Sunflame and V -Guard. V -G

uard's name will be carried by every Sunflame pack , as the manufacturer. But that a part, how to position Sunflame whether as a sub -brand or as an independent brand, I think there is work happening in that area. We are doing some work with consumers and we are also internally doing some work to understand what are the best way s to go forward. We have some proposals and a point of view, but we have not firmed it up yet.
Aniruddha Joshi : Okay. Sir, just one bookkeeping question. Light ing, are you looking at any revenue targets, let's say, over the next 2 years or 3 years?
Mithun K. Chittilappilly : No, we wouldn't like to give out any projections as of now. We will update in the next call. I don't think we'll be giving more projections anyway. But our first 6 months to 12 months, we'll be setting up capability and systems and then only we will look at launching.
Aniruddha Joshi : Okay. Sure Sir and many thanks.
Moderator: Thank You Sir. The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance. Please go ahead.
Keyur Pandya : Sir, first, on the Light ing side. So you talked about the synergies of, say, cross -selling , GTM distribution, et cetera. In general, we are seeing that because of the price deflation, I mean, very few brands have been able to grow their Light ing sales in terms of value and also a lot of
competition from the smaller brands – value conscious brands. So any specific reason? I mean, from that perspective, why you would want to enter the segment where growth is not there either because of the I mean, technology change or price cuts, but the value growth has not been there? That is first point.
Second question, on the overall margin side, I can see that the employee costs have grown at a faster pace, that you earlier explained , that as you grow in- house manufacturing, some of the overheads move in -house. So if I look at slightly longer -term data, your EBIT margins, EBIT margins are more or less similar . So your gross margin has gone up, but depreciation, employee costs and overheads have also gone up and EBIT margin are more or less in the range of 7.5%.
So just to understand, are we yet to see any benefits of in- house manufacturing or why they are not yet visible since that EBIT level margins are more or less similar levels? These two are the questions, and then w ill get back in the queue.
Mithun K. Chittilappilly : Yes. So regarding the second part, which is EBIT margins, I've said this in earlier calls. So i f you look at 2019, our larger two competitors, they used to have EBITDA of about 14%.
Today, both of them are at 10%, whereas we are still having a similar EBITDA of about 9% to 10%. So you can see that the competition intensity, competitive intensity in the sector has gone up and margins ha ve come down for most companies . Whereas we have maintained margins if

we look at last 6 years. So , I hope that answers your second point. The first point is on

Light ing, Ram, you want to take this?
Ramachandran V : Yes, I think you're right. I think the Light ing as a sector has not seen value growth and fundamentally because of price erosion. That part is true. But I think that every business has a different dynamic and a different challenge and that needs to be managed independently and separately and appropriately.
Fundamentally, yes, not having Light ing and having Light ing has its own advantages and disadvantages as part of playing in the portfolio. But I think it's important because we have partners and our partners have businesses . We have a gap in our portfolio and w e believe that incrementally for us, at least for the next 7, 8 years, I think this is not going to be a challenge. Although it can be a challenge for an incumbent player who's been in the industry for many years , as well .
The other part of i

t is also that, yes, I mean, even though there is not value growth, but I think that these businesses are profitable. And they are able to do that by managing different cost elements differently. So I think at least for us, I mean, next 7, 8 years, I don't see this question being a challenge for us, while it may be a challenge for the industry. But I think what it will do, it will strengthen our partner 's capability and it will help us to, what I would say, expand our network faster and it will also help existing categories to travel more deeper and wider.
I think in the past, we had multiple challenges. But we believe many of our challenges for some of the categories that we had integrated , in the past , are slowly and progressively getting out of the way. We now have room to nurture and support one more category.
Keyur Pandya : Understood, sir. Sir, just one small question on the Electronic s side. So relatively weaker quarter. And despite that, you have maintained and margins up of 19%. So barring for seasonality versus Q1, Q2, Q3, which are relatively smaller, should we assume that, I mean, annualized margin of higher than 18%, 19% are sustainable margins? You have earlier talked
about some st rategic initiatives as well. So in that backdrop, what are the sustainable margins in Electronic s?
Mithun K. Chittilappilly : Yes. Sudarshan, do you want to take this?
Sudarshan Kasturi : Yes. Okay . On Electronic s, yes, I mean the Stabilizer s did see a decline in line with air conditioner and other cooling product s. But then that was made up by a strong performance in other products. The Inverter Batter y business did well, Solar did well, so that's sort of made up.
Margin wise, it's been good, but I don't think we should take 18%, 19% as a steady state margin. So there are some quarters where we get better margins than usual. Something like 17% should be okay.
Keyur Pandya : No, sir, on an annual basis?
Sudarshan Kasturi : Yes, so 19% is a bit ; it's a good number for that category. That may not remain at that level all the time.

Keyur Pandya : Okay Sir. Thanks a lot.
Moderator: Thank You Sir. The next question is from the line of Raman KV from Sequent Investments. . Please go ahead.
Raman : I just wanted to understand that there has been a degrowth in Q1, which you already s uggested in your previous call. T he original guidance of 14% to 15% revenue growth, is it still doable? And with respect to the margin, can we expect margin to improve going forward?
Mithun K. Chittilappilly : So I think how we look at it is when we have a good year, like last year, we grew by about 17%-odd. So in a challenging year, the growth could come down to 12% to 13%. So I think about 11% to 12%; 11% to 13% is what we'll be aiming for this current financial year because first quarter has been extremely challenging.
So what happens with that is almost 60% of our products, 55% to 60% of our products are dependent on summer. So when you start with a very, very adverse weather. It is very di fficult for these categories for then to perform till Q4. So Q4 will determine now how the growth will shape out. But typically, we have seen that if we have a good year, we'll grow at 17% and a challenging year at 11% to 12%. So that's what this year looks like.
Raman : And sir, on the margins part?
Mithun K. Chittilappilly : Margins, I think we should be between 8.5% to 9.5% in this financial year. So let's see how it goes.
Raman : And sir, my next question is with respect to the Lighting segment, you did like earlier ; sir also suggested that there has been value degrowth. So I just wanted to understand how much value creation do you think this segment will do in terms of your entire business?
Mithun K. Chittilappilly : So I think when we did some research on the industry, we found that players like Signif

y, which is the largest player with trade brand, Philip's, Havells, Crompton and Surya Roshni. All these four players are making healthy EBIT margins in the business. Now the question is on the value growth.

We found that there are sub segments which are growing, for example, D own Lighters and Premium Architecture Light ing for residential is growing whereas the growth in la mps, et cetera, may be slightly plateaued. So there are sub -segments which are growing. It's not that like the entire industry is de -growing.

And the third thing is we are present in categories like S olar Roof top where there is a value degrowth of 20%, 25% every year for the last 3 years. So it's not something that cannot be managed. It is something like Ram said, every category has its own challenges. We don't foresee any growth challenges in the first 7- 8 years. But once we become larger, we'll have to see.

But I don't think that this category will remain like this forever. I think there are some tailwinds, especially on people migrating from tubes and lamps to more expensive luminaries as the houses become more premium and as people start to spend more on interiors. This is something that is ongoing. So I think within this particular , Lighting is a very large category. I think it's close to INR1 lakh crore or something like that. If you look at the entire Light ing in the country, including institutional and all that. So there are sub-segments within the Light ing, that are growing. So yes, there are the L amps; the prices of lamps, the LED lamps are coming down, primarily due to efficiency in design of the PCB boards and all that.

But I don't think it will keep going on every year. I think a lot of the value decline is probably close to the bottom as far as that is concerned. But we are more interested to sell a bouquet of products, not just lamps, which will make sure that we make money.

Raman : And sir, my final question is with respect to the factories , Indian factories for in- house manufacturing that are coming. So what is the current percentage of in-house manufacturing? And when will the new factories be coming to online?

Mithun K. Chittilappilly : So currently, we're at 65%. We have 1 factory, which is 1 more plant for Fan s, which is undergoing development. We expect that to be operational in 18 months' time. That will make Table, Pedestal, Wall – Fans and Ceiling Fans as well . We will have both the TPW as well as Ceiling Fans. And yes, we are also setting up one more – that is more of an expansion of the existing Batter y unit. That, I think, will take about 24 months time.

Raman: Ok. Thank you sir.

Moderator: Thank You Sir. The next question is from the line of Sonali Salg oankar from Jefferies India.

Please go ahead.

Sonali Salgo ankar : Thank you sir for the opportunity. Sir, I again have question on Fans. Sir, correct me if I'm wrong, but is Fan s as seasonal product or it is all the year around product. So I was just trying to understand it better. Why would unseasonal rains or a disrupted summer lead to such a big decline in the sales and also a negative EBIT?

Mithun K. Chittilappilly : Okay. So I think in Fan s, we have three categories: Ceiling Fans, TPW and E xhaust s. The Ceiling Fan business has pretty much throughout the year kind of sales , but there will be maybe like a 10% - 20% variation between in-season and off season. But the TPW business, especially the pedestal Fan s, it is an extremely ; the pedestal Fan is the largest part of TPW and is an extremely seasonal business because what happens, especially in South India, where especially markets like Andhra, Telangana, Tamil Nadu, even Kerala. It gets so hot that the Ceiling Fan is not able to really cool because it's really, really hot. So people put a second Fan in the bedroom, which can force air from the side through the windows, which is cooler than the roof which is already hot. So a lot of the purchase Fan s, at least in South India and East India goes for this reason and they are extremely seasonal.

So I hope this is clear. So if you look at the pan-India sales, 70% is Ceiling and 30% is TPW whereas if you look at South India for us, this drops down to almost 60: 40. So in South India,

the share of TPW sales is high. And V -Guard traditionally has been more stronger in TPW. Of course, recently, we are also getting good traction in Ceiling .

So please understand that you will find that players with a South skew will have this kind of a challenge. And secondly, there is one more category with Air Cooler s. So Air Cooler is also our large, it's about INR 140-odd crores. So a large decline in Air Coolers also brings down the

Consumer Durable s' sales in first quarter and Air Cooler s is also a high gross margin category for us.
Ramachandran V: Just one more point I want to add. See, this year, last year, the summer was exceptionally strong. And this year's rains have been exceptionally heavy, and I was just looking at some long period average data , in the initial months that I saw long period average is nationally almost in double digits and more, yes. And in fact, in the Southern states, it's more than 30% up.
And besides what Mithun talked about, we are a company which is over indexed in terms of sales in South and East, right, which have received very, very heavy rains . So the pressure is further getting amplified in our numbers, yes. But as Mithun has already said, Ceiling Fan sales are flat for us, and the drop is in this particular category is because Southern market has seen very, very heavy rain.
Sonali Salgo ankar : Understood. Sir, so would you ascribe that majority of , or rather the main reason for the drop in your EBIT margin is because of loss of operating leverage on the general volumes? Or is there any further reason to that?
Mithun K. Chittilappilly : I think it's majorly operating leverage. There would be some A&P expenditure on Fan s and Air Cooler s that would have happened. But I think it's mostly operating leverage.
Sonali Salgo ankar : Sir, your A&P spend as per your presentation are almost flattish year -on-year. So your overall is 3% so…
Mithun K. Chittilappilly : Sonali , it may not be spent on the same categories, right? So there could be changes within the category here.
Sonali Salgo ankar : Understood. Got it. Sir, just one last question from my side about the merger of Sunflame. Sir, you did mention certain points on that, but exactly what is the difference post -merger versus being a 100% subsidiary, wherein we are expecting a faster p ace of synergies right now?
Mithun K. Chittilappilly : Yes. Ram, do you want to take this?
Ramachandran V : Yes, Sonali, I explained this earlier, right? So let me again explain to you the same, I mean clarify the same observation. See, for example, earlier, Sunflame and V -Guard used to operate as separate entities. The operational bandwidth inside Sunflame w as very, very narrow. So it was very difficult for us to replicate our understanding and know how to run some processes systems more efficiently than the way that it is running at Sunflame.

So that was the reason, initially, we wanted to keep these two separate so that we are able to preserve the ag ility. We are a much larger company work through multiple functions, right? And it would have been very difficult to integrate Sunflame at that stage. But after about 18 to 24 months, the knowledge is in place. And V -Guard's internal stakeholders have understanding and exposure to Sunflame. And we have, as part of our integration projects defined a governance framework. We are able to move f

ast. Now what difference will it make
I think as I explained to you, giving an example of service earlier in about – it's about 70 days now since the systems are coming together. They have come together progressively. We are now and we have completed the service integration. We expect in 3 months, right, to reach a similar level of customer service TAT – turnaround time. Same is the thing with quality, the kind of systems that we have in managing quality and the kind of process we have for qualifying vendors.
All of this is very different, right? S o this all activities and capabilities will flow , yes. We have maybe 1,500-odd feet on street , we have 1 lakh -plus customers. Many of them are in Kitchen . Now it's a lot more easier for us, right, to land the Sunflame offering into many of our customers and channels , if it is managed througho ut the same sales system.
So these are the kind of advantages that we will get. So I think it's fundamentally going to make Sunflame stronger in its ability to realize outcomes, positive outcomes, right, be it on service, be it on quality, be on MPB, or be it on sales, yes?
Sonali Salgo ankar : Understood. Thank you sir.
Moderator: Thank you Ma'am . The next question is from the line of Shivkumar Prajapati from Ambit Investment Advisors. Please go ahead.
Shivkumar Prajapati : My first question is regarding the competition density versus the rising private label players, say, Amazon B asics ? And what differentiates V -Guard's products in price -sensitive markets?
Mithun K. Chittilappilly : I think the hyper competition today is among our various brands. I don't think private label is such a big worry, at least in India. What we're seeing is even globally, private label usually works in categories which can't be differentiated like chips or flo ur or food products and stuff like that or something like generic items like maybe lamp s and those kind of things, bulbs or something like that.
But as soon as there is design involved as soon as there are features involved, private label s

usually don't have a chance because they are not coming as they are not having that kind of sophisticated capability to make products. So, for example, if you asked me, V -Guard has about 4,000 SKUs today. I don't know any retailer who has the wherewithal to even manage an additional 500 SKUs. So that is the kind of variety that brands offer vis -a-vis a private label.
So we have seen that the larger chains, they have time and time and again tr ied to do this, but it has not really made any much dent , as you would have seen, right. I mean there was a time when Big Bazaar brought out a lot of private labels. The n Reliance keeps trying to do it so. It happens, but I don't think in our kind of categories, it has really made much of a dent as yet.

So the hyper competition is between existing players getting into adjacent categories. It is also certain new brands that are coming up are disrupting the existing categories, maybe using new lines of sales like B2C or e -commerce and stuff like that.
So I wouldn't say private label s, but definitely competitive intensity is up. It's primarily also because many companies are not growing and they are thinking that the grass is greener on the other side and are entering new categories. So that's the thing.
I think we have also seen a lot of exits for the last 1 or 2 years, we've seen many companies refocusing or removing themselves from the marketplace. So I think it's a natural process of cleansing. I think whenever we have something like a slowdown and stuff like that or COVID also was a big shock. Whenever we have these kinds of shocks , people tend to exit and go back to their core because they have to protect their core business.
Shivkumar Prajapati : Understood, sir. And sir, would you please be able to help me with two d

ata points. Number
one is now like more than 50% of our revenue is from non- South market. So how many states will be contributing around INR 500 crores plus of top line for the full year? And going forward, what do you see that which reason or state will be able to touch this market?
Mithun K. Chittilappilly : So I think we don't like to give out these numbers, but we have to understand that we also are in a country where you have something like a Maharashtra, which is like almost 10%, 15% of India's GDP and then you also have small states. So we have big states and small states. And we have states which are geographically larger. So like UP is a very large state. It's a large contributor to the GDP, but it i s also very large. So we require more than multi ple branches. In
fact, we have three branches in UP alone . Whereas in a state like Kerala we're able to manage with one. So I don't think it's right.
I think we are slowly getting indexed to how the national market is indexed. I think earlier, we had a very, very high South skew . Now it has dropped below 50 %. I think East has done well
for us and the other markets are also responding. W ith the passage of time, we will hit that 65% of sales from the non-South markets, we are quite confident of that trajectory.
Shivkumar Prajapati : Got it, sir. And sir, is there any way or metric that you guys track for productivity of active dealer in S outh versus non- South region, something like average revenue per dealer?
Mithun K. Chittilappilly : See, again, it's not very easy just to see, we are not dealing with homogeneous crowd. For example, we will have a Wire dealer who will be doing INR 1 crore s a month, whereas it will
be very hard to find a guy selling Switch es for about INR 1 crore s. So it's not very, very; I mean, it's not very easy to do that. Ram, you want to talk a little bit about our sales?
Ramachandran V : Yes. I think Mithun saying this is correct . I think it's very difficult to ha ve a thumb rule. But there are two issues with that. And at least as far as V -Guard is concerned, our GTM is category -based rather than company based. So we might have like many times, partners who are doing Switchgear , for example, right? And they may or may not be doing other product categories of V -Guard ’s. So some of those kinds of challenges we have.

So I think that may not be the right metric to look at as far as V -Guard is concerned. Also, again, as Mithun talked about, there are large states and there are smaller states.
There are states by town class. I mean there are cities by town class. And also our entry into different states or even in different geographies is at different stages. So even as we speak, there are new markets we are entering, right, because we still have a lot of room to cover in non-South. So I think it's a bit hard to measure ; so we don't try to measure on that attribute. So we don't have a perspective like that for this reason.
Mithun K. Chittilappilly : So I think how we like to do is that more than in average revenue per dealer. We look at maybe average revenue per sales executive and those kind of metrics, that makes more sense. And in that sense, we find that Eastern markets since are quite close to the maturity as similar to our

South market. And the other two zones are slightly behind in that sense. Other than that, it's very difficult.
I mean, it's going to be very, very difficult to have a single view to see . So what we look at is counter share, for example, if a retailer is selling 100 units and its split between 3 or 4 brands. There, we look at what was our ability to gain more share. This is one part.
Second is on influencers. So, for example, electrician, plumber, other kind of influencers. We also try to see how many of them we are able to cover in each zone. And again, it's very difficult because we don

't have the market data. We are not sure that if someone asks you how many electricians and plumbers are there in India, you will get five different answers. So this is the kind of issue we are having. But if you look at it maturity -wise, we would say the Eastern markets we are almost there in terms of the maturity , in terms of the average throughput per employee and those kind of metrics. The other two markets are slightly behind.
Shivkumar Prajapati : Thank you sir. Thank you so much and best of luck.
Moderator: Thank you sir. The next question is from the line of Manoj Gori from Equirus Securities. Please go ahead.
Manoj Gori : Sir, Manoj Gori here from Equirus. I have one question. See, if we look at the Electronic s segment, where we have reported 5% growth. So my question here is, if you look at your comment also sounded like South and East were very much impacted because of the poor season this year. And we have a lot of exposure to Stabilizers etc this year, the power shortages or power cuts were relatively lower. So in fact, that would have impacted our UPS and Batteries business as well. Can you throw some like the quality of this 5% growth given the current environment?
Mithun K. Chittilappilly : No. I think Stabilizers sale is directly linked to weather and the other one is linked to the occurrence of power cuts. So they may not ; yes, you're right, i deally i t should go hand-in -hand, but I can tell you that we have had severe power outages in the S outhern part of the country because of very, very strong winds and rains. So it may not be right to correlate, but we are seeing a healthy demand for Inverter s and Batter ies, and we are also seeing very good demand for Solar Rooftop s. So that is kind of offset. And we also have to understand that air

conditioner stabilizer is about 50% of the total sale of Stabilizers or 50% or 55% of current. It is not 100%. So the decline of whatever happens in that stabilizer to overall stabilizer may not ; it will be half of that. So that is also one reason. It's not like 100% of what we sell i s for air conditioning.
Ramachandran V : Yes. One more point. Actually, what has happened is we have gone deeper into the value chain in Inverter s & Batteries , right? So consequently, our competitiveness in that category has improved, right? So that is also aiding the business on top of what Mithun has talked about, right?
Manoj Gori : Thank you sir. Wish you all the very best.
Moderator: Thank you sir. The next question i s from the line of Abhijit Mitra from Aionios Alpha Investment Management . Please go ahead.
Abhijit Mitra : So regarding this sudden spate of announcements, coming on capacity cuts on your cells and modules. I mean, what do you think can be the supply chain impact for Inverter s and Batter ies? And how do you think this will sort of impact the un organized sector in this space? Any thoughts on this?
Mithun K. Chittilappilly : So you're talking about the Solar PV modules, right?
Abhijit Mitra : Yes, not only that but I mean, all sorts of cells , even for lithium carbonate, which goes into Batter ies, they are talking of , cuts and all ?
Mithun K. Chittilappilly : So I think definitely it is a supply and demand issue. So we'll wait and see. So for example, if suddenly U.S. is going to ban or slap antidumping duty for Indian PV manufacturers or cell manufacturers, definitely, that would mean lower prices in India . Because so far, we were not able to ; because India has a huge anti-import duty against China. So the Indian players were protected and they were enjoying better prices and stuff like that. So we'll wait and see. Regardless of that, there has been a decrease in prices year -on-year. So because there is obviously a glut of supply and also the technology is getting better. In terms

of lithium, I think
I'll ask Ram. Ram, do you want to comment on this?
Ramachandran V : Yes. I think yes, what you're saying is correct. There is a lot of uncertainty around this entire space. Naturally, I mean, right now, we know lithium is the primary, what I would say, alternate energy chemistry although we have investment in a company called Gegadyne which does not have lithium in it, but they are still not at commercial stage.

So I think, yes, I think it is going to be a big challenge for expanding energy storage. But we'll see, I think this is more ; again, there has been a lot of uncertainty around some of these things, right? And I think what part of what is happening is basically about negotiating better outcomes for each other and what part is about protecting and guarding, I think we'll have to wait and see. I would say right now is uncertain . We would be speculating an outcome ahead

of something that is firmly announced, right? But yes, I mean, that naturally will be a challenge. I think on the Battery part, definitely, it will be a significant challenge, right?

Abhijit Mitra : And for Inverters and Batteries, what percentage of your ; I mean, would there be imports from China as of now? I mean, are there any direct imports from China, which you'd be doing now?

Mithun K. Chittilappilly : Only the Solar Inverter is imported. So Solar business is about 20% of the overall Inverter business. Only that is import ed. The rest of the products are all made in India. Only these small, that is up to 10KVA, of the Inverter s are imported. The rest of the products in the large Solar Inverter s and the regular Inverter s are all made in India.

Abhijit Mitra : Okay. So you are importing the entire box, you're not importing to a PCB or NPCB separately?

Mithun K. Chittilappilly : So no one is ; there is no technology in India that is available for small Inverter s that is up to 5 KV. Almost 99% is imported.

Abhijit Mitra : Understood. String Inverter s are all imported essentially.

Mithun K. Chittilappilly : Yes. Anyway, Electronic s everything and anything is imported. So whether it's China, Taiwan or Singapore or South Korea, Electronic s are anyway imported unless India start s making them .

Abhijit Mitra : Got it. Thanks for the clarity.

Moderator: Thank you sir. The next question is from the line of Anshul Jethi from LKP Securities Limited. Please go ahead.

Anshul Jethi : Thanks for the opportunity. So most of my questions have been answered. Just one last bookkeeping question. Just going through your segmental reporting in Electronic s segment, there has been a decrease in the assets part. So has there been a significant reclassification in the assets? Or any major asset being divested?

Mithun K. Chittilappilly : One minute.

Anshul Jethi : Sure.

Sudarshan Kasturi: So, I think it's just normal business variations .

Anshul Jethi : No major divestment, right?

Mithun K. Chittilappilly : No.

Moderator: Thank you sir. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Mithun K. Chittilappilly : Yes. So I think we can close today's call. Thank you all for taking time to join our earnings call. I would like to thank Arshia and the team at Nirmal Bang for hosting this call. We look forward to interacting with all of you in the next quarter. Thank you.

Moderator: Thank you, sir. On behalf of Nirmal Bang Institutional Equities Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

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Dear Sir/Madam,
Sub: Transcript of earnings call pertaining to the Unaudited Financial Results for the quarter and half year ended September 30, 2025 .
This is with reference to the intimation dated October 21, 202 5, ■led with the stock exchanges in terms of regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements) Regulation, 2015, regarding the earnings call to discuss the ■nancial results for the quarter and half year ended September 30, 202 5, scheduled on October 30, 202 5. The audio recording was ■led with the stock exchange. We are enclosing the transcript of the Earnings call. The same is also being uploaded on the website of the Company at the below link:

https://www.vguard.in/uploads/investor_relations/V -Guard -Industries -Q2-FY26 -Transcript.pdf

We request you to kindly take the above information on record.

Thanking You,
Yours Sincerely,
For V -Guard Industries Limite d

Vikas Kumar Tak
Company Secretary & Compliance Officer
Membership No. FCS 6618
Encl: As above

"V-Guard Industries Limited
Q2 & H1 FY '26 Earnings Conference Call "
October 3 0, 202 5

MANAGEMENT :MR. MITHUN K. CHITTILAPPILLY – MANAGING DIRECTOR – V-GUARD INDUSTRIES LIMITED

MR. RAMACHANDRAN V – DIRECTOR AND CHIEF OPERATING OFFICER – V-GUARD INDUSTRIES LIMITED

MR. SUDARSHAN KASTURI –SENIOR VP & CHIEF FINANCIAL OFFICER – V-GUARD INDUSTRIES

LIMITED

MODERATOR : MR. DEEPAK AGARWAL – AXIS CAPITAL LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to V-Guard 's Q2 and H1 FY '26 Earnings Conference Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Deepak Agarwal from Axis Capital Limited . Thank you, and over to you, sir.

Deepak Agarwal: Thanks. Good afternoon, everyone. On behalf of Axis Capital Limited, I welcome you all to V - Guard Industries Limited 's Q2 FY '26 Earnings Conference Call. Today, we have with us the senior management represented by Mr. Mithun K. Chittilappilly, Managing Director; Mr. Ramachandran V, Director and Chief Operating Officer; and Mr. Sudarshan Kasturi, Senior Vice President and Chief Financial Officer.

Without taking much of time, I will hand over the floor to the management for their opening remarks, post which we'll open the floor for Q&A. Thanks. Over to you, sir. Thank you.

Mithun K. Chittilappilly: Yes. Thank you. Good afternoon, everyone, and welcome to this earnings call. On behalf of the team at V -Guard, we would like to convey best wishes for the festive season and wish all of you a prosperous year ahead. I would like to thank Deepak Agarwal and the team at Axis Capital for hosting today's call.

We will be discussing the operating and financial performance for the second quarter and half year of FY '26. I trust that all of you have had the opportunity to review the investor presentation shared earlier.

We witnessed a modest top line growth across segments during the second quarter of FY '26 due to headwinds such as higher -than -average rainfall, weak demand and the GST transition.

Consolidated net revenue from operations for the quarter was INR1,340 crores, an increase of 3.6% over the revenue recorded in the corresponding period of the previous quarter .

The Electronics segment comprising of Stabilizers, Inverter Systems, UPS Systems and Solar Systems delivered a growth of 5.3% Y -o-Y in the second quarter. The prolonged and intense monsoon impacted the demand for Stabilizers and Inverters.

The Electrical s segment, which remains our largest revenue contributor and includes Wires, Pumps, Switchgears and Modular Switches, registered a growth, revenue growth of 4.7%. ■

In the Consumer Durables segment, covering Fans, Water Heaters, Kitchen Appliances and Air Coolers, we reported a revenue growth of 1% Y -o-Y. Here again, the unseasonal rain impacted demand for Fans and Air Coolers.

Sunflame reported top line growth of 3.4% on a Y -o-Y basis in Q2. General trade and modern trade channels delivered growth, while CSD business continued its decline. We believe the progress of the integration and the eventual merger of Sunflame will help to accelerate growth and unlock efficiencies.

Gross margin continues to be healthy, sustaining the progress made in the recent years. In Q2, we reported a gross margin of 37.6% compared to 36.2% in Q2 last year, an increase of 140 b

asis points. On a sequential quarter basis, the gross margin has improved by around 70 bps from 36.9% in Q1 FY '26.

EBITDA, excluding other income for Q2 stood at INR109 crores, declining marginally by about 1% Y -o-Y basis. Given the low top line growth, the EBITDA margin reduced by 40 basis points to 8.1% compared to 8.5% in Q2 of FY '25.

Consolidated PAT for the quarter was INR65 crores compared to INR63 crores in the same period of last year, an increase of 3%. Reforms introduced as part of GST 2.0 are a welcome step in simplifying the tax structure and boosting consumption. We expect the improvement in demand to start reflecting in the coming quarters.

With that, I conclude my opening comments. I would like to thank Deepak Agarwal and the team at Axis Capital for hosting this call and would like to request the moderator to open the floor for Q&A. Thank you.

Moderator: The first question is from the line of Ravi Swaminathan from Avendus Spark. Please go ahead.

Ravi Swaminathan: Hi and thanks for taking my questions . My first question is with respect to the Electronics segment. If you can give more colo ur on the kind of growth that the Stabilizer and the Inverter segments would have seen. So my question is would the Stabilizer category have seen a decline this quarter because of A C season, A C sales also not doing that great.

And any colo ur on how the Inverter segment would have grown, including the Solar Inverter category? And also in this quarter, the margins in the Electronics segment had dipped. Was it purely because of the mix being slightly inferior and lack of operating leverage?

Mithun K. Chittilappilly: Yes. As a policy, we don't give out product -wise numbers, but I can definitely say that the Stabilizer product as a whole has declined in revenues, largely led by the decline in Air Conditioner Stabilizers, as last year, we had a very good Q1, extremely go od Q1 and followed by a good Q2. The Inverter and Solar Business have grown well. The Inverter business has grown decently well. Solar Business is a new business, so it has grown at a higher rate. So what you see is a blended number. ■

Yes, gross margin difference is due to, mainly due to the product mix. And yes, to some degree, like the factories were operating at higher capacity, especially our Pantnagar plant was operating at a higher capacity last year compared to this year. So all this would have played a part.

Ravi Swaminathan: Understood. And with respect to the backward integration efforts in terms of extending our Battery manufacturing facility for the Inverters, what is the status of that? And how much margin improvement should we expect for the Inverter category because of t his? Need not quantify, but if you can directionally give an answer also?

Mithun K. Chittilappilly: Yes. So, we have already started on Phase 1 of Battery manufacturing. So today, our capacity is roughly about 40% to 50% of our total sales. W e have a plan to actually increase capacity and then probably take this to at least 70% to 80%, over the next 2 years.

Ravi Swaminathan: Understood.

Mithun K. Chittilappilly: I mean, there is already some improvement that has happened. When we had done the investment, we had envisaged improvement in margins, and they are delivering as per our expectation s. And with the expansion, we could see some more improvement because of further operating leverage.

Ravi Swaminathan: Understood. And my second question is with respect to the Electrical s segment. So essentially, other players in the Wires category have seen double-digit growth. And for us, Switches and Switchgears is a relatively smaller business. So from a low base, it should be growing. But in spite of that, we would have delivered only mid-single -digit growth there. So did the Pump category see a decline during this quarter?

Mithun K. C

hittilappilly: Yes. Ram, do you want to take this?

Ramachandran V: Yes. So I think basically, as far as the Electrical s segment is concerned, I think some of our competitors have definitely grown well. But I think a good part of it has actually come from the Cable business . So we are basically in House Wiring Cables business, right? So Domestic House Wiring, right? So I think that's one dimension to that.

Otherwise, yes, I think also this quarter, I think the monsoon has been very, very strong . I think we've had like the highest monsoon in the last 15 years, and this affects construction activity also. It will affect the sellout from the trade also . So which is why the Electrical category has seen a bit of, what I would say, lower single -digit kind of a growth here.

The Pump business has been flat. Yes, the monsoon is good. So water table is good. So Pump replacements have not happened. So Pump is flat for the quarter, yes. It has not declined.

Ravi Swaminathan: Understood

Moderator: Thank You. The next question is from the line of Natasha Jain from Phillip Capital. Please go ahead.

Natasha Jain: Thank you for the opportunity. Good afternoon, Sir. My first question is a follow -up on the last one. So, if Pumps have been flat and Switchgear is pretty much a very small contributor in the ■

Electricals overall, so margin improvement has been extremely sharp given top line has been quite moderate. So, any one-offs in terms of margin s?

Mithun K. Chittilappilly: No. I think see, what has happened is we had a quarter where there w ere sharp increases in

copper prices. So although the Wire business growth has been muted, there has been a good improvement in the gross margin for Wires because by the time we purchase Copper, we process it and when we sell it, the price is going up. So you get that benefit of inventory. We are basically selling inventory produced at lower cost at higher prices. So that effect plays out a little bit.
Natasha Jain: Okay. Understood. But then by that logic, if I see fourth quarter of last year, fourth quarter of last year was a super strong quarter, again, mainly because of Copper rising. And in that quarter, you grew by 15%, but the margin was still at 11.5%.
Mithun K. Chittilappilly : I think a lot of things are there. There is the timing of the price increases, the quantum of price increases and all that. I think this quarter, there is, I'm not sure about the velocity, but I think this quarter, definitely, there was .
Sudarshan Kasturi : See some normal range of fluctuations will always be there. The Electricals, the midpoint margin, we can take it about 10.5%, 1% here and there quarter -to-quarter, we have to expect some variations. Within that, there can be many reasons.
Ramachandran V : See, it can also happen that, see, the Wire business is a commodity business and prices go up and prices go down.
I think maybe last year 's factors which would have impacted the Wire would have been different and what would have impacted this year would have been different.
Mithun K. Chittilappilly: I think primary margin difference is what you are seeing is coming from the Wire itself because the other categories are all pretty much in the stable state.
Natasha Jain: Understood, sir. That's helpful. And my second question is on Sunflame. Now if I compare your numbers with peers, definitely, we might have underperformed slightly compared to peers. Now even at that moderate top line, again, margin expansion is sharp even if I take a sequential look at the margins. So assuming even you are indexed to Cooker, Cookware, where there was a GST rate cut, but that's again hardly 10 to 11 days in the quarter. So what again has led to such strong improvement in margins in Sunflame ?
Ramachandran V : No, no. Our Sunflame margins are significantly depressed , and they

have to only get better over a period of time. I think last year numbers are not reflective of the long -term margin of Sunflame business . So I think Sunflame performance is not extraordinary.
Mithun K. Chittilappilly: See, last year numbers were extremely low because of a lot of transition issues and transition costs and everything. So it's slowly coming back to the normal.
Natasha Jain: So sir, what should we assume a normalized range here going forward for Sunflame?
Mithun K. Chittilappilly: Yes. So I think in 2 years, we are expecting to hit about 12%; our 12% EBIT is what we should expect in 2 to 3 years' time. It'll go up in phases. ■

Natasha Jain: Understood. And sir, just one last question on Consumer Durables. How has the winter portfolio started picking up?
Mithun K. Chittilappilly: So just like the factors that are affecting summer products that are bad for them , definitely, the heating categories like Water Heaters should do well. We also have a significant new launch this year that's doing well. So we'll come back and update after Q3. I think the expectation is to have a good sale for Water Heaters this year.
Natasha Jain: And sir, any pricing pressure you're seeing on Water Heaters?
Mithun K. Chittilappilly: The Water Heaters is a very competitive category. It has been competitive for the last 6, 7 years. There are close to 20, 30 brands and every year, 2, 3 brands enter. Pretty much anyone in Sanitary today is having Water Heaters. Anyone who's selling Tiles also will sell Water Heaters. So there are all kinds of people in the industry today. But we have some differentiated product offerings that we have this year, so we should be okay. But yes, it remains ultracompetitive.
Natasha Jain: Thank you so much sir and all the very best.
Moderator: Thank you. The next question is from the line of Shivkumar Prajapati from Ambit Investment Management Advisors. Please go ahead.
Shivkumar Prajapati: Hi thanks for taking my question. So my first question is, would you be able to give the breakup within this Consumer Durables segment, I mean, which forms around 30% of our top line, I mean, the breakup between Heaters, Fans, Kitchen Appliances and Coolers?
Mithun K. Chittilappilly: No. As I said before, as a policy, we don't give out category-wise numbers. But I can tell you the bulk of the Consumer Durable is driven by Fans and Water Heaters. That forms the m ajority .
Shivkumar Prajapati: Understood. And sir, how was the demand for Fans during this quarter? Or do you see any uptick so far 30 days of this October month?
Mithun K. Chittilappilly: Yes. Ram, do you want to take this?
Ramachandran V: Yes. The Fan business is still coming out of the challenges of, let's say, strong monsoon and its impact on Fan demand. So we continue to remain in a challenging ; I think for us, I think Ceiling Fans would have been flat to maybe low single -digit growth. And TPW would have been still having double -digit degrowth.

Shivkumar Prajapati: Understood, sir. And sir, my next question is on Solar Pumps. I mean, I believe this forms really very small part of our business so far. So just wanted to understand what your take on this boost that we are seeing in the Solar Pumps demand these days? And how bullish are we to develop this segment going forward?
Mithun K. Chittilappilly: So V -Guard is not present in the Solar Pump business. So we are in the Solar Rooftop Inverter and Panel s business. So they are 2 different segments. And we are present in Solar Water Heating business. But I think by next year, we are hoping to enter Solar Pump business. We have so far stayed away because it's a government and tendering -based business. It is a large business, and we are exploring opportunities to enter. ■

Sh

ivkumar Prajapati: Ok great sir. Thank you.
Moderator: Thank you. The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance Limited. Please go ahead.
Keyur Pandya: Thank you. Sir, two questions. First on the Electronics side. So in quarter 2, which was relatively weaker, we have seen 17% plus kind of margin and the initiatives that you have taken, whether backward integration or some other efforts, should we assume the annual margins st eady state should be upwards of 17%? Or what should be the margin range for Electronics segment? That is first question.
Mithun K. Chittilappilly: No, I think Electronics segment.
Sudarshan Kasturi : 17% to 18% is the normative margin for the segment. When you go into H2, there will be other factors, the mix will change and all that. But you can assume 17% to 18% range.
Mithun K. Chittilappilly: It should hover between 17% to 18%.
Keyur Pandya: Okay. Generally, Q4 and Q1 margins are relatively higher. Despite that, you're guiding 17 %- 18%. Are you keeping some margin of safety or we should assume 17 %- 18%? There were some one-offs in these higher margins.
Mithun K. Chittilappilly: If you look at a very long- term number, like 5 years back, our in -house manufacturing for Electronics was close to like 20%-odd . And now it has gone to something like 50%- 60% or even 60%. So that definitely that backward integration has played a role. The new normative margin is what we are saying could be between 17% to 18%. The thing is the mix changes every quarter as well.
Keyur Pandya: Understood. Sir, second question is on the lower growth in Stabilizers because of the AC. You earlier talked about two important categories for Stabilizers which are AC s and TV s. So are you seeing any TV -led demand in Stabilizers post cut in GST rates or even otherwise, with normalization in say, AC inventory or Stabilizer inventory, how should we see some normalization or growth, say, over the next 2, 3 quarters?
Mithun K. Chittilappilly: So ex of AC Stabilizers, the Stabilizer business has done well, both Refrigerator and Television business has done well. The cut on GST, for that, it is still very early days because it is effective from 22nd of September. I think this quarter will determine that. But having said that, the weightage of Air Conditioner Stabilizers is very high. It is still very, very big part of the Stabilizer business. So even if the other segment grows, it may not be enough to offset the decline.
Keyur Pandya: Understood. Just last question on the capex side. So capex number for this year or this year and next year and the areas where we are spending capex on?
Mithun K. Chittilappilly: So capex will be between INR120 crores to INR130 crores in the current year and next year. Areas will be, there is capex going in for a new Research and Innovation Centre . There is capex ■

going for 2 factories, Fan factor y this year and maybe Battery factory next year. And then balance will be for ; a lot of it is also going for mo ulds and dyes.
Keyur Pandya: Understood Sir and Thanks a lot.
Moderator: Thank You. The next question is from the line of Keshav Lahoti from HDFC Securities. Please go ahead .
Keshav Lahoti: Thank you for the opportunity. As Q2 has been slightly muted quarter, any change in guidance on the top line growth and margin what you have given earlier ?
Mithun K. Chittilappilly: No, I think when we started the year, we said that we hope to grow by 15 %-odd, but that definitely looks unlikely. We wouldn't like to give any guidance at this time. We'll wait and see.
I think once we finish Q3, and we'll have a better sense of how we'll end the year.
Definitely, this year has been very, very challenging. And we also have to remember that last year, H1, we had a very high base. We grew by almos

t 18%- odd in the first half. So we hope to
do better in H2 and, but it's too early to say. So once we complete Q3, we'll say. But definitely,
achieving 15% growth this year wouldn't be possible.
Keshav Lahoti: Understood. Got it. And sir, in Sunflame, can you give us some sense how each channel ha s
done this time? And lastly, how you see the Sunflame growth going forward on the margin side?
Mithun K. Chittilappilly: Ram, you want to take it?
Ramachandran V: Yes, yes. So I think traction on Sunflame is good as far as general trade and modern trade is
concerned, which is organized retail. So these are good. And we are integrating the GTM for
general trade as we speak.
And so it should favo urably support Sunflame . I think the challenge on CSD remains as far as
we are concerned. And I think it's going to take us some more time before the e -commerce is
going to fire for us. So that's where we are. E-commerce and CSD are the two areas where we
still have work to do. e-commerce should , in 3 to 6 months' time , pick up.
Some of the categories ; see, our operating model is slightly different from Sunflame. So we
directly sell on the platforms and listing the SKUs and getting them through the process is a time-consuming process. And I think things will get better once our foundation that is stabil ized
as far as e-commerce is concerned. CSD, I think we'll have to wait and watch and see how that entire environment develops.
Keshav Lahoti: Got it. One last follow -up on this. So what kind of synergy benefit s do you expect from
Sunflame? What will be the key benefits?
Mithun K. Chittilappilly: We will not give any quantitative way. We'll talk a little qualitatively.
Ramachandran V: Yes. So mainly synergy will come in areas like customer service, quality and logistics. Also in
the front end, right, in terms of go-to -market, where, we will have significant ability to get
Sunflame to reach more counters in South and East. So where we are strong. So I think these are ■

the benefits that we are talking about. And I think maybe in a 2 - to 3-year time frame, the benefits
will also be visible in areas like e -commerce and organized retail, where we have strong
strengths.
Keshav Lahoti: What I'm trying to understand, it's already a wholly owned subsidiary. A nyway, this benefit can
be done earlier also. Are there any major benefits, any cost rationalization or making side?
Ramachandran V: No, we kept the entities separate, and we were running the two businesses separately. The
integration is happening as we speak, this year. So service integration is complete. We are
already seeing some financial benefits there from customer service. And integration in other
areas is underway as we speak .
Keshav Lahoti: Got it. So will there be any saving in manpower cost and other expenses, anything on cards?
Ramachandran V: There will obviously be...
Mithun K. Chittilappilly: For example, Sunflame is operating warehouses and all that, which will be eventually merged
into V -Guard. So we will save a lot on the back -end logistics. We will save a lot on sourcing
because instead of a INR300 crores company, now it will have the might of INR6,000 crores
company doing the purchases. So those kind of benefits will come. We just don't want to talk about any quantitative numbers as of y et. But definitely.
Ramachandran V: That's baked into what Mithun has already said, right, where he said that the Sunflame margin in 2 to 3 years will get to 12% . That's baked into that outlook.
Keshav Lahoti: Understood , Alright and thank you.
Moderator: Thank you. The next question is from the line of Aniruddha Joshi from ICICI Securities. Please
go ahead.
Aniruddha Joshi: Ya thanks for the opportunity. Sir, two questions. Now considering the GST cut on Stabilizer as
well as some of the Cooking Products like

Cooker, Cookware, etcetera, what will be the overall GST cut? And I guess some of the benefit may get nullified by price hikes in Fans when the
BEE norms change in January. So what will be net -net benefit to us considering both the things?
That is question number one.
And then secondly, in terms of just, how do we see that whether distribution expansion will also be a key driver for growth because I guess we are having fairly high market shares in the key
regions in Southern India. So what will be the strategy? Because whatever we understand in
Maharashtra for that matter, the market shares are materially lower.
So how do you see this as the products or the brands are very well known, but somehow the
reach is very limited. So is that missing right now in terms of driving the growth also further? Yes, that's it from my side.
Mithun K. Chittilappilly: So regarding GST, see, for our categories, we have primarily had GST cut into two areas. One
is for Battery. Lead Acid Battery has come down from 28% to 18%. We have pretty much passed on everything to the
consumer as required by the government. The second is on the Solar ■

business, which has come down from 12% to 5%. And again, everything here also pretty much has been passed on. I don't think because of GST, you will see any benefit, point number one. Regarding market expansion, Ram, do you want to take this?

Ramachandran V: Yes. So yes, you're right. I think we are underpenetrated in terms of reach in non -South, including Maharashtra. That's a correct observation. Just for, we went out of South into non-South somewhere around 2009, and we are about maybe 15 years outside of S outh.

And we have progressively expanded our distribution, and we still look to add about 5,000 counters, 5,000 partners every year. I think that goal remains. And we look forward. I think right now, the contribution of non- South to our revenue is roughly in the region of around 50 %-odd.

And we look to expand this to 60% by, in another 4 years' time, which would be roughly about, let's say, about 17, 18 years from the time that we got out of South.

I think that's a fairly decent achievement. The contribution of non-South for our portfolio of business is about 63%, 64%. So we can't hit 60% contribution unless we are able to achieve a similar reach in non -South that we have in South. So I think we definitely can do better than what we are doing. But I think that we have made the decent progress, and we continue to expand our reach in non-South market.

Aniruddha Joshi: Okay. Sure, sir. And just on the Fans' price hike s, how much of a price hike we may need to take once we move to the new norms in Jan?

Mithun K. Chittilappilly: So, I think the price hike will basically happen in the 1- and 2 -star categories. The current 5 -star will become 4 -star. And for the new 5 -star, new products will have to be launched. I think the increase is going to happen in the economy segment. And what I am told is it's between 5% to 8% to make it compliant . So, the current 1-star we will have to redesign and add a cost of about 5% to 8% to make it 1-star for the new regime after Jan 1.

Aniruddha Joshi: So that's a fairly steep price hike.

Mithun K. Chittilappilly: Yes, it is a steep price hike, and it is going to hit the value segment. So as far as we are concerned, we are not a huge player in the economy segment.

Aniruddha Joshi: Ok. Sure, that's very helpful. Many thanks.

Moderator: Thank you. The next question is from the line of Rahul Agarwal from Ikigai Asset . Please go ahead.

Rahul Agarwal: Hi very good evening and than ks for the opportunity. Mithun, just two questions. Just wanted to get your thoughts on all these new business categories which V -Guard is venturing into. 5 years out, what kind of potential revenue business do we look for Solar - Rooftop

and Pumps? You talked about Inverter Batteries, of course, it is growing faster. Lighting is going to be a new addition. So that's one question. And would those revenue sizes be higher than the company level margins? How do you think about that? ■

And secondly, traditionally, V -Guard has always been a B2C company. Your thoughts on B2B opportunities ? It looks like B2C will pick up with the improving in macro and income levels and whatever government has done. But B2B continues to deliver a lot of growth across other categories. Your thoughts on where can we contribute, and can we take some share on the B2B side? So just these two things.

Mithun K. Chittilappilly: Yes. So, I'll answer the first part on the Solar. So, the Solar business is a reasonably new initiative. We started focusing on the Solar Inverter and Panel . Rooftop Panel business was started about 4 years back. It's scaling up really fast. Parallelly, the Inverter and Battery business, which is an older business for V -Guard, is where we have been able to work on cost improvements by backward integration and making our products more competitive, and that's also delivering growth. I think put together; these both can deliver company average margins.

Solar is a new business, and it's also highly competitive. So, the business in Solar is ; the margin in Solar is slightly lower than the Inverter Battery compared to the Inverter Battery segment, but I think that will change. And in Solar also, we are right now only selling to the B2C part of Solar.

We are not participating in any government t enders and stuff like that.

Yes, so what has happened is that in the last 3 - 4 years, the government has significantly increased its spending and capex . And a lot of it is flowing in through areas like Solar, Solar Pumps, Large Solar Rooftop and also Wires and Cables, especially LT, HT and EHP Cables, which you are able to see the results for many of our competitors. So, Ram, you want to add?

Ramachandran V: So a couple of things . If you look at the long-term growth in our industry, I think we have performed fairly well with the comparable peers. T he challenge that has been is from those that have participated in the Cable industry and the opportunity on the Cable side, which has been driven by significant increase in the federal capex . So that opportunity has benefi tted some of

these players. And yes, that is B2B.
And you're right, I think Solar Rooftops, Solar Pumps also represent significant B2B -driven opportunities. Our current GTM, and our current capabilities are all driven and focused around B2C. So that's why we have continued to stay there. We recognize that there are significant opportunities in the B2B space. And this is something that we are internally in a dialogue with.
And yes, I mean, if we believe that the product capability is what we share to be able to leverage this, but the GTM capabilities are no t present for now.
The second point, the question that you talked about is Lighting. Yes, in the Lighting space, I think we will obviously be focused on driving a Lighting mix, which is healthy and profitable. As you already know, barring 1 or 2 categories, for most of the categories, we are the challengers, right? And we are acutely conscious and we try to manage our business in a healthy and profitable manne r. So selling the right product mix is at the heart of how we will run the Lighting business .
Rahul Agarwal: Right. So let's say, for these all -new categories put together, cumulatively 5 years out, what kind of business can we have? Lighting, Solar Pumps put together, these are all new categories, right? V-Guard has never done this. Solar Rooftop, you already have some revenue. Inverter Batteries, ■

you obviously have some kind of run rates. In terms of addressable market, top line, incremental top line, which V -Guard can generate 5 years out, how much would that be?
Mithun K. Chittilappilly: See, I think we don't like to give out these kind of numbers. And one problem is this business like Solar Pumps; it's going to be lumpy. It is going to be project to project, tender to tender state to state. And today, we believe that government is paying up and there are no bad debts and all that. But we are watching this space closely. So we've always said that we would like to grow 14% to 15% annually, and that's what we will look at. And all this will be part of that.
Rahul Agarwal: Right. Thank you so much and all the best.
Moderator: Thank you. The next question is from the line of Nikhat Koor from Dolat Capital. Please go ahead.
Nikhat Koor: Hello, thank you for taking my question. So sir, we have reached 37.6% gross margin, which is quite healthy. So do we expect further improvement in gross margin from here on?
Mithun K. Chittilappilly: I think more or less, we have completed a lot of our capex , which was driving for backward integration and improvement of margins, thereby making us more competitive. I think largely, it is done. W e are always looking at cost -out projects and cost improvement and all that. But I think from here on, the delta will be very less.
Nikhat Koor: Okay. And for the EBITDA margin, can we assume around 9.5% to 10% for FY '27?
Mithun K. Chittilappilly: FY '27, yes. Yes. We should hope to get a decent top line growth.
Ramachandran V: See, actually, if we had a decent top line growth, we would have done even better than that, right? So it's basically the summer products have not performed. So there has been a top line shortfall. So the gross margin structure is fine.
Nikhat Koor: Thank you sir and all the best.
Moderator: Thank you. The next question is from the line of Archit Shah from B&K Securities. Please go ahead.
Archit Shah: Thank you for the opportunity. M y first question is regarding Sunflame. W e saw good margin improvement at 6.5% and also we saw growth . One of the competitors who earlier gave results also saw margin improvement and growth. Is there any fundamental change or improvement in the demand environment or , let's say, on the premium side of the portfolio or is it because the festive season was earlier this year, because of which we are seeing such improvement?
Ramachandran V: The gross margin in the business ha s only marginally improved. T he increase in overall margin is fundamentally where, as we said earlier, last year a lot of transition -related expenses and other activities were involved . They will get progressively less er as we go forward .
Archit Shah: Okay. So I think sequentially also, we should see the margin at least at this level or to at least keep improving Y -o-Y, right, if I'm not wrong? ■

Ramachandran V: We should, as I think Mithun has already said, we will be looking at about 12 %-odd in the next 2 to 3 years .
Archit Shah: My second question is, regarding Gegadyne , any update or progress about how that partnership is going?
Ramachandran V: Yes. Gegadyne is progressing well and they continue to work on commercializing the

technology. So Gegadyne is working well.
Mithun K. Chittilappilly: Just one more point, maybe by Q4 of this year or Q1 of next year, we are looking to launch the V-Guard -Gegadyne Batteries with V -Guard Inverters. So that will start this process. And I think Gegadyne also has one more customer where they will be starting to sell Batteries maybe.
Archit Shah: So, what kind of benefits will that be getting , selling Gegadyne Battery with V-Guard Inverter? Will it increase realization or will it be cost accretive?
Ramachandran V: Look, I think I can tell you about consumer benefi

t s. As far as business benefit is concerned; I think it will take some time. We'll have to commercialize this. We'll have to have the ability to make it on scale and drive it on scale.
So, it may be wiser to answer that in phases and not right now. But as far as the consumer benefit is concerned, yes, it will give a far superior performance compared to Lead Acid and probably better performance compared to even Lithium.
Archit Shah: So basically, it means those batteries will have better pricing ?
Ramachandran V: They will have a longer life, right? So that the replacement cycles will be longer.
Mithun K. Chittilappilly: Longer life, less temperature.
Ramachandran V: And safer Batteries.
Mithun K. Chittilappilly: Less increase in temperature and much more safer batteries.
Archit Shah: Ok Sir. Thank You.
Moderator: Thank you. The next question is from the line of Keshav Lahoti from HDFC Securities. Please go ahead.
Keshav Lahoti: Hi Sir. Can you give me some sense how has been, what is the summer product mix in each of your segments in this quarter because that has been a drag for you? And lastly, on Consumer Durable margin, which has always been more like a sub -5%. Is there any scope to improve this margin materially in the next 2- 3 years?
Mithun K. Chittilappilly: So, regarding summer categories, bulk of our underperformance has come from Air Conditioner Stabilizers, Air Coolers and TPW Fans. And these three categories have not sold much, and we are having a little bit of extra inventory, which in the next 2 to 3 quarters should get flushed out. ■

As far as CD is concerned, the largest category within Consumer Durable s is Fans. So I think once we start ; we are going to start working on the improvement of margins in Fans, and I think that has improved, but I think further improvements are required. I think in the next 2 to 3 years, we should start to see it go to like the 5% to 6% level from the current 1 % level.
Keshav Lahoti: Got it. Last question from my side. How is the Fan s channel inventory at Q2 end?
Mithun K. Chittilappilly: So ceiling Fan is fine. Like I said, ceiling Fan sales are not that impacted. But TPW, there is huge inventory. There is inventory with trade and there is inventory with us also. So I think we are, as we speak, slowly clearing out this inventory. But as yo u can see, rains have been very heavy in the last 6 months, 6, 7 months. So we are hoping by, I think, Q4, mid of Q4, we should come back to normalized inventory as far as TPW is concerned. Ceiling Fan inventory is not very high for us.
Keshav Lahoti: Got it. How much is TPW Fan mix in overall Fan portfolio?
Mithun K. Chittilappilly: For us, it's about 25%; 25% to 30% depending on the quarter.
Keshav Lahoti: Thank you. That’s it.
Moderator: Thank you. The next question is from the line of Tanay Shah from DAM Capital. Please go ahead.
Tanay Shah: Sir, I just wanted to understand how has the Wires and Cables performance been for us this quarter, given that we've seen only a 5% growth in the segment. So just wanted to understand in terms of value, how it's grown given that Copper prices have seen an uptrend this quarter? And if you could just give some split between volume and value for Wires and Cables, please?
Ramachandran V: Yes. So , the growth that you're seeing has fundamentally come from value growth and volume growth, I think, has been below last year. That's the first observation. Second observation to tell you, I think this quarter also had a couple of rounds of price increase. And I think we also had some challenges in being able to feed the market towards the end of the quarter.
So I think, but then that would not have made a material difference for the quarter, but would definitely have supported the underperformance vis -a-vis last year

. The main challenge with Wire is, see, we only sell the House Wiring Cables, whereas the other companies whose growth you may be able to refer to publicly, they sell a wide range of Cable s and Wires for a wide range of applications.
House Wiring Cable, also ours is fundamentally a B2C business, and we don't sell Project Wires also, or rather we are insignificant in that space. What that basically means is that in a situation like what we went through

where we had monsoon, which was at a 15-year high, naturally, it
affects the construction activity and the sellout of Cable from retail outlets .
So that's one of the factors which has put stress on our Wire business. Yes, we are almost entirely selling domestic Wires, which are sold through retail for domestic consumption. Even Projects,
we don't sell. ■

Tanay Shah: So a couple of factors. One is obviously lower construction activity. And second is just some bit of internal issues on our side in terms of clearing our inventory to our dealer network because of which we saw a challenge in terms of volume growth, right?

Mithun K. Chittilappilly: Yes. Like we had some stock -out situations in, because the quantum and the pace of price increases was pretty sharp.

Tanay Shah: Got that, sir. Got that. And secondly, have you seen any sort of, sorry, if I've missed this in the start, but have you seen any sort of improvement in stocking for Water Heaters, et cetera?

Mithun K. Chittilappilly: So typically, Q3 is the biggest quarter. There are various reports which are suggesting that this year, we are supposed to have a winter that is colder than last year. If that happens, definitely, there will be a lot of sellout. So we are hopeful. But like I said, these things, you can never predict.

It's better to talk about it after it happens rather than trying to predict it. But we are hopeful. Definitely, if there is like a cold wave and stuff like that, definitely, it should help water heating part of the business. And we are hopeful of that. And we are, we have, I mean, like I read some reports suggesting that may happen, but let's see what happens in Q3.

Tanay Shah: And sir, just lastly, how has the festive season been for us? How did it go by? And how do we sort of expect demand for, across our portfolio to sort of scale up now in the second half, right?

I just wanted to understand and get some flavou r on that from your end.

Mithun K. Chittilappilly: Ram, do you want to take this ?

Ramachandran V: Festive season has been tepid for us. I mean that's visible in our numbers also. I think what part of it is because of the weather impact and what part of it is related to the festive is a moat question. Because primarily, you will see the reflection of fes tive for us primarily in Kitchen appliances . Most of the other categories are connected also.

Kerala has done a bit better compared to the other states. If that is any indication because in Kerala, the September quarter had the benefit of Onam in August. But otherwise, we have not seen any, in our categories, it can also be because the trade inventory in many of the summer categories is already high. And they may be running down some of these inventorie s. So , it's a bit difficult to judge at this stage based on this.

Tanay Shah: Thank you sir.

Moderator: Thank you. The next question is from the line of Prasheel Gandhi from Anand Rathi . Please go ahead.

Prasheel Gandhi: Thank you, sir. Thank you for the opportunity. I just had one question. Sir, continuing from the previous participant, how should we look at complete Kitchen portfolio going ahead, given that Kitchen across has generally seen a muted demand over last 3, 4 years. So how should we think of the Kitchen business? ■

Ramachandran V: You need to prob

ably see this in the background of two events . So, if you really look at it in the last 5 years, the early part of the 5 -year period was COVID and, in that period, a lot of investment inside the home has happened as people were not stepping out and as all of us know, the Kitchen industry was one of the biggest beneficiar ies.

I think the later part of it, we also need to keep in context the fact that Kitchen, among all the categories, like Electrical s or Consumer Durables or fast -moving Electrical goods, Kitchen is the category that has categories which have the deepest penetration . So a Gas Stove or a Mixer Grinder, or even Cookware has much higher ; because see, when you are talking about large Consumer Durables, we are still talking about penetration to the top 10% or 15% of the households . For s ome of the larger appliances it is not even 2%, 3% or 5%. Cars, again, the penetration is very low. But Kitchen is an item which has the highest penetration. And you should read this together with what is happening to FMCG companies .

So, this is how we would look at it. Yes. And I think that you will see a common theme ; categories which are having deep penetration, right, have similarly performed, have seen challenging performance . So there may be an underlying challenge in consumption. But hopefully, I think a lot of favou rable steps have been taken by the government, and I do hope things will get better .

Prasheel Gandhi: Thank you, sir. Thank you for the detailed answer.
Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments.
Mithun K. Chittilappilly: Thank you all for taking time to join our earnings call. I would like to thank Deepak Agarwal and the team at Axis Capital for hosting this call. We look forward to interacting with all of you in the next quarter. Thank you.
Moderator: Thank you, sir. On behalf of V -Guard, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.
The transcript has been edited for clarity and it may contain transcription errors. Although an effort has been made to ensure high level of accuracy, the Company takes no responsibility of such errors. ■

Call: Feb 2026

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February 4, 202 6
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Scrip Code: 532953 Symbol: VGUARD

Dear Sir/Madam,
Sub: Transcript of earnings call pertaining to the Unaudited Financial Results for the quarter and nine months ended December 31, 202 5.
This is with reference to the intimation dated January 13, 202 6, ■led with the stock exchanges in terms of regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements) Regulation, 2015, regarding the earnings call to discuss the ■nancial results for the quarter and nine months ended December 31, 202 5, scheduled on January 29, 202 6. The audio recording was ■led with the stock exchange. We are enclosing the transcript of the Earnings call. The same is also being uploaded on the website of the Company at the below link:

https://www.vguard.in/uploads/investor_relations/V -Guard -Industries -Q3-FY26 -Transcript.pdf

We request you to kindly take the above information on record.

Thanking You,
Yours Sincerely,
For V -Guard Industries Limite d

Vikas Kumar Tak
Company Secretary & Compliance Officer
Membership No. FCS 6618
Encl: As above

"V-Guard Industries Limited
Q3 FY '26 Earnings Conference Call "
January 29 , 202 6

MANAGEMENT : MR. MITHUN K. CHITTILAPPILLY – MANAGING DIRECTOR – V-GUARD INDUSTRIES LIMITED

MR. RAMACHANDRAN V – DIRECTOR AND CHIEF OPERATING OFFICER – V-GUARD INDUSTRIES LIMITED
MR.
SUDARSHAN KASTURI –SENIOR VP & CHIEF FINANCIAL OFFICER – V-GUARD

Moderator: Ladies and gentlemen, good day, and welcome to V -Guard 's Q3 FY '26 Earnings Conference Call, hosted by ICICI Securit ies. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Aniruddha Joshi from ICICI Securities. Please go ahead, sir.
Aniruddha Joshi: Yes. Thanks, Nysa . On behalf of ICICI Securities, we welcome you all to Q3 FY '26 and 9 months FY '26 Results Conference Call of V -Guard Industries Limited. We have with us today the senior management , represented by Mr. Mithun K Chittilappilly, Managing Director; Mr. Ramachandran V, Director and Chief Operating Officer; and Mr. Sudarshan Kasturi, Senior Vice President and Chief Financial Officer.
Now I hand over the call to the senior management for their initial comments on the quarterly performance, and then we will open the floor for a question-and -answer session. Thanks, and over to you, Mithun sir.
Mithun K Chittilappilly: Thank you. Good afternoon, everyone and welcome to the earnings call. I would also like to thank Aniruddha Joshi and the team at ICICI Securities for hosting today's call.
We will be discussing the operating and financial performance for the third quarter and nine months of FY 25- 26. I trust that all of you have had the opportunity to review the investor presentation shared earlier.
The business delivered double -digit topline growth in the third quarter, primarily driven by the Electricals segment. Consolidated net revenue from operations for Q3 FY26 stood at INR 1,404 crore, reflecting a YoY growth of 10.6%.
The Electricals segment – our largest revenue contributor, comprising of Wires, Pumps, Switchgears, and Modular Switches – reported robust YoY revenue growth of 26% which was led by volume expansion and also supported by higher copper prices.
The Electronics segment, which includes Stabilizers, UPS systems, and Inverters, reported largely flat revenues of INR 286 crore in Q3 FY26. While some summer -led categories continued to witness muted demand, this decline was offset by growth in other categories.
In the Consumer Durables segment – comprising of Fans, Water Heaters, Kitchen Appliances, and Air Coolers – revenues grew by 4.6% YoY. Water heaters performed well during the quarter, even as demand for fans and cooling products remained subdued.
Sunflame reported a YoY revenue decline of 9.9% in Q3 FY26, reflecting continued softness in the kitchen appliances category. Demand in the CSD channel continued to be weak. The

operational integration of Sunflame has been completed, and the sales integration is currently underway, which is expected to support growth and acceleration for the brand, going forward.
Gross margin for the quarter stood at 35.7%, compared to 36.7% in Q3 FY25, reflecting a contraction of 100 basis points, largely arising from the mix impact. Margins have remained resilient during the quarter. We foresee some input cost increas

es coming up and the Company plans to undertake calibrated pricing actions across the product portfolio in the coming quarter.
EBITDA (excluding other income) for Q3 FY26 stood at INR 123 crore, representing a YoY increase of 18.3%. EBITDA margin improved to 8.8% from 8.2% in Q3 FY25, an expansion of 60 basis points.
Pursuant to the notification issued by the Ministry of Labour and Employment regarding the New Labour Codes, the Company reassessed its employee benefit obligations. Accordingly, an incremental charge of INR 22.11 crore, towards gratuity and leave encashment provision, has been recognised as an exceptional item during the quarter.
As a result of this one -time impact, the consolidated PAT (Profit After Tax) for Q3 FY26 stood at INR 57 crore, compared to INR 60 crore in Q3 FY25, representing a YoY decline of 5.2%.
On an underlying basis consolidated PAT improved by 22% YoY.

Our working capital position remains healthy, which led to strong cash flows during the quarter.
In terms of capex, the fan manufacturing facility and the second battery facility, both in
Hyderabad, are the two key projects in the pipeline. These will further increase the share of in-house manufacturing.
We look forward to the upcoming summer season with the expectation to deliver strong results.
With that, I conclude my opening comments. I would like to thank Aniruddha Joshi and the team
at ICICI Securities for hosting this call and would like to request the moderator to open the floor
for Q&A.
Thank you.
Moderator: Thank you very much. We will now begin the question-and -answer session. T he first question
is from the line of Aditya Bhartia from Investec. Please go ahead.
Aditya Bhartia: Hi, Good afternoon Mith un, my first question is on the performance of South versus non-South,
where in this particular quarter, we have seen fairly strong growth in South while non- South
appears to be a bit muted. Is there any particular reason behind that? And is there any change i n
competitive intensity in either of these regions?
Mithun K Chittilappilly: No, I don't think there is any change in competitive intensity. I think it's just that last year, in
Q3, the non-South region, especially East had a very strong performance for summer categories.
So last financial year, we had a very, very strong performance from certain parts of non-S outh
especially , the East, for summer categories. And this year, I think they have degrow n. So that's

primarily pulling down the non-South performance. But otherwise, we are not seeing any major
change in the intensity of competition. So it's a base effect issue.
Aditya Bhartia: Understood. And secondly, in this particular quarter, we have seen employee expenses going
down. So is there some reversal of provision or something that we should be aware of? There's
a fairly sharp reduction both on a year -on-year as well as quarter -on-quarter basis.
Mithun K Chittilappilly: Yes. Sudarshan, you want to take this?
Sudarshan Kasturi: Yes. So there's been a reversal of some variable pay provisions, so which is why it goes down.
It's something we review in Q3 every year depending on how the 9 -month results look, we then
take a call whether payout is likely or not.
Aditya Bhartia: Understood, Thank you so much.
Moderator: Thank You. The next question is from the line of Rahul Agarwal from IKIGAI Asset Manager s.
Please go ahead.
Rahul Agarwal: Hi, good evening everyone . Just one question on the downside risk in terms of this entire
inflation on commodities, except plastic, I think a lot of metals are seeing very substantial hikes.
Is the market ready enough to take or absorb these price hikes, which we're planning to do? And
I'm sure everybody else is also planning the same thing. And would you agree that temporarily
these gross margins might come under p

ressure? Any thoughts around this?
Mithun K Chittilappilly: We see some risk in the F ans' category where this impact is very severe, coupled with new
energy rating norms kicking in on 1st of Jan. So, there has to be significant price hikes in the
Fans' category. We have already taken some increases and I think another 2- or 3-odd percent
of increase is required before March. In t he other categories, the impact is not so high because
the usage of copper and aluminium is not so much. Steel and some of the crude derivatives like
plastics have actually softened a little bit, which are making the impact a little less er.
In Wire s, as we have mentioned before, there is dynamic pricing. So , all the price increases and
decreases are passed on to the market with a short l ag. So really, I think the Consumer Durables '
segment is where we feel there could be some challenge. Other categories, we don't ; at this point,
we don't feel it so much. Yes, there is a price increase that is required but the quantum is not that
high, but for the F ans' category, it is.
Rahul Agarwal: And for S tabilizer s, how does it work from a raw material perspective?
Mithun K Chittilappilly: On Stabilizer s, I think, Ram, do you want to take this?
Ramachandran V : Yes, for S tabilizer s it will be about maybe 1.5% to 2%. So generally, in most ; I think even in
Fans, the problem is for the copper models . For BLDC, or alumin ium-based model s, the
increases are lower. And if you have high performance-based fans where the copper content is
high, there is an issue. As t he extent of price increase required is larger .

Rahul Agarwal: Thank you for that. Got it. So basically, what you're saying is in case this inflation continues,
the Company will take price hikes and that should take care of margins. Is that right to
understand?

Ramachandran V : Yes. We have started to initiate price increases. I think we have passed on some price increase in Fans. We have passed on ; we have taken some price increase in P umps in Jan and in some categories we are doing in Feb and some we will be doing towards the end of March. A nd we will be landing all of these things. Typically, in some of the categories, it's about 2% - 3% and Fans is one that is fairly significant, i f it is a copper -based model.
Rahul Agarwal: Got it. And on the Company's salience to a copper -based kind of Fan mix, what would that be , overall?
Ramachandran V : We should maybe about 20%- 25%.
Mithun K Chittilappilly: Yes. About 25% - 30% would be copper i.e., copper -based. Others are all either aluminium or BLDC and alumin ium models.
Rahul Agarwal: Got it. And secondly, on Wires, what was the volume and value growth separately within Electricals? And how has been Jan so far? Is the momentum sustaining on volume growth?
Mithun K Chittilappilly : In Wire s right now, there is a significant increase in copper prices. So the trade is also incentivized to upstock. January also, we have seen continued increases in copper prices, and we are also in the process of revising prices. So Jan also, there has been decent offtake. Volume growth is muted, but value growth will be there because it's almost, I think, now 30 . If you look at Jan over Jan , it's almost 30% increase in prices. So volume growth could be muted, but value growth is definitely there because the ability for retailers to invest does not increase so much as with the increase in prices. And we are also seeing some softening of demand from Project s' customers who are, at this price, not too confident to buy in large quantities.
Rahul Agarwal: Got it.
Sudarshan Kasturi: For December quarter on your question, the price growth was about 20%, volume growth was 10%.
Mithun K Chittilappilly: So, 10% and 20% for December.
Rahul Agarwal: Got it. Thanks Sudarshan, thanks Mithun and thanks Ram. All t

he best.
Moderator: Thank You. The next question is f rom the line of Aniruddha Joshi from ICICI Securities. Please go ahead.
Aniruddha Joshi: Sir, regarding the Fans, now we will see material price hikes in the copper -based fans or alumin ium fans also. And the gap between induction fans versus the BLDC fans may come down. So do you see the BLDC Fans as a category or the attractiveness of BLDC Fans as a category itself may go up materially, and that might be impacting , largely , the induction F ans' players and some of the new age players or e-commerce players who were largely focusing on

BLDC , that tend to be at a slight advantage? Or in such a scenario, what will be strategy of V - Guard as far as the BLDC F ans are concerned?
And then one important question. Do you see a threat to induction as a technology itself the way it happened in case of CRT televisions or bulbs , like that?
Mithun K Chittilappilly: So definitely, the delta, that means the difference between BLDC and N on-BDLC is shrinking because BLDC F ans require less ; the motor design is very different and it requires less content.
And most of the motors are made out of alumini um. So in that sense, BLDC F ans' price inflation will be relatively low, and the induction copper motors will be the highest. So definitely, like today , for V -Guard, maybe the BLDC sales may be 25 -odd-percent of total sales.
We will see that steadily increasing, but I don't think 100% will move to BLDC because BDLC still has some challenges or some acceptances ' issues. For example, up country markets, where there is violent voltage fluctuation and all that, not all the BLDC fans are working properly there. We have certain models which are able to work in low -voltage and high-voltage conditions. But not all the companies have such models.
So, among the trade and among the customers, there is a general pushback for BLDC in certain markets. So we'll probably see induction motor fans still selling, but the percentage of induction motor fans is steadily coming down, maybe we can see 5% to 10% reduction in the size of the induction motor fan s towards BLDC , in favour of BLDC every year, and that's what we expect.
V-Guard is well equipped. W e caught this trend at least 3 - 4 years back, and we have very good offerings in the BLDC segment, and we continue to have products in the pipeline to launch. We have the right models to attract customers to the segment.
So definitely, yes BLDC segment will grow. But I don't see it becoming 100% soon. M aybe , after a few years, we'll see because as of now, we still have certain markets where customers are not fully accepting BLDC.
Aniruddha Joshi: Okay. Sure, sir. Just last two questions before I get into the queue. You indicated there is high channel inventory of Wires. So if you can indicate the quantum compared to the normal inventory level, what is currently, the excess inventory? That is point number one .
And point number two, how do we read butterfly numbers because now profitability has improved. But again, revenue dip continues to be there. And again, profitability may get under

stress with the increase in commodity prices. So how should we see or model the numbers of Sunflame over next, let's say, 3 to 4 qua rters? Yes, that's it from my side.
Mithun K Chittilappilly: In Wires, yes, there has been some upstocking by retailers, but it's not that a lot of them are holding that inventory. Many of them have ; when you're looking at inventory levels of distributors , they have sold out. But definitely, they are holding more inventory in a price deflationary environment. Ram, you want to take this question about Sunflame 's margin s?

Ramachandran V : Yes. We are right now in the process of Sunflame 's sales integration, which started actually about 2 months back. When I'm talking about sales integration , we are talking about integrating the sales force and the go -to-market system between Sunflame and V -Guard. So this quarter is the quarter when the transition ; I mean it started somewhere around November of this financial year.
When you look at a full year basis, we will have a decent growth, both in GT and also in, I would say, organized retail. It is taking time for us. I mean we have lost some ground in CSD, CPC on challenges that we have already discussed earlier. And that's the segment which is under pressure. E-commerce is also taking a bit of time because we need to refresh the product portfolio. So that work is underway.
We have been working on the product refresh road map of Sunflame. S tarting now , over the next 1 year ; and already some newer models have landed also and some more or landing , in the next 12 months. So I would say that in Sunflame, more or less the challenges are behind us, and we look forward very optimistically.
We have completed the customer service integration and our service levels have significantly gone up. That was a huge pain point because the cycle times were long, and we also had issues with spares and all of those things. So those are all behind us now. T he new customer service system is now 3 - 4 months old.
Supply side integration is also underway in parallel. And this quarter and next quarter, I think the integration will get complete d there. I think we should be able to perform much better going forward.
Landing pricing has not been a challenge as far as Sunflame is concerned, I think we have been able to hold our gross margins. We have been able to transmit pricing. So that has not been a challenge at all at any point in time. Mainly the stress has been because we have not been able to; the product refresh cycle is long because it takes about 18 months to refresh the portfolio, So those actions were late to start for various reasons and the impact of that will be felt as we go through the coming year.
Aniruddha Joshi: Sure, sir. This is very helpful. Many thanks.
Moderator: Thank You. The next question is from the line of Naushad Chaudhary from Aditya Birla Mutual Fund. Please go ahead.
Naushad Chaudhary: Sir, hope I am audible. first thing, I wanted to understand on the Gegadyne battery start -up, how is that doing? And how can that help our base business in the future? And is there any scope for emerg ence of any new category with the help of that start up?
Mithun K Chittilappilly: Ram, do you want to take it?
Ramachandran V : Yes. Gegadyne is a technology company, and the technology evolution has shaped well. T hey have now , with the limited ability at this stage, been able to start mak ing supplies for a couple

of local players, in small quantities , as a proof of concept and so on. And as also, they will be supplying to us in some time. Maybe over the next 3 months or 4 months, I think they will start supplies to us also, in small quantities.
They are now moving from technology development phase to commercialization phase, at this point in time. T hey are evaluating and exploring how to set up a supply chain that can be scaled up to address business and market opportunit ies. So that's where we are. W e continue to support them in technology development and in helping them to find the pathway for building supply capabilit ies.
Naushad Chaudhary: Assuming it goes well, h ow will this benefit or strengthen your base business in the future?
Ramachandran V : No, it will give us a vehicle to participate in the opportunity that will come by way of energy storage . So we'll see how that market develops and it will be possible for us to participate in that opportunity. The scope of that opportunity will depend around how the market looks for the new ene

rgy offerings.
Naushad Chaudhary: Okay. And second, on the competition side, especially in the S outhern market, we have been hearing that the intensity in that market is increasing, just wanted to qualitatively set in terms of market share, especially in your core categories. Are we holding up in the S outhern market? Are we gaining or are we finding it difficult to hold on to the market share in the Southern market ?
Ramachandran V : Mithun, do you want me to take that?
Mithun K Chittilappilly: Yes.
Ramachandran V : No. competitive intensity has been expanding from somewhere around 2016 or 2017. So it's been a continu ing process . So to that extent, I think there's nothing different. I wouldn't say that there is a particularly a strong increase in competitive intensity.
What happens is , in Southern markets, the trade structure is better organized . Organized retail is well developed in the South and e -commerce is also well developed in the South . And because of these two factors, market entry is easy , relatively. We are able to reach a larger portion of the market through these two vehicles.
That being said, the consumers in the S outhern markets are quite discerning. It's not that easy to build a healthy franchise – you could make an entry by way of maybe aggressive pricing or something like that , but it would be very difficult to sustainably run business because these channels also have very high cost of doing business and all are also competitive.
At this point in time, I wouldn't say in any of the categories we are losing ground. In fact, in some of the core markets we have had strong growth also , where we may have some problems from time to time in one or the other market, which may be related to, let's say, talent attrition or something like that. Those kind of sporadic things will be there , but nothing fundamentally.
I wouldn't say that there is fundamentally any loss of ground from an overall perspective.

And generally, there are some years ; because lot of our categories are also connected to, let's say, weather and those kind of challenges. In a country like ours, this is not uniform across every part of the country. But generally, we have found that if okay, one year we do not do well , next year we do very strongly. W hen you look at a 3-year growth or 5- year growth, we are fine. So, I would not say that there is a systemic issue at this stage.
Naushad Chaudhary: Sir, one more question, sir, on the margin side – just wanted the rebate on commission , as we have expanded the gross margin, though, this year 's cycle was not in our favo ur. But assuming if growth comes back in double digit, should we expect the Company's EBITDA margin to g row double digit in within two years?
Mithun K Chittilappilly: I think so. I think if our growth does come back, we should be expecting double -digit EBITDA margins, yes.
Naushad Chaudhary: By FY '27 -end?
Mithun K Chittilappilly: It will depend on a couple of things. One is the raw material inflationary environment . I'm hoping that by that time, the sudden spike and all that is going to get normalized. Then in that case, we should be able to come back to the double -digit mark.
Naushad Chaudhary: Sure. And last one, we have done amazingly well in terms of our S tabilizer s, UPS, W ater Heater s, but in the newer categories, we have been slightly struggling. So in terms of strategy, our playbook, is there any differentiation we are trying to bring on the table which might be slow in terms of ramping up this category, but once you reach the size as y ou have reached in the base business, would be very difficult for the competition to challenge?
So just trying to understand, are we just trying to play like any other leading player in these new categories to get the growth and a little bit of TAM from here and there? Or is there a

ny
differentiation we are trying to bring to these categories, which can help you to be a better player in next couple of years , in the newer categories?
Mithun K Chittilappilly: As far as K itchen is concerned, once the integration with Sunflame is complete, we expect a very strong both product portfolio as well as the sales team and a sales system to enable us to grow faster than the market. And we are putting all the building blocks in plac e for that.
Some of the other categories that we are working on, there we are also doing some work on Modular Switches, where we are, again, working on some product refreshment and all that.
Some of the other categories have already done well , for example, both in the case of Inverters – Solar Rooftop and F ans, we have had a very decent growth in the last 6 to 7 years.
Our current focus is to improve sales of K itchen and Modular Switches. These two segments have not done as well as we hoped. So definitely, we are doing some work, and we hope to see some results.
Ramachandran V : Yes. Mithun, I'll just add two more points . See, fundamentally, our gross margins are decent in all of these categories . So we are comparable with market leaders. So I think the acceptability

of the brand and the acceptability of the offering and the willingness of consumers to pay the price, all that is fine.
The other part then is that why is it not reflecting in EBITDA ? Because these businesses have to scale up and they will take their time to scale up, and as each of these business es scale up, they will become profitable. So then it's more of a scale issue, even though we mostly are referring to Consumer Durable categories and even though we have scaled lately, but still pre -COVID, post -COVID it has gone up. But at the same time, there are challenges. These categories are also strongly influenced by weather.
So you have a good year, a bad year. That is one issue that is there in these categories also. A nd since it's a seasonal category, the significant window is like a 4 -month, 5-month window as opposed to some of the other categories where we have a 12 -month window. So these are some of the challenges. So fundamentally, I think it's not an issue of the margin or pricing or positioning. It's a matter of scale up. And once the business acquires certain scale, I think the health will fall in place.
Naushad Chaudhary: Just a follow -up on that – I was just trying to understand whether your new categories offer similar kind of scope or opportunity to bring differentiation to the market, which may help you to dominate the market share as you have done in your past few products? Or would it remain a very competitive market and you have to operate at a par with what peers are operating? So on that aspect , I was trying to understand, is there any space for an edge that you see to dominate the newer categories as well?
Ramachandran V : No. So we have an active product pipeline . Of course, we continuously try to strengthen our product pipeline and improve our refresh rates. So that's a continuous exercise. You would have seen that we launched Luxecube (Electric and Smart Water Heaters) right now.
We also launched a popular , not popular, I would say, mid-premium platform in BLDC F ans. Both of them were launched this season, and they have done exceedingly well . They have exceeded our plan s for the year. This is a continuous exercise.
And as you can see, this year, summer was not great. So summer categories, including F ans were impacted . So although the underlying movements are good in some of the categories, the overall maybe dampened .
Also, what is happening is that we are, as the time is progressing, looking at the future opportunit ies, we are also investing in those businesses. We are putting people on the ground. We are making investment s in retail.

So , all of those things are happening. If we were to hold the business static, then whatever improvements we make, we can show in the bottom line. But we continue to invest in those businesses. And when we invest in the businesses, that impact of that has to be absorbed on a smaller business.
That's the thing , that's why I said fundamentally not a problem of margin. It's a problem of scale. So when we hit the right scale, like in I nverter Battery – now we made good money because we

hit that scale. In Fans too, we will hit the scale maybe in a couple of years and when we do that, we will make money in F ans, just as others do. Like that is how it will go.
Those categories that we make money , we have the scale in relation to the category size. So we'll have to hit those numbers. Of course, we can force the pace by putting more money. But in our experience, we found it a lot more easier to balance and take time to build the category so that the fundamentals are strong.
Naushad Chaudhary: Sure sir. Thank you, so much. All the best.
Moderator: Thank You. The next question is from the line of Ankur Sharma from HDFC Life. Please go ahead.
Ankur Sharma: Hi, sir. Good afternoon and thanks for your time as always. First question was on the overall demand over the next 2 to 3 quarters. And the context being you have given that we are in a fairly inflationary RM environment and as you mentioned, both for F ans and for Wires that's a contiguous process that you are taking significant price hike. Would you believe that volume growth also may start coming down something we saw post -COVID as well when we ha d this highly inflationary environment and where companies were resorting to p rice hikes and for quite some time, in fact, volume growth started to kind of suffer. So would that be the same kind of environment in the next few quarters as well?
Mithun K Chittilappilly: So definitely, in the case of W ires, there has been a significant increase in prices to the tune of close to 30 -odd percent. So definitely, there this argument that volume s for the product demand could take a hit, is true . But for the other 75% of categories, the price inflation is not that high.

So we don't expect any much impact on the volume growth going forward.
And the second thing is the next big trigger is the onset of summer. So by February, we have a decent start to summer in South India and if we have a continued warm temperature across , during the summer, we should be largely okay. T he expectation as it stands today from IMD, the Met eorology Department is that we will have a fairly warm summer this year. So that's what we are expecting.
In Wire s, yes, because there has been significant price inflation, volume growth could be a challenge. But then this is a product that is required and it is not a V -Guard -only problem – all copper wire manufacturers too have to increase prices. So finally, people who are constructing something and building , wiring something , will have to purchase it. But yes, there is a fear because the quantum of increase is very high.
Ankur Sharma: And just to kind of follow on that one. So even on Fans with the 8%- 10% price hike assuming a normal summer , do you think that can be easily passed on and volume growth should continue .
Mithun K Chittilappilly: So in Fans, the major price hike is happening for copper models and models where we are using only copper and high- performance model s. So we see a shift for demand from those models to BLDC, where the price increases are much lower. So in Fans, at least, we will see more movement to BLDC from the traditional induction copper -based mode ls. For Fans, l ike I said,

for all the SKUs, it is not going up at the same rate. It is o nly in certain SKUs where this ki

nd of
inflation is there .
Ankur Sharma: Fair. And just on Stabilizers, could you talk about the inventory there within the system given I believe more than half of the inventory, sorry, Stabilizer sales is for AC. So how is the inventory there? And any initial feeler s that you're getting for the Southern markets in terms of how the coming summer could be, as typically by the end of Jan, we start hearing initial trends. So anything you can highlight would be helpful.
Mithun K Chittilappilly: Stabilizer s' inventory is largely normalized, you would have seen that our working capital management in Q3 has been fairly good. So a lot of the inventory that we had produced last summer, a lot of them have started to get liquidated. The preliminary report from the ground is that in Kerala, at least, we have started to see warm temperatures. We are hitting like 32 - 33 degrees in the daytime, which is pretty warm for January.
So the expectation is this will continue, and this is fairly good news as we speak. But then again, we have to wait and see till we complete the quarter. But yes, we have started to experience warmer weather down South.
Ankur Sharma: Great. all the best, very helpful.
Moderator: Thank You. The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance. Please go ahead.
Keyur Pandya: Thank you for the opportunity. Actually, the question is again on the demand side. So specifically on two segment s – Electronics and C onsumer Durables . Probably because of the low base of last year in both the categories , for some of the products like S tabilizer s, Coolers and Fans, is it logical to believe that the growth should be easily in the double digit s at least for the next financial year and is in the backdrop of a low base , plus newer categories like Solar Inverters, et cetera? So that is first question on the growth side for both of the segments.
Mithun K Chittilappilly: Yes. So in the Electronics ' segment within that, the Air Conditioner Stabilizer s category has sharply degrown this year, the same as for A ir Cooler s. For both these products we are expecting a very strong rebound in the current year. The base is already low.
As far as S olar Rooftops is concerned, they continue to do well. I mean we have not had a big slowdown in the sales of that category because that is not fully dependent on summer. So that will continue its regular trajectory. It is a category that's growing fast. The entire category in the country is also growing fast. So , we are very bullish about the S olar Rooftops business. So this is what I can say about the demand side.
Keyur Pandya: Understood. And second on the profitability for both of the segments, I mean, as you mentioned, the Fans and specific categories of Fans ha ve high inflation. The rest of the portfolio has manageable inflation, plus in Electronics, I mean in a weak year like FY '26, what ever margins that you have mentioned, so is it fair to believe that whatever margin we see for, say, FY '26,

FY '27 should be either similar to that or better margins than that FY '26, just because of the operating leverage in both of the segments?

Mithun K Chittilappilly: So that is our expectation, but one caveat is there. I mean, today, we are in a fairly uncertain environment as far as commodity prices are concerned. We have not seen this kind of an increase in copper in a single year, going up by 40%. We have not experi enced something like that at least, I have not experienced this in the last 17 years. So, we are talking about a very, very volatile commodity environment.
So if the commodity doesn't violently go up from these levels, whatever you are saying is possible. But that's one caveat we have to hold because we had that issue in 2023 when the Russia -Ukraine war broke out and commodity pr

ices sky-rocketed. So i n that kind of a situation .
Today, it is mainly copper that is going up and aluminium , other commodities have not still gone up. So, we'll wait and see. So, but I think in my sense is we should do better in FY '27, better than FY '26 is what we feel because of the better summer categor ies' contribution and operating leverage.
Keyur Pandya: In terms of profitability, right?
Mithun K Chittilappilly: Yes.
Keyur Pandya: For profit margins?
Mithun K Chittilappilly: Yes.
Keyur Pandya: Thanks a lot. Thank you.
Moderator: Thank You. The next question is from the line of Ankit Soni from Mirae Asset Sharekhan . Please go ahead.
Ankit Soni : Hi, sir. Thanks for taking my question. Just one question on the Solar business side. Since we have a S olar Inverter , Rooftop Inverter business and the P anels business, you also mentioned that V -Guard is more looking into enter into S olar Pumps business. So any forward move over there?
Mithun K Chittilappilly: So we have started to participate in the tenders for S olar Pumps. And I think we have got our first order, and we are in the process of completing it. It is not a very large order, but we tend to, in the next 12 -18 months, scale it up meaningfully. So we have already started to supply to I think Maharashtra S tate Government for S olar Pumps , and we intend to scale up this business going forward. We have already started and we are already processing the order .
Ankit Soni : Can you please let me know the quantum of the order onc e, please?
Mithun K Chittilappilly: It's not very large in my view . It was some INR 4 crores or INR 5 crores.
Sudarshan Kasturi: INR4 -5 crore s.

Mithun K Chittilappilly: INR4 -5 crores. It is a small order. It's not a very large order. Yes , from INR4 crores to INR 5 crores.
Ankit Soni : Fine, sir. But you look on for visible green shoots for the C ompany to expand in that particular segment?
Mithun K Chittilappilly: Our acceptance has been very good. I think we have just put in baby steps today. But I think in the next 12 t - 18 months, we hope to build a solid business in this category.
Moderator: Thank You. The next question is from the line of Natasha Jain from PhillipCapita l. Please go ahead.
Natasha Jain: Thank you for the opportunity. My first question is on Stabilizers. Could you tell us what is your market share in that category? And who are your exact peers here? Also, we observed that in calendar year '25, a lot of newer brands had come in. I mean I even saw Volt as for that matter coming up with Stabilizers. So how do you see competition in that segment? That's my first question.
Mithun K Chittilappilly: We estimate that we have a market share of about 40% - 45%. This category is fairly niche in that sense. The only serious competitor we have today is a company called Microtech, which is into Inverters and Batteries, based in Delhi. They are probably our closest peer and maybe doing about INR150 crores - INR180 -odd crores. Almost all the A ir Conditioner companies have Stabilizers.
At some point, they will launch and then they will stop, then they will launch again and then they will stop. So , I am pretty sure this is not Volta s' first time that they are launching. They have launched in the past also. Yes. So the thing is this is more of an ancillary income , so probably it is not ; so all the Air Conditioner companies have S tabilizers, but usually, they tend to lose focus a few years down the line.
So that's what we've seen in the past. But as far as serious competitors are concerned, we have one brand, which is called Microtech. Then we have a lot of regional brands in each state, but I would say nationally, maybe one brand is there.
Natasha Jain: Got it. And sir, one related question to this, on a little bit longer term. So nowadays, we see that ACs come with a

n inbuilt S tabilizers. And I have also heard a lot of influencers trying to educate
people on this that you do not need to buy an extra stabilizer. So do you think is that a risk? And
if so, by when will it start impacting us on a larger scale?
Mithun K Chittilappilly: So this is a debate that's been going on for 15 years. This is not a new thing. And to put it in
perspective, last 7 - 8 years, we have had a volume CAGR of 7% - 8%. So even last 5 years, we've
had a volume CAGR of 10%. So we still very strongly track the A ir Conditioner sales.
We are selling more in up country markets and that's where more of the growth is coming from.
So the newly electrified villages, the hinterlands of North and East where electrification is new,
where also power issues are more. So these are high -growth markets for us.

So I mean, like, your guess is as good as mine. So we have reduced dependence on this category
significantly. So today, it's less than 15% of our sales. It used to be much higher, 10-20 years
back. So we have diversified a lot away from this category.
But to your question, when it will go out of relevance, your guess is as good as mine. I mean we
keep debating this, and it's been going on for more than 15 years since. All we can give you is
the last 5 -year, 10 -year CAGR numbers.
Natasha Jain: Got it. Sir, just to clarify, you said less than 15% of the total sales, right, currently for S tabilizers?
Mithun K Chittilappilly: Yes.
Natasha Jain: May I know what it was, say, 3 years back?
Mithun K Chittilappilly: It would have probably been the same.
Yes, like maybe 15 years back, it was about INR 50-odd crores.
Natasha Jain: Got it. And sir, one last question on K itchen Appliances. Is there still a very severe competition
coming from the unorganized or unlisted side players? Or has that eased out?
Mithun K Chittilappilly: You're talking about K itchen Appliances?
Natasha Jain: Yes, Kitchen Appliances.
Mithun K Chittilappilly: Ram, you want to take this?
Ramachandran V : I think there is activity happening. I mean there are continuously people entering the category
and exiting the category. So that action is happening. This is a complex category in terms of
GTM because the revenue is coming through multiple pipes .
So I think there are people who have taken the route of trying to build and establish through
brand shops. S o these things are going on, but mostly people struggle beyond a point in scaling.
Natasha Jain: Understood. Thank you so much and all the best.
Moderator: Thank you. The next follow -up question is from Rahul Agarwal from IKIGAI Asset Manager .
Please go ahead.
Rahul Agarwal: Thank You. Just one question, Mithun and Ram. Let's say, on a bit of a longer term, 5 years from
now growing at 15%, the Company should somewhere target INR 9,000 crores to INR 10,000
crores sales. At that level, just in terms of the categories that we have, right, which are the
categories which can be of INR1,000 crores kind of sales benchmark with double -digit margins?
And in terms of your market share in those categories, would you visualize that you will be in
top-3? If you could just talk about what categories have that kind of potential. This is excluding
Wire s and where do you think you can actually pl ay a market leadership, something like what

you have seen for S tabilizer s, can you create something in the other categories ? Just a longer -
term thought ?
Mithun K Chittilappilly: So there are a lot of categories that are more than INR 500 crores, INR 600 odd crores for us -
there is the Stabilizer s category , Fans, Inverters and Batteries and S olar Rooftops, on its own.
So these are all , these 4 categories are very much , and Kitchen Appliances is almost INR500
crores , if you put V -Guard plus S

unflame. So, we have at least six categories that can do more
than INR1,000 crores.
Many of them are in a fairly good EBITDA margin profile already, and many of them we are
working on them. So there are at least six categories that can potentially be more than INR1,000
crores , to contribute to that total as you mentioned.
Rahul Agarwal: Would that mean in terms of market share, can we claim the top-3 position? Is that something
of parity in the Company? How do you think about that?
Mithun K Chittilappilly: I think we do not chase volumes. We are more chasing profitability. So if you look at the F ans
segment , we do not play in the mass segment, the econom y segment. And that segment is a
segment that's going to get hit the hardest when inflation like this happen s. So I think our focus
is on building a profitable business rather than claiming a certain market share position.

But in some segments , we will be in the top -3. Like for example, we would like to be the top-3 in the D ecorative and BLDC Fans categories , for example. We would like to be top- 3 in the Premium TPW F ans segment . So we may not be there in the overall scheme of things. But I think in some segments , we would like to be in the top-3.

Rahul Agarwal: Got it. Thank you so much and wish you best of luck for rest of the year.

Moderator: Thank You. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Mithun K Chittilappilly: Thank you all for taking out the time to join our earnings call. Once again, I would like to thank Aniruddha Joshi and the team at ICICI Securities for hosting this call. We look forward to interacting with all of you in the next quarter. Thank you.

Moderator: On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2026

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May 18, 202 6

The Manager,
Listing Department,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001 The Manager,
Listing Department,
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1,
G Block, Bandra- Kurla Complex,
Bandra- East,
Mumbai - 400 051
Scrip Code: 532953 Symbol: VGUARD

Dear Sir/Madam,

Sub: Transcript of earnings call pertaining to the Financial Results for the quarter and year ended March 31, 202 6.

This is with reference to the intimation dated April 27, 202 6, ■led with the stock exchanges in terms of regulation 30 of the SEBI (Listing Obligation s and Disclosure Requirements) Regulation s, 2015, regarding the earnings call to discuss the ■nancial results for the quarter and year ended March 31, 202 6, scheduled on May 1 2, 2026 . The audio recording was ■led with the stock exchange. We are enclosing the transcript of the Earnings call. The same is also being uploaded on the website of the Company at https://www.vguard.in/uploads/investor_relations/V -Guard -Industries -Q4-FY26 -Transcript.pdf .

We request you to kindly take the above information on record.

Thanking You,
Yours Sincerely,
For V -Guard Industries Limite d

Vikas Kumar Tak
Company Secretary & Compliance Officer
Membership No. FCS 6618
Encl: As above

“V-Guard Industries Limited
Q4 and FY26 Earnings Conference Call ”
May 12, 202 6

MANAGEMENT : MR. MITHUN K. CHITTILAPPILLY – MANAGING DIRECTOR – V-GUARD INDUSTRIES LIMITED

MR. RAMACHANDRAN V – DIRECTOR AND CHIEF OPERATING OFFICER – V-GUARD INDUSTRIES LIMITED
MR.
SUDARSHAN KASTURI –SENIOR VP & CHIEF FINANCIAL OFFICER – V-GUARD

Moderator : Ladies and gentlemen, good day , and welcome to the V -Guard Industries Limited's Q4 and FY26 Earnings Conference Call , hosted by Investec Capital Services Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vineet Prasad from Investec Capital. Thank you, and over to you, sir.

Vineet Prasad : Thank you, Yusuf. Good evening, everyone. A warm welcome on behalf of Investec India to Q4 FY26 earnings call of V -Guard Industries Limited. We have with us the senior management team of V -Guard represented by Mr. Mithun K. Chittilappilly, Managing Director; Mr. Ramachandran V ., Director and Chief Operating Officer; Mr. Sudarshan Kasturi, Senior Vice President and Chief Financial Officer.

Now I'll hand over the call to the senior management for their initial remarks, post which we'll open the floor for Q&A. Thank you. Over to you, sir.

Mithun K. Chittilappilly: Thank you, Vineet , and the Investec team for hosting today's call. A very warm welcome to everyone joining us today to discuss the company's operating and financial performance for the fourth quarter of FY 26. I trust that all of you had the opportunity to review the investor presentation shared earlier.

We delivered a robust performance in Q4 marked by strong growth in both revenue and profitability. Consolidated revenue for Q4 FY 26 stood at INR1,755 crores, a Y -o-Y increase of 14.1%. For the full year, we achieved a top line growth of 7% with almost all growth coming from the second half.

The Electronics segment comprising of S tabilizers, UPS systems, Inverters and Batteries , delivered a strong growth of 22.3% Y -o-Y. All categories delivered growth during the quarter.

The Electrical segment; which is our largest revenue contributor and includes W ires, Pumps, Switchgears and M odular Switches , registered a Y -o-Y growth of 15.9%.

In the Consumer Durables segment covering F ans, Water Heaters, Kitchen Appliances and A ir Coolers; we reported a 4.1% Y -o-Y revenue growth. Fans and A ir Coolers witnessed a decline while Water Heaters and K itchen categories grew strongly.

Sunflame reported a Y -o-Y top line growth of 8.6% in Q4. The slowdown in the CSD business continues, but the non-CSD business grew by about 16%. The GTM integration has been completed and the business is experiencing strong traction.

In Q4 FY 26, the revenue from South markets grew by 16.2% while non-South market grew at 11.8% Y -o-Y. For the full year, non-South market contribution is at 48%.

The gross margin remains healthy. We have maintained gross margins at 35.3% this quarter, which is at similar levels of Q4 of last year. This is on the back of significant improvements achieved in the last 3 to 4 years.

EBITDA, excluding other income, for Q4 stood at INR171 crores reflecting a Y -o-Y growth of 19.3%. For the full year, we reported EBITDA of INR527 crores, an increase of 2.6%. EBITDA margin for the full year was 8.8% compared to 9.2% previously.

Consolidated PAT for the quarter was INR112 crores, up 23% Y -o-Y compared to PAT of INR91 crores in the previous year. For the full year, consolidated PAT was INR308 crores, lower by 1.7% Y -o-Y. In Q3 , we recognized an exceptional one- off charge of INR22 crores towards gratuity and leave encashment arising out of the new Labor Code. Without this impact , the underlying PAT growth for the full year would have been 3.6%.

Working capital management continues to be efficient leading to strong cash flow generation.

We have a net cash of INR231 crores as on March 2026 as compared to INR64 crores in the previous financial year. Considering the financial performance and healthy cash position, the Board of Directors has

recommended a final dividend of 150% equating to INR1.5 per equity share.
The West Asia war has created challenges in terms of commodity inflation and supply uncertainty. So far we have navigated these challenges well, which reflects the inherent resilience of the business. We continue to monitor these risks and we have mechanis ms in place to take appropriate and timely actions.
Overall, FY26 was a challenging year with the first half experiencing weak summer and tepid demand. The business performed much better in the second half. With the momentum of Q4 and indications of a supportive summer, we are hopeful for a strong start to FY27.
With that, I conclude my opening comments and I would like to thank Vineet and the team at Investec for hosting this call. And would like to request the moderator to open the floor for Q&A. Thank you.
Moderator: Thank you very much, sir. We will now begin the question-and -answer session. First question is from the line of Aniruddha Joshi from ICICI Securities. Please go ahead .
Aniruddha Joshi : Thanks for the opportunity and Congrats for a great set of numbers. Sir, in terms of the price hikes if you can indicate because all commodity prices have increased materially. So what will be the price hikes across segments or at the aggregate portfolio level? Have we passed on the entire impact of increasing cost to the consumers or do we need another round of price hike s, and what will be the quantum? That is question number one.

Question number two, whether the K itchen Appliances segment has now really come out of , in a way , the bear phase and now we should see pretty healthy growth in the segment considering the strong numbers posted by Sunflame also? How should we think about for FY27 for K itchen Appliances as a category itself?
And three, how is the F an market shaping up post March? Because we had understood that Kerala as a market had seen some amount of softness, Kerala and Karnataka. H ow are we looking at the F an and C ooler market post March?
Mithun K. Chittilappilly: Yes. I'll take up the second part, which is on K itchen Appliances. Yes, we do believe that there seems to be some improvement in demand for K itchen. So we are seeing traction both for V - Guard as well as Sunflame and I think the GT business of Sunflame is growing well. But we have also taken some actions in terms of business integration, which is also helping.
We have more boots on the ground as far as selling Sunflame is concerned and now Sunflame has access to all the networks and capabilities of the sales system of V -Guard. So that's definitely helping there. But yes, we do also believe that K itchen business is slowly coming out of the woods after the lull, which happened post COVID. The third part , okay, now we'll go for the first part. So , Sudarshan, on price hikes, what is the quantum?
Sudarshan Kasturi : Yes, there have been some significant increases in input cost . Across representative categories , typically , we are seeing in a range of somewhere between 8% to 13% kind of cost increase. This has happened over a period of time and what that translates into is eventually when the high cost inventory comes in, a 13% price hike would be required. At the moment pri ces are getting passed on. We have probably landed about 75% of what price increases are required so far and that's something we would like to watch in future.
Mithun K. Chittilappilly: Yes. We have landed most of the pricing action and I think most companies have announced and taken pricing action and the balance 25% should happen as and when the high cost inventory starts hitting in the month of May and

June is what we feel.
The third is on the Fans. So the F an business, has degrown in Q4. I don't think it's been Kerala.
I think for us the Eastern market especially the summer products have not grown in Q4. So part of that is also pulling down F ans. Maybe in the South markets including Kerala, F ans would have been a flattish kind of number for Q4. However, in April, the summer sales have been reasonably good in South India, but we'll wait and see what happens for the full quarter.
Aniruddha Joshi : Okay. Very helpful. Just one last question. V -Guard has high revenue salience from state of Kerala and post the war in West Asia, we believe some of the remittances, etcetera, there might see some disturbances to that. So is there a possibility of some impact on the overall economy at Kerala level ? So how do we see that impacting, let's say, FY27? Because probably so far, there was no impact considering it's just two months only. So do you see any impact and what will be the strategy to mitigate the impact, if any?

Mithun K. Chittilappilly: Okay. So far we have not seen any special impact in Kerala. In fact the summer in Kerala has been pretty supportive so the Kerala numbers are pretty good. Kerala today is not that large like

it used to be so it's about 15%, 16%- odd. So it may not impact th e overall company that much
as it used to do earlier. So far we are not seeing an impact.
Even when we talk to real estate companies, they are actually still seeing traction happening
because we also will see some improvement in demand because people are evaluating to
relocate, only the earning members staying back in those countries and sending their families
back home. So all these things are going on. But ha ving said that, Q1 is not about that. Q1 is
primarily going to be summer and Kerala as a state has done well as far as summer is concerned.
Aniruddha Joshi : Ok sure sir. Many thanks and very helpful.
Moderator: Next question is from the line of Vineet Prasad from Investec. Please go ahead.
Vineet Prasad : Hi Sir. I have a couple of questions. One is from FY 27 perspective, how do you see demand
shaping up considering one, the summer season; number two, possible inflationary pressures
and its impact on consumer sentiment? That's my first question.
And second is from the next couple of years' perspective, how do we see margins trending given bulk of the investments in
the new capacity is already done, ramp- up as we speak is on its way?
So if demand momentum is conducive, do you think we are heading t owards double -digit
EBITDA margin over the next year or two ?
Mithun K. Chittilappilly: Yes. I think if you look at FY 27, we just completed one month and South India has done well.
In the South, the temperatures were warm in most part s and in South India , the summer has
started. Non -South, it was raining in many parts of the geography, but non-South also has a
longer window at least till June 30 so we are expecting the demand to pick up. The expectation and the prediction from the
IMD as well as Skymet and other agencies are for a pretty warm
summer. So that is hopeful. In South India, it has already started and the numbers are pretty
decent.
As far as the medium term is concerned, yes. So if you can see after even having such an adverse year, we had a very bad
Q1 in the first quarter in FY 26. We have come back strongly and our
H2 EBITDA is in the region of around 9.5%. So we are already close to double -digit numbers.
Yes, there are some concerns because the cost inflation is very high; across categories, across
raw materials, prices have go ne up. Even metals, the metal prices are also going up. So because
we have to also understand that West As ia also produces a lot of alumini um. They have a lot of
alumin ium smelters, which are out of action now because of the blockade.
We'll wait

and see. But I think the inflationary trend is pretty severe and weak. It is as bad or a
little worse than the Ukraine war inflationary trend what we experienced. But the good news is
this time we are ahead of the curve in terms of pricing and if you see, our margins are fairly
protected in Q4 and we hope to do that. But in the medium term, I think yes. So once this is over

and raw material prices come back to normal, we are pretty confident of hitting double-digit
EBITDA.
Vineet Prasad : Just a follow -up to the question and your earlier response. What I understand is this time around,
industry has been lot more proactive and margins to that extent could remain resilient. Has this
been a case across players wherein most players have taken p rice increase or it is us and couple
of maybe the larger ones who have been proactive or it's the industry?
Mithun K. Chittilappilly: No, I think we have seen a pretty much broad- based reaction by the industry to increase prices.
But in seasonal categories like summer categories, this action is getting delayed. For example in
South India, a lot of this pricing is getting passed on wherea s non -South where summer is yet to
start or is starting slowly, some of it is getting slightly pushed. But I think the intent is pretty
strong. We are seeing this across industry because the quantum of price increase is high. This is
not only about price increase, but in some cases there is genuine shortage of raw materials.
We are all scrambling to secure raw material supply. Y ou could see some of the smaller players
not even being able to produce products. So , we are in a state of supply shock and that's also
another reason why there has been a very strong , almost cohesive action by all players to increase
prices and the quantum is very large. There's no way that most ; in almost all the categories the
cost hike is , I mean the quantum is so large that you can't absorb the shock.
Vineet Prasad : Understood, thank you so much sir.
Moderator: Thank You. Next question is from the line of Rachna Kukreja from Scil Ventures . Please go
ahead.
Rachna Kukreja : Thank you for the opportunity. My questions are on Sunflame. My first question would be , have
we incurred most of the transition and integration-related cost for Sunflame? And going forward,
what could be the expected benefit from these initiatives taken?
Mithun K. Chittilappilly: Okay. Ram, you want to take this on Sunflame integration?
Ramachandran V.: The Sunflame integration is progressing well. In functions like service and quality, we have
fairly progressed with integration and we are seeing results also. There are improvements in cost and there is improvement in

performance and customer satisfaction. I n sales, the integration
happened over November, December and it's still underway. We are seeing early results in terms
of being able to place Sunflame into stronger counters where we enjoy traditionally good
relationship. So I think th at's encouraging.
On the supply side in terms of planning, sourcing; this integration has happened over last quarter.
In general , of course , there will be some benefits in indirect costs, warranty charges and even
cost of quality. So those are areas where we expect to see some benefit. The most significant benefit will come from the sales integration and this is something that we should expect over the
next three quarters into the subsequent year , because I think the initial benefit will come as we
spread Sunflame into our network.

But I think deeper benefits will come from second half of this year as progressively as our NPD
pipeline starts to hit the market over the subsequent 3 or 4 quarters. So I think progressively, we
should see better outcomes because the actions are underway. And we are alr

eady seeing these benefits in functional domains like service and quality, as I already spoke to you about or even warehousing and logistics.
Rachna Kukreja : Sir, just wanted to know about the initiatives taken for the GT and the e -com channel for
Sunflame?
Ramachandran V.: GT is fundamentally in terms of sales integration and branch integration, sales force integration
and branch integration and integration of sellout management capabilities. That's as far as GT is
concerned. E -com integration is fundamentally ; so we are having the same team and the same
systems driving Sunflame. It's taking a longer time because I think we are also working on the
offerings on the platform and we had some challenges with listing some categories, volume in
those categories.
So, GT I think we are seeing traction already. I think we had some decent growth for full year
and I think Q4 was better and we expect Q1 to be also reinforcing the direction of growth.
Rachna Kukreja : Okay. My second question would be given that the innovation cycle in the K itchen Appliance
industry is very fa st paced and we too have refreshed our portfolio and the benefit of this
portfolio would be visible after a year. So will we be able to sustain or improve our profit margins
and how is this new portfolio different both in terms of industry-led innovations and our previous
portfolio? And how would this redefine our position in the industry?
Ramachandran V.: I think 2, 3 things. S ee, we are refreshing products as we speak. It's just that the significant part
of our refresh will land towards later half of this year. That being said, already portfolio
enhancements are happening. Now there are multiple layers here. One layer is where some of
our offerings are dated and they are being upgraded. Some of it is about addressing white spaces. Some of it is about getting the lineup to reflect emerging technology trends like BLDC. So these
are the kind o f things.
So fundamentally the addressability of the market and the freshness of the offering . And
wherever particularly , like we have Fans in CSD or what I would say, we had gaps built -in and
we had gaps in BLDC -based offerings in h obs – these are getting addressed. A s I said, right
now, this year you will start to see benefit as we strengthen the reach with the help of our branch
and our sales force.
And also as we strengthen the sellout capability for Sunflame. So that's our focus. The larger
benefit of product rollout will be more visible in second half of this year and also going into next
year.
Rachna Kukreja : Ok understood. Thank You.

Moderator: Thank You. Next question is from the line of Aniruddha Joshi from ICICI Securities. Please go
ahead.
Aniruddha Joshi : Just two questions. Now with integration of Sunflame largely done and debt repayment also over
so the cash accumulation should start on the balance sheet. Just some of the c apex may take
some cash, but still there might be cash accumulation. So what will be the strategy with the cash?
Is the management or the company looking at another inorganic growth opportunit y or how
should we think about that? That is question number one.
And question number two, we see BLDC , as a technology , is making rapid inroads even in
Kitchen Appliances like mixers also. So how does the management see Sunflame prepared for
that kind of product innovation? And overall, how do we see the BLDC fans ' market share
shaping up for V -Guard? That's it from my side.
Mithun K. Chittilappilly: Yes. as far as the cash is concerned, we are done with debt repayments and yes, barring c apex,

we should be having a reasonably good free cash flow. We have not taken any call of making any acquisitions or anything like that. If we get an opportunity at a good value, we will look at it and it will be a case -to-case basis. So nothing to re

port on that.

The other part is on BLDC. I think already if you look at ceiling fans, V -Guard's BLDC is contributing roughly 40%- odd of the ceiling fans sales, which is pretty good. Our growth in BLDC has been very, very good. Our complaint rates, reliability and offerings are very, very competitive and we are continuing to launch as we go forward.

As far as the BLDC in K itchen Appliances is concerned, there are two areas. One is on mixer grinder and second is on c himney. Chimney, I think we have already launched BLDC chimneys. But in mixer grinder, I think this is a device that is used for half an hour, 40 minutes daily. So it's not a device that is running constantly like a fan or an AC or something like that. So there I think we have not yet launched. I think it's more difficult to explain to customers the rationale of payback when something is running only for half an hour or 45 minutes every day. But in the other two cases like chimney as well as ; chimney the running time is longer, it will be a few hours every day so there seems to be some traction. But I still don't think it will be as much as the Fan because in the case of ceiling fans, it's running for almost 8, 9 hours a day I mean assuming that you're putting fan through the night in your bedroom and thus the payback hypothesis is very strong there.

Aniruddha Joshi : Sure sir. Thank you

Moderator: Thank you. Next question is from the line of Deepak Lalwani from Unifi Capital. Please proceed.

Deepak Lalwani : Hello sir thanks for the opportunity. Congrats on good set of numbers. I have a few questions on the revenue side. I'll ask all of them together. So firstly on the Electronics division, we've seen good growth this quarter. So if you can break up this into volume and value split and if you can help us how the secondary growth that is the channel growth in April has been? That's one.

The second question, the Durable segment I understand has been hit this year because of bad summers. So what is our strategy to revive growth again in this segment? So if you can share your product and channel level strategy?

And third, sir, W ires, we understand that the competitive intensity has increased and one more big player is entering this segment end of this year. So how should V -Guard be able to tackle this and be able to grow?

And at an overall level, Mithun, if you can share what kind of growth rates one should envisage for your company going forward because you've had a bad year and looks like summers have been good and with recovery. So overall, what kind of growth should you aspire?

Mithun K. Chittilappilly: Yes. I'll start with the second part. So if you look at the Consumer Durable segment, both air coolers and fans have performed badly especially TPW fans. That's primarily related a lot of the impact of Q1 where we had extremely poor summer and TPW is a ver y, very seasonal business.

So if it does not get sold in the summer window, then the inventory typically sits with the trade and continues so on and so forth. Having said that, as we speak currently, we are having shortage of TPW fans because, like I said, the South in this summer has been very decent and sellout has been good. So that's as far as Consumer Durable s is concerned.

So I think this year we should have a good growth in Consumer Durables because of the low base effect. The third part is on wire. Wires, we are cognizant of the fact that large player is entering plus some of our peer companies from Lighting are also entering wires. So wire 's competitive intensity is expected to be more than what is there. But it's a very peculiar category. It's a category with low gross margin and you need a scale of at least INR1,000-odd crores to make money in this business and there is also fluctuation of raw material prices upwards and downwards. And when it goes dow

nwards, you have to also write off your inventory.

So I think for the new players , it will take some time to figure out the mechanics on how to crack this industry. It's not an easy industry to break into. We have also had entrants before who have entered and left. But yes, we are cognizant of this and we have also taken some measures to strengthen the sale system. On the volume and value growth of Electronics, Sudarshan, do you have a number , roughly, for Q4?

Sudarshan Kasturi : Roughly speaking, about 3% is price growth and the balance is volume.

Mithun K. Chittilappilly: So in Q4, about 3% would be the price growth; because you have to understand the pricing and the actions would have started towards the later part of the quarter.

Ramachandran V. : It's mostly volume growth. It's mostly volume growth. I think price growth is about 2% to 3%.

Deepak Lalwani : That was very clear. Mithun, if you could share your view on the overall growth rate of the company for the next year?

Mithun K. Chittilappilly: As a company, we strive to grow between 10% to 12% in volume and there is a 1% to 2% price growth culminating into 15% growth, which is what we aim to do. But in the current year, the price growth could be higher because, like I said, we are seeing significant cost inflation. So we will wait and see what happens. But so far we are confident of holding our volume growth. So like I said, if we have a reasonably good summer, the summer category should perform well. We have to also be cognizant that Q1 of FY '26, we had a degrowth in some of the summer categories. So we should have a healthy volume growth this year because the base is on a lower side.

Deepak Lalwani : Sure. My next question was on margins. So if you can help me understand, see, we have been talking about double -digit EBITDA margins and we have done well on the gross margin side. So for the next year if you can break this double -digit EBITDA margin, how should we look at it segment -wise? How should it play out in the Consumer Durables, which has seen a very sharp deterioration in margins? How should we look at the recovery in Electronics? And by double digit, are we targeting somewhere ar ound 11%, 12% or 10% is our broad guidance?

Mithun K. Chittilappilly: So ideally, this year we would have loved to claim that we will hit 10% EBITDA margins , that's double digit. But we are going through a fairly significant cost inflationary period so things are quite volatile. And there is no ; it doesn't look like the conflict in West Asia is going to end any time soon, right? So we're probably going to have a prolonged period of high cost going forward. But if it was a normal kind of inflation, we could have been much more confident to say that . So in this case, we probably would like to finish a couple of quarters and then come back and comment on the margins. But so far, like I said, we have been proactive to s ense this and start pricing actions early and lot of our peers or companies have also announced pricing actions as they've come to realize the quantum and size of the price increases are high.

Now I think for a company like us, I think we also need to have a good summer to help us. So in South India, pretty much we have had a decent start to summer. And in non-South, if we also have good traction for summer, I think we should be confidently hitting that number. But I wouldn't say 11%, 12%, I would say at least 10% is what we would like to expect there. But like I said, inflation is still something that is going to be a challenge.

Deepak Lalwani : So what we see this year is that apart from the summer challenge like you've controlled your expenses quite well like the employee cost is flat and the other expenses has not gone up much. So should we see the same trend playing out even in FY '27, which c ould provide you some buffer in terms

of cost management, etcetera?

Mithun K. Chittilappilly: So yes, some part of the employee cost is variable pay. So definitely as a company if we don't achieve the top line and bottom line numbers, the variable payout also comes down. So that's there. We also are not expecting any huge increases in manpower this year. So like I said, we are watchful. We have taken actions to control some cost. And we will , like I said, if we get a good Q1 and good summer, then we would be more confident to spend in the following quarters. So that's the way we lo ok at it.

Deepak Lalwani : Understood, sir. Sir, last question. Since you said April was good, any qualitative feedback that you could give us in terms of how the secondaries have been in terms of the growth rate and in terms of the channel demand?

Mithun K. Chittilappilly: You are also following the same news articles and predictions by the meteorological department as we are. But I can say that South India usually the summer starts early March, April and that has been on track largely. Non-South, it's been a mixed bag. Ther e are rains in some parts of non-South. If you look at non- South, East is a big market for V -Guard so East also has to fire for the company to do well.

So I think we still have time. I think we still have another more than 1.5 months left for the quarter so it will be too early to comment on this. But just keep in mind, the base is already on the lower side because last year we had a decline in some of th e categories.

Deepak Lalwani : And sir, how is the channel inventory in all these categories?

Mithun K. Chittilappilly: Like I said, it's a mixed bag. So if you look at TPW fan, neither we have inventory nor our partners have inventory and we are having stockouts. So it's a mixed bag. It's not the same for everything. So certain categories, we are having supply challenges. So like I said, in South India I don't think there will be any inventory issue with any trade partner. But non-South the summer is yet to start so the summer sales have yet to fully start.

Deepak Lalwani : ok. Thank you. All the best.
Moderator: Thank you. Next question is from the line of Natasha Jain from PhillipCapital.
Natasha Jain : Thank you for the opportunity sir. Two questions. So one, broadly across categories be it your Stabilizer s, Wires or F ans. When I've gone on the ground, what I've understood is there was a lot of inventory that got pushed in 4Q because of cheaper raw material cost and therefore, cheaper product prices. But 1Q has been broadly disappointing in terms of the start for summer . You also pointed East and North was also a little bit of slip here and there.
And South also what I've heard is the channel was stocked with inventory for more than what's usually required. So on this backdrop while secondaries have moved faster across cooling products, can you throw some light how is the selling or the primaries ha ppening against the secondaries? And the second question is if you could also point out in case you do channel financing, for which product categories?
Mithun K. Chittilappilly : Okay. So if you look at F ans, the star rating change happened primarily for ceiling fans . So the sales for ceiling fans is very high in December because all the brands had to sell all the ceiling fans before 31 st December 2025. Because of that, there was a lot of fan inventory as we entered, okay? But this doesn't hold true for TPW because TPW BEE star rating norms are yet to start. It's expected to start the next year. Okay?

So when I said that TPW inventory is not there, this is the reason. Ceiling fans, we don't have any inventory issue. There is substant inventory with us and with the trade. Also, TPW fans, most of it is made out of plastic and there is a challenge in procuring that particular type of plastic in India as we understand. This is the reason. There is a raw material shortage for that particular type of plastic that is most widely used to make TPW fans and many of our vendors are not having requisite inventory. So that's one reason.
Channel financing, I think on the whole, it's about 10% of the retailers. If you look at the debtor book, 10%.
Sudarshan Kasturi: Retail finance, we don't.
Mithun K. Chittilappilly : Retail finance, we don't. We do channel financing. You're talking about channel finance, right?
Natasha Jain: Yes, channel financing.
Sudarshan Kasturi : Yes, yes. So , channel finance is for our primary customer. So approximately 35% of our business goes through channel financing arrangement. It's not category linked, it is customer linked.
Mithun K. Chittilappilly : So it is not a category linked, it is a customer. So, for example if are have a distributor for a bunch of products like water heaters, fans and air coolers and all; the entire customer is under channel finance. It's not a category thing. It's more of a distributor level arrangement. And if you look at the entire portfolio of debtors, 35% of the portfolio is under channel finance.
Natasha Jain : Understood. Sir, could you throw some colo ur in terms of are the Grade B, Grade C dealer , distributors facing any problem in terms of working capital management and therefore, slower salience to the brand? Is that something that you're observing?
Mithun K. Chittilappilly : No, I don't think so. In fact, our collections have been pretty strong in the March quarter. We are not facing any. So, we have a pretty strong commercial team which independent of the sales team , actually tracks and manages the credit limit of each of our customers and decides which customers should be increased credit limit, which customers should get reduced, which customer should be offered channel financing and which customers should not be. So, we don't have this problem. And we also have a tool wherein which we also are able to see the inventory of our partners wherein which we know whether they are sitting with inventory or they have diverted money from the business and so on and so forth.
So as far as V -Guard is concerned, we don't have this issue of ; so whatever sales we typically do, these are usually real sales and it's not just ; we don't encourage and we don't allow dumping.
So, we have mechanisms to stop that practice. There is a tendency by sales guys to dump stuff.
So, we have an independent way to try make sure that doesn't happen.
Natasha Jain : Sir, one last question. This is more longer term in nature than near term so for the longest time across cooling products, we've been hearing that there will be consolidation be it cooling on the AC side or coolers or fans, a lot of competition that's come in. And right now, the situation is

such that cost has increased multiple times and the price hikes are not enough to offset that cost.
So, do you think now is the right time when you could see consolidation happening or industry is going to remain fragmented and therefore, competition probably will be the same in terms of

intensity?
Mithun K. Chittilappilly : See, what is happening is the core growth in the country is not that high. So, what is happening is every company in every category is thinking like okay, maybe if I get into this category, growth will happen. So that is why you see everyone in the L ighting business trying to enter into Wires. There are companies which are in the W ater Purification business that have entered into Fans. So, I think everyone is entering everything, okay? So, it's not that brand and this process has not stopped. It is an ongoing process. It's something that has been going on since 2016, '17. So, it's an almost 8 year, 9-year phenomenon.
So we at V -Guard, we have p

egged our growth and we have to grow despite all these macro headwinds and that's what we aim to do. We have done this by integrating our manufacturing. So, for example from a sourcing company, we are now a completely integrated manufacturing company, which allows us to build products which are sufficiently differentiated. So, we are not selling your "me-too " economy and subeconomy model kind of products. We want to build and sell premium and masstige products for which you need to own as much of the supply chain as possible.
And that's why we spent like close to INR 300 crores, INR 400 crores last 8 years to build so many plants and to get into the manufacturing. It is an incredibly tough thing to do, but we have done it because this is the only way we can fight this overcrowded market. I don't see consolidation happening.
But one thing is sure when such shocks happen so when you have an environment where you have to take 15%, 20% price increases and when you have an environment where lot of the raw materials are under shortage or you're not getting raw materials, that's when the better more organized companies, companies which have better supply chain capabilities will probably do better than some of the other players. So that's the broad thing. So far, I've not seen any move for consolidation because we are still seeing ev eryone trying to get into every other category.
Natasha Jain : Sir, a follow -up on that. When you say everyone trying to get into every category so again a broader longer -term question. We've seen a lot of brands entering across electrical space, right? Some of your peers who were predominantly a F ans player have now entered Wires and vice versa, predominantly W ire and C able player try to enter F ans market in the last couple of years. Just want to understand your view what is the strategy that works here? I mean is it that if you have a fantastic cash flo w, you can push anything?
Mithun K. Chittilappilly : No, it is not. So for example if you want to profitably build a business, you have to take 15, 20 years, build it SKU by SKU, you can start with sourcing, but unless you are really investing in the R&D, unless you're really investing in the manufacturing; I don't think many of these companies have any hope to make money out of it. I mean they can show revenue, but making

money is different. Barring the Top 4, 5 brands in each of these markets, most of them will not end up making money. That much I can guarantee.
So, at V -Guard for example, we have always remained a multiproduct company. It's not that we have got into multiple categories for the sake of getting into it. We have always been organized as a multiple product company and we have a very long-term view. We are okay to see the category for 10, 15, 20 years. And I don't know how many of the companies you spoke about are able to do it. Like I said like Wire is a completely different category and when they enter Wires, they'll understand that winning in W ires is very, very different.
The skills required is probably very different from what is required to win in Fans. And similar, a Wire company may not be able to be successful in F ans. So, everyone will not be able to do everything. And we have given up a lot of for example our cost structure; as a multiproduct company, our cost structures are fairly high because we have to carry people for all our categories and these are some of t he trade-offs we do. So good news is like a company like us, we are more; the risk is very less because all the categories will not get into trouble at the same time.
So, we will see lesser impact on fluctuations in each category. But I can say that I've seen the cycle like for example 8 years back everyone wanted to get into K itchen Appliances space and now we don't have them, like there is Eveready which is out of kitchen. A lot

of the other brands that have got into K itchen have got out. So now only the core companies are still remaining. So we'll have a similar kind of a cleanup after 4, 5 years.
Natasha Jain : Understood, sir. And sir, just one last observation I'd leave with. I'm actually on the ground right now to get some channel feedback and I came across a lot of players who've been keeping solar inverters and I got fantastic feedback on the product and the support from brand was also very

positive. So just wanted to drop that for you. Thank you so much and all the very best.
Mod erator: Thank you. Next question is from the line of Vineet Prasad from Investec. Please go ahead.
Vineet Prasad: Thank you for the opportunity. Just a couple of things. We've realized solar business for you has been grown extremely fast. Can you give some idea about what the size of that business could be, number one? What I understand is it could be more than INR 500 crores in terms of top line now. And how do we see it growing? Are there further legs to growth as in can it grow very high double digits for another few years?
Mithun K. Chittilappilly: So, I think we don't like to give out numbers, but it has not reached the INR 500 crores mark. We only ventured into this business fairly recently like about 36 months back, but it's growing very fast. If you ask me, this business has potential to become very, very large, but we have been very careful and choosy. So, for example we are primarily selling solar inverters for residential users and small institutions. So, we have not got into the very large institutional orders and such like that because there are associated risks along with it.

But we are very confident that pretty soon maybe in 3 to 4 years, this will become one of the larger categories for V -Guard as we have an inverter battery business today which is quite large, similar size or it can be even more than that. But as on today, we have tried to sell to customers where it is more of a B2C kind of a play and it is not an institutional sales. I mean we do institutions, but it's very small. It's mostly residential consumers where we have equity and where we have pricing power and where our sales and service network have a differentiating factor of institutional sales where it's most of a price base.
So, we are very bullish on this category and we do believe given the recent challenges with fuel and all that, G overnment is under huge pressure to diversify away from fossil fuels in one way or the other. And this has already had good traction in India and I think it will continue. And one more thing is I think West Bengal and Tamil Nadu are two markets which were till now not encouraging this adoption of rooftop solar because it was a BJP Government initiative. And both these states, we hope definitely W est Bengal will open up and Tamil Nadu also ; the new Government policy will be able to definitely push for cleaner energy.
Vineet Prasad: Understood. And lastly, on the L ighting foray, where are we? If you can give some timelines, how are we progressing in terms of product, distribution, sales? Any colou r on that?
Ramachandran V.: It's still work in progress for us. I think sometime towards early next quarter, we look forward to bringing it into market.
Vineet Prasad: Understood. Thank you so much.
Moderator: Thank you. Next follow -up question is from the line of Deepak Lalwani from Unifi Capital. Please go ahead.
Deepak Lalwani : Hello Sir. Thank you again. I just wanted to check how many months of inventory of each raw material do we maintain at the factory level alumin ium, copper, plastic, et cetera? And this availability issue that you mentioned, so how are we sourcing our materials from different channels if you could explain? And if there is an issue, is it a big issue that will possibly lead

to
lower production? If you can just highlight that. These two are my questions.
Mithun K. Chittilappilly: So, I think as far as availability is concerned, it's primarily on the polymer or crude derivatives where there are availability issues. So, for example our batteries require sulfuric acid. Sulfuric acid is also used for production of pesticides. So that i s a controlled substance now because the Government is rationing it, but we are still okay. We have tied up and locked up supplies for the next one month or more than that. The same is the case with certain type of raw material. Like I mentioned TPW fans, there seems to be some shortage.
But I think as soon as the war broke out, we had set up a war room and we identified these sensitive items very well in advance. And because we are a fairly cash -rich company, we have gone and secured supplies from wherever we could. So, we are pretty much okay. I think till end of June, I don't think we'll have any issue and I think largely we should be fine. There is

definitely ; so for example if the demand is 110 units , the supply will be like 105 units . So, there will be some bit of shortage here and there.
But I think a company like us will be largely okay because we have a diversified supplier base and we have gone and secured supplies for most of our production. Sulfuric acid is still challenging because we cannot store a lot of that material. We don't have the capability to store it. It's an acid. So, our ability to store is very low. But wherever we can store, we have tried to

store or we have stored it in our v endors' places.
So, we don't foresee any supply-related challenges at least for Q1. We are largely covered. But this is a potential issue for many; could be for smaller brands, regional brands who don't have the kind of clout we have, a company like V -Guard will have over supply.
Deepak Lalwani : Understood. Sir, last question, you mentioned that we've taken a bulk of our price hikes. So, has there been any resistance that you have seen in demand falling off for our categories or any loss of market share that you have seen, if you can highlight?
Mithun K. Chittilappilly: So, with any price hike for this much of a quantum, this is not a natural price hike, right? Usual price hikes our retailers are used to is for 2%, 3%. So, when it's 10% and 12%, definitely there is going to be some negotiation, pushback and all. But like I s aid, but as far as we see it, I think by the time this kind of the high- cost raw material starts hitting in, we are fairly confident they will get passed on because a lot of it has been accepted.
But wherever there are some challenges, for example if it's a summer category and it's in a geography where summer has not started yet or there are some rains and stuff like that, we have given case-to -case support for our distributors and retailers. But largely, it's looking okay because I don't think any company can absorb the quantum.
So, I think everyone has announced and there is definitely an intention to pass on these prices.
And like I said, only in cases where the weather is not supporting, only those places we have given case to case. But largely it has been passed on.
Deepak Lalwani : Sure. Sir, if you can share what's your raw material mix for the whole company; copper, plastic and alumin ium roughly?
Sudarshan Kasturi : Copper is the biggest versus second biggest is alumini um or steel?
Mithun K. Chittilappilly: It will be copper will be the largest followed by polymers.
Sudarshan Kasturi : Followed by polymer, then alumini um, then steel.
Mithun K. Chittilappilly: I don't have an exact number for that because it's not a single category, right? It's multi ; each category has got a different mix. But everything has gone up, right? It's not that anything has not gone up, right?
Deepak Lalwani :

Ok. Got it . Thanks.

Moderator: Thank you. As there are no further questions, I now hand the conference over to the management for the closing comments.
Mithun K. Chittilappilly: Thank you all for taking time to join our earnings call. I would like to thank Vineet and the team at Investec for hosting this call. We look forward to interacting with all of you in the next quarter.
Thank you.
Moderator: Thank you, sir. On behalf of Investec Capital, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.